

Patanjali Foods (PATANJALI)

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PFL/202 3 June 05, 202 3

To
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Dalal Street, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051

BSE Scrip Code: 500368 NSE Symbol: PATANJAL I

Dear Sirs,

Sub: Transcript of Earnings Call Q4 FY 2023 of Patanjali Foods Limited ("the Company")

Please find enclosed the transcript of the investor s' conference held on 31st May, 202 3, with regards to the financial results of the Company for the quarter and financial year ended 31st March, 202 3.

The transcript has also been uploaded on the Company's website at www.patanjalifoods.com .

You are requested to take the same on your record.

Yours faithfully,
For Patanjali Foods Limited
(Formerly known as Ruchi Soya Industries Limited)

Ramji Lal Gupta
Company Secretary

Encl. As above
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"Patanjali Foods Limited
Q4 FY '23 Earnings Conference Call "
May 31, 202 3

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 3 1st May 2023 will prevail.

MANAGEMENT : MR. SANJEEV ASTHANA – CHIEF EXECUTIVE OFFICER
– PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL OFFICER –
PATANJALI FOODS LIMITED
MR. CHINTAN KOTAK – INVESTOR RELATIONS –
PATANJALI FOODS LIMITED

MODERATOR : MR. DHIRAJ MISTRY – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good morning and welcome to Patanjali Foods Q4 FY '23 Earnings Conference Call, hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhiraj Mistry from Antique Stock Broking. Thank you and over to you, sir.

Dhiraj Mistry: Hi, good morning all. On behalf of Antique Stock Broking, I would like to thank management of Patanjali Foods Limited. I would like to introduce Mr. Sanjeev Asthana, who is the CEO of the company, Kumar Rajesh, CFO and Chintan Kotak, IR.

I would hand over the call to the management for their opening remarks. Over to you, sir. Thank you.

Sanjeev Asthana: Thank you, Dhiraj. Good morning, everyone. Welcome to the Patanjali Foods Limited's call to discuss the results for Q4 and annual FY '23. I'm joined today by the company CFO, Mr. Kumar Rajesh. Mr. Apoorva Kumar, who is the head of Nutraceuticals business, is also here with me. We also have our Investor Relations consultant, Strategic Growth Advisor - SGA, on the call. I'm pleased to update that we have achieved record numbers across all the financial metrics in the financial year. The revenue from operations stood at INR31,525 crores. The EBITDA stands at INR1,577 crores. As an organization, we are focused on strategic areas for growth and allow me to run you through some of these.

On the oil side, we continue to be the leaders with very strong brands like Ruchi Gold, Mahakosh and Sunrich. Our focus remains on expanding the segment and improving margins, particularly through a model that aligns with the Atmanirbhar Bharat campaign of National Mission on Edible Oil Oil Palm. We are taking steps to grow our food business. The Patanjali brand commands a strong recall and loyalty, and we intend to capitalize this by capturing a more sizable portion. That's making Patanjali one of the leading names in the FMCG and FMHG markets. Inherently, margins of our food business are better than the oil business.

Going forward, this side of the business is expected to grow at a much faster rate, albeit at comparatively smaller pace. And we have done exceedingly good performance in the three quarters that we acquired the food business and the other businesses, which we'll talk later in the call. Overall in alignment with our vision to establish ourselves, as a prominent player in the FMCG and FMHG sector, we took strategic steps and bought a series of products across categories in our fold.

As industry pioneers, we maintain our leadership position in texturized soy products, which is a well-known brand of Nutrela. Our ghee, biscuits and staples have gained immense popularity among our customers. This year on an annual basis, our ghee sales have crossed INR1,200 crores-plus. We are seeing a double-digit growth in the positive category, particularly in biscuits and ghee categories. In biscuits, we've grown to almost INR1,300 crores on the annualized basis, growing at 20% year-on-year. And our chawanprash and honey continue to have a steady demand.

Our initiatives across segments are building a strong momentum for us, and we are off to a good start in financial year '24. Our company's presence across multiple categories and price points is driving our market share growth, fuelled by a relentless focus on product innovation and premiumization. This is enabling us to capture the evolving taste and preference of our customers.

I would like to update you on a few strategic areas

which are important. Through the year, we have signed multiple MOUs with all the state governments on the oil palm plantation business that we have undertaken on a very ambitious way. We signed MOUs with all the leading state governments in the North East, which is Assam, Arunachal Pradesh and Mizoram. We signed two new MOUs during the quarter with Tripura and Nagaland. We have signed MOUs recently with the government of Telangana, where they're extending all the support for our investments in Telangana. And Andhra Pradesh, we already have a large plantation business there.

Our oil extraction rate, the efficiency in the FFP processing that we have continues to be one of the best in the industry, in line very much with the global standards. In terms of age profile, most of our plantations, almost two-thirds of our plantations are mature and generate healthy yields. And the rest of the plantations are in the early stage of development. So almost it's a fairly healthy state of mix that we have on the oil palm plantation business.

On the distribution front, our new age customers have given rise to the e-commerce stores and omni-channel retailers. Our presence across omni-channel retailers and e-commerce stores is enhancing our visibility among the target customers. This has added new avenues of sales to the business. Our e-commerce sales of food, token update, was a notable uptick of nearly 50%. The oil sales to the platform have grown by about 60%, though the base was small, but we continue to grow.

Our B2C website and app are growth enablers here. Our app has almost touched a 1 million downloads now and registered users. With technology, we are driving a lot of technology from the B-PoS and B-Force and maximization of source, the target is there. So that we are able to reach an expansion is there. In terms of geographic spread, we are well placed across the country as we continue that. In addition to this, we have almost exported more than INR500 crores to 31 countries, our products.

The company, as I mentioned last time, we have worked very seriously on the premiumization and the launch will be happening in three distinct business segments. One is the Nutraceuticals, which is completely revamped and completely changed now. And that launched the first launch

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of the premium end of the sports nutrition you will see in next two weeks time. When we're going to be launching it with new packaging, new flavours and new price points.

The second one is in the millet based products, which I had mentioned last time. That is also we are making do along with the common, the sports nutrition launch itself, which also shall be happening in the month of June, where we're coming out with ragi-based products and other products. Similarly, on the biscuit side, which is business growing at 13, has grown to INR1,300 crores. We have come out with three new variants on the healthy side, which is the seven grain, which is ragi biscuit, as well as in the other areas in terms of the digestible biscuits. And similarly, three more biscuits are under the works, which will get launched and all these products will get launched by between second week and third week of June. We are taking the dates for the launch and they will be done.

Similarly, the success of Patanjali as it is getting attributed to the employee, we've continued to sort of build-up on second line. One of the key steps that we took, we showcased all our leaders through social media campaigns and formalizing. And as a starting point, we invited Mr. Apoorva to this call today, that in case there are questions around Nutraceuticals, he would be able to answer. We have continued to work in terms of hiring, you know, people, talented people from good companies. We continue to track their performance and inspire them. And we are working in terms of t

aking the company to a greater height.

Patanjali is committed to a stronger and more sustainable future. Our oil farm business model ensures that not only are we benefiting the farmers, but we are also protecting the environment by employing techniques like crop rotation and avoiding deforestation. Further, we are producing almost 85 megawatts of energy, of which 16 megawatts is for captive use itself. And we have pulled up promise to protect the environment by lowering the emission standards. In terms of our minimum public shareholding requirement of reaching 25%, we were investors had raised one point of looking at the Q4 results and the annual results. So that our results are getting declared today. And we are expecting to close this between June and July. Our requirement of minimum public shareholding will be met and we'll be closed and done with that. As we at a macro level, we've been treating the inflationary pressure to start in '24, they're easing. The disposable incomes are picking-up. There's an uptick in the rural demand and we see there's a big surge in, our sales typically which are more tuned toward the rural area. And there's a very steady urban demand, which is basically building-up and also for our food segment, particularly becoming positive.

The new launches and innovation, especially in the ready-to-cook and ready-to-eat space, we expect a surge in demand. The global prices have softened on the raw material side. This is helpful for our food business and not so helpful for our edible oil business. And yet we power along in terms of the distribution reach, the product innovations and premiumization. We have come in the fiscal year on a favourable trajectory and expect to sustain the momentum.

I will run you through the financial highlights of the quarter 4 and then we will open up this conversation for Q&A. The revenue from operations in quarter 4 stood at INR7,873 crores. And

our year-on-year growth, if you look at it, was almost 18%. The EBITDA for the quarter is INR416 crores with a margin of 5.3%. The PAT stands at INR264 crores with a margin of 3.3%. Prior to delving into the numerical breakdown, I would like to mention that we restructured our segment this year. So the reporting earlier, it was in different segments. Now, for example, the oil business comprises of the oil farm business, along with the edible oils, Vanaspati and all its derivatives and by-products and the cash business, they are reported in the edible oil segment. Our food segment encompasses four key businesses, which is the food business that we acquired from Patanjali the biscuits business that we have, biscuits and confectionery. The third business is the nutraceutical business. And the fourth business that we have is the Nutrela, the texturized soya protein. These four segments are falling under the food segment. And then, of course, in the other segment, we have our windmill operations, which I mentioned about earlier, about 85 megawatt that we have installed capacity. And as an overall sort of segmental communication in Q4, the edible oil segment contributed to INR6,136 crores of sales and resulted in a margin of 2.3%, in this area. Likewise, the food segment in terms of sales contributed INR1,805 crores in quarter sales. This is a substantial uptick as we continue to gain momentum and continue to drive it forward. Let us understand the performance of each segment. In the edible oil, the palm oil industry has suffered severe price volatility along with soya and palm. This volatility can be attributed to the elevated crude oil palm prices and supply chain disruption that we caused and subsequently they started to come down. The edible oil continues to contribute almost 81% of our revenues, which is substantially down from 90% plus that we had last year. And this segment, I am ex

pecting that the foods will continue, the mix of revenues on account of the foods and the other highly profitable businesses will continue to expand. We have almost done nearly 20% of our business is now comprising of the food business. Nearly 72% of the profits are coming out of the food business as well. So we continue to work on changing the mix of the businesses that we have and to prevent the kind of volatility that was witnessed in the quarter 2. Despite this rise in the raw material prices, we have not, earlier did not increase the selling prices, which has maintained our market share. We have grown substantially. Our EBIT per ton, while it took a hit, but we have had a volume growth in edible oils to almost by 21%. So for example, this year our volumes in edible oil is 1.91 million tons, which is a substantial growth compared to the industry, almost 21% compared to the growth the country witnessed for about between 3% and 4%. And typically that is the adverse. So there are positive signs in terms of the edible oil business and the way it is progressing. In the food segment side, it has achieved the highest ever standards of INR6,128 crores for the full year. This is a testament to our strong portfolio. We have maintained a healthy segment with also almost 18.29% EBITDA margin in the business. The Q & Q growth of 19% is higher than the industry standard. Food as a percentage of the overall company, as I spoke earlier, is almost 19% on a full year basis now. And we are supplying to all the domestic markets with a good geographical expansion.

We continue to expand our reach to the distribution structure. During the year, while inflation was continuing to be a factor, we have continued to expand our portfolio on the food side and this has been very supportive in the way our businesses are done. If I were to look at the revenues from, during the quarter, the food and FMCG portfolio total out of INR1,805 crores, our food products to the Nutrela was about INR110 crores. Our, the food division, the acquired one during the quarter was INR1,333 crores. The biscuits did about INR360 crores. Nutraceuticals, we continue to witness the overhang of the large inventory that we exposed in the second quarter and the sales were there, but they were marginal. On the count of windmill, it's a marginal turnover of INR9 crores that we had. So, the idea being that overall in terms of the company, the way it is progressing on the food side, the way the edible oil volumes have grown and we are trying to sort out to work in terms of the premium variance of the edible oil segment, we are very confident of the year as it goes forward and we believe that the company will continue to drive its growth and will maintain the growth

momentum as we go forward.

For the financial year 2023, the revenue from operations stands at INR31,525 crores, which I mentioned earlier. The EBITDA is INR1,577 crores and with a margin of 5% and the PAT with INR8,886 crores with a margin of 2.8%. Our full year outcome is of course an outcome of the acquisitions that have been made and very good ones, which is changing both the profile and the configuration of the company's turnover mix. It is changing the quality of profits that we have seen and it is also bringing in the higher margin construct by bringing in superior return to the business into a fold. So with this, my opening remarks are over and now the floor is open for Q&A, which we are here to answer any questions that you may have. Thank you.

Moderator: Thank you. Our first question comes from the line of Aditya Jhawar with VT Investments. Please go ahead.

Aditya Jhawar: Hello, Asthana ji Very good morning. I wanted to understand the edible oil business in detail. Actually, is it good to be in this business because always volatility will be there and we will incur

our inventory losses here. Could you explain the past history, how prices have been trending, how strategically it makes sense to be in this business now in India? And how are we dealing because we want to generate superior ROC, then we have to sell more. But when I see the capacity utilization, it's always trending between 40% to 50%. And what is the internal metric you look in edible oil business that it is doing great? And how do you see it span out for a couple of years?

Sanjeev Asthana: Yes. So thank you for this question. You're absolutely right that, edible oil business on account of the volatility typically is less predictable. However, what we are trying to do is that we have looked at the business from three filters. Number one is that there's a large asset base we have, there's a turnover that we have, and giving that up does not make any sense. So we've continued focusing on selling more of branded business. So for example, our business branded side, our business would be almost 80%, that we sell.

Now these brands are commoditized brands. So, the premium that you can extract on account of the palm oil business or the soyabusiness or sunflower business typically would not be the same

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in the category of what we have in the foodsbusiness. So that continues to be one challenge that we face. The business margin construct, if I were to explain, basically is stacked up at multiple levels. So one is the supply chain efficiency and the pricing efficiency that, we have in building up supply chains from the global market as well as in the domestic market.

The second tier is the efficiency in processing. Our infrastructure is world class. And we do it at price points and cost structure in the way that, we would be right at top in where the processing costs are concerned. And likewise, the distribution to almost more than 100 plus depots, the sales team that, we have on the ground, the business that we built with the distributors and the retailers. So this is a greater brand equity and there's some bit of predictability there as well.

The challenge this particular year has happened on two folds. The prices, if I were to give you a small reference, on 30th of June, the price in palm was INR1,20,000 a ton. Soya was INR1,30,000 a ton and sun was INR1,56,000 a ton. Price at the end of March became from INR1,20,000, it became INR92,500 a ton, which was a substantial drop. From soya oil, it became from INR1,32,000 to a drop by almost INR22,000 a ton to INR1,02,000. Likewise, sun oil dropped by almost INR25,000 a ton. And if I were to look at the overall year in terms of the financial year '23, the range has been the drop in palm oil prices INR75,000 a ton. Soya it has been INR65,000 a ton and sun oil it is INR92,000 a ton.

The problem is twofold in this. One is that the global factors, especially in Q2 that we saw, that the prices just fell off the rocks on account of the war in Ukraine. The challenge, what we had in terms of the regulatory ad hoc actions from Indonesia on the palm oil exports and then suddenly, removing them. And likewise, the overhang that, we had in India, that was a big cause, which basically saw the prices declining. Thereafter, what we have seen is that prices have continued on the declining trend even in this quarter also.

So to your point of saying that, the business is fraught with risk and I don't have to take the names, you can look up the balance sheets of across the sector in India and globally, the impact, the edible oil prices have had on all the major global players as well as the companies in India, which has had an impact. So to the point that should we be doing it at all, I would say that yes, we should do it because it's a strong strength that, we have.

We leverage at multiple levels. The access to distribution is not easy to build. It's built over a period of

f time. The supply chain competency that , we have, as I mentioned earlier, that we have grown our volumes by 21 %. So, it's not just that the growth has not come on account of some price increase or otherwise. And distributing the size and scale of business requires a lot of effort and a lot of cost and experience over long years.

So it's a three decade , more than three decades of experience , which has got us here. So I would say, we should be in the business in terms of return on capital that , we employ. It can be very decent return if there are seven t erms in a year if we can achieve. And we are making consistent margin of 2.5% to 3%, a year, 3% in each t erm that we do. So we are looking at a return base of almost nea rly 20 %. And that is a fairly decent on the working capital that we deploy.

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The challenge is , when the market goes through the volatile times and that , we have continued to work on. For example, after the drop, we continue to hedge our risk on the global e xchanges like BMB and Chicago. We have reduced, introduced measures. We have looked at artificial intelligence. We have hired external firms. Internally, we have got technical analysts and charters. So there's a lot of steps that , we have taken. I would not be so disappointed with the business. Yes, business has to be managed for profits, not continuous volumes and scales. And that, we're working on.

I believe with the price points where we are right now, the challenges should be m ore behind us because the prices have dropped so drastically that , we're expecting a sense of stability in the business. And as we go forward, we will continue to improve on the business and we'll have an uptick in both in terms of the margin profile as we ll as the overall profitability that , we have in the business. But yes, it's a work in progress.

Aditya Jhawar: Okay, sir just to follow up, just to summarize this one, if suppose our palm oil prices come down, is that a good thing or the volatility should be less? Is that a good thing?

Sanjeev Asthana: So to answer your question, if the palm oil prices come down in general, it is not a good thing for because for any player , who brings in the oil and who is structurally long, in general, it will not be a good thing , if our player is completely unhedged. But when we buy palm oil from the international market, we always hedge o ur exposure at the BMB exchange. Now Indian prices are nothing but a pass -through of the global prices as they emerge.

So the challenge that , we face always is that if you've got an inventory , which is priced at INR100 and the prices drop to INR90, that the domestic consumers will tend to buy because the competition continues to sell at INR90 plus , the processing cost plus the margin. That margin is there, 1 , 1.5% -2%. So if you're not hedged, then you're losing that money. But in general, we tend to do our operations more on the hedge basis , to de -risk ourselves and manage it accordingly.

But to a specific answer to your question, if I were to say that , is it good for a player in general like us, I would say , not tha t good.

Aditya Jhawar: Okay, so in the past, if you explain that , in the past cycles, maybe you have a lot of cycles right in the past, in 2015 to 2017, how the prices were tending and current how is the business you look forward? Because we have import ba n on the Malaysia, Indonesia because government strategically wanted less import and have more domestic consumption. So could you throw light on the past and the current scenario?

Sanjeev Asthana: So, prices have tended to continuously, there's a big infla tion on the edible oil prices over the years. And they peaked in COVID times, '20 and ' 21. It's reflected largely in very solid performance for a lot of companies , which are at the commodity under the play. But this issue of Malaysia ba

n, Indonesia ban, it is nothing of this kind at all. It happened for a brief window for about a month , when there was some political challenges. Right now, the edible oil duty structures are very benign and very supportive. The government is very keen on keeping the prices in check and completely in control. The trade flows are, there's zero restrictions , where

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India is concerned in terms of importing any of the oils that are there. So in general, I would say from the regulatory side, there are no challenges.

From the side of the price going forward to your question specifically, I would say , the price points where they currently are, the price of market should not only have an uptick. I'm seeing that, there should be a good demand coming in as well with the prices reaching, st abilizing at a reasonable level. So , I see a very good prospect for the edible oil business. But to the point that ,

would 100% or 90% of the business as it was last year under the edible oil and commodities. We have changed it. As I mentioned, we've brought it to almost 80% edible oil now. Going forward, our mix is going to be that, while revenues will continue to get derived from the edible oil, may trend lower, but our share of the food business will continue to expand. And in the fullness of time, 80% of our profits of the company will accrue from the food business itself. So we are already at 72%. We want it exactly in that way. And that's the kind of mix, we'll be going for. And our business in edible oils will not be on volume. It will be on the profit and the distribution and the brand equity that, we are able to bring through our different term systems. One thing I just wanted to add, on the oil palm plantation side, that's an almost consistent annuity business. We continue to look very healthy margins. It's a strong portfolio that, we have. In the next four years, we're expecting that business itself to be hugely profitable as our plantations that, we are continuing to plant are going to bring in. So net-net, I would say, in the edible oil business, the way we are structured right now, I'm very bullish on the company's future, on the edible oil side.

Aditya Jhawar: Okay. Thank you so much for the detailed response. I'll get back in the queue for reference.

Sanjeev Asthana: Thank you very much.

Moderator: Thank you. Our next question comes from Vikas Mistry with Moonshot Ventures. Please go ahead.

Vikas Mistry: Hello. Thank you for the opportunity, sir. Sir, I have a couple of questions, specifically on the food side. That in your press release, you said that we are going into dry fruit segment. And what is your opinion? What will be your strategy? Because every player is also eyeing for the pie of this is INR35,000 crores, INR40,000 crores market, which is growing quite fast. So what is your opinion on that?

Sanjeev Asthana: So the dry fruits business is one of the strong stays that we have. We do almost, business upwards of INR100 crores plus, in the dry fruits category. And Patanjali is a recognized sort of brand in that space. The opportunity that, we're seeing is right now that, market is nearly INR50,000 crores. It is growing at 10% to 15%. Globally, India has moved almost centre stage in the dry fruit segment from the demand perspective. As economies struggle in Europe and China tends to stagnate, we have a great possibility of building up a very solid band around dry fruits. Now to give the specifics of how the margins tend to stack up, the retail margins are very high in the dry fruits. The problem is in the supply chain. That, there are leading suppliers globally,

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where they are keenly looking towards India. But their access is into very unorganized segments. Smaller players, very distributed ways of distribution that, the

you have, both in terms of the integrity of contracting and otherwise, it is suspect.

We have recently signed up two partnership agreements for supply chain. These are MOUs that, we've signed. One is with a company called Wonderful, which is the largest pistachio player in the world, with nearly 55% of the market share in the US. The second company is Mariani on the Almond side, one of the leading players in the US. We are working in terms of building up our supply chain further on the Walnut side, both from Chile and US and other origins. And likewise, we have set up, we are exporting the raw cashews from Africa to be processed in India and done. So that is at one level where we believe that the margin construct in our supply chain competency and the relationship that we have, we should be able to pull in better cost efficiency by nearly between 3% to 4%.

The second target that we have is that our brand premium that we do go through our retail store, where the retail margins are much higher. But the distribution margins, both through the re-launched packing and the branding that we're going to do, we should earn between 3% to 4% of margin in that business. So we are very optimistic on the dry fruit category, and we are working quite aggressively in terms of having a structured supply chain partners with us.

Our distribution structure is very strong on the food side. We have our own stores through mega stores, Ayurveda Kendra and Chikitsa Kendra. So we are not only committed to dry fruit as a segment by providing healthier and more premium options to our consumers, but we are also aggressively pushing for it now.

Just by way of, you know, information, just two days back, we set up our first pilot plant for almond processing at Patalganga unit, very small unit, but basically test out our thesis on the processing and how it is going to go. And this will pave the way for more distributed infrastructure that we'll create in terms of the processing capacity that we are going to put in the country.

So we are very bullish on the growth and we are targeting larger numbers during the year. And you will see, as I mentioned earlier, on the drive of premiumization, when we do this launch

sometime in the second or third week of June of the other premium products, this dry fruit category products, both we are exploring under the Nutrela brand as well as in the Patanjali, would be launched at the same time.

Vikas Mistry: Okay, okay. Sir, just a small clarification that are we also entering into the ready -to-eat dry fruit snacking type of business, or plain vanilla kind of dry fruit selling through brands only?

Sanjeev Asthana: Not yet. We are not entering that segment. I think the important part for us is to get our supply chain from the global supply sources sorted out, get our feet wet in terms of the branding and distribution at a much larger scale, looking at organizing assets, then we will subsequently get to the snacking side if the results are positive, then we will get into that space.

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Vikas Mistry: Okay, okay. Sir, my last question is that we keep struggling to understand that Patanjali still has a value conscious kind of brand, and how we will penetrate into premium as per your brand velocity, you are eyeing Nutrela as a brand for premium segment and Patanjali for being value segment. So I am trying to understand, sir, what is the strategy, and how we will make sure that people don't perceive us as only a value brand or being a Bharat brand. So we keep struggling with this question. So I could not get any clear answer about it.

Sanjeev Asthana: No, thank you for asking that question, because one of the major efforts that we have been making is that in terms of the perception of market positioning, how is market perceiving us. But I wanted to make a small correction. There are a series of pr

oducts where, you know,

Patanjali brand, for example, the cow ghee, we sell at the best premium in the marketplace. In the non -food category, toothpastes like Dant Kanti . In our food business, if you look at Nutrela , which is absolutely at the right at the premium level. So we have got a range of businesses and range of brands in certain segments where we are positioned at a premium level.

What the larger issue is that especially, and I'll walk you through one by one in all these areas. I'll first go to the Nutraceuticals . Nutraceuticals , as I mentioned, that we're looking at completely relaunching with the rebranding, redesign, more flavors, more contemporary launch that we're doing. And if the time permits, I'll ask Mr. Apoorva to comment on that as well as to how that business is expanding. So you will see the first completely redesigned Nutraceuticals sports nutrition getting launched very soon.

The second part is, so that part is correct in terms of the value part of it, and how it plays out that we are working on it towards making sure that this should be done at a very premium level. We are increasing our price points because our products are world class, our products are world leaders. They are absolutely at premium level. So there is no reason why the product should get discounted. So this is one part.

The second is in the biscuit segment, you're right, because almost INR800 crores plus that we've been selling is the doodh biscuit , which is at a competitive price level and it competes with glucose and other milk biscuits. But they're also working in terms of launching a premium variant. We have improved our margins in the biscuit side, but you will see three immediately getting launched and additional three getting launched at the premium level, which is pretty consistent with what our competition has been doing as well.

And plus, of course, on the Nutrela side, we're looking at the millet -based product, niche product, more healthier segment. So the effort is that whenever we're looking at our new launches, the idea being that we should occupy centrality of the consumer's wallet at the premium level, where we should be able to offer the proposition to the urban consumers, as well as to the rural consumers who are willing to pay for it and are willing to -- are exploring options around quality, around packing, around the value attributes that we bring to the table. And we are quite positive that we will be able to -- the new product range that we have, we will be able to completely reposition ourselves on that side.

I just want to add one more thing that on the Sunrich brand of sunflower oil, we are working quite aggressively that we want to not only reduce our -- we want to increase our premium level

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offering that we have. And we're working quite actively in terms of making sure that the Sunrich gets relaunched at a premium end of the edible oil segment where we are able to accomplish per ton per unit margin, which is higher than currently that we're witnessing.

So overall, we are pretty convinced that it's going to grow and build up and develop into

something substantially, which is going to improve our entire work that we are doing towards the food business in terms of expanding that way and building it up.

Vikas Mistry: Thank you. Thank you. That's all from my side, and all the best for premiumization strategy going forward.

Sanjeev Asthana: Thank you.

Moderator: Thank you. Our next question comes from Kuldeep Gangwar with ASK Investment Manager. Please go ahead.

Kuldeep Gangwar: Sir, a couple of questions. One is this other income of INR90 crores whether it's having any one-off, like, what it comprises of?

Sanjeev Asthana: So I will ask Kumar Rajesh ji to answer that question as CFO.

Kumar Rajesh: Yes. Good morning. This comprises of about INR60 crores, INR61 crores

of interest charged

from the customers on delayed payments and some of near about INR15 crores as compensation and other interest on FD, etc.

Kuldeep Gangwar: Okay. And, sir, in the edible oil segment, the margin was 1.9%. Is it more to do with -- any high cost inventory being consumed or a mark-to-market rate in this particular project?

Kumar Rajesh: You can say some portion of inventory and some portion of mark-to-market.

Kuldeep Gangwar: Okay. If we think about either edible oil segment or a food segment, what should be the expectation on growth side and margin side in coming year, in FY '24?

Sanjeev Asthana: So, Kuldeep, two very clear points that I mentioned that the markets have contributed to slight - our expectation, which is consistently maintained that the edible oil business should generate between 2% and 4% of EBITDA margin on a consistent basis. And, sorry, the edible oil business, the margin should be between 2% and 4%.

On the food business, we are pretty, you know, between 18% and 20% margin as we want to maintain. We have the range this year we did about 18%, and we're expecting to maintain the same rate. With the effort on the premiumization side, it would be -- there would be an uptick in the margin, but it would not be at a scale in size that want to be impacting the overall bottom line in very substantive way. But our target definitely is that we want to move to a closer to 20% than towards 18%. And now this year we'll the full benefit of all four quarters of the food business.

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Our biscuits portfolio, as I mentioned, we want to keep tweaking to go towards more premium end. So compared to about 9.5%, 10% that we do, we want to move -- want to do better than that.

Nutraceutical space, as you know, we've done the business. Our margin profile is very improved. Sustaining that will not only be important for us, but with the newer launches, higher price points and better ways of running the business, we're expecting that we should do better. So net-net, I'm optimistic that 18% to 20% prediction that we have on the food side, we should be able to maintain, and we should be able to retain that space for us.

Kuldeep Gangwar: And sir in terms of revenue growth for either edible oil and the FMCG part of the business, like what should be the growth expectation top-line?

Sanjeev Asthana: Yes. So growth on the food business, as we have mentioned that we will maintain a 15% growth rate in the food in terms of revenue. We will maintain. So this year, our overall, let's say, thousand per house plus of food that we have, this year we're expecting that we'll have the full benefit of all the four quarters in the food side. So we should not only have an uptick on that front, but we should also maintain a healthy growth of almost about 15% growth that we expect. And on the edible side, I don't want to speculate on the revenue side, but typically the price points are stable. I'm expecting that the edible oil, there should be a marginal decline if the price trend remains soft. So we should be pretty much at the same level as on the revenue side. But as I mentioned, the focus on the edible oil revenues is very clearly in that segment that focus is on margin generation and not so much in terms of the turnover.

Kuldeep Gangwar: Sure. And, sir, last on Nutraceutical on the base of INR500 crores in FY '23, what should be the expectation either coming year or from three to five year perspective?

Sanjeev Asthana: So three to five years, we are expecting, as we had mentioned before, also, we would like this business to be closer to INR2,000 crores, which would reflect between 2% and 3% of the category expansion that's happening in Nutraceutical. And that is the growth we are targeting.

The target in the growth is, of course, as you know, I mentioned that it's being completely relaunched in a

new avatar. So when I'm saying new avatar, the branding, etc., everything, the name, title, everything remains the same. But you will very soon see that the new packaging that

we have, the variants that we have, and it's a business which is appealing a lot to the youth, especially in the sports nutrition. So that we are making, pulling out a lot of stops in the chewables, in the gummies, in terms of the launch on the variants, the flavors, the different in the -- Nutraceutical, the sports segment.

We will be coming out with six products and 18 SKUs in that, both in terms of whey protein powders, the proteins, and others. And likewise in the VMS segment, thereafter, we are going to be launching it. So you will see a very different -- differently positioned in a totally different avatar our Nutraceutical business in this year.

Kuldeep Gangwar: Sure. Thank you so much. These were the only questions from my side.

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Sanjeev Asthana: Thank you.

Moderator: Thank you. Our next question comes from the line of Shirish Pardeshi with Centrum Broking. Please go ahead.

Shirish Pardeshi: Good morning team. Thanks for the opportunity. Sir, my first question is that in the INR1,800 crores quarter sales for FMCG, you have provided 60% is coming from the biscuits, Doodh Biscuit. Can you provide the breakup of INR6,218 crores for the full year, similar breakup?

Sanjeev Asthana: Yes, I can give you that. Yes. So the breakup that we have on the -- for the full year out of INR6,218 crores, our Nutrela business did INR566 crores. Our foods business has done INR3,791 crores. Our biscuits business has done INR1,352 crores and our Nutraceutical business has done INR509 crores.

Shirish Pardeshi: Yes. Wonderful. In that INR1,352 crores, what would be the Doodh Biscuit?

Sanjeev Asthana: Doodh Biscuit is about INR800 crores.

Shirish Pardeshi: Okay. Yes. That's fairly helpful. The other question I had is this acquired 21 brands, which we have consolidated, what would be the FY '23 revenue for these brands and how it has grown over FY '22?

Sanjeev Asthana: So, if I heard your question right, you said on the food side that we consolidated from Patanjali as well?

Shirish Pardeshi: Yes.

Sanjeev Asthana: Yes, okay. So as I mentioned, we are expecting that across in the foods overall business, we should be generating a 15% growth rate. So our benefit this year would be that we had only got three quarters of business in the foods last year. This year, we'll have the benefit of all the four quarters and over a base of INR6,218 crores, if I were to look at 15% growth rate on an aggregate basis, we should be, of course, some businesses are going way faster than the others, but we should be closer to INR7,200 crores odd in the food business this year.

Shirish Pardeshi: Okay. My second last question on the edible oil on INR25,000 crores on revenue, what you have garnered in FY '23, you said that...

Sanjeev Asthana: Boss, your voice is very faint. I'm just not able to hear it. I'm sorry. If you can speak a little louder.

Shirish Pardeshi: In the full year business of INR25,253 crores, could you spell out what is the premium oil contribution?

Sanjeev Asthana: The premium oil contribution right now is negligible. And as I mentioned that the Nutrela Oil, we did about 15,000 tons this year and 16,000 tons we did this year. And we want to go back to 6,000 tons a month. And now because of the continuous drop in the prices of the edible oils, it has been a challenge. It's not been very easy.

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And in terms of the premiumizing side, but we have seen that there's attraction, which is building up. So we, by virtue of the Patanjali's mustard oil business, we are extracting the highest selling oil in the country on the mustard oil side. So it's a very premium product that we have and will

gain a lot of consumer traction.

Second is the range of the Nutrela oils that we have. They are premium and top position business that we're going to do. And the last one is the Sunrich that I mentioned. We are repositioning it. We are looking at brand ambassadors. We have recently hired a brand manager for that. And a business head dedicated in a very focused way on the sunflower oil, that brand.

So together, all of them should account for close to about INR2,000 crores in terms of the business. And we are expecting that instead of between 2% and 4% margin, our margin profile

should be between 6% to 8%. That is a target that we have in that business. And it's a work-in-progress, but we are pretty confident that with the increased focus on mustard, focus through the Patanjali brand, focus on Nutrela oil distribution, as well as the Sunrich work on the brand side that we're going to do, we should be able to hit in that trajectory. So the proportion of sales through the overall edible oil business itself, it will be just about 7% -- 6% to 8% is what we'll do probably in the turnover, at least for this year.

Shirish Pardeshi: One follow-up here, sir, you mentioned that your target is to reach to 4% to 8% margin in the edible oil business. So is this initiative will take you to achieve that?

Sanjeev Asthana: No, I did not mention. Edible oil, overall on a blended basis, what I was saying was that only the premium end of the oil should take us, should fetch us between 4% to 8% margin. Otherwise, the business, the commoditized side of the business is between 2% and 4%. And that is the forecast that we've already done is the business, because that is the inherent nature of the business that will remain.

Shirish Pardeshi: One more follow-up on the edible oil business. You mentioned that plantation, the palm plantation is going at full speed. So by when you think the palm plantation, the local procurement will start? Any timelines you have?

Sanjeev Asthana: So just to fill you up on that, our oil palm plantation is the largest in the country. We are already very mature. We make about -- we do a turnover of from the oil palm plantation of almost about INR1,100 crores. And we constantly have a margin base of between 15% to 18% there. So the years in which the prices are higher, so for example, we could fetch almost 18% of margin. The years when it is slightly, the price points are low, our margin will be slightly lower. But on a consistent basis, the track record shows that we make about 15% to 18% margin in the oil palm business. And it is going to be one of the mainstream businesses for us, which is four years down the line. We're expecting this business when we start our fullness of time when all the new plantations that have started happening from last year, we're expecting that this business can generate nearly four times of the profits that we currently have. And it will become an annuity business almost for the next 25 years.

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Shirish Pardeshi: Okay. My last question is on toothpaste category. In F'23, what would be the total revenue? And if you can share, if you have it is handy, the market share closing March '23.

Sanjeev Asthana: Did you mention toothpaste?

Shirish Pardeshi: Yes.

Sanjeev Asthana: I would not have access to that number. I'm sorry. That's a different business on the other side. I can -- we can try and find out and share that with you. But right now, I don't have access to that. And it's not even part of Patanjali Foods.

Shirish Pardeshi: Sure. No, I'm asking because in future, you might consolidate in that business.

Sanjeev Asthana: No, no, there's no plan.

Shirish Pardeshi: Okay.

Sanjeev Asthana: So this Patanjali Foods, the basic character will always remain as only the foods company. And the other side will remain non-foods. And that's

how we're going to retain.

Shirish Pardeshi: All right. Thank you, and all the best.

Sanjeev Asthana: Thank you so much.

Moderator: Thank you. Our next question comes from the line of Jigar Upadhyay with Amtiger Consultants Private Limited. Please go ahead.

Jigar Upadhyay: Thank you for the opportunity, and congratulations to the management for the good set of numbers as far as the food business is concerned. Sir, I particularly had a question as far as the edible oil business is concerned, since you already have now two listed edible oils. What is the broad volume as far as the edible oil business is concerned and how much portion of it is branded?

And my second question is, do you have a benchmark in terms of the normalized levels of margins on a per ton basis as far as gross margin and EBITDA margin is concerned?

Sanjeev Asthana: Yes. So our volume this year to be specific is 1.91 million tons that we've done. So the second question is that in terms of the share of how much of we sell to the branded route, we do about almost 80% of that is sold as a brand.

Now the brand gets sold as right from pouch to jars to tins to pet bottles to different ways it sells. The inherent margin on an EBITDA basis, I was mentioning earlier, typically it has been given 2% to 4% margin that we have. In a good year it has exceeded that, but in general that is a trend that we have between 2% and 4%.

And it would tend to -- so this benefit, how does it approve? As I mentioned in the past also and in this call also, that both through the efficiencies and the purchasing that we have in the supply

chain, efficiencies in terms of the processing infrastructure that we have, which is one of the best

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placed in the country. All these are food-based plants with the most efficient one, almost fully depreciated, so there is no challenge on that front. The distribution structure that we have and the margin construct that we have.

So to the specific, to the typically the palm oil business, one of the benchmarks that typically one would work at, it should generate under normal circumstances between INR1,000 to INR1,500 a ton. The soya oil should typically generate between INR2,000 to INR3,500 a ton. And the sunflower oil should typically generate between INR2,500 to INR4,000 a ton.

Now this is a broad spectrum range. This is the inherent distribution margin that we have. And the inherent structural processing efficiency that we bring to the table is the purchase part that we do.

So we are reasonably comfortable in maintaining these numbers. But typically the range as I mentioned earlier, that would always remain as a percentage of the revenue, about between 2% and 4%.

Moderator: Thank you. Our next question comes from the line of Bharat Shah with ASK Investment Managers Limited. Please go ahead.

Bharat Shah: Yes. Asthana ji, for the current year on the edible oil business, are we normalized? Because last year we saw the second quarter was really the root shock for the entire industry all over the world. Third quarter there was a reasonable recovery. Fourth quarter again the inventory, sorry, the price drops and all that have continued to pose the challenge to the whole industry. Because we've seen the numbers for the other players also and they all have been similarly impacted. Can we say, more or less, the situation from now on is heading towards normalization? And, therefore, for the current year that margin of 2% to 4% range that we are talking of is something we can envisage?

Sanjeev Asthana: Bharat bhai, good morning. And so there are my very specific answer to your query. The third, the last quarter, which we currently see, the markets have dropped substantially again. There's a glut of supply side in the global markets. There is a big overhang on account of the large drop on the mustard that we had and

the last soy crop that we had. And the prices have not been supportive at all.

The market continues to slide. Even as I speak today, the markets have further fallen. Last night at Chicago and at the Palm. But I can give an opinion. I can talk this is a technical chart. I can talk this is the considered view if one can take us to where the markets are headed. I think they're reaching a point where they should stabilize.

Having said that, the markets have a tendency to still be reaching a point of 2017, '18 kind of levels. So they could be further downside of between 5% to 8% from here. But there could be an upside of 15% to 20% because there is a big event, this grain corridor stoppage between Russia and Ukraine, Russia has already given a deadline that by this time they might stop. So

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suddenly there is a surge in offerings, which we are seeing on the sunflower side from Black Sea. They might tend to get impacted.

World has a lot of edible oil and the world is looking at homes to find that. So if you were to ask me, there is a less of downside from here, because markets have stabilized and dropped substantially. And there is more of an upside. But there could be windows in this. The timing is the big issue that we have.

So we have accordingly hedged our position. So specifically to our situation now, we continue to operate from long side by virtue of the supply chain that we have to build, especially for sun and soya and palm short age, which is sun and soya 45 to 60 days and palm is lesser. We have hedged a lot of our exposure overseas. So there is a softness in demand typically in the summer months that happens. So we would, if you ask me specifically near-term for next one month, I expect the market to continue to be soft, probably slightly bearish. And, thereafter, markets will start picking up as we get into July, start getting into consumption months. So I don't know if I've been able to answer your question to the specifics.

The second part is in terms of the margin profile, as I mentioned, our target remains that we should make in a good situation when the prices are stable and we are able to pass on the price

increase to our brand premium to our customers. We should make closer to 4%. And in the months when the challenge is there, we should be able to do 2%.

So last year, so I'll go one by one, so that you get the specific answer. Oil palm, I'm pretty convinced that 15% to 18%, but that's a small part of our business. It's not large enough. But oil palm will give us a very healthy margin of 15% to 18%. On palm, so ya and sun, crush business is again fought with its own challenges, because soya and mustard seeds are sitting again at way below the MSP price right now. So that's a challenge.

But between palm, soya and sun, we are quite strong. We believe that we should be able to generate that margin. And I would retain at this point of time very much that we should be closer to the midpoint of 3%, because we are pretty confident of the steps that we've taken, both in terms of management of inventory, the prices, etc. So we should sound good on our margin of midpoint between 2% and 4%. We should do 3% this year.

Bharat Shah: Sure, that's a challenge. No, I think it has been an enormously difficult period for the edible industry, supply chain, price buttons. And in a relatively low margin business to manage that is never easy for the day-to-day consumption product. So really, this has been a very, very tough year, 2022-'23. But great to see that initiatives are in place to ensure that we come out of it, and managing that volatility in supply chain is, I must say, quite remarkable in the way that it's been dealt with.

On the plantation side, over four years, you said we should be about, I couldn't really get the picture entirely accurately. Can you, on the palm plantation side, describe from

the last year to

the next four years, what kind of outcomes are expected?

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Sanjeev Asthana: So, Bharat bhai, just by way of this one, what I was mentioning was that our target is that over the next four years, because already one year has passed, we currently have about 65,000 hectares, which is under plantation, of which about 50,000 hectares continues to yield and we make about INR200 crores of margin in that.

So if the price points are higher, we make higher margins. If the price points are lower, that will tend to go lower. So that is one part, which we -- where we currently stand. And out of this plantation, our revenues are about INR1,100 plus crores. We made a margin of, I think, about INR211 crores in the oil plantation business. So that is one part, which is of this year.

As we plant each year, so this year our plantations are going to be about, in the coming year, we are expecting that we should be close to about 25,000 hectares that we are planting, give or take 15%, 20%, because they're subject to farmers connecting or otherwise. And then we will keep on up ticking and build up a big momentum.

So we have imported, for example, the sprouts from all over the world of nearly 4.3 million.

And this is fit about enough for -- in terms of the, for 25,000 hectares, 28,000 hectares is what the readiness of plantation is. So one is the global supply chain to bring in the sprouts, to put them in a nursery, convert them into seedlings, and then distribute to the farmers. That work has not only begun last year, it has started acquiring momentum.

We have set up 18 nurseries now in the Northeast, and the new nurseries I'm talking of, and the South of India. I was in Telangana recently in Hyderabad, where we signed with the minister the agreement for Suryapet and Nalgonda district. So that is a general level.

So what our expectation is that as we continue to plant, so the trees that we planted last year will start bearing fruit after four years at the beginning, and seven years' time they start to mature, and then after that, the next 20 years they continue to plant business.

So it will come in waves in terms of the business, the way it will grow in terms of the margins, but it is safe to assume that we'll have one big uptake in the year number four from here, where we, all the plantations that were done last year and this year, will start yielding fruits, a little lesser. They will start to mature in seven years' time, but between seventh and eighth years from today, the business should be generating nearly four to 4.5 times of the current EBITDA that we have, which if I were to just, without sounding directional, it should start generating INR1,000 crores of net EBITDA for the company, consistently seventh year onwards.

And fourth year onwards, these numbers will be lesser, but a specific number I can, like, how the exact revenues will start occurring, but it is very safe business that we have. And fourth year onwards, typically I'm expecting that between 15% and 20% spike you will continue to have, but between now and till the fourth year also, Bharat bhai, every year that we've been planting 5,000 to 6,000 hectares, that will keep increasing and we keep getting ease and benefit will accrue.

So it is very safe to assume that we should get -- if the prices of edible oil remain the same, we should get between, typically between 5% to 8% increase in the income every year.

Bharat Shah: I see. And per hectare, what kind of economics is there in terms of profits?

Sanjeev Asthana: So per hectare economics, typically we would be safe if I were to look at, you know, about, we would be making about per lakh hectare, just one second, let me pull out the exact number. So our economics would be about INR1,30,000 per hectare is what we should be

able to make. This

was last year, but on a lower price, we should say, it is safe to assume that we should make about INR1,10,000 per hectare.

Bharat Shah: So roughly in four years' time, what is about INR210 crores profit should be somewhere in the territory of about four times from where it is now. And it will then be an annuity. Apart from that, whatever new hectares that you keep it, would continue to create an additional annuity based on those timelines, right?

Sanjeev Asthana: Not in four years, Bharat bhai, this might happen closer to seven years. But what -- I will just tell again that every year we should continue to improve by about 10% margin, our business for all the plantations that were done four years back, three years back. So it keeps coming into maturity and keeps doing it. In the year four to five, if I were to give a very specific number, we should certainly be almost nearly 70% of where we are today. So that should be starting to yield about INR300 crores to INR340 crores. We were doing quick math, while you are talking. And, thereafter, every year it will keep exponentially increasing. By the year seven, we should be closer to about INR800 crores to INR1,000 crores from the oil palm plantation business.

Bharat Shah: Got it. So in four years' time, roughly about INR500 crores of profit, about seven to eight years' time, about INR800 crores profit roughly. And whatever we keep adding to the kitty will accordingly follow a timeline and will keep generating the additional profit.

Sanjeev Asthana: Yes, the business will stabilize at INR800 to INR1000 crores. And, thereafter, we expect to maintain the same trajectory for next 20 years.

Bharat Shah: Sure. Thank you, Asthana ji.

Sanjeev Asthana: Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, we have reached to the end of the question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Sanjeev Asthana: So thank you for everyone who attended the call and asked a very insightful question. The only thing that we wish to say in the summary that last year on the oil side, we have faced challenges, but there have been a lot of positives which have happened to the company.

So the positive number one is that we acquired an extremely profitable business from Patanjali on the food side. We've had three quarters of good run that we had, and we continue to wish to grow that momentum.

The second positive news that we have of last year that in terms of the oil palm plantation, it started to gather momentum. We continue to plant aggressively. We have set up the base in the last 15 months for a big expansion in the oil palm side. We are very positive of the outcomes

that we're going to achieve in fullness of time. And the company will be repositioned in the oil palm business entirely, both from the turnover side as well as the profit side.

The third positive step that the company has taken, and which are very decisive and clear steps of repositioning several product categories, which are amenable to premiumization, starting with the Nutraceuticals, looking at Nutrela, looking at biscuits and confectionery as we continue to evolve and grow.

So we are very positive that very immediately we'll start seeing an uptick in the premium end of the product categories that we have, where we'll be able to match the attraction consumers have at the premium end for our products like Nutrela, Patanjali, mustard oil, a whole lot of other oils that we have. A lot of good efforts that are happening and we should be able to reach in that direction.

And last but not the least, in terms of the leadership team, as I mentioned right in the beginning, we are working towards hiring of top talent, retention of top talent, and ensuring that they get rewarded handsomely. Just yesterday, the Bo

ard has approved ESOPs for the management team

at Patanjali Foods. There are lots of people who will be beneficiaries of that. And the finalization

of scheme, we are expecting that we will close it between 30 days to 45 days. And already agencies are working on it. So the finalization of the scheme will be done and that will get finalized.

We are working in terms of the leadership talent of training. We ran a series on social media and the company is in good hands. The company is in good management hands. And we continue to strive and remove all the kinks that we have on some of the businesses. And hopefully that will all be behind us. So the company should be on good path as we go forward. Thank you very much.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2023

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BSE Scrip Code: 500368 NSE Symbol: PATANJALI

Dear Sirs,

Sub: Transcript of Earnings Call of Q1 FY 2023 -24 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated 16th August, 2023 regarding audio recording of Q1 FY 2023 -24 Earnings call held on 16th August, 2023 . Please find attached transcript of the Earnings Call.

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com .

You are requested to take the same on your record.

Yours faithfully,
For Patanjali Foods Limited
(formerly known as Ruchi Soya Industries Limited)

Ramji Lal Gupta
Company Secretary

Encl. As above

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"Patanjali Foods Limited
Q1 FY2024 Earnings Conference Call "

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Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 1 6th August 2023 wil l prevail

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PATANJALI FOODS LIMITED

Patanjali Foods Limited

August 16 , 2023

Page 2 of 18 Moderator : Ladies and gentlemen, good day and welcome to the Patanjali Foods Limited 's Q1 FY 2024 Earnings Conference Call host ed by Antique S tock Broking Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future perform ance and involve risks and uncertainties that are difficult to predict. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should yo u need assistan ce during the conference call, please signal an operator by pressin g “*” then “0” on your touch tone phone. Please note that this conf erence is being recorded. I now hand the conference over to Mr . Dhiraj Mistry from Antique Stock Broking Lim ited. Thank you and over to Mr. Mistry !

Dhiraj Mistry : Hi! Good morning all. On behalf of Antique Stock Broking , I would like to welcome all participant s and thank management of Patanjali Foods Limited. We have with us Mr.

Sanjeev Asthana – CEO of the comp any, Kumar Raje sh – CFO, and Chintan Kotak – IR.

Without further ado I would like to hand over call to the management. Over to you Sir !

Sanjeev Asthana : Thank you Dhiraj and ladies and gentlemen good morning. Thank you for joining us today for Patanjali Foods Earning Cal l for Q1 FY2024. I am joined by the company's CFO, Mr.

Kumar Rajesh , internal I R Mr. Chintan Kotak and Investor Relations Adv isor, Strategic Growth Advisor, SGA. We have uploaded results and press release on the stock exchanges

as well as on our company' s website. I hop e everyone got an opportunity to go through it.

We would like to touch upon a few key developments on the company and the industry post which we will ha ve question and answer session.

I will start with the commentary . D

espite the negative macroeconomic en vironment in Q1

FY2024 Patanjali Foods Limited demonstrat ed a sustained performanc e across all the financial matrices. Performance of FMCG segment has been particularly impressive. Our business is going through a tactical shift by focusing on the high marg in FMCG segment .

After the stellar performance in the las t quarter in FY 2023 we are on way to continue to build on our FMCG growth journey couple d with the expansion of our legacy businesses, and oil palm plantation business. As we navigate the ever changi ng business lan dscape it is our strategic choice to place a strong emphasis on sev eral key factors to ensure sustained growth and success. First we recognize the significance of enhancing our product portfolio to be closely aligned with the evolving consum ption trends in the country. Additionally, gaining a larg er market share is vital and we aim to achieve this through a two -pronged approach of continuous innovation and effective distribution. Our focus on innovation has been a key driver of our success in line with the commitment to becoming a leading FMC G comp any of India . We have int roduced several new products under our premiumization Patanjali Foods Limited

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Page 3 of 18 drive that cater to the evolving consumer pref erences in the last few months. We have made some l aunches and allow m e to take you throu gh the same.

During the quarter we have r evamped our nutraceutical offering and launc hed branded dr ied fruit products. Talking about a fe w more initiatives that we have, Nutrela is one of our strongest b rands evolving as an umbrella FMCG br and for us. The brand extension has been initiated into m illet-based food products and then Nutrela MaxxMillets sub-brand . The newly launched includes Ragi Choco Cereal whose pilot launch has received good respon se with nearly 15% repeat order and this is in just about in last 45 days we have seen in the previou s quarter when the launch was done , so it is positive. The nutraceutical business, we have reworked on the complete branding of our sports nutrition products under Nutrela sports pack w ith better p ackag ing and overall offering. The new launches comprise 6 products with 19 SKUs. Ou r nutraceutical products include whey protein, vitamin capsules, hormone balancing products, collagen builder, orthocare and many other supplements. Nutrela Sports aims to tap i nto the surging demand in the I ndian sports nutrition industry. We have entered into the premium dr ied fruit market through our launch of Nutrela

MaxxNuts, which includes premium quality almonds, cashews, pistachio and walnuts. Through our strategic tie-ups with some of the renowned names such as Wonderful Foods, World's largest player in Pistachio and Naryani Nuts amongst the largest players in Almonds and Walnuts. We are providing premium superior dried fruit product at affordable pricing. Our target is to clock revenue of 1000 Crores in the next five years for branded dried fruit category.

Patanjali is a leading player in the biscuits industry that quarterly revenues of biscuits have grown from 276 Crores last year to 381.16 Crores this year with a 38.1% year-on-year growth. Last year in biscuits we clocked revenue of over 1200 Crores and we aim to cross 1500 Crores this year. Further to drive a vision for our biscuit segment forward we have launched the premium range of biscuits of 7-grain, ragi and digestives along with the dried fruit box that we have done.

Our new FMCG products offer consumers healthier options without compromising on the tastes while reinforcing the principles of Patanjali brand. Further it helps us market not just as a mass brand but also cater to a niche premium segment. Looking ahead our vision for the future revolves around transforming into an all-encompassing FMCG brand with multiple options to the consumers. As

we embrace the multi channel growth approach we have set our sights on expanding beyond borders and especially to tap key international markets such as UK, US and Canada and Middle East. Moreover we will prioritize building a robust presence in the modern trade outlets, enhancing our e-commerce capabilities to capitalize on the growing online consumer base. By staying attuned to consumer needs, continuously exploring novel avenues and providing quality products. We are optimistic

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Page 4 of 18 that our offering shall have positive response from the market, improve the margin profiling of the company and strengthen our position in the foods and FMCG space.

Further going to the next business, our oil palm plantation business, which is advantageous for the country and the farmers in the country equally. We have already planted nearly 10 million palm saplings and are planning to plant additional 10 million plant saplings in the next three years and this is for the entire company. Currently around 40,000 farmers are associated with Patanjali in the mission palm plantation. In the coming five years we are expecting more than 4 lakh farmers will join hands for the mission oil palm plantation business.

Before we talk about company's performance, I am happy to share that we have delivered on a promise of meeting the minimum public shareholding norms as one of our promoters Patanjali Ayurved Limited offloaded 7% of its holding through an OFS which receives an overwhelming response from the FIIs, QIBs, global funds, HNI and the retail segment. I am highlighting the Q1 numbers for everyone. Total income stood at 7,810.50 Crores with a year-on-year growth of about 5.98%, EBITDA stood at 211.99 Crores with a margin of 2.71%, and the PAT stood at 87.75 Crores with a margin of 1.12%. The export turnover was 162.45 Crores to 25 countries with a growth of 127.85%. The branded sales comprising of Foods and FMCG segment and edible oil stood at Rs. 5,527.78 Crores, nearly 70.78% of revenue from operations. So overall in terms of the company's growth for first quarter has been satisfying. First quarter result is after taking into account also includes close to 71 Crores of expected credit loss provision on long aging debtors as per the Ind-AS, which will be reversed in the second quarter which has already happened.

An overview of this segment at revenue, in Q1 the edible oil segment contributed 5,890.73 Crores to sales registering a degrowth of 4% on Q-oQ basis, but our volumes we have nearly grown by 35% Y-o-Y, so it was on the lower price point the revenues dropped. The segment profit before interest and tax also witnessed degrowth on account of multiple headwinds in the edible oil segment and stood at 146.61 Crores negative as compared to positive 114 Crores in the previous quarter. The segment witnessed volume growth of 35.80% as I mentioned earlier. In Q1 food segment contributed 1,952.46 Crores to sales registering an increase of 8.2% Q-o-Q with segmental EBIT 350.58 Crores from Rs. 247.31 Crores registering overall 41.76% growth. The segment recorded an EBITDA of 360.80 Crores with an EBITDA margin of close to 18.48% despite rising inflation levels and macro challenges by managing the costs more effectively and proactively.

Let us understand the performance of each segment and why certain elements came in this quarter. Our Food and FMCG segment is fully aligned to emerging Indian consumption growth to become one of the leaders in this space. The Food and FMCG segment has

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Page 5 of 18 demonstrated an exceptional growth making a significant contribution of nearly quarter of

the company's revenue at 24.84% of our total revenue, this is against 22.7% contribution continues to show a growth trend. This growth

can be attributed to several factors such as

established brands, ability to expand into new markets both domestically and internationally, and unwavering loyalty to our customer base. The segment recorded an EBITDA of 350.80 Crores with a margin of 18.48%, which I have already mentioned. Our biscuit business has experienced strong growth in volume and value terms, clocked a revenue of 381.16 Crores with 35% growth and 12% growth on quarter-on-quarter basis. Our marquee brands like Doodh biscuit recorded ~225 Crores sales in the quarter, this is up nearly 35% year-on-year. Our Nariyal biscuits achieved 29 Crores which is up 84% year-on-year and set to become Rs.100 Crores brand within this year itself so that the biscuit segment has been growing very impressively. Maintaining the momentum, the acquired food business generated 1,354 Crores of revenue with an EBITDA of 19.66%. The key product such as atta recorded a growth of 40% Q-on-Q, kesar, medicated juices and dried fruits grew by more than 25% quarter-on-quarter basis. On a sequential basis nutraceutical business picked up steam and generated decent revenue of 62 Crores. The company is aiming to have its nutraceutical business to be closer to 2,000 Crores in the next five years that we have lot of tasks that on hand to continue maintaining the growth momentum that now had started gaining traction.

The edible oil segment is the one which is important in this quarter for the reasons on the slippage in the income. It contributed to nearly 75% of our total revenue. Despite a 4% decline in edible oil income the year-on-year growth due to lowering of prices it has happened. We have seen strong volume growth of 35% year-on-year. This quarter our volume increased by 1.4 lakh metric tonnes compared to last quarter and stood at 5.5 lakh metric tonnes. Our premium oil volume grew by 93% to 5,700 tonnes and our monthly edible oil volumes are the largest ever we nearly did 1.5 lakh tonnes of volumes. The edible oil industry is known for its volatility, it poses certain unpredictable challenges, a significant influence by multiple macro factors, which has led to be with India, but includes geopolitical situations, wars, seasonal behavior, the monsoons and global markets. I am just explaining what exactly occurred in the edible oil segment. In the month of April and May the cash and futures price on BMD, and the overseas exchanges where we hedge, the Oil and Oil Palm and Soya Oil markets were moving very much in tandem and in line. However, in June the price movement between the cash markets in India and the futures prices were very divergent with the future prices outperform the cash prices by almost 12% to 14%. To give you a flavour on May 31st, 2023 which was the beginning of the month the futures market as we saw was \$725 in palm and soya it was \$850. A month later the Palm prices from 725 moved to almost \$855 and Soya prices moved from \$850 to \$1,040. Whereas the physical prices in India palm was Rs. 80,000 a tonne it just moved to Rs. 83,000

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Page 6 of 18 a tonne, soya it was Rs. 82,000 a tonne it moved to just Rs. 90,000 a tonne, and sun which was Rs. 81,000 a tonne it moved to Rs.86,000 a tonne. So what occurred was that the normal gain against the hedge which should accrue on the physical positions in India actually did not accrue as much, but the futures prices on account of the hedges that were taken because there was a drop in prices of overall almost 10% there we lost money on the futures prices. So this has been one of the major reasons in terms of the factor, which has had an impact in terms of the oil we have. We kept turning our position in terms of the good systems, good practices that ought to be followed, and this has an impact both in terms of the book losses as well as in the ma

rk-to-market carried forward losses that we had to face. From July 1st, 2023 onwards the markets have been relatively normal as far as Palm prices are concerned; however, the prices have moved in tandem with almost 2% down on both the platforms. Soya prices have been erratic with CBO T pricing nearly 6% and the cash prices in India remaining pretty much flat. The company continues to strategize on an ongoing basis. We move our positions around to keep aligning it to the marketplaces. Our risk management systems are very robust and very strong. We build up the hedges as and when the market goes up the company has maintained a hedge ratio of nearly 30% on the overall position and we continue to remain confident that what is occurred in Q1 would get neutralized over the next three quarters and the business has to be within those lines. Our oil palm plantation business which is largest in the country is also performing exceedingly well. The total revenues have been almost 278 Crores with EBITDA margin of 15.44%.

During the quarter we signed MoU with government of Telangana for establishing an oil palm integrated part with the seed garden, R&D center with state-of-the-art palm oil refinery. Also we have set up 11 new nurseries which have been set up, 8 has been in North

East and three in rest of India. There is a 30 tonnes per annum of oil mill expansion plant at Peddapuram, Andhra Pradesh continues to be at pace and it has been headed over for operations. The way the business structure it is positive for the company's future with almost consistent annuity business with a healthy margin.

I am coming to distribution now. Our multi channel distribution network expansion is crucial to our growth by expanding our reach we are catering to more consumers and continue to improve our market presence. Looking ahead, we are poised to embrace the promising consumption growth story of India propelling us towards future of unparalleled success. Our strategic vision is very much around sustainable EBITDA expansion, laying the foundation for robust financial growth and stability. To achieve this, we are committed to driving premiumization drive in our consumer businesses catering not only to the masses but also capturing the discerning classes and the emerging middle class in India, which is looking for premium offering. Furthermore, we recognize the net position of the oil palm segment and in the steady state. As a significant driver of growth the segment presents an

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Page 7 of 18 opportunity to capitalize on market demand while contributing to the overall sustainability of our operations.

I am coming to the last one minute. Our commitment to sustainability remains unwavering.

We continue to prioritize environment friendly practices throughout our operation and are dedicated to minimize our impact on the planet to afford such as use of wind power, water harvesting, and reuse cycle while delivering high quality products to consumers. As a company we have got ambitious targets and over the next five years they have been laid out in multiple different calls in earlier years. In terms of margin profile our aim is very clearly that 80% of our income should be derived from our Foods and FMCG segment, which we are working diligently to accomplish. Let us open now the floor for the Q&A.

Moderator : Thank you very much Sir. We will now begin the question and answer session. We will take the first question from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi : Good morning. Thanks for the opportunity. Two questions in the beginning, what is your near-term Palm Oil outlook and do you think we will get benefited going forward because the inventory days will get depleted very soon?

Sanjeev Asthana : In terms of the outlook

the markets have tended to be more aligned now and it is gaining traction in the domestic market. We are heading into the festival season in normal times in both the demand there is an uptick as well as the demand side tends to sort of give support to the prices, so I am expecting that the prices would tend to benefit and in the Palm Oil segment we are already witnessing a surge in industrial uses because the Diwali demand typically the festival season demand tends to be advanced by nearly 45 days, so we are expecting the market to improve and so that is one part. The second part in terms of the outlook the market tends to follow a lot with a cue from the larger edible oil complex itself, which is Soya and Sun also and we will have to wait and watch in terms of how the palm oil prices goes, but for us what is important is that the markets have to move in tandem in terms of both the futures and the physical prices in India, so it should be positive and it is gaining substantial alignment as we speak now.

Shirish Pardeshi : Just one follow-up do you mean to say that the price will remain in flatline or move from here up?

Sanjeev Asthana : That is exactly what I am saying, that the futures market in BMD as well as in the cash market the market is tending to get better with the festival and seeing festival demand. So yes prices should start to look up.

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Page 8 of 18 Shirish Pardeshi : So directionally it should help us in Q2 onwards to improve our scale and also the margin?

Sanjeev Asthana : Yes, the driver that I was mentioning earlier that since you asked the question the edible oil business typically has to be seen in a longer-term continue because there would be sort of windows in which or a period of instability in the global market and because of the accounting norms and the reporting that we have to do quarter-on-quarter, so many times that you have to account for both in terms of the mark-to-market that gets accounted for, but tends to even out over a period of time. So certainly, in Q2 it should be better than Q1 and we are expecting the demand continues to work on. I think we should do significantly better results that we should see in this quarter.

Shirish Pardeshi : My second and last question on the biscuits and confectionery and on the premium dried fruits. So would you be able to strip out what is this specific growth you have seen on quarter-on-quarter in these two businesses and when you mean to say that the scale up of 1

million do you think these are the primarily top outlets we are covering or we are scaling up across Tier-1 and Tier-2, Tier-3 markets also?

Sanjeev Asthana : So two parts to answer this question. We have seen a very robust growth, so compared to last year we almost saw 38% growth and the revenues this quarter as I mentioned are 381 Crores versus 276 Crores last year and they grown 14%. So we are seeing a very strong growth across the range of biscuit offering that we have and the surge in demand for specific brands within that like Doodh biscuits and Nariyal biscuit, the new launches that we have done are also gaining traction, which is of course very early, but we are seeing the repeat orders. It is driven by two core strategies that we have, the one is on the distribution expansion, so several sort of spaces which were almost white or less covered that coverage continues at a pace. So a lot of it in smaller terms and the focus is lot more while urban areas tend to have a very solid demand, but we want to expand that and the mix of offering that we have for the urban areas especially the large cities is undergoing a change and which is what the core work is right now going on and the mix of, for example premium biscuits that we have offered the biscuits within our portfolio we tend to have a larger consumption

pattern

in the urban sort of areas, that this focus is going on in terms of expanding a distribution to urban areas. So the idea is that our margin on the biscuits business were about 10.5%, the idea is that we move up the margin in construct of the biscuit business by higher price point product and more sort of brands which are appealing to the consumers we are looking for that option so that is one part. On the dried fruit side Patanjali is already doing the dried fruits. We are working right now on a strategy to give a premium offering on the dried fruits as well as the mass market side and continue to evolve and develop it in a way that the offering is more like this because we are witnessing a strong growth across all the segments. So we working on supply chains as I mentioned that we tied up with very large sort of suppliers and the US we are looking at more suppliers as they are coming on Patanjali Foods Limited

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Page 9 of 18 stream and building up supply chain capabilities and we are offering the launch we have already done with the Nutrela MaxxNuts so that you will see on the shelves now and we are pretty confident that this category will be one of the larger categories that are going to expand the range by offering the quoted offerings and flavours we are looking at dates to be added very quickly to the portfolio. So we are pretty confident on dried fruits as a category within the foods for a longer-term sort of growth momentum.

Shirish Pardeshi : Thank you and all the best Sir.

Moderator : Thank you. We will take the next question from the line of Akhilesh Bagri, an Individual Investor. Please go ahead.

Akhilesh Bagri : Thanks for the opportunity. Initially I would like to congratulate you and the team for a very healthy performance on the Foods business, but unfortunately this edible oil business seems to extend a lot of volatility in our numbers, so I wanted to get your thoughts on what synergies exist between the edible oil business and our foods business and whether these businesses could be separated going ahead because every now and then in some quarter or the other this business may take away the attention from the performance of the Foods business?

Sanjeev Asthana: That is a great question and I just want to highlight that edible oils as a business is a good business and because of the reporting the sort of timelines that the companies have to follow every quarter end, which I sort of spoke during the call also, so many times there is a lag between how the markets response and where the markets are headed. So for example that the prices are rising, the domestic and there are three elements to the way prices operate. One is the domestic Indian market prices that we have, second is the international market the physical market from where almost 70% of country's requirements are imported and third is how the futures market being. Because of the lag in the sort of timing of each of them there might be windows in which the market may give you a shock, market may sort of tend to give you a lower sort of margin or also maybe in a negative sort of performance, but it evens out over a longer-term window always. So as I mentioned in my call that the performance of Q1 will certainly tend to even out. We are pretty confident that we will meet the objectives that we set out for the edible oil business, but coming back to the more important question that does it fit into our food businesses strategically, it does very well because there are two parts. There is a lot of commonality of distribution that we have in the urban areas while lot of oil sells to kirana stores and sells to B2B, but 80% business of ours is almost in the branded form and most of the brands are selling through where India consumes whether it is a modern trade, whether it is e-commerce in a

smaller way or it is a

kirana stores or multiple different channels through which the oil is selling. So there is a

lot of synergy that we have between the two and both in terms of the return on capital that
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Page 10 of 18 the business generates in terms of cash flow that it sort of allows us the strength company has and the way we have been growing because there is a lot of consolidation which is happening as well. So our growth momentum in volume terms of nearly 30% plus that you have seen typically Indian market is going between 3 % and 5% occasionally, which means that we are taking the share away from smaller players, so this will take some time, but this consolidation in the longer-term will be very helpful for company's longer-term growth momentum. So I feel that not only should we stay with the business but we should continue to expand and make it a more predictable one.

Akhilesh Bagri : Thank you for your answer. Going on the same topic could you also elaborate between the linkage between our Oil Palm business and the Edible Oil business as follows, how much percentage of the overall edible oil business is from palm oil and as on date how much percentage of the palm required for that business are we getting from our own cities and our own palm plantations?

Sanjeev Asthana : Oil palm plantation currently if I were to do the numbers we get about 10% from our own oil palm plantation that we have in the edible oil segment and going forward in the fullness of time when we have the entire 0.5 million tonnes planted I am expecting that nearly 70% will come through our oil palm plantation business of the palm oil requirement. Now, why is it critical that we sort of the integration of the two businesses is important that not only on a standalone basis the oil palm plantation is a consistent generator of between 16 % and 18% of EBITDA, but when you look at the synergies of directly servicing our domestic requirement, there is a lot of value integrating that the refinery business, then the consumer business, the branded business or how it sells. So the vertical integration in a lot of ways brings in added efficiency and added value for the company. So both the things are very synergistic, standalone oil palm plantation businesses in India certainly will struggle and while they may make margin, but their ability to leverage the margin for expanded growth. On the overall business itself will always be limited as a standalone player.

Akhilesh Bagri : Will it be fair to say that as more and more share of the palm oil business comes from our plantation, the volatility in our overall business would also reduce because you would have a certain cost ways for the Oil Palm Plantations which will not be as volatile as the Palm Oil prices are every quarter and every month?

Sanjeev Asthana : That is correct, but I just want to highlight one important point. So to your first point whether it will reduce the volatility and otherwise absolutely, but the way business is run that the higher the oil palm prices the better of it is for the oil palm business which may or may not necessarily be very good for the edible oil segment. So having said that, in general, I would expect that the more we have the predictable the domestically sourced palm oil it
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Page 11 of 18 will have a significant value add for the company because will be less exposed to global uncertainty and it will assure on an integrated basis much better margin construct.

Akhilesh Bagri : This 70% figure which you mentioned is that possible by FY20 27 or by when are we targeting?

Sanjeev Asthana : By FY20 27 this will have actually gradual increase every year, but this should take almost 7 to 8 years before we can expect 70% of Oil Palm Plantation to start coming in, it will

I probably be closer to 55% in year 7 it will build up, but in year 10 onwards it will be nearly 70%.

Akhilesh Bagri : Thank you.

Moderator : Thank you. We will take the next question from the line of Bharat C Shah from ASK Investment Managers Limited. Please go ahead.

Bharat C Shah : Sir, continuing from the previous question strategically how do we say long-term the construct of the edible oil business, what kind of likely growth rate margins in a more normalized basis that should prevent, I understand that last year is being a particularly unusual period, second quarter of the last year and through that period even till last quarter the picture is being somewhat volatile, but on a more normalized basis how do we see the long-term construct of the business, what kind of margins, what kind of growth rate for the industry and what kind of the growth rate for us, and therefore what kind of return on capital employed in a more normalized basis we expect?

Sanjeev Asthana : I will start with the last question first in terms of return on capital employed. It is a good business because they are nearly 6 to 7 tonnes we can take on the working capital deployment and the business at 3% with 7% is nearly 21% return on capital employed, but I would say that let us take it at even 3% and 6%, it is about 18% return on capital, which is a

good business to be in, and that is what I repeatedly sort of said before also that edible oil business in a particular quarter on absolute terms may give a shock once in a while and may not be consistent because of the way the reporting is done, but overall from a return on capital, from the distribution structure that is in place, from the opportunity of a steady cash flow that it provides and our longstanding strength in this business for long legacy of erstwhile Ruchi Soya and now Patanjali Foods, the consolidation in the industry because of the larger working capital sort of requirement, the edible oil business has, the need for brand and distribution having large deals, etc., there is a consolidation which is being witnessed in the edible oil space that tends to help all the larger companies and we are also beneficiaries of that which is reflected in the volumes that are there. Coming to the growth rate of the industry in general, the growth rate has been between 3 % and 5%. There have been

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Page 12 of 18 occasional windows especially during COVID times when it was flat to marginally negative, but overall I expect with the growth in country's population, the current place at which India is placed on the average consumption per capita and the way we have got examples of US which is of course very evolved and development, but if we were to take China as well and there is a substantial sort of headroom for growth in the edible oil segment and we wish to grow and we are not growing by volumes and the cost of profits, so we want to keep the pace on the volume side and which is why you would notice that the longer-term revenue projections and all that we are neutralizing the edible oil revenues and only looking at the volumes and ensuring that our FMCG businesses are the ones which are focused in terms of the revenue growth. The margin construct, as I repeatedly said this business is good for between 2 % and 4% of margin and in a good quarter it can be 4%, we were not up to 8 % and 10% also, but those are outliers consistently for two years and the markets where on a growth momentum overall worldwide we also benefitted and there have been periods when the market we lost money also, but overall basis it would be safe to assume that in a year's time between 2 % to 4% is a good number to go with and even though in a quarter the change that you saw and a drop in margin we are reasonably confident of covering it back during the year. So I would

only urge the way we look at businesses that we would work on the strategy not by the quarter end sort of numbers what are coming out but ensuring that the predictability of margin over a period of time has ensured that we do not have any major shocks in how we manage the business.

Bharat C Shah : I was looking it over last 11 quarters of the margins so what you are saying is right, last year second quarter was the one which was a huge shock where the margins were badly impacted in the negative and the first quarter of the current year has been a second period, so in the eleven quarters that I have seen that has been the case. I presume this last one year probably is more unusual and on a more normalized long-term basis this kind of high frequency fluctuation probably is not a normal character of the business am I right in understanding that ?

Sanjeev Asthana : Yes. That is absolutely right. The last year Q2 was unprecedented. It was nearly sort of it happened after three decades this kind of volatility which was not witnessed before and all the global players, the best of companies globally, the largest company in the world, that at the shock in terms of the way markets reacted and it was very little in control with the companies that have had, the actions on regulatory actions in Indonesia, the war in Russia - Ukraine, etc., it happened. Even this quarter is a pretty exceptional because with the pace that with the future market sort of tended to move up and the domestic markets on account of supply and demand at a lag this happened, but I would say that these are more instances of certain windows in which this may occur but in normal course over three years we would have seen company's performance like Patanjali Foods itself that we did not have any particular quarter which there was such an unprecedented change in the markets moving in

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Page 13 of 18 very divergently compared to each other. So there tends to be some bit of correlation. The correlation in certain windows is very strong, in other windows is less strong, but that is a part of the science of managing the business and also the art of managing the business and the experience that comes in. So we feel pretty comfortable in where we stand right now and it is reasonably comfortable to say that by the year end we should have normalized with first quarter results and should be pretty much on pace for the growth plans that the company has.

Bharat C Shah : Which means, if we have to make a long-term kind of a model of the business then industry growth rate about 3 % to 5% our records and our ambition is to do better than that, so maybe presumably 5 % to 7% will that be a fair number for our growth rate?

Sanjeev Asthana : That is right.

Bharat C Shah : If it is 5% to 7% growth rate with the margins only ranging between 3 % to 4% in tricking the other fiscal 2021-2022 which of the quarters that I saw the margins were in excess of 4%, so let us say we take 3% to 4% kind of a margin and with a stable over a period of time some amount of the improvement therefore return on capital employed at certain times done should be somewhere in the vicinity of 21% to 20% will that be a kind of a fair summary of long-term future plus and at the fair rate we will be integrating our own palm oil more and more into the mix and therefore even if there is some volatility at some stage will be corresponding neutralizing factor in the internal palm production. So relative more stability going forward and margin construct in the ROCE in that range is that a kind of a picture we can kind of build in to the model ?

Sanjeev Asthana : You see that will be the fair reflection of the numbers and we are pretty convinced that and the much as convinced. The business has intrinsic value for players we are large, for players we have got distribution

with infrastructure that we have built over a period of time and the inherent nature of the business. So the 21% return on capital margin construct of anywhere between 2% and 4% you are saying 3% is the midpoint that is reasonable assumption to make and the integration of the palm oil business especially with the oil palm plantation progressively as we go forward is going to benefit the company immensely and this is something that we are striving for as we'll to bring about that to develop predictability that you speak about in terms of the business model . The only thing I would say here the caveat is that there might be windows in which a month or two months or three months, one quarter in a year which would give us some divergence in terms of the predictability and like an FMCG segment will give us a change and which we have to deal and manage. I think that is the only part I would say, but overall in a year's time that if you look at a 12 months window we should be pretty consistent with what you have just now said.

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Page 14 of 18 Bharat C Shah : One last question. While talking your voice was not very clear so I did not probably fully understand, but you mentioned that there were some 71 or 72 Crores of credit losses and which have been reversed in the current quarter is that what you say can you explain that little better?

Sanjeev Asthana : So what happened was that on account of the Ind AS standard that out of debtors we had to take 71 Crores of expected credit loss in the books, so our actual P & L should have been higher by 71 Crores , but because of this reason of Ind AS and the regulations we had to take that into account. So that was just an accounting entry that had to be done in the quarter end which has been reversed in this quarter . We are expecting the change to be nearly between 63 and 65 Crores which has already written back in the books of accounts in this quarter.

Bharat C Shah : It was ECL based on Ind AS that you written off?

Kumar Rajesh : Yes. Just I would like to clarify it. As per Ind AS requirement we have to define the defined credit policy for the customers and we have defined in the books a particular credit period for our customers and you can say the payment has been received slightly delayed by two or three days, not on June 30th, 2023 that is why as per Ind AS requirement we have provided the expected credit loss. This payment has been received in the month of July itself and we are going to reverse it as per accounting standard so this is the fact.

Bharat C Shah : Thank you Rajesh . Thank you Asthana.

Moderator : Thank you Sir. We will take the next question from the line of Kuldeep Gangwar from ASK Investment Managers. Please go ahead.

Kuldeep Gangwar : Just regarding this credit loss, recovering that number it will part of other income or any other line item ?

Kumar Rajesh : This is right now included in the other expenses and while reversing it will include in the operational income not in the part of other income.

Kuldeep Gangwar : Second part can you please provide the breakup of FMCG business sales and margin in the major subcategories in Q1 FY2024 ?

Sanjeev Asthana : In terms of break up of the FMCG business in terms of the Nutrela which is soya proteins it is 155 Crores , there is a growth of 3%. In the food division we did 1,354 Crores. Last year, of course this business was not with us , so it is again st that backdrop. The biscuits did revenue of 381 Crores this is against 276 Crores last year in the same quarter and nutraceuticals did 62 Crores in this quarter.

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Page 15 of 18 Kuldeep Gangwar : How is the margin profile across categories?

Sanjeev Asthana : So the margin profile in each category in the soya protein business, we made 13% margin. This was

20 Crores of EBITDA, Food division we did 266 Crores, which is 19.71%, biscuits we did 39 Crores, and nutraceuticals we did 36 Crores.

Kuldeep Gangwar : What should be the full year expectation overall from the FMCG business in revenue and the margin profile?

Sanjeev Asthana : It is pretty much on course for that. I think our target always as we mentioned is between 16% and 18% we are doing right now better than that because there have been some positive with that we have got, but overall I think looks like that we might be closer to 18% plus than below that.

Kuldeep Gangwar : To answer Q1 FY2023 sales in FMCG business can be analyzed or is there any seasonality in that particular business?

Sanjeev Asthana : There is some seasonality. So very clearly like for example the nutraceutical and biscuits would not have, soya protein business have marginal seasonality and the food business will have. So for example in the festival season the sales tends to pick up and all of these products are meant for sort of winter months there are products which are meant for summer months, so there would be some bit of seasonality there, but not any dramatic seasonality.

Kuldeep Gangwar : Is there any seasonality in Oil Plantation business?

Sanjeev Asthana : There is high seasonality. So there are periods in which in some quarters when the harvesting of the fresh fruit bunches happens so you will get in certain months much higher and that is why it automatically translates into the yield, but overall, so yes, it will happen about six months when the harvest is happening we will have pick sort of lot more revenues and the EBITDA getting generated and of the quarter the EBITDA will tend to be lower, but overall margin construct of again as I mentioned 16% to 18% is a pretty consistent margin and very safe to always take in our calculation on Oil Palm Plantation business.

Kuldeep Gangwar : Which are those quarters were higher contribution from Oil Plantation coming to the sector?

Sanjeev Asthana : This quarter will be higher contribution and as we are getting into the harvest season as well as it will just go forward into the next quarter as well.

Kuldeep Gangwar : You were mentioning about the edible oil business model so full year basis can we still assume that it is a 2% to 4% range achievable for full year basis in edible oil business?

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Page 16 of 18 Sanjeev Asthana : We feel confident Kuldeep, as I just mentioned in quite detail that the targeted margin construct of between 2% and 4% so we are still pretty much we feel confident that the full year between 2% and 4% we should be able to generate EBITDA margin in the edible oil business.

Kuldeep Gangwar : Depreciation has increased from 43 Crores last quarter to 68 Crores in Q1 FY2024 what are the reason for the same and what should be going run rate for coming quarters?

Sanjeev Asthana : I think the run rate typically has marginally gone up on the depreciation side because we have acquired certain other assets and the depreciation has been taken in this quarter, but normally I think during the year we should have close to about 170 to 180 Crores of depreciation.

Kuldeep Gangwar : This depreciation figure increased from 43 Crores to 68 Crores in Q1 FY2024 so reason and what we should expect going forward?

Kumar Rajesh : Actually this depreciation we have made some alignment to the asset which was lying in our fixed asset register for pre-CIRP period was revalued during the pre-CIRP period and right now we have aligned this with the Companies Act. So depreciation has been increased by 28 Crores for this quarter and near about 10 Crores of depreciation is additional in this quarter. So going forward this will increase by 15 Crores as compared to the past quarters.

Kuldeep Gangwar : So coming quarter 15 Crores should be the run rate ballpark in next two, three quarters right?

Kumar Rajesh : Yes, approximately 15 Crores will be increased.

Kuldeep Gangwar : Last bit like distribution reach currently and what should be the target in next couple of years?

Kumar Rajesh : Broadly we had as I had mentioned that in our presentation earlier that we currently have 1.5 million retail outlets which we reach directly in all the businesses combined. There is indirect reach that we have close to nearly a million retail outlets and the target is that we are on continuous expansion path as I mentioned in the biscuits and nutraceutical. So we are adding distribution outlets at the rate of nearly between 10,000 and 15,000 every month and so that work is going on much larger part of the work is going on in the biscuit business.

Nutraceuticals is more special, more sort of different strategies being followed; actually our focus is lot more on the e-commerce and B2C. So it is safe to assume that we will add every year anywhere between 1,50,000 to 2,00,000 retail outlets in our reach.

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Page 17 of 18 Kuldeep Gangwar : Thank s a lot.

Moderator : Thank you. We will take the next question from the line of Akhilesh Bagri , an Individual Investor . Please go ahead.

Akhilesh Bagri : Thank you for the followup. Sir one suggestion if you could include this category wise revenue and EBITDA margin on the food business in your result release itself that would be more helpful for every one for compari son sake and my question is this 71 Crore s credit loss which you mentioned, which will get reversed, was it for the oil segmen t or it is fo r the foods business?

Sanjeev Asthana : This was for the food business, but Rajesh Ji you can elaborate a little more .

Kumar Rajesh : Majority is from the food business.

Akhilesh Bagri : Prior to say that the E BITDA then for this quarter for the f oods busines s would have been higher by almost 50 – 60 Crores actually ?

Kumar Rajesh : Yes.

Akhilesh Bagri : So actua lly our EBITDA margins would be even higher than what we have reported currently on the foods business ?

Kumar Rajesh : Basically you canno t say like that because this is a penal clause , which requires the treatment of expected credit loss. So operationally, if it would not be there this has been shown into the other expense s so EBITDA margin could be higher, if you consider that up to some extent relating to the food business.

Akhilesh Bagri : Alright. T hank you.

Moderator : Thank you. Ladies and gentlemen that was the last q uestion for today. I would now like to hand the conference over to Mr. Sanjeev Asthana, CEO , Patanjali Foods Limit ed for closi ng comments. Over to you Sir !

Sanjeev Asthana : Thank you very much for patiently listening to our sort of result fo r the investors . We continue to work towards stabilizing the sort of margin s in the edible oil business with the focus and target is on manag ing the risks to ensuring that we maintain our steady pace of the commitments that we are making. The company conti nues to strive and work towards the FMCG businesses and we are quite pleased with the progress . There a re slew of launches th at we have lined up we will continue to work on those and the suggestions that we give in terms of reporting and givi ng out better quality reporti ng we keep t reated with Patanjali Foods Limited

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Page 18 of 18 lot of respect and carefully we will consider and we will certai nly start making it be tter and little more consistent with the requirement of market ahead . Should yo u have any further queries please contact SG A, our Investor Relations Advisors. Thank you.

Moderator : Thank you members of the management. Ladies and gentl emen on behalf of Antique Stock Broking Limited that concludes this conference. We thank you for j oi

ning us. Y ou may now

discon nect your lines .

Call: Nov 2023

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Dalal Street, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051

BSE Scrip Code: 500368 NSE Symbol: PATANJALI

Dear Sirs,

Sub: Transcript of Earnings Conference Call Q2 FY 2023-24 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated November 09, 2023 regarding audio recording of Q2 FY 2023 -24 Earnings Conference call held on November 09, 2023. Please find attached transcript of the Earnings Conference Call.

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com .

You are requested to take the same on your record.

Yours faithfully,
For Patanjali Foods Limited
(formerly known as Ruchi Soya Industries Limited)

Ramji Lal Gupta
Company Secretary

Encl. As above

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"Patanjali Foods Limited Q2 FY24 Earnings
Conference Call"

November 09, 2023

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 09 2023, will prevail.

MANAGEMENT : MR. SANJEEV KUMAR ASTHANA – CHIEF EXECUTIVE OFFICER
MR. KUMAR RAJESH – CHIEF FINANCIAL OFFICER
MR. CHINTAN KOTAK – HEAD (INVESTOR RELATIONS)

Moderator: Ladies and gentlemen, good day and welcome to Patanjali Foods Limited Q2 FY24 earnings conference call. This conference call may contain forward -looking statements about the Company, which are based on the beliefs, opinions, and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjeev Asthana – Chief Executive Officer, Patanjali Foods Limited, for his opening remarks. Over to you, sir.

Sanjeev Kumar Asthana: Good morning and season's greetings to all the participants on this call. Thank you for joining us today for Patanjali Foods earnings call for Q2 FY24.

On behalf of Patanjali Foods Limited, I extend a warm welcome to everyone for joining us today on this call. I'm joined by the Company's CFO – Mr. Kumar Rajesh, Mr. Chintan Kotak who is the Investor Relations Head for us, and Investor Relations Advisors – Strategic Growth Advisors. We have uploaded the financial results and investor presentation on the stock exchanges as well as the Company's website for your reference.

Before I delve into our Company's performance, I would like to take a moment to talk about the contours of the market and some recent developments that impacted us and the industry during this period. Following the footsteps of the previous quarter, food inflation continued to persist in the last quarter as well. Macroeconomic factors, environmental and geopolitical tension & conflicts acted as stress points causing an overall subdued consumer demand. The quarter witnessed erratic rainfall throughout the country, affecting rural sentiments. Rural demand, which forms a substantial portion of the overall demand for FMCG products, saw some green shoots towards the end of Q1. However, in Q2, it was affected by the sustained inflation. Further, the delayed festive season affected the overall demand in Q2. Commodity pricing also had an impact on the overall inflation in the country. Despite the decline in commodity prices on a year -over-year basis, it is important to note that the overall input cost table remains at an elevated level. Additionally, we have observed a sequential increase in prices, especially in staples. In the edible oil business, the industry faced multiple headwinds leading to muted performances, primarily due to divergence between prevailing physical market prices and future prices during this quarter echoing our experience in the previous quarter. However, I'm pleased to report that the price divergence in Q2 showed significant improvement compared to the situation we encountered in Q1.

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We are also very excited to share with you that we recently have signed a world -renowned cricketer, Mr. M. S. Dhoni, as the brand ambassador for branding and marketing campaigns for our Maha Kosh and Sunrich brands. Patanjali edible oils, especially the soya, sunflower, and mustard oil are highly appreciated by the consumers. To further enhance the penetration and acceptance of these products, we have onboarded Mr. Mahendra Singh Dhoni as the brand ambassador. Mr. Dhoni and Patanjali share common values and both enjoy popularity and credibility with the public at large. His commitment to good health and the importance of healthy eating for a better lifestyle resonates with the products offered by Patanjali. We believe that this association will give

us a boost to our wide range of edible oils.

Coming to our financial and operating performance :

In spite of a challenging backdrop, we delivered a decent performance in both our top line and bottom line for Q2 financial year '24. The growth was led by our Food & FMCG segment. We continue to deliver on our promise and showcased strong growth in the Food & FMCG segment with the help of an expanding product portfolio.

In Q2 financial year '24, Food & FMCG contributed 31.8% of our revenue from operations, which is higher by nearly 666 basis points on a sequential basis. For first half '24, the segment revenue totaled Rs. 4,440 crores, contributing to 28.5% of revenue from operations. Our tactical shift of increasing the contribution of the high -margin Food & FMCG segment to the total revenue is working well for us, and we expect the thrust of demand to continue. The EBITDA of this segment is 15.25% for Q2 FY24 and 16.67% for the full half in financial year '24.

Our extensive range of products cater to our diverse array of customer types and preferences, and the majority of these offerings are experiencing a significant surge and momentum. Breaking

that down, Nutrela is one of our strongest brands evolving as an umbrella FMCG brand for us. I'm happy to share that our Nutrela TSP has once again broken a record for highest-ever quarterly sales of 8,918 metric tons which is 11% up from the same quarter last year. Our retail outlet expansion expanded to 3.06 lakh retail points, with a 9% quarter-on-quarter growth. Our biscuits portfolio continues to maintain strong momentum, with 20.37% year-on-year growth in Q2 FY24 and 28% year-on-year growth in the full half itself of FY24. Our marquee brands such as Doodh Biscuits grew by 28% year on year and Nariyal biscuits reported growth of 68% year on year during Q2. This is backed by our strong distribution system and continued expansion in distribution where our direct retail coverage has reached almost 1 million outlets now. Under nutraceuticals, we have launched new packaging and flavors launched in the sports nutrition and the division has grown in the high-teens. We have also improved our retail coverage registering 1.47 lakh retailers by September '23. Additionally, our distributor network has expanded to include 851 active distributors. These strategic moves enhanced our presence and accessibility in the marketplace. In the previous quarter, we had introduced multiple new products as part of our strategic premiumization initiatives. These included a new range of biscuits including 7-Grain, Ragi, and Digestive biscuits that have been well-received in the market. Expanding its reach, the Company successfully launched Nutrela MaxxMillets and Ragi

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Choko in the West Bengal market following its successful debut in the southern markets. Nutrela Maxx Nuts which are available nationwide through the e-commerce platform will be further reaching every corner of India through our network of Patanjali stores. We have strong confidence that the dried fruit category is poised for significant expansion as we broaden our range with the new offerings and flavors.

Our growth during the said period was primarily fueled by customer-friendly products and pricing, strong operational execution, and the sustained momentum in our distribution strength. Our FMCG products epitomize the perfect fusion of health consciousness and unparalleled taste upholding the core values that define the Patanjali brand. It enables us to strategically position ourselves in a market appealing not only to the masses but also effectively targeting a lucrative niche premium segment. We are committed to becoming a market leader in this space with comprehensive offerings to cater to choices to our consumers.

Now coming to the performance of our edible oil segment in the Q2 FY24,

the edible oil segment

had a revenue of Rs. 5,421 crores, registering a sequential degrowth due to further falling of prices in Q2. However, the volume has increased by 3% in Q2 FY24 and by 11% year on year in the first half FY24. Our premium oil segment has demonstrated remarkable growth with a year-on-year growth of 49%, which reflects the positive response and demand for our premium oil products in the market. Our branded sales segment maintains a strong performance consistently contributing over 75% of our total sales value. In Q2 of FY24, the edible oil segment recorded a negative EBITDA of Rs. -27 crores against INR of -435 crores in Q2 of FY23 and -97.8 crores in Q1 of FY24.

Let me take a minute here to provide you with an update on our oil hedges which affected our performance in this quarter. The oil hedges have once again shown a divergence from prevailing physical market prices in this quarter mirroring our experience in the previous quarter. However, the price divergence in Q2 narrowed in comparison to Q1. In specific terms, the price divergence in Q2 for palm oil was approximately 3%, a significant reduction from 19% that we experienced in the previous quarter. Likewise, for soya oil, the price divergence in Q2 was 8%, considerably better than the 25% observed in Q1. This quarter exhibited a more favorable level of convergence compared to the previous one. This misalignment in hedges persisted until August in the current fiscal year. While operating in the Indian market, our options for hedging are limited to the BMD in Kuala Lumpur and CBOT in Chicago due to the absence of a local hedging mechanism. Unfortunately, our hedging strategy across various commodity exchanges did not align with the dynamics of the local markets for physical trading. Consequently, the hedges incurred losses which were not fully offset by gains from physical trades. This phenomenon is truly exceptional and unprecedented in the world of hedge businesses. In risk management, it is indeed rare and extraordinary for us to proactively mitigate our exposure only to witness an unfavorable outcome. Given the current landscape characterized by divergent price movements, it is essential to acknowledge that hedging is not the best feasible option, but it's the only available option right now. However, even though the current market landscape shows divergence, the past trend indicates that the convergence between futures and physical markets is narrowing rapidly, and

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the trend of normalization is already very visible as we go into the quarter 3 and we are already seeing that this change is occurring.

Allow me to provide you with an overview of our risk management strategies which are integral to our operations. These strategies are carefully designed to both navigate opportunities and mitigate risks in our ever-evolving market landscape. First and foremost, we actively engage in contrapositions on global exchanges leveraging our expertise and technical indicators to make informed decisions about the timing of this. This approach allows us to seize opportunities while prudently managing risks. To maintain agility and responsiveness, we continuously review and replace our physical positions through selling in the marketplace. In line with our commitment to efficient risk management, we strategically replace positions with lower rate purchases. We have carefully reduced our hedge ratios considering the divergent price movements between the physical and futures market. Our hedge ratio, for example, has decreased from 38% at the end of June to nearly 25% by the end of September, reflecting our proactive approach to risk management and our responsiveness to market changes. To ensure our strategy remains aligned with the market's ever-evolving dynamics, we regularly review our risk management strategies. These reviews serve as a platform

for refining our risk management strategy and optimizing our response to market dynamics. To counter this vulnerability, we have strategically diversified our operations and along with government initiatives of making India *aatmanirbhar* for edible oil, entered the palm plantation business. This decision aligns with our commitment to strengthen our presence in the edible oil sector which actively mitigates risks associated with price volatility.

As part of our strategic move, here are some key highlights. We have successfully developed over 4,500 acres of palm plantation across India in this quarter significantly expanding our footprint in this sector. During the last quarter, we imported 15 lakh seed sprouts which signifies our dedication to scaling up our oil palm plantation efforts. We actively participated in the mega oil palm plantation drive conducted in 7 states as part of the Government of India's initiative underlying our strong partnership with the government efforts. We have signed Memorandum of Agreement with the Department of Horticulture in Andhra Pradesh securing the allotment of 13 new mandals and 3 districts further strengthening our presence and commitment to growth. In line with our expansion strategy, we established 8 nurseries across 5 states providing us with a solid foundation for future growth. Our growth trajectory for coming quarters is expected to be primarily driven by volume as we anticipate favorable market conditions. Festive demand trends that we are seeing on grounds are encouraging. Further, the demand in the current quarter will be fueled by the onset of the wedding season. These trends are expected to have a positive impact on both segments of our business. Additionally, the demand for some of our products such as chyanprash, honey, and premium dry fruits will be boosted during the winter months. With all these updates, I would like to summarize our overall financial performance. Our revenue from operations in Q2 FY24 clocked at INR 7821.9 crores with a growth of 0.71% Q-on-Q and negative 8.13% on year-on-year basis. The total income recorded is Rs. 7845.8 crores. The EBITDA for Q2 of FY24 increased by 97.75% on quarter-on-quarter basis and stood at Rs. 419.20 crores, while EBITDA margins improved to 5.34% versus 2.7% in Q1 of FY24 and Patanjali Foods Limited

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2.41% in Q2 of FY23. The PAT for the quarter was Rs. 254.54 crores versus Rs. 112.29 crores in Q2 of FY23 and the PAT margins improved to 3.24% from 1.12% in Q1 of FY24 and 1.32% in Q2 of FY23. We continue to export to 23 countries with a value of Rs. 41.65 crores.

In the first half of FY24, the numbers stack up as follows. Our revenue from operations is INR 15,588.99 crores. The total income recorded is Rs. 15,656.3 crores. Our EBITDA declined from Rs. 755.95 crores in the previous year to Rs. 631.2 crores. The EBITDA of last year included the preference share income of Rs. 149 crores as well just by way of record. Our PAT recorded at INR 342.3 crores.

With this, I conclude the call. Thank you all for your patience. If you have any further queries, please contact SGA, our investor relations advisors. I'm very happy to field your questions.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: My first question is on the hedging losses' impact. We have seen the past few quarters for both you and the No. 1 player in edible oils, there has been a big impact. My question is what is the impact on the local regional players, smaller players, and unlisted players in the edible oil? From a hedging losses' perspective, how have they managed? Do they have the same kind of very strong hedging policy which has not worked

d for you and the No. 1 player? But do they have

such things? If they don't have, has that helped them in the business because then they would not have those losses? If you could comment on their hedging policies. And in terms of real market share - I'm not referring to the Nielsen market share - in terms of your own gut feel in terms of how they have done in terms of the volume growth, that will be very helpful.

Sanjeev Kumar Asthana: There are 2 sides. One is that several of the smaller players do their hedging pretty much in the similar exchanges. I would not like to comment in terms of the caliber and the quality of policies that they have, but in general, the impact across the board would be pretty much the same for all the players. The difference is that the distribution reach that the players have and also the brand loyalty with the customers display and where they are willing to pay a premium for the products that are being offered by Company A versus Company B. From an impact perspective, to answer your question, it's pretty straightforward that they are subjected to pretty much the same market dynamics with most of the edible oil prices which are imported are pretty much working on the pass-through basis. And thereafter, the change happens in terms of the efficiency of operations, the cost of manufacturing, the brand loyalty, the distribution, etc., and that's where the differentiation comes in. If you were to compare, let's say, a larger player and the one you referred to also and people like us, they would tend to be more proactive in how they manage the pricing, the working capital cycles, the distribution, etc., and which I would imagine for the smaller players while they may have the benefit of being more nimble and smaller, but typically the macroeconomic forces would tend to impact everyone pretty much in the same way. And

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what is also one trend we are witnessing right now is that as you can notice that the volume growth year-on-year basis for the larger players is tending to favor them more on account of the volatility in the market, on account of the working capital that is required versus the smaller players. So, I would imagine that some part of share loss is happening in very small players and mid-sized players as well, who are finding it exceedingly difficult in the last 1 year to deal with the market volatility.

Abneesh Roy: My second and last question is on the downtrading which is being felt across many FMCG categories. If you could comment how you are able to meet that and is that a big concern?

Because, edible oil, clearly, customers play between quite a few brands. Which ever has their promotion from the modern trade, e-commerce, or say lower pricing in the general trade also, they do shift there. Your thoughts on how the industry is grappling? Because, this is a very common trend across many FMCG. And related to that, in terms of Dhoni as brand ambassador, would you increase your overall mass media advertising also? I understand Dhoni himself will charge. But the bigger question is in terms of mass media secondage, will there be a sharp ramp-up next 1 or 2 years?

Sanjeev Kumar Asthana: To answer the last part of your question, sir, yes, absolutely. We will ramp up our advertising, both at ATL and BTL levels. We are increasing our distribution reach. We are adding a lot of traction with the new SKUs that we are offering to the consumers. This part definitely will remain. In terms of the switching of loyalty between different brands by the consumer, I think it is very much common across the board. And the only part I will say the difference is that where the traction is very strong with the brand, especially the core loyal base of customers who typically would comprise about between 75% to 80% would tend to stay with the brand and the 20% who are switching between the brands owing

to various reasons - the pricing factor or the affordability or otherwise - would tend to switch. But I think 75% to 80% would tend to stay loyal with the Company, which is why we see that pretty much the branded part of our portfolio is pretty consistent as we are seeing in the numbers, and that number between 75% to 80% will always remain.

Moderator: The next question is from the line of Dhiraj Mistry from Antique Stock Broking. Please go ahead.

Dhiraj Mistry: Can you help me with the revenue breakup in FMCG between foods, biscuits, nutraceutical, and other businesses?

Sanjeev Kumar Asthana: Basically, in the food business (acquired from PAL), our revenues were Rs. 1,831 crores versus the previous quarter where we had Rs. 1,354 crores. There is a sharp spike that we saw in the revenue numbers. Likewise, our biscuits & confectionery recorded a very handsome gain. We were Rs. 455.58 crores versus Rs. 381.16 crores in the previous quarter. In Nutrela, which is our core protein-based business, the premium brand, our revenues were Rs. 187 crores versus in the previous quarter of Rs. 155 crores. And in the nutraceuticals, our revenue was Rs. 14.53 crores versus Rs. 62.47 crores in the previous quarter. There was a negative EBITDA of 21% in Nutraceuticals that we saw and I will explain the reasons for that as well.

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Dhiraj Mistry: What we have seen is that there is a massive growth in foods business. Earlier, before this quarter, we were talking a run rate of somewhere around Rs. 2,000 per quarter for our foods business, and this quarter, it is more of a 2,400 kind of run rate. What would be the steady state quarterly FMCG run rate in terms of revenue what we can expect going ahead?

Sanjeev Kumar Asthana: We have maintained pretty much the same level. And I will explain the big jump that we saw, the reasons for that. It's pretty much we have said that 15% growth is what we anticipate in our FMCG space and we will maintain that growth momentum as we go forward on an overall basis.

Now, some segments are faster. As I just mentioned that biscuits & confectionery grew at 20% and Nutrela is picking up momentum now with the added new categories, i.e., the new product lines that we have introduced, with an EBITDA of 19%. And the food is also gaining momentum. Many times in certain quarters because of the nature of our business, some parts of the staples also tend to have a sudden pickup in the demand. That helps in foods, but overall, our projection is that we should maintain a regular run rate on an overall basis of 15% year on year.

Dhiraj Mistry: The second question is on the margin. The 14.8% or let's say 15% EBITDA margin is quite commendable, but this is still lower than our long-term average or sustainable average of 18% what we had earlier guided. Can you explain the reason for this 15% EBITDA margins versus 18% guidance?

Sanjeev Kumar Asthana: What happened was that during the quarter, our substantial amount of revenue came on account of the pickup in the staples demand owing to the festival season and the wedding season which is ensuing and the staples typically tend to have lower margins which push us down on the margin construct. That is one. Second is that on the nutraceutical side, we had some decline in the margin. These are the 2 reasons why the margin was lower. If we take out the staples, at least the increased portion of the staples and normalize in the nutraceuticals, your margin would be typically pretty much in the same range of 16% to 18%.

Dhiraj Mistry: Sir, my next question is regarding the oil business. Now that on a sequential basis, our EBITDA losses have reduced, but going ahead, now although commodity price being slightly volatile as of now also, but can we expect that for the full year basis we can expect EBITDA neutral for all your business where se

cond half would come back to the positive trajectory?

Sanjeev Kumar Asthana: Whether it will be EBITDA neutral or positive, I think the signs are healthy right now. We are clearly seeing a way more reduced volatility. The domestic demand has picked up very well at the back of the festival season as well as the weddings. And I'm expecting that potentially it could not just be neutral, it could also be more positive. We are wiser with the changes that we saw, we are proactive, and right now even the macroeconomic numbers and the features of the commodity market at both the futures and the domestic levels are showing a lot of promise. So, I am very optimistic that we should do a lot better in the edible oil category in this quarter and the next quarter.

Moderator: The next question is from the line of Akash Mehta from Capaz Investments. Please go ahead.

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Akash Mehta: My first question was on the nutraceutical range. I just wanted to get your outlook on that since we have introduced new products and we have also onboarded a new head for this department a few months ago. How are we looking to grow this and what would be the target in the near term?

Sanjeev Kumar Asthana: Nutraceuticals basically is dealing with two parts of complete rationalization of our portfolio and complete relook at the overall distribution structure, the retail expansion, etc. The markets have been less predictable, even though while we would like to see it sequentially continues on the growth path. For example, some of the overhang in the earlier quarters continued for 2 distinct quarters. We saw a very good pickup in the first quarter, which has declined in the Q2. And my anticipation is that as we rationalize and expand on our distribution, we bring in our new products and redesigned offerings that we are giving more contemporary, better structured, which is a learning for us too and add newer products to the range, I'm expecting that nutraceuticals overall should continue to get not only better, it should also become one of the mainstays of our overall business in terms of the FMCG portfolio that we have. Whether it will happen in this quarter itself, I'm not able to give a guidance on that, but overall, I'm optimistic for the full year, we should certainly be a lot better than what you are witnessing in this quarter. I'm still positive that it's going to be a high-margin high-growth category. It is just that we have to make sure and which we are working toward that our offerings or the products sort of fine tuning the changing demand of the customers and what efforts that we are doing are going to start fulfilling the basic consumer aspiration and the Company's offering as well. That bit ideally could have happened sooner, but I think we are going through that process of learning and rationalizing and regrouping ourselves in terms of how we offer it to the marketplace.

Akash Mehta: On the second question, I just wanted to know for our biscuits & other Nutrela products, if you could just give me a geography-wise division if that is available.

Sanjeev Kumar Asthana: Geography-wise, one is that it is pretty much universally sort of growing. And as I mentioned in my remarks that both have been nothing short of spectacular in how we have gone about building that business at the back of distribution and high quality products that we have. Between the regions if I were to say and precise numbers I can share with you in a separate call, but pretty much we would be evenly divided. North would be the highest followed by the eastern part of the country, then the western part of the country, and then the south. North share would be pretty much.... if I were to add north and east, it would be about 65% and the balance 35% would be between west and southern India. Two changes which are there, there were certain white spaces on the distribu

tion side that we are covering and expanding our reach further into the northeastern part of the country and southern part of the country, which are still, in terms of the penetration, we believe there is a lot more opportunity that we have to expand our reach.

Moderator: The next question is from the line of Yug Mehta from EP Capital. Please go ahead.

Yug Mehta: For dry fruits, do we just pack what we are importing or do we do some value addition like adding flavor or creating a trail mix?

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Sanjeev Kumar Asthana: That is part of the plan now as we go forward. Right now what we are doing is that the almonds we are processing when we bring it into the country and simply decorticating and putting it in the packs. But in terms of the flavors, variance, etc., that we have not yet started. That is on cards and you will see that hopefully by the year-end we will start offering our variance on the flavors and the spice sort of offering that we will have. Currently, it is pretty much a straight offering that we have and we will also be adding more products also. In terms of dates and the more value added higher-end dry fruits, that we will start expanding on.

Yug Mehta: Also, what is our current capacity for dry fruits and what is the outlook on the same?

Sanjeev Kumar Asthana: Outlook is very positive. I have mentioned that before also that it's a large category. India is one of the fastest expanding markets. The consumers are increasingly becoming more discerning and more oriented towards buying from better brands. There are a couple of successful examples which are there. Patanjali already is there in the dry fruits category and which are exceedingly well received. This range we have launched under Nutrela. Our plans are large. In terms of the guidance, it's very early stages. Right now we are on e-commerce. In the next few weeks, all our stores, more than 5,000 of those, will start carrying the dry fruits on their shelves. Thereafter, we are going to be reaching out to modern trade and general trade. At this point of time, it's very early days, just about less than 4 weeks since we went live. This is going to set to grow. Numbers guidance I don't have right now. We have got ambitious plans, and we will keep you posted as we go forward in the next few quarters.

Yug Mehta: In the last call, you mentioned you will be expanding into dates in the dry fruits range. Is there any updates on that?

Sanjeev Kumar Asthana: I had just mentioned to you that within the later part of this quarter or early part of next quarter, the dates and the other products we will be adding to the portfolio, which will start getting offered to the marketplace. That work is already going on.

Yug Mehta: Do we have any CAPEX plans for this year and the next year?

Sanjeev Kumar Asthana: As I have mentioned that our CAPEX cycle is pretty much between Rs. 80 crores to Rs. 100 crores year on year, which is largely in routine maintenance and certain new CAPEX that we do in terms of the nurseries or certain packing machines or otherwise. There are no large CAPEX plans which we have on an immediate basis, but certainly, in year 4 and 5, we will have a larger CAPEX which we will be incurring but nothing major this year.

Moderator: The next question is from the line of Kuldeep Gangwar from ASK Investment Managers. Please go ahead.

Kuldeep Gangwar: Can you please share that margins being achieved across different segments like acquired Patanjali or with our business Nutrela, biscuits, and nutraceuticals?

Sanjeev Kumar Asthana: In the acquired business, our margin was 14.02%. In the biscuits and confectionery, our margin was 20%. In the Nutrela basket, our margin was 19%. The base is very small, so percentages

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don't matter. We were Rs. 3 crores negative in nutraceuti

cals, which on the margin basis is about 21%.

Kuldeep Gangwar: What should be the expectation for the second half? Whether there should be some seasonality expected or it's quite similar to the first half in the FMCG part?

Sanjeev Kumar Asthana: On the percentage terms, Kuldeep, we should do a lot better because as I mentioned earlier in

my call, 2 parts of this. There is a drop of almost close to 100 basis points on an overall basis, led by 2 parts. One in our expanded sales of staples that we had in the foods category; the rice and pulses, etc., which is the demand-led offering that we do. And second was on the nutraceuticals. Otherwise, we would have been pretty much on course for the guidance that we have for FMCG businesses between 16% and 18%. We would have been pretty much there. I don't have the exact math right now for that, but minus staples and the nutraceutical neutralization, we would be pretty much there.

Kuldeep Gangwar: On a full-year basis, nutraceuticals should be how much in revenue terms?

Sanjeev Kumar Asthana: In revenue terms, it looks like we have more work on hand to do. We are still hopeful that we should end the year between Rs. 150 crores to Rs. 200 crores, which is a bit of rationalization that we have done. But we are pretty much positive that this negative sort of P&L which is appearing on the lower base of sales for no other reasons, I think this we should be able to correct and move forward. I think on a full-year basis, I would anticipate right now that we should be anywhere between Rs. 150 crores to Rs. 200 crores.

Kuldeep Gangwar: Edible oil plantation revenue and EBITDA contribution this quarter?

Sanjeev Kumar Asthana: Edible oil on the side of the palm oil; for example, on the palm plantation, we did about a revenue in the second quarter which is a low season, was about Rs. 315 crores, our EBITDA was Rs. 52 crores, and the percentage of margin is 17%.

Kuldeep Gangwar: In the second half, whether it's reasonable to expect that edible oil segment margin should be normal like the range generally you discuss 2% to 4% margin or say 3% margin?

Sanjeev Kumar Asthana: Attempt is pretty much that. There are 2 trends in the marketplace right now that the prices are on an uptick which tends to benefit us always on the physical market side as we are seeing more demand and the supply side is more challenged owing to various reasons. The El Nino effect what we are likely to witness in southern America and that's the peak planting season, I think, should be largely helpful. For example, our revenue this quarter was Rs. 5,421 crores. So, my anticipation is that if we keep the same revenue even though we are expanding, we in the next 2 quarters should be closer to about between Rs. 10,000 crores and Rs. 11,000 crores in terms of the revenue. And margin construct-wise, I think it should be significantly better because I think the worst is behind us - this whole divergence between the futures and the domestic prices. So, I think pretty much, keeping fingers crossed, we should be able to recover what we lost in the first 2 quarters. And on an annualized basis, we should be pretty much either EBITDA neutral

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or on the positive side because we should be certainly even if we look at an average range size of, let's say, between 2.5% to 3%, I think we should be pretty much be able to recover over the next 2 quarters what we lost and should be able to show profits in these 2 quarters.

Moderator: The next question is on the line of Amit Shah from Ace Securities. Please go ahead.

Amit Shah: Sir, how is our palm plantation business looking as we speak? And is there any more land that we are looking at to get allocated?

Sanjeev Kumar Asthana: The palm plantation business, as you know, is a little longer term in nature. We are continually expanding and moving forward in that. O

ur growth rates are very decent. And as I mentioned earlier, in this, we have added 4,500 hectares afresh. We have signed up with newer people; with the government of Andhra Pradesh, 13 new mandals. So, from the access to the availability of land to farm on is quite high. We have set up a large number of nurseries now both in the northeastern part of the country as well as we already had existing nurseries. We have added a series of nurseries. We have imported nearly 15 lakh sprouts in this quarter. That is going quite well. That partly I am pretty confident that it's an execution-led play now. That is what we want to check on. The whole part is that the progress in the northeastern part and the southern part of the country is quite satisfactory. I am quite optimistic that we will not only keep pace with what the projections that we have made and we are continuously improving and getting better at that now. We have set up nearly 75 farmer producer organizations. By adding each of them, we would have a large number of farmers. In terms of a readymade pool of farmers to get access and start planting our oil palm sprouts and the seedlings, we are very optimistic that this is going to go far and it is certainly getting a lot better.

Moderator: That next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Just 2 questions. In the beginning, the biscuit business has shown a very strong traction and Doodh biscuit has been growing ahead of 25%. This is largely distribution led or there is a volume growth also which is picking up on the biscuits?

Sanjeev Kumar Asthana: This growth is obviously volume led. Because the price in the categories of biscuits tends to remain in a tight band, much more efficient handling of our sourcing, which has shown a very solid margin this quarter. We have done at both levels. As I mentioned that we are nearly now reaching a million retail outlets, we are expanding distribution to all the white spaces where we had lesser coverage which we did not have defined and the volumes are also sequentially

increasing. We are witnessing 2 trends on the biscuits side. One is that the market for premium products for our offering is looking positive to good. That is gaining traction. We have a series of new launches which are lined up. And the second trend is that the stronger brands like Nariyal and Doodh biscuits are gaining a lot better traction compared to the other offerings in the marketplace because the overall category is not expanding at the pace that we are expanding. So, the same locations with a better distribution are showing a better trend. Newer locations as we are adding are of course adding to the volume of the same. And I expect this trend to pretty much continue, as we go forward into the next 2 quarters.

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Shirish Pardeshi: What I wanted to check with you is this 20.6% growth we have reported YoY. Is it safe to assume that two-third will be price and one-third will be volume or half-half?

Sanjeev Kumar Asthana: I would say that it will be 50% volume and about 50% on price.

Shirish Pardeshi: Second, on the nutraceuticals. I wanted to have a little more clarity. You mentioned that there is some more work which you want to do. What is it that and when we can see the result? And the other question is that this nutraceutical business is going through a similar channel for FMCG or we have a specialized field force and channels for delivering these products?

Sanjeev Kumar Asthana: We have a specialized channel as you know that nutraceutical doesn't go through general trade channels in any case. We have this quarter gaining a lot of traction on the e-commerce and B2C.

For example, 31% of our sale is happening through e-commerce channels now and that is looking very positive. Similarly, we have got dedicated chains which are

doing health products,

especially pharmacies and more specialized health chains that we have. So, it's gaining except that the reason part of that as you said more work to be done. So, it is not so much about distribution. There is a demand and there is a growth that we are witnessing. The point is of fine-tuning our strategies and growth which is building up. And from a channel perspective, we are also using our AK/CK channels also. For example, our mega stores, our arogya kendras, and chikitsa kendras have also been exceedingly helpful in terms of our overall growth that we are witnessing. So, my expectation is that clearly in terms of work to do are basically our product range, refinement; continuously responding to the changing market needs, and adding different categories and different products. That work is continuing and we will do our distribution at the same pace as what we have done so far and take it forward.

Shirish Pardeshi: My last question is on the margin front. Though it is impressive that they have improved the EBITDA margin at 5% to 5.5% range, given the volatility into the edible oil, and I think there are a lot of things which most of the players are seeing in terms of hedging and other instruments, barring apart that part, the rest of the part where we see the input raw material prices are slightly on a negative territory. In fact, milk is also expected to have deceleration in the second half and sugar is also going to look benign. In that context, should we look at reaching 5.8% to 6% or we will remain at 5% to 5.5% margin? Your qualitative comments on that.

Sanjeev Kumar Asthana: Overall I think barring all the points that you mentioned are correct. I think prices while they look benign but as slightly 1 or 2 deviations are there, especially in the case of wheat, etc. The edible oil prices, are trending to look after having gone through the cycle of dropping substantially, seem to be on an upward tick actually. So, 2 trends will define the profitability.

One is that obviously the input prices of raw materials, I think, is really very critical for us. And in certain areas like the benefit in the Q2 that came because in the biscuits category, we clearly were beneficiaries on account of the lower prices on the edible oils; the sugar prices, the wheat prices, etc., which were more in control. I think it will benefit. In terms of the overall uptick whether we head towards closer to 6% to 6.5%, we will have to wait and see. But broadly, our targets are two-fold. One is to stabilize our FMCG business portfolio entirely between 15% and 18% range, which is our clear objective, to get edible oils back between 2% and 4% in these 2

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quarters. Hopefully, the market looks supportive. So, I'm quite confident that we should get there and make sure that we continue our strategy of expanding our distribution, building up further premiums into the edible oil brands that we have in the market place with the new brand ambassador, and work on more launches of the premium products. Yes, the whole idea is that we want to expand our margin construct by adding newer and more premium categories to the portfolio that we are offering to the consumers.

Moderator: The next question is from the line of Niraj Pahlajani, an individual investor. Please go ahead.

Niraj Pahlajani: I just wanted to know what should be the growth guidance overall in terms of top line and bottom line in the current year and the coming years. Tentatively, what can we expect?

Sanjeev Kumar Asthana: Current year our growth guidance I just mentioned that we would like compared to the overall

last quarter's more in the direction of keeping that growth momentum on the FMCG side between around 15% plus growth in revenue terms, margins of between 16% and 18% EBITDA, edible oils we did have a challenge in the first 2 quarters. I am hoping that

we not only recover, but we post positive numbers. And in the next 2 quarters if we can hit closer to between 2% and 4% EBITDA margins, we will be very happy. And in the years to come, it's pretty much the same guidance that the growth will come from 2 sides. One is that new product categories that we add, newer business categories which we might add to our portfolio, and the organic growth that we are witnessing in our business and wanting to maintain that. And if we continue to over a longer period of time since you asked that question that, how do we take our EBITDA margin towards the double digit is the core objective over the next 5 years that we would like the EBITDA margin on a blended basis closer to 10% and which is where the Company is directionally headed.

Niraj Pahlajani: One last question, Sanjeevji. Since we know palm oil plantation is a little bit of a long term kind of project, by when can we expect that palm oil plantation business will start contributing to our revenues? How much time approximately?

Sanjeev Kumar Asthana: Incidentally, palm oil plantation actually already supports our revenues quite a bit. For example, in the first half of this year, we have done Rs. 600 crores in the revenue and had an EBITDA of nearly Rs. 100 crores from that. Palm oil business is a consistent revenue generator. It's almost like an annuity income. A year before, it was Rs. 162 crores. Last year if I remember it right, it was upwards of Rs. 220 crores. This year now we are getting into the peak season. I'm quite optimistic that we should have pretty much similar numbers. The new plantation that we do, yes, they have a longish gestation, but the growth in the current plantation and how it is going to yield income to us, that will continue at the same momentum as we go forward.

Niraj Pahlajani: What would be the kind of growth we can expect in the current plantation which has already been done?

Sanjeev Kumar Asthana: Every year, nearly 5,000 to 6,000 hectares continue to get added to the revenue generation because what we planted 4 years back will start yielding results now. Typically, the organic

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growth rate is about 10% year on year. In 4 -1/2 years' time, you will see a substantial peak of the new plantation that we are doing. Then, the growth momentum will be exponential. But that is we will have to wait for a couple of years before these current plantations that are happening in last year and this year. And from next year, you will see a huge uptick in the plantation because there is a 15 -month gestation between getting the sprouts, planting them in the nurseries, and giving to the farmers. And after that, the farmer takes about 4 years before the fruits will start coming and start yielding results. A big uptick will happen probably in 4 years' time. But sequential growth of 10% to 12% year on year will continue.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Sanjeev Asthana for his closing remarks. Over to you, sir.

Sanjeev Kumar Asthana: I really appreciate high -quality questions. And thanks for joining us on this call. We have a lot of ambitious plans for the Company to continue the growth momentum that we have witnessed.

The market keeps throwing its own challenges and the effort is how do we neutralize those challenges, how do we make our business more consistent, and how do we bring more predictability to certain areas. One or two areas we still need to deal with and work through are in the FMCG space. Edible oil as everyone knows and is witnessing that while it's a challenging place, but I want to just repeat again that it's an attractive business from two filters. One is there is a growth momentum in the country. There is some consolidation that we are witnessing which is going on for nearly the last 2 years now. And the

consolidation will tend to benefit the larger

players who both have the wherewithal to deal with the volatility, their financial strength to deal with the working capital requirements, and above all are able to build up a distribution and the brand reach. That is what continues. And I am reasonably confident that in the coming months, you will hear more premium launches, newer product categories getting added to our portfolio, and there should be a good momentum in the overall business.

I wish to greet and wish you all a very happy Diwali to you and your family. A very happy trading, Happy New Year ahead. With this, I would like to close my remarks.

Moderator: On behalf of Patanjali Foods Limited, that concludes this conference. We thank you for joining us. And you may now disconnect your lines.

Call: Dec 2023

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Dear Sirs,

Sub: Transcript of Analyst s / Institutional Investor s Meet of Patanjali Foods Limited ("the Company")

This is in continuation to our letter dated December 05, 2023 regarding audio recording of Analysts / Institutional Investors Meet held on December 05, 2023.

We attach herewith the transcript of the said Analysts / Institutional Investors Meet for your records .

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com .

Yours Faithfully,
For Patanjali Foods Limited
(formerly known as Ruchi Soya Industries Limited)

Ramji Lal Gupta
Company Secretary

Encl. As above

"Patanjali Foods Limited Analyst/Investor Meet 2023"

December 05, 2023

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on December 05 2023, will prevail.

MANAGEMENT : SHRI SWAMI RAMDEV – NON-EXECUTIVE DIRECTOR ,
PATANJALI FOODS LIMITED

MR. SANJEEV KUMAR ASTHANA – CEO , PATANJALI
FOODS LIMITED
MR. KUMAR RAJESH – CFO , PATANJALI FOODS
LIMITED

Patanjali Foods Limited
December 05, 2023

Sanjeev Kumar Asthana: Good evening and welcome to you all. Thank you very much that you all came . We wanted to show you the story of Patanjali, how Patanjali Food s Limited has covered the journey of 3 years, how many changes have taken place, how are you looking at the business of a complete reinvention what is your next plan. We are very blessed that Pujya Swamiji is with us.

He agreed for an Analyst plus Investor Meet , that we will go and will talk to them. So, the thing about the program is that first of all we will hear from Swamiji , his address, his vision and thinking about Patanjali Food s. Then, there is a short presentation about 15 -20 minutes which I will do and after that, whoever has any questions about it , we all are company management here and we have one hour, so we will discuss about it and without much ado, I will request Pujya Swamiji to take the stage.

Swami Ramdev: Greetings to all of you .. Initially , when we had launched our FPO in the midst of Ukraine -Russia war then m any people had said that Swami Ramdev does not know about IPO, FPO and capital market s and they said that the time was not favorable .

Well, I have been a bit stubborn since childhood. To those who say that this work cannot be done, I sa y brother, we will definitely do this work and you guys saw that FPO was launched and after that what we committed and there was a big discussion going on about the price band – what should be the price band and what all should be the announcements. Even today , you will have many curiosities in your mind, first I am giving a small brief introduction.

What is Patanjali, you all must have heard it – Patanjali's brands and portfolio has around (+2000) SKUs. Formally, we can say that our journey started about 30 years ago. We say just for sake of saying that Patanjali has become a very big brand just like that but nothing is created just like that because the fact is that today there are more than 100 crores people of the country behind Patanjali, this is a big story and Harvard, Cambridge and Stanford, which are big business schools in Europe, Britain, America have also started discussing that many people are doing PhD on the growth story and success of Patanjali. Many people are reading, watching and learning about it in different ways. Out of every three people, two use some product of Patanjali - Dental care, skin care, hair care, home care, oil, biscuits, honey, medicine, and others, we have kept it here for a little introduction.

There are few products of Patanjali and we have kept these as an introduction. And today we have organized this kind of business meeting, after this we will also give you some product as an introduction. This is no gift , it is to give a brief introduction about Patanjali to those who have used some products or not, we have lovingly prepared a small gift hamper for you which you may please accept while leaving. Believe it or not, it is a gift, some people suddenly came to me and said, look, we are going to the investor meet, so no gift. So, if you don't take any gift then take it as Prasad and even then , if someone doesn't take then also no problem.

I have no motive for giving it forcibly and it is not a greed for anyone. How could it be greed a product worth of Rs. 500 there is no greed. Well, whatever protocols are made by some individuals and principle that you should not take any gift, no problem, but we traveled more Patanjali Foods Limited

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than 25,00,000 kilometers across India in 30 years. I myself have organized camps for more than 10 crores people. You guys know everything. Some of you who are youngsters will be in college at that time, there must be some in school and many of you must be aware that when in 2004 I came to Bandra Kurla Complex I did a camp of around 1,00,000 people .

People say , in Mumbai ,

so many people cannot wake up and at that time we were building Patanjali. We did not have money, so we said that we wanted to take donations for setting up Patanjali Yogpeeth , so we gave Rs. 5,000 passes to each and till now people have kept them safe. Today morning one thing was asked by a brother representing an American fund, What is the growth story of Patanjali, what is the main core mantra behind the success of Patanjali? See we built it through service to help to the entire brand and the ultimate beneficiary of Patanjali is that trust or if you see it from outside most of the shares are from Acharya Balkrishna ji, some you can see from the names of Gramodhyog Trust, you will see from the names of Patanjali Parivahan.

So, ultimate aim of Patanjali is that whatever we should do that should be done for character building and nation building, heath education, research, agriculture and in different ways how we can proceed further in life. By 2045 , we want to see India as a biggest country and one of the

greatest GDP for that we want to see Patanjali as a big contributor to that growth and we are in very creative work for that thing .

From here, the story begins and now again I will come back to the same topic that what is the vision of Patanjali. Within Patanjali, we do charitable work, education, research, we also have a huge set up for research. There are approximately 400 scientists, 500 scientists are there who do research in different products, do research in Yoga, do research in Ayurveda herbs and then do product development, its entire process of drug discovery, its protocol, cell line trials, human trials, animal trials, in -vitro and double blind clinical control trials, if we talk about any kind of evidence, then I say that our there are four types of Pramana – “Atma Pramana”, “Apta Pramana”, etc. That which we ourselves have seen and experienced, we did what we said, that self-experience has become the self-evidence is “Atma Pramana”

Taking cue from speeches of ‘ Apta Purushas ’ (religious people) is “Apta Pramana” . I myself have studied those philosophies, Upanishads, Ayurveda and the whole world for years studied a lot on the knowledge have done, did research. So, “Atma Pramana,” “Apta Pramana,” and “Pratyaksha Pramana” which is called a “Real World Evidence” and all the things have been developed along with “clinical evidence”.

Today, Patanjali group's turnover will be around Rs 45,000 crores plus this time we did about Rs 45,000 crores . This time, you will get to know further that it will be Rs 45,000 crores plus by the end of March whatever will be there you will come to know. In this which is not there in this listing entity there is a lot of work, it is a big work for our wellness and our medicine work is done completely in trust which you take Madhunashini, Madhugrit Mukta Vati, we do it under Patanjali Foods Limited

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the trust. There is a pharmacy of ours which is about 30 years old and we built it in 1993 and that pharmacy was selling that thing through it. Wellness work is a little different.

Moreover, now the entire business of Patanjali can be spread into two parts. One is of our personal care and home care and secondly all this food, FMCG and all the things which are there Biscuit, nutraceutical, Nutrela, oil, ghee everything is included in it.

So, from vision perspective, I talk about 5 years. Our target in oil palm plantation, in 5 years is Rs 800 -1000 crores to Rs 1200 crores. There is a slight deviation of 1-2 years because fruiting starts in 4 years. Well, in 5 -6 years, it becomes fully fruiting, or we can consider maximum 7 years for complete fruiting . So there can be a little deviation in this

They also take out an average of Rs 800 to Rs 1200 crores and then get around Rs 1,000 crores plus EBITDA from palm plantation can be there. In palm plantation, we already have a

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agreement with the state government for approximately 5,00,000 hectares of land. Right now, because there are agreements with three people. One state government, one farmer and one company. This is a very transparent system and there is no compromise of any kind in it. There is no high and low work, all is very clean work.

And if we take the average out between 16 to 20 then this is around 18% EBITDA business and it has 25 years of experience which comes from the earlier interest of the company which our people had and are still continuing in it from last 20 years, 25 years and very skilled team for 25 years and have a lot of devotion and determination in them. I myself have visited thrice in those fields where even today around 60,000 hectares plus land upto 30th September, 2023 already installed has been done and that much nursery is ready.

There are about 1 crore trees planted on the ground and a nursery of 1,00,00,000 sprouts . There are three types of nurseries arrangements inside which one is primary nursery, then secondary nursery is there. First, sprouts start then small quantities of plants get ready and then it reach up to height of human waist, then we plant them in forest . The work is going on so vigorously that we will complete it.

The Rs 1000 crores plus business which is there that is transparent and there is no adverse effect of any kind of weather on it, neither there is any use of insecticides, nor any excess use of pesticides, and the barren land is used for it. Some people had questions in the beginning, now those questions have been resolved by us in two years. Indonesia and Malaysia forest is being cut and here, we plant the trees and we create manmade forest on a barren land, on which other good farming is not possible. So much subsidy has been given, of approx. ■ 40,000 per hectare in the Oil Palm Mission which has been launched by the government . In this, the government gives subsidies for 4 years and there is a separate subsidy for irrigation, a separate subsidy for fertilizer within it and there are separate subsidies for nurseries as well . For the plant and machinery which we set up there are a lot of facilities provided by the government . Government has allocated ■ 12,500 crores on this. There is capital expenditure, but our involvement in it is almost nominal . The government has supported this so much and wants that we do not have to

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import oil from outside from Indonesia and Malaysia. This is clear cut if you have any questions on this then you can ask more later on this palm plantation.

Secondly, there is a very big business that is of food. We can divide food into three parts. One is foods business which we transferred the entire business from Patanjali Ayurved Limited. I am talking about the commodity business except the oil one . That business too, almost if I say with a stability, we have done EBITDA in it from approximately ■ 1,000 crores to ■1,500 crores, but there can be up and down and now , we are increasing it towards premiumization.

Today if we talk about brand premium in almost every brand from palm oil to mustard oil , to Sunrich which is our brand of Sunflower and Mahakosh which is our big brand of soya . We will show you from here as well. You must have seen what is happening now for the last few days, we have brand ambassador as Dhoni which we thought that things have reached a level and beyond that how can we take the brand forward in different ways, how can we further increase the distribution – we are trying for this . So, our brand premium is that of Rs. 5 to Rs. 7 to Rs. 8, Rs. 10 . We took the brand premium on it , because for masses and classes in whichever way ,the brand philosophy is there . As the company cannot run without profit and margins, and we have to ensure that maximum customers are aligned with it, so we can take it

forward. . So, I am

talking about the stability of a ■ 1,000 crores business . Apart from that , I am talking about food business of Patanjali . In that , the biggest brand is the ghee , which today is being sold at the highest premium. If we look at the time from starting till now, it should be around 18 years to 20 years and that means if you look at the upper side, this brand has progressed a lot since 2010 and from 2015 to 2023, its worth is Rs 1,200 crores and maybe this year , our target of Ghee is Rs 1,400 to 1,500 crores and it is our very premium brand and we maintained the level of quality ranging from premiumness for that level we have maintained that level very well. For Honey and Chyawanprash, today you will see only two brands on the shelves in the entire country if we talk about it – Dabur and Patanjali. Today, if we talk about shelf space you will get better space of Patanjali than Dabur. You can see it with your own eyes anywhere in the country, from big cities to small towns.

So, there is honey, there is Chyawanprash , there is cow ghee, there is mustard oil, the rest of our rice bran oil is there, and all the remaining virgin coconut oil is there all the premium oils are from Patanjali, which means many people must have used them as well. You must have seen that a new ad campaign on spices has also reached you. If it hasn't come then we will give it . In spices, Patanjali has to do many things. Three brands are leading now in spices . Patanjali did not focus much on it till now.

I want to tell you one thing today that the maximum turnover I have heard till now is up to Rs. 2,000 to 3,000 crores in spices. I can promise you spices worth Rs 1,000 crores plus in spices for Patanjali . We have that capacity. It can go more than Rs. 1,000 crores because there is normal turmeric, chili and all this are there, rest of the things like vegetable masala, garam masala, chaat masala etcetera in that you get good premium . The turnover will be Rs 1,000 crores plus and I can gradually increase it to Rs 1,000 crores today. There will be more.

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Similarly, it is said that whenever we talk in a group, then we do it keeping in mind that less promise over delivery, so we want to speak only as much as we can do and even speak less than that, speak a little conservatively. So, we have a big role to play in spices in future. In our future plans , what we have of soya chunks that we are making it big and in Nutrela , in addition to the soya chunks, we will focus more on nutraceuticals also. Within this, we can also get premium for soya protein and for processed food s, we can align some technology with other things to create a new product line , e.g. dry fruits , we have added premium dry fruits and all that. In foreign countries, the majority of dry fruits are branded ones . I In India, unbranded dry fruits are still sold the most, but we will build it more.

Thirdly, apart from these foods , nutraceutical s and Nutrela , our very core business is Biscuits . Our growth story of Biscuit is that we are aiming for a turnover of around Rs. 5000 crores and this includes 12% to 15% of EBITDA and we have shown this successfully ever since the acquisition, we have merged that business and that too in a slump sale.

We have told one line during the FPO to all the investors whosoever has met me at the time , around 85 people , there weren't many at that time. We said what we say we will deliver and now we have a big product portfolio . Whatever we are saying, we will leave no stone unturned to complete it. We said that, if required, we will do whatever we can to transfer the value of businesses – biscuits and food , on the minimum side, and we made it happen and in very limited time.

Out of the three businesses, starting from Rs 1,000 crores to Rs 2,000 crores EBITDA will come. This, I talked to you about biscuit

s, food, Nutrela and nutraceuticals.

We will talk a little about it without any questions, but now you guys don't force us too much because I am sannyasi and cannot lie. I must not tell the truth this is what I have been told and we don't know how to speak a diplomatic language. So, what to say in Patanjali demerge -merge and new business acquisitions. So, these three words are very mysterious. It is necessary to mention in this that I have met in America, 50 plus investors and whatever big funds there are, whatever names you have heard, we also heard it for the first time. And I liked it very much that everyone about Patanjali is very curious and this is a very positive thinking about whatever is going on, and in future, whatever is going to happen. So, there should be a consolidation of the entire business and its brands. There should be no confusion, and in this merge, demerge and new business acquisition these three works are done very fast and in a transparent manner so that investors also benefit, Patanjali should also benefit and ultimately, what we want to do for the country, it should help us in doing that – nation building, research or health education work and we will take it forward with authenticity and there will be no confusion among anyone about the brand Patanjali that what is food, what is non-food, what is personal care, home care and where is all that, We will move with a positive attitude and in this you will get update in some time.

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Last, Patanjali brand, everyone questioned us, will the mother company retain the brand? it is with the listed company only. There is no question about it, and we have signed the entire agreement and like I said, whatever efforts can be made to move this thing forward towards consolidation, we will complete it on time. And as processes are involved in the listed entity, we will take this forward with authenticity.

There is a very big sky for us to grow and fly because if we talk about Patanjali it has the capabilities to capture the market share due to different brand in different brand portfolio, we are able to take a big share and we have independent distribution channels. It is different for food, the commodity distribution is different, non-food is different, that of biscuits is different, that of nutraceutical is different. And by taking all these processes forward we want when India is moving towards becoming an economic superpower of the entire world. So, there should be a big contribution of Patanjali in it with great authenticity and full transparency. The service that we have to do is a goal of my personality and my life. But, as far as the company's behavior is concerned, whatever you have seen in it till now, whether it is the question of corporate governance, whether it is the question of professional management, whether it is transparency, accountability, the business done as a responsible brand should work like.

We have Asthana ji, Rajesh ji who are very authentic personalities, our respected Bharat ji, there is Pujya Acharya Shri ji and among all the directors we currently have, we have also received a proposal to add new directors, so we will take things forward with great authenticity.

You all have come with great eagerness and with great love. We kept it for limited people, otherwise maybe there could have been 500 or more than 1000 people here, so we did it by first keeping the registration etcetera so that as much as possible, we could move forward by doing things within the limited scope. For this, the people of our organization as well as the people of Jefferies made a lot of efforts. We salute them all. All of you, whatever curiosity you all have and the faith that you all have in me or in Patanjali, you supported us. Because when a man walks, even after taking a few steps, then he also has one ideological and one

positive

wave length that people bring there.

So, thank you all very much and the remaining work Sanjeev Asthana ji will do the rest.

Sanjeev Kumar Asthana: Thank you, Swami ji, thank you very much. The biggest problem is that when you speak after Pujya Swamiji has spoken, no one is ready to listen, but I will do it quickly. I will take a total of 15 minutes because we have a presentation that I will give and quickly run through, so that you guys can understand what has Patanjali really done?

Our vision is to be purely around health, wellness, Ayurveda and on its basis and to create distinctive value which we equally discuss with all the shareholders and stakeholders, our customers and investors, all our employees, and the overall suppliers, a value can be created for Patanjali Foods Limited

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everyone. Firstly, we want to expand the food and FMCG segment, the share of which is already in our first half around 28%. Overall, there is a very good growth in the revenue of the company. As Swami ji told you, as the market of all the products is changing, in the same way we are responding to the market and bringing changes to the market immediately. In branding and marketing activities, I will also show you some ads that we have made with a lot of efforts and said things like Dhoni ji has taken our Mahakosh and Sunrich. We have created ads for Chyawanprash, honey, spices, many new ones today. So quick on the market by giving a

response, we are progressing in that way . Our omni -channel distribution network already has approximately 1.5 million , we go directly to most of the retail outlets , while for more than 1.5 million we have indirect reach and it is continuously developing.

There is a lot of focus on premiumization that we are selling on a regular basis. Apart from this, we have to cater to both markets , those who can afford, can pay, which will increase profitability and value -based selling, the products on which we have a strong hold , and we can increase it and grow going further.

And there is a huge focus on oil palm plantation because it is a major project and one of its kind in India, we are expanding it fast. Some milestones that we have achieved and show the speed with which Patanjali has changed in a way in the last 3 -3.5 years . We took over Ruchi Soya in December 2019 and acquired the biscuits business in May 21 , 1.5 years back.

The nutraceutical business was launched on June '21 and April '22, we conducted a successful FPO by raising funds of Rs 4,300 crores . 19% equity was diluted and made a debt free company the next day with whatever FPO proceedings came . Ruchi Soya company name was there and we renamed it in June 2022 to Patanjali Foods.

On July 2022, two months later we started the food business which we acquired from Patanjali and this year minimum public shareholding in which we raised funds to meet the minimum public shareholder norm. So, with th is speed and pace , these are the big events that happened. But, in between, so many series of small and large events that we did that can happen in the life cycle of a company . This would not have happened in 15 years, 20 years, 25 years . What we have done in 3 years would not have been possible in 25 years.

You all know the quick financial performance so, I will not read it in full but would like to highlight two things that food and FMCG share business which I told about has become 28.5% of the overall revenue, which was around 18% at the same time last year. So, we are continuously building and growing it. There is almost 28% growth i n the business of biscuits and confectionary year -on-year which we are continuously growing at a rapid pace and in the business of edible oil which is 72% of ours is sold in branded form in that we have about 10% plus growth which we are consolidating and build ing.

And on the parameters of financial performance, you will

see it in every way in one company.

It is growing rapidly and by building it we are consolidating it and taking it forward. This is a Patanjali Foods Limited

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reflection of the revenue mix so I will not repeat it. I will not spend time on this, but broadly you can see that in the first half we have 28% of FMCG, 72% of oil and minor one of wind power , which is the same separate segmental reporting and the focus on it increased equally. will remain as we have our food and FMCG portfolio, profit margin and the quality of profit how we will improve and grow.

Many initiatives have been taken, which I wanted to tell you about. One is that of Dhoni ji, I will also show you the ad . In the digital and social media presence , it is part of our continuous massive push into e -commerce and D2C and expand our business in that . We have shown you some of our premium products that have been launched .

We launched the premium dry fruit range under the brand name Max Nuts . We launched millet based cereals under Nutrela brands . 7-grain cookies , digestive and ragi biscuits which we have launched in biscuits . Apart from that , we have completely reworked the Nutrela sports with complete rebranding by introducing new variants and presenting it in a contemporary modern way. We have hired great leadership and talent from good companies and with great experience and oil palm expansion of course continuously it is running. "Chuno Sahi" our tagline we have introduced. This is our Kacchi Ghani Mustard Oil.

(Audio -Visual Presentation) -33.42 to 35.06

Swami Ramdev: In that Mahi ka Mahakosh , Oil's captain that wording we have put so in saying there is one tagline 'Chuno sahi ' , but oil captain has come, in this purity has also come, health has come. So, the theme which is there and Mahi's Mahakosh , oil captain and Chuno sahi so we caught these words from three different directions. For the last so many days these people were trying and doing so some people have contributed because from many years we have read about these words, seen these words. So, by doing all these things, it has been well explaine d, I think you might have enjoyed this ad.

Sanjeev Kumar Asthana: Last one is , Swami Ji , of Sunrich's ad.

Swami Ramdev All these brand s run in South and in that salpa , salpa in Kannada, Telugu and Malayalam and "Kami Kunji" so that has been taken in music that is a strong brand in South so in this way we have said about this one and one thing I forgot to say when we started this that this is a big elephant how we will run , now elephant is running very good. Approximately ■ 4,300 crores zero-debt, we have done around 3,000 crores , 3,500 crores stock is there in our company and around 1,700, 1,800 crores we have liquidity around 4,300 crores loan has been completed and around 5,000 crores plus Patanjali has liquidity.

Sanjeev Kumar Asthana: Quick one . FMCG business we have four verticals – Food , Biscuits , Nutrela Soya Food and Nutraceutical I won't say all, but as I have said in first half annually 4,400 crores FMCG revenue is there and profitability our EBITDA margin around 16.5% which we are pushing as we have said to grow that business and many such efforts have been put to capitalize like Nutrela Patanjali Patanjali Foods Limited
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brand to get expanded and to range them at premium level for that the efforts are going on and now I will give you a quick overview for all business es by doing this.

Like we have our food business as people have different ideas to get clarify we have almost 600 SKUs there, we have around 240 odd products there, leading products which we have like cow ghee, Chyawanprash and honey arethere and in that massive work is going on . Flours and staples, dry fruits, spices, medicated juices, pickles, sharbat, lemon juices, medicated juices is a very extensive range and continuously dist

tribution growth is happening through different channels and we are expanding and now I will show you th at Chyawanprash ad which is there which is a new and we have surveyed and check ed it is an extremely preferred ad which is very uniquely positioned .

(Audio -Visual Presentation) – 39.24 -41.00

Sanjeev Kumar Asthana: Quick Overview of Biscuits . Swami Ji , I am doing a quick run through so that I can cover the whole thing nicely . Well, we have many leading brands like milk (doodh) Biscuit brands which is a leading brand in the country . Patanjali Coconut (nari yal) Biscuits are very popular in the country. We have a range of cookies. We have done business with 28% year-on-year growth. Now this is what we acquired and at that time , it was around Rs 950 crores . Now this business of ours will be almost Rs 1500 crores . So, almost 50% growth has been done in 2 years. There is a growth of almost 28% year-on-year. We reach it at more than 8 million retail outlets (direct and indirect) . We are increasing it. Our capacity is around 16,000 tons and after successful launch, now as you can see, we are selling Seven Grain Biscuit, Ragi and Digestive. Apart from this, there are slew of products lined up which we will expand and build. Our growth drivers are clearly that we are focusing on premium and new product launches. We are expanding distribution and strategic expansion of manufacturing capacity wherever required where we can provide them logistics benefit , there should be supply chain benefits , where complete closer of supply sources on the basis of that we are building our entire business and ta king it forward. The Nutrela business is very exciting as you all know Nutrela is a 25-year-old brand. It is a very successful and largest selling brand in this category. Everyone knows Soya Nuggets repositioning is going on . The umbrella brand of Nutrela is going on which we had declared that we will build is growing rapidly. We have launched multiple new categories under it, the response for which is very good, like for example Max Nuts , wherein we have launched a range of products in tie -up with an international company for the global supply chain. We launched Max Millet Range, we launched Ragi Chocos . We entered the ready to eat , ready to cook segment of the Oats and now the last one is this muesli of Max Millet which is about to be launched. Plus, on a range of other product line d up, their packing and all these are lying here, I would request you to see them when you get time. And in this business of Nutrela , as you know , we have more than 40% market share , it is an establish ed brand and it has consistently generated about 16% to 18% to 20% EBITDA margin . We will build Nutrela into a very solid premium umbrella brand by launching and developing the range of product s and categories under this.

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We had launched the nutraceutical business with a lot of fanfare and then we went back to the drawing board. We have completely reworked our strategy as to what is required on a contemporary basis , what are the distribution channels , what are the requirement s of flavors in it, there was a whole learning curve of the market which we have done by re -commenting it, so currently our status as you will see is sports nutrition range , this is a completely new ly designed with new flavors, new range s, new packing, new design . Similarly in Super Foods, we have built, as you can see, we have done a complete rebranding of all the Actifu el. Currently, as you see, Gummies or effervescent tablet is globally available , so we are developing the entire nutraceutical business on a global level and completely re -strategizing it, as in how do we cater to the emerging segment demand. Just a small glimpse of our Nutrela Sports.

(Audio Video Presentation)

Sanjeev Kumar Asthana: So, Nutraceuticals as I said is stil

I on social media. By building it up, they are doing strategy workout on it. How to build it up on TV commercials and how to entirely reenergize it. In the edible oil segment, we have two clear segments. Swamiji has told a lot about oil palm plantation

so I will not repeat it. I will just briefly skip it. We have a very extensive manufacturing capacity . Like, it is completely backward integrated at all the interiors in all the strategic ports of the entire country. Our half yearly revenue is around Rs 11, 300 crores . You will see what capacity and reach we have. One of its biggest benefits is that you are always close to all the consumption centers and strategic supply chain sources. It has a very massive benefit for us. On its basis, we are building this business by completely consolidating it. Our volume is almost 2 million tons. It is a continuous exercise to increase the volume. You have seen how we are rebranding it by leveraging brand power of Mahendra Singh Dhoni and Swamiji . Then Ruchi Gold is the largest selling palm oil brand in the country. Mahakosh , Sunrich , Nutrela , Patanjali, there are so many arrays of brands because our reach and distribution reach has expanded a lot. We are working on it further to focus on all premium oils. Launch new variants, push the blended oil and build them and in that side, we are putting a lot of effort and derisk this business to improve so that the hedges and volatility in this business does not affect the business and make it better. Oil plantation I will not talk much but basically, we have almost 40 nurseries and we have a very massive growth path of seed sprouts which is expansion of our Oil Palm Plantation. The target is 5,00,000 hectares, we have to do it over the next five years and the vision of the company is very clear, on the basis of which we will build it up and grow it and it is a very asset light model, so there is not much capital expenditure in it but it is on the basis of net revenue so this business is very capital efficient for us . This is oil palm plantation in terms of the network showing our whole progress and all the other licensing categories that a good company should have, i.e. license and certificate all those things are completely available to us and continuously wherever improvements are required, those should be made in it by making full efforts. This is our Board, which is known to everyone. I will not repeat in detail, but very eminent independent directors, Supreme Court Justice, very eminent ex -vigilance commissioner and chairman of a bank on multiple different boards, etc. Patanjali Foods Limited
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This is our management team in this lot of people have stayed with company for the last 20-25 years. Some new people have joined the company, it is a very stable team. We are looking at this, in the last 3 years no one has left the company rather we have consolidated it, holding on to it and building it. We have already introduced ESOP , which has been approved by the board, it is soon to be announced . So, there is a lot of efforts going on in terms of retention policy, hiring of new talent and the company is working on it by building up completely. And on ESG, again I think on the part of governance committees, risk management and how to run an energy efficient business a huge amount of work is going on. The road ahead which is my last slide so that we have time for Q&A. India's consumption growth story will continue to ride and build on it. So, the focus of FMCG business or food business is one of the growth drivers which we are pushing, and we would continue to drive consumption growth in the country . Second is that improving margins that as you all know that FMCG has a higher margin and edible oil has less so our big focus is to expand margins of the company and push it towards the stated intent of double digit EBITDA on a

blended basis but on pure play FMCG basis also we will continue to expand the margin construct on the basis the strategy that we outlined to you. Reposition and align with the contemporary outlook. So, many a times we talk about it is a traditional business , which it is not. You have seen the ad, you have seen the work , which is going on which is very contemporary , emerging , modern business outfits but with value system of Indianness and traditional which on a very blended basis we are reenergizing Patanjali to scale new heights . There is a huge amount of effort we are putting in on the multichannel distribution network that we want to develop and evolve. And of course , oil palm plantation is not only going to drive significant growth , but it is a part of the nation building . It is a part of national effort, which we want to drive and build a very good business for the nation .

Thank you very much for your patient hearing. Now we are open to take questions that anyone may have and Swamiji is right here so please freely ask your questions . Thank you. Participant: I just have questions regarding Oil plantation business . What are the numbers of your business now? And is it part of the Edible Oil segmental reporting and going forward what its organic increase in fruiting that can be expected until the step change happens in 4-4.5 years whatever Swamiji mentioned till that time, how is business progressing ?

Sanjeev Kumar Asthana: So, quick answer to your question that it is part of the edible oil segmental reporting. #2 is that every year we consistently make EBITDA margin on oil palm plantation alone between 16 %-18%, in some years it is higher also and for an example , a year before , we made 262 crores in this business . Last year I think we made 230 crores EBITDA margin in this because of oil prices fell a little and organic growth is that earlier we were growing at the rate of 5000 to 6000 hectare, we are planting new every year so it is a big business for us. I think last year if my numbers are

right, we did about 1100 crores of revenue under oil palm alone and this is growing organically in any case. The big expansion that we are doing right now is that by next year, we will plant 25,000 hectares, year after will do more than 100,000 hectares. A big-ticket growth that you will see. 10% -15% growth you will keep on seeing it. A big-ticket growth will come after four years when you will see a sudden spike in both revenue as well as profitability.

Participant: So, until then a 10% increase in our....

Sanjeev Kumar Asthana: 10%-15% organic growth in any case, is happening.

Participant: On our edible oil business, do you think the worst of the cycle is behind us and now going forward, we can expect 3%-4% margin that we used to do?

Sanjeev Kumar Asthana: So, worst of the cycle is certainly behind us. I think last four quarters were probably exceptionally bad in last almost three decades, I think this quarter is I'm already seeing a significant improvement, next quarter should be even better. So, my sense is that edible oil is seeing an upswing in the cycle, and we should see a relatively better time in the edible oil.

Participant: Our cash balance is now 2000 odd crores. And every year we are going to accrue a lot more cash because our CAPEX is minimal as you outlined. So, do we have a dividend policy in place that we would like to implement?

Sanjeev Kumar Asthana: We have a dividend policy. Last year we paid Rs. 5. This year we paid Rs. 6 and so that policy is very stated, one that we would like the distribution of dividend profits to the shareholders and that we are following diligently.

Ramesh Bhojwani: Ramesh Bhojwani from Mehta & Vakil. First and foremost, it is so rejuvenating and recharging to see Swamiji in flesh and blood doing the presentation of a 40-year

enterprise to put it in

commercial terms. He is the moving force and spirit behind the Patanjali, behind Nutrela and behind I would say many crores of Indians who are die hard, 100% all Indian psychological thought process in the mind. I have two small points you mentioned in the presentation, Patanjali Foods is 5000 crores sized business. Why not make a public issue of Patanjali Biscuits Limited because it has achieved the scale and size. It will unlock not just value, but it will unlock cash flow money to be utilized for much faster, much smoother growth.

Sanjeev Kumar Asthana: I'll do a quick answer, but maybe Swamiji might like to respond, but it's already we are part of the food system. It's already done. I think the sum of the total, some of the parts, it's a much better strategy to follow and grow that. So, the company is on very strong footing, and I think we'll continue to grow.

Swami Ramdev: Whatever money we require, we will take it from you people. And we will also give back to you people. We do not believe in the caste system. Those eliminate illiteracy is called Brahmins, those who eliminate injustice are called Kshatriyas, those who eliminate poverty are called Vaishyas and who eliminates the impurity is called Shudra, we are four in one, that is why we also take, and we also give back too. Like it is said in Bhagavad Gita "Chatur-Varjya May"

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"Sinhah Guha-Karma -Vibhaga ha" that some people know how to take and do not know how to give. We were the first to give to the country for 30 years and in the last 3 years ever since the listing company came into existence we are still giving. Once I said, 'Hey brother, enjoy a lot', then you said to me, 'Speak a little slowly,' that's why whatever work you are telling me, whatever business we want to grow, there will be no constraints of money for it because givers like you are very generous and will take with full authenticity and give with authenticity with a full force.

Ramesh Bhojwani: He has put it beautifully you can't have a better expression than this. Thank you and all the best.

Shirish Pardeshi: This is Shirish Pardeshi from Centrum; I have three questions. The first question is on the oil palm plantation. So, you said 28%, your crop is 3 years old. So, maybe if you can give the journey what kind of investments next three to four years you would like to incur and when the revenue contribution will reach to about 10%.

Sanjeev Kumar Asthana: So, 28% when we say that oil palm as a cycle, so it takes three or four years for the new crop to start, seven years, it matures and thereafter it goes on for 25 years.

Swami Ramdev: In four years fruiting starts and in fifth year good fruiting comes. In six to seven years full fruiting starts. The current new crop has been fruiting for 30 years. The plantation we are doing now, more than 1 crore trees are giving us fruiting. We talked about three types of nurseries namely nursery, primary, secondary which is going on. We will grow this very rapidly. As of now we have 37 and three or four nurseries will be operational. Going forward, whatever work we will do we will have to do on several lakh acres of land every year. I have the full capability for that, so this whole series, as it is called, will continue continuously.

Shirish Pardeshi: What Kind of Investments do you plan to incur in the next three years?

Sanjeev Kumar Asthana: So, the investments are minimal right now because most of our investments will be backended.

So, in four years' time when the actual capacity is required, then that is the time we'll be making investment. Right now, our investments are minimal just in the nursery and the rest is all working capital. So, it's not really much of capital expenditure that we are doing right now.

Shirish Pardeshi: But in terms of refining?

Sanjeev Kumar

Asthana: So, in refining, we will build, as I told you that in year four and five, I think that time will require about \$150 million of investment and quite a bit of it, especially the investment in Northeast will get subsidized back by the government also.

Shirish Pardeshi: My second question is on you have shown a very strong growth in biscuits, 28%. What is helping you and from whom you are getting the market share?

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Sanjeev Kumar Asthana: So, biscuits, two parts which have driven the growth. One is the distribution expansion that we did, we have nearly expanded our distribution from 650,000 retail outlets to nearly 1 million outlets. We have filled up all the blank white spaces that we had and there's a continuous growth happening. So, we're just adding at the rate of nearly 5 000 to 7000 retail outlets in biscuits alone every month, literally that we're doing. Second is what we have done is that we've expanded the categories and the number of product range that we offered in the marketplace. And the third piece, which has come through the revenue growth is it's not just the volume, but it's also the higher revenue price point at which we are selling so that is driving the growth in the Biscuit space.

Shirish Pardeshi: So, what kind of premium portfolio, say Rs. 200 plus kg would be contributing at this time?

Sanjeev Kumar Asthana: Right now it's very minimal. As I mentioned in July this year, we started with our premium offering that we did of Seven Grains, Ragi and Digestives that we are set to expand now. Right now, it's minimal but the aspiration is that we want to take it closer to 1/4th of the revenue should come from the premium biscuits within next three years.

Shirish Pardeshi: My last question on Swamiji's thesis "merge -demerge," we are holding 2000 crores cash. Are there any plans, if at all if you want to look for any outside acquisition and if that is true, what kind of things or gaps do you think in terms of brand, portfolio, distribution, manufacturing?

Swami Ramdev: No, now this is a very serious question. That's why I told you about this that whatever opportunities we will have in food because a pure FMCG I think we will have a lot of opportunities in the coming 5 years to do things according to whatever best parameters we may have - in terms of growth, in terms of revenue, in terms of profit margin. In the next five years we will have lots of opportunities for acquisition and because this discussion has come up many times in investor meetings, what do you think about the demerger of the oil business and the total FMCG business? So, we have thought about this very seriously and the result of that will come soon. That's why I said that you also know the limitations within which these things can be said, but we are working on it with great authenticity, and we will soon announce what will be in everyone's interest and accordingly, we will execute. A consolidation is a big question for the entire business so there are limitations in talking about it now. You also know that I can say as much, but all the work was carried forward at a rapid pace.

Shirish Pardeshi: Thank you, Swami ji, my question was in this direction that you will also merge the personal care business going forward?

Swami Ramdev: I know what you were asking.

Dheeraj Dave: Thank you Swamiji and Patanjali Team Management. My name is Dheeraj Dave, and I am from Samvad Financial. I have a question basically we are reaching 1.5 million retail outlets and you said that we have reached from 0.5 million to almost 1 million in biscuits how much time did it take to reach to this level and what should we think because if we look at the competitors like Dabur or HUL basically they have reached around 8 million to 10 million. So, you are doing

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very well

in backward but what are you planning in reach distribution like how many outlets will we reach after 5 years and how many will we service directly?

Swami Ramdev: Dabur has a direct distribution of 10 million. Today Patanjali's distribution in the total universe is at least more than in 30 lakhs shops. Now we have pan masala vendors, golgappa vendors, cloth vendors and many other types of them so if you look at direct and indirect, there are not more than 50 lakh counters from where FMCG is sold, the rest are just on paper things that is a different thing. We are putting all our efforts into strengthening our distribution in every way. The most important thing is that our entire business is based on real-time visibility. As for the software we currently have in FMCG I can say that system, that software at present, I am not naming any company, but none of the companies have this software so we have learned a lot in

the last five years, and we have done a lot in the last five years . Now we have no problem in expanding this thing. So, very soon we will reach the extreme of distribution. You will see 25% to 30% growth in this business constantly every year.

Shirish Pardeshi: When we say 1.5 million outlets then this is direct VR services.

Swami Ramdev: This is direct and equally we have indirect too.

Shirish Pardeshi: Approximately 3 million total so I would suggest you keep that in the slides in future communication because all the company indicates that. The second part is basically in that non - traditional or modern retail outlets and online approximately as of today's how much of our share and how we see three years down the line ?

Sanjeev Kumar Asthana: So, like our current share, like in many other businesses, our share in e-commerce right now is less, it is less than 2%.

Swami Ramdev: Now we are deliberately keeping it low because it spoils our retail you also know that.

Sanjeev Kumar Asthana: So, many times, it happens there like our share is very good in modern trade. We do almost Rs 1500 crores through modern trade and are growing it continuously and full efforts are being made on it and the focus is on expanding the e -commerce part like nutraceuticals are building directly through D2C channel. We are doing Nutrela we are doing directly D2C . Max Nuts and dry fruits range whatever we offered, we are doing it through e -commerce and own stores, so it is omni channel strategy. We are pretty confident at e -commerce will also come up. We are selective over there because sometimes GT faces some difficulties over there , so we are just continuously fine tuning, but we have worked to do on the e -commerce side that we are building up now .

Nitin Gandhi: I am Nitin Gandhi from KIFS. Two things I wanted to know from you. Just like you are entering in oil plantation, so in the same way do you have any plans for entering into dates ? that's one thing . And the second thing is that grain -based millets like oats and quinoa has become a trend these days, so what do you think about it? Are you planning anything on that line? Are they really good or not in Indian condition perspective if you can share that too that would be great?

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Swami Ramdev: See we have launched all the millets, nothing is remaining . We started growing quinoa in India also. And the rest is now like it's a superfood of this so on and so forth , so these are the marketing strategies and all. We are doing whatever is best in it and we will do so going forward too.

Nitin Gandhi: About Dates Plantation ?

Swami Ramdev: Growing of dates is going on a lot in Rajasthan but we are not doing it but now they are doing it from outside because whatever is happening in dates in India also, from what I know is happening in Rajasthan till now. So, right now those yellow dates that are coming in they are selling it but I have not seen

en that much work of dry dates in India right now.

Vinit: I would like to understand the company's stake on the pharmaceutical business that is Ayurveda and can you comment on how we are dealing with the IMA issue that happened and what is its growth trajectory in the future ?

Swami Ramdev: It is better we don't speak on this issue. IMA is an organization of doctors who are mostly useless doctors who does only politics . You would not see any good doctors associated with this. Most of the doctors who are members of this they can be out of politeness. As far as fighting is concerned, till today we have not done any fighting just for the sake of fighting , we fight for the reason . No decision was taken by the Supreme Court , people just started saying Supreme Court hits out at Swami Ramdev. As much as we talked about hitting it, we hit it by 99%. We held a press conference about what is right and what is wrong . Anyone can come and made some comments and in that there was a useless discussion you must have seen the day this issue has come up the very same day we did a press conference and clear the air . This problem that we have with allopathy, where there is no treatment for BP, sugar, thyroid , asthma , liver, kidney, heart, etc. It is a thought process and an ideology. How can anyone tell the whole world that if we do not have a solution and there is no solution in the whole world? Like some people follow Islam , some people follow Christian, some people are communist, if they say that the whole world will be Christian, the whole world will be communist , that the whole world converts to Islam, then it is wrong then . It is a thought process and that is a different kind of fight and there is no challenge of any kind in it. God forbid these fights keep coming again and again, because whenever there are controversies, we get a chance to express our views. So, in every such situation, we get an opportunity to express our views, otherwise we have no problem with it.

Varun Goenka: Varun Goenka from Value Quest. One question is on brand strategy, why did you create Nutrela as a brand rather we could have launched it under Patanjali Foods , what is the thought process on this? Second, we are almost reaching our turnover of Rs 8,000 – 10,000 crores on the food side, but we are talking much bigger, it includes operational , supply chain logistics, raw material , quality standards inventory if you can share what challenges you have faced and what have you learned in the last few years , the scale up is not very easy so if you can share your learnings that would be great?

Swami Ramdev: We did a lot of research on the brand Nutrela for around one year. It was Nutrela Soya Chunk already so we were brainstorming whether we should launch Nutraceutical on the name of Patanjali Foods Limited
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Nutrela or launch it with another name. we had 8 or 10 names, we did a complete market survey on the names and then we decided to name the brand Nutrela . As far as backward integration is concerned and the entire raw material procurement , manufacturing , supply chain, dealing with such a big manufacturing, quality control, all these things is a very challenging job. But during our journey of last 30 years, we have been subjected to many kinds of things by people called myth , misconceptions and accusations or conspiracies. Some people don't even digest how these things are happening. So, today we do 99% of the manufacturing ourselves. The 22 locations that you have just seen were shown of Ruchi Soya Company . If you talk about total manufacturing units from Haridwar , to Nagpur , to Noida , to Tezpur to different places including everything from our Biscuit plant , to pharmacy, we have around 100 factories including all the small and big factories . Of those, about 5000 have inputs to us from our live cameras. If any problem of any kind occurs anywhere, it i

s immediately marked with a red mark. So , we have installed a complete system through that. That's why I told him that the system , process everything has been put in place this is about physical infrastructure . Now as far as manpower is concerned, it reduces our direct manpower by approximately 1,00,000 and indirect, people are involved in the entire system, from farmers , to different aloe vera plants , Amla, palm plantation deciding that about 5,00,000 people join the subway, so it is a huge task, but there is a lot of dedication in it and to take things forward, skilled people are needed, we have these kind of people, so that is why we are able to do this thing well. Yes, one has to always be alert , which we are maintaining. You must have seen it during Corona times , Patanjali did not face any challenge even for a day, so we tried to retain that too about 10 years ago, we started our transportation work and if our transportation work was done through Patanjali Parivahan , then it took 15 days to a month or two months for the rest of the people to become active in Corona , we own 1000 trucks to do our things and then get other logistics from the market, but we don't face any challenge regarding supply chain or any kind of distribution in any way that we will face any problem in doing it. Yes, as I said earlier, the distribution of all businesses is different from top to bottom, and we are doing it with complete responsibility.

Varun Goenka: There is a small, connected question in this that we are launching so many of their products and some are not connected to each other. For example, instead of making one of its champion products bigger and expanding into the same area for example, Marico is there they are just in oil category for the last 30 years and has become a product champion in it. We have ghee or and many such products where we are market leaders so instead of focusing on a few products, we are entering in the new products so what is your thought process behind that?

Swami Ramdev: Our leading products such as honey, Chyawanprash , our medicated juices market share of all those products is 70% to 80%, in some of the products it is 50%. In Soya Chunks we are about 50% to 60% depending on the different areas , we are 70 % to 80% in medicated juice. There are many different types of things, so our big brands, we will make them bigger. As I said Masala (Spices) , there is no problem in expanding them. We are growing only those products which are easy to grow , and we can grow them as well . The rest of the products where we have reached a peak, the focus is on both sides to remain at that peak and to increase it further so our focus is on both the sides because today as I said that we are dealing with revenues of Rs 45,000 crores within this company and going forward, our aim is to reach to Rs 1 lakhs crores in terms of Patanjali Foods Limited
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turnover, so you will have to make efforts on many directions but our priority is not diverted, it is focused. Whatever has to be made big, one has to make it bigger and bigger. Now we will see in a few days the top 10 -20 brands of Patanjali will be very big. The rest will continue to grow, organic growth will be there in those products .

Pritesh: Pritesh Vora from Mission Holdings here sir. my question is that after many years a company has emerged from India has come in our main capital market which is challenging the biggest FMCG. My question is sir, as of today, Hindustan Unilever, which is the biggest company, makes a profit of Rs 14 ,000 crores to Rs. 15,000 crores of EBITDA is about 10 x to 12x bigger than us, and takes about 5% royalty on its sales in foreign exchange outside India. So , what do you think sir, by when will we be able to cross this EBITDA of Rs 14 ,000 crores to Rs. 15,000 , when will we be able to challenge this if you have any timeline then please

let us know?

Swami Ramdev: Right now, we just have to digest what I told you. People are not able to digest our growth , so the sooner people are able to understand this , the sooner we will meet and beat . Actually what

happens , you must have seen that 10 years ago people used to say, "hey, all of them are talking about Rs 5000 crores when I used to talk then people used to say, it is not in the capability of Baba's , when we said Rs 10,000 crores then they said this cannot be possible, this is why we are accused of this and we have to answer about them. They say that we still don't have the knowledge. There is no technology, no research , that we don't have distribution ,do not have manufacturing capacity , the capability, and do not have professional management corporate governance. Th at we do not have system s and process . Now everything is done, now you see that for the last five years and at least for the last three years, most of the m have stopped talking . So, now we have reached one level.

Pritesh: Tell me the timeline now sir?

Swami Ramdev: Just told about the 5 -year timeline, next year you will know a lot about our performance without being told. Now look at it, which monk in the history of India got any company listed? For whom was it done , and everyone knows that I am a bit blunt in this matter. And has kept his entire life transparent. No personal interest of Rs. 1, I don't have an inch of land in my name, and not a share of Rs. 1 in my name. Now still, where we are doing this work for whom, so our ultimate goal is to make the country bigger, "Nation First, Country First" and work with good values. Many people raised slogans and gave speeches for 100 years from 1905 to 2024 -25, we only hear speeches about Swadeshi , who executed this on the ground. So, now we have worked on one level. Next time you will see the shirshasana of Unilever .

Pritesh: Very well said sir. Thank you very much.

Sheela Rathi : Pranam Swamiji. This is Sheela Rathi from Morgan Stanley A couple of Questions sir my question is with respect to the palm oil opportunity which we have started, Swami ji had said that there will be a sizing up of 5 lakhs hectares. Today we are importing all our palm oil requirements. So, how much domestic supply will we be able to do in the next 10 years according to the subsidy that the government is giving , if there is some number, it will be very helpful.

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Sanjeev Kumar Asthana: So, like India imports about 9 million tons currently and in the next 10 years the expectation is that the import will close to 13 million to 14 million tons. In our plan of 5,00,000 hectares, we expect that our production will be around 1 million tons to 1.2 million tons. If 80% of our requirements are fulfilled from that so, we will be self -reliant as a Patanjali will be complet ed. The country will have to import of course, because there is a huge requirement, there is a huge deficit so the country will continue to import continuously .

Swami Ramdev: This can happen later after completion of the 5-year target may be we will be so skilled up so now what we are talking about 1 to 1.5 we can reach to 5 also. So, after reaching a level, those things can be discussed further. So , the self -reliance of Patanjali is certain, we will have a big contribution in the self -reliance of the country , and we will be able to make it bigger .

Sheela Rathi : Secondly, Swami ji, you had said in the beginning that there are 400 researchers, will anyone get a sense as to what will be the R&D spend of sales for the company ?

Swami Ramdev: See, our research expenses are borne by our trust, our Patanjali Research Foundation is a trust. So, all this work is done in it . There is no burden of expenses of R&D on the listed company.

Tripat Venkatrao Shinde : Om Swami ji, you talk about making local is global, w

ill Patanjali ever bring royalty from outside?

Swami Ramdev: Look my intentions are very big, but my tongue is a little locked, so I can say only that much because you know that all ACB and all these stuff people scare me a lot. This is a listed company, everything is recorded. Don't speak even a single word from here and there , so if you want to listen to me freehold, then watch Aastha Channel in the morning.

Tripat Venkatrao Shinde : Swamiji, I have been listening to this every day for the last 10 years , that's why this question has been asked.

Swami Ramdev: So, in this forum I have some legal constraint in divulging the details . Look, I consider bravery as the greatest religion. I have reached here because I was brave and courageous otherwise a person who was born in the house of illiterate parents , a monk studying in a Gurukul in a government school has a dream that I will make a contribution in making India a world economic super power. This is what I have said now like I told you, after three months, every six months, you will see some new announcements, you will see acquisitions from here, you will see new skies and new heights. I will tell you that practically because everyone has told me when we talk in such meetings, we should talk which comes under the scope of law and legislation . My aim of awakening the people of the country is always going on , it will also hoist the flag in the whole world.

Siddharth: Siddharth Purohit from InvesQ Investment Advisors. One question is that the big brand that you have made Patanjali till now is largely your contribution and off late you have started all these things like celebrity endorsements, but going forward, as much as your vision is, there will be Patanjali Foods Limited

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multiple engagements will be required. So, what is your strategy for that and how much would you like to spend? You can give such a percentage of revenue ?

Swami Ramdev: Look, we will spend it well, we will not spend as much as the Unilever, it is not needed that much. But will also take multiple brand ambassadors , and we will also spend on distribution.

We have a lot of plans for that , so we will put multi -dimensional effort in that , then we will deliver it with more commitment than what I talked about today. You all know that to take a brand to the next level, whatever expenses are required in different ways like distribution, marketing, supply chain and so on, there is no dearth of expenses right now and there will be no problem as far as expenses are concerned in future as well. We don't have to see anywhere else for the expansion plans which we have made.

Participant: Do you have any plans on Ayurvedic Hospital like IMA has allopathic hospital that way can we have Ayurvedic Hospital?

Swami Ramdev: Right now, I am going to inaugurate one part of the Super -Specialty Critical Care and Surgery Hospital very soon . Patanjali Hospital has two phases, Phase -1 In Phase -1 we will complete the whole super specialty hospital. Within 3 to 5 years, the world's biggest wellness facility , the largest education center and the largest research center in the world you will see all that in Delhi NCR. Complete preparations have been made for it.

Kumar Rajesh: Om! Param Pujya Swami Ji Maharaj, Respected Asthana Ji and our distinguishing guests . All of us are feeling happy that you have accepted our invitation and are present in this auditorium and meeting Swami ji and talking about Patanjali Foods Limited . For this , I am very thankful and grateful to all of you on behalf of Patanjali Senior Management. And along with this, I would also like to say that there are a few products of our company outside which we have kept for you. You all take it and see it. Don't consider it as a gift, rather it has been given for your use only and it is kept for you only for that. There are also arrangements for tea and snack

s which

were there since the time of arrival, and it is still there. Thank you.

Call: Feb 2024

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PFL/202 4 February 14, 202 4

To
BSE Ltd . National Stock Exchange of India Ltd.,
Floor No. 25, Exchange Plaza,
Phiroze Jeejeebhoy Tower, Bandra -Kurla Complex,
Dalal Street, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051

BSE Scrip Code : 500368 NSE Symbol : PATANJALI

Dear Sir/Madam,
Sub.: Transcript of Earnings Conference Call Q3 & 9M FY24 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated February 09, 202 4 regarding audio recording of Q 3 & 9M FY 2023 -24 Earnings Conference call held on February 09, 2023. Please find attached transcript of the Earnings Conference Call.

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com .
You are requested to take the same on your record.

Yours faithfully
For Patanjali Foods Limited
(Formerly known as Ruchi Soya Industries Limited)

Ramji Lal Gupta
Company Secretary

Encl. As above

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February 09 , 202 4

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 09 202 4, will prevail.

MANAGEMENT : MR. SANJEEV ASTHANA – CHIEF EXECUTIVE OFFICER
– PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL OFFICER –
PATANJALI FOODS LIMITED
MR. CHINTAN KOTAK – INVESTOR RELATIONS –
PATANJALI FOODS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Patanjali Foods Limited Q3 FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjeev Asthana from Patanjali Foods Limited. Thank you, and over to you, sir.

Sanjeev Asthana: Thank you, and good morning. I trust everyone has had a positive beginning to 2024. On behalf of Patanjali Foods Limited, I warmly welcome each of you to today's earnings call covering the quarter ended 31st December '23. I'm accompanied by my company's colleagues, our CFO, Mr. Kumar Rajesh; Chintan Kotak, who's from the Investor Relations and our Adviser in Investor Relations, Strategic Growth Advisors.

We have uploaded the financial results and the investor presentation on the stock exchanges as well as company's website for your reference. I'm pleased to announce that our most recent financials underscore a robust performance reflecting our highest quarterly revenue since the company came under the stewardship of Patanjali management. This serves as a testament to the successful execution of our strategies translating into tangible results.

In the quarter, our performance has been propelled by edible oil segment with FMCG maintaining a stable performance. Our robust presence in the rural areas experienced a slight dip primarily due to the weather changes and some impact it had of the seasonality. Additionally, the effective sales volume was subdued in the FMCG space as well. Having said that, our initiatives to broaden our reach through new channels like modern trade, e-commerce, Q-commerce and B2C, especially in urban areas, have yielded positive results.

Concerning the Edible Oil segment, at the outset of the financial year, we encountered distinctive and unprecedented price volatility, characterized by a significant disparity between futures and physical prices of edible oils. However, during this quarter, we observed a contraction in this discrepancy resulting in increased price stability in the edible oil market. This reduction in pricing pressure coupled with robust demand contributed to a positive upturn in our overall performance.

Turning our attention to the performance of our Edible Oil segment. In Q3, the Edible Oil segment achieved INR5,482.64 crores in revenue, registering a sequential top line growth of 1.13%. Of this, INR232.55 crores is the revenue from the palm plantation business. The volumes in Q3 financial year '24 increased by 5.92% to 6.39 lakh metric tons versus 6.03 lakh metric tons

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in Q2 of financial year '24. In 9 months period in financial year '24, the volumes increased to 18.65 lakh metric tons with a growth of 16.22% over 9-month period in FY '23.

Branded sales continue to play significant role, constituting more than 75% of the total sales volume in the Edible Oil segment. The segmental EBITDA increased to INR107.67 crores against negative INR27.08 crores in Q2 FY '24, while it was INR223.19 crores in Q3 of FY '23. For the 9-month period in FY '24, the segment EBITDA was negative INR17.22 crores vis-a-vis INR86.27 crores in the previous year.

During the quarter, the company adopted various risk

mitigation measures to ensure it is

immunized from the price volatility to the best possible extent. There was a conscious reduction in hedge ratio considering the misalignment in the price direction in the futures versus physical. Hedging was based on fundamental and technical research. The company has always adopted natural hedge through and continuous churning of positions as per the market dynamics.

Our strategic efforts are currently concentrated on expanding sales in the premium oil segment through targeted initiatives and innovative strategies. We aim to foster growth and establish a robust presence in the premium oil market.

In the oil palm plantation business, building upon the initiatives launched in 2022, the Union Finance Minister shared strategies to achieve self-reliance in oilseed productions in the latest budget announcement last week. The plan aims to empower farmers to engage in cultivating oilseeds such as mustard, groundnuts, sesame, soybean and sunflower.

Key elements during her budget speech include researching high yielding varieties, adopting

modern farming techniques, streamlining procurement processes and more. This comprehensive approach is anticipated to have a positive impact on our oil palm plantation business as well. Certainly, the oil palm plantation business not only serves as a catalyst for substantial growth of Patanjali Foods, but also plays a crucial role in nation building. It is an integral component of our national effort. We are committed to spearheading and nurturing a thriving business that contributes significantly to the progress and prosperity of the nation.

Our endeavor is to increase earnings from oil palm plantation. For this quarter, oil palm plantation has achieved an EBITDA margin of 21.2%. The total area under oil palm cultivation is now 72,500 hectares, with an additional 4,000 hectares added in this quarter.

Approximately 1 crore trees have been planted on the cultivated land. Notably, we have achieved rapid plantation expansion as evidenced by the plantation, which are under 3 years old, which now constitute almost 28% of our overall plantation, showcasing substantial growth compared to 19% that we recorded in March of '23.

Two new state-of-the-art nurseries have been established in Northeast region, bringing the total Post Entry Quarantine, PEQ certified nurseries to 37 across India. These nurseries currently in-house about 1 crore sprouts. In the quarter, we imported 13.5 lakh oil palm seed sprouts from Costa Rica, Malaysia, Thailand and Papua New Guinea. Additionally, we signed a lease

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agreement with Assam Industrial Development Cooperation for establishment of palm oil mill in Assam. All these initiatives aligned with the pursuit of self-reliance in the edible oil business segment.

One of the key objectives is to reorient our marketing activities towards heightened brand premium and expanded market reach. In alignment with our brand building efforts, you will observe a more than 2x increase in advertising spend on Q-on-Q basis.

Notably, we have successfully signed renowned cricketer Mr. Mahendra Singh Dhoni to endorse the Mahakosh and Sunrich brands. We anticipate realizing the benefits of these expenditures in the forthcoming quarter, solidifying the company's investments in the impactful marketing initiative.

Now I'll come to the discussion on the food and the FMCG segment. The December quarter remained stable despite several factors which affected the overall operational landscape. The input price inflation exerted pressure on the costs, presenting challenge to the segment's profitability. Unexpected seasonal variations such as delayed winters and the impact of El Nino also influenced the quarter's performance.

Additionally, a deliberate and strategic decision to increase advertising spend to enhance brand visibility and

market presence contributed to the market dynamics of the segment's financial outcomes. These multifaceted factors collectively underscore the quarterly performance.

Our quarterly performance aligns with the objective of increasing the share of Food & FMCG segment. In the reporting period, the Food & FMCG segment contributed approximately 31.6% to the total revenue from operations, a figure which is consistent with Q2 of FY '24 performance. This strategic trajectory reflects a positive trend and affirms the efficacy of our targeted efforts to enhance the prominence and contribution of the Food & FMCG segment within our overall revenues.

The biscuit portfolio stands out as one of our company's most formidable offerings, showcasing an impressive 15% year-on-year growth in the December quarter and 24% year-on-year growth over the 9-month period. It is on track to achieve a revenue milestone of INR1,500 crores, reflecting a remarkable 50% growth in just 2 years.

The stellar performance is particularly evident in our marquee biscuit brand, Doodh Biscuit and Nariyal Biscuit, both registering robust growth rates exceeding 25% during the quarter. The recently launched premium range has garnered a positive market response with steady repeat orders. The division caters to approximately 1.2 million retail outlets, showcasing the extensive market penetration.

Looking ahead, our vision involves expanding our customer base further by introducing new products in the upcoming quarters. The planned launch of handmade cookies and chocolate-chip cookies, coupled with facelift for the company's presence in the urban markets is part of this strategic growth plan. Additionally, we are actively considering the strategic expansion of our

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manufacturing capacity to accommodate the growing demand and capitalize on emerging market opportunities.

Our spices portfolio encompasses a diverse range of essential spices like turmeric, cumin, chili powders, spice blend etcetera. The spice market holds tremendous potential, and recognizing this, we are actively pursuing the expansion of this category.

Our TV commercials are currently being aired, and we are witnessing a multiple uptake in our spice demand, which is similar to also what we are doing for Chyawanprash and honey advertisements also. Under the 30-year-old brand Nutrela, the premium dry food range, we recently introduced has received widespread acceptance in the marketplace. The Nutrela Maxx Millet Oats underwent a successful pilot launch in Kolkata in November '23, and was officially introduced in Southern India in December last year.

Our nutraceutical brand has been steadily establishing itself as a top player in the industry, bolstering its position through continuous innovation and product enhancement. Nutrela's nutrition recognition as a Nutraceutical Company of the Year at the India Food Safety & Nutrition Summit and Awards 22 - 23 validates our commitment.

As affluent India experiences a robust wealth effect, the consumers make conscious food choices. Preferences have shifted towards premium products, reshaping the industry landscape. There is a growing appetite for premium food items among consumers. In line with this trend, Patanjali has intensified its focus on premium offerings, aligning with its commitment to innovation and enhancing the premiumization strategy. And premium products are expected to drive higher margins also.

We live in a highly dynamic world, and in recent times, the logistics network has faced disruptions due to the Red Sea crisis. We are closely monitoring the situation on this front. While our edible oil imports come largely from Asia, in case of palm oil, but they do -- especially the soft oil, which comes from Europe and South America, there is a challenge.

On the organization front, we are thrilled to announce

that we have once again been honored

with the esteemed, Great Place to Work Award for the third consecutive time. This recognition underscores our steadfast dedication to excellence across all facets. We are in the process of finalizing our ESOP policy, which should be rolled out hopefully in the next 2 weeks' time.

Taking a closer look at our financial performance. I'm coming to the last part of my opening remarks. Taking a closer look at our financial performance during the quarter. Our revenue from operations in Q3 of '24 clocked at INR7,910.70 crores, registering a marginal growth over Q2 of FY '24. The total income recorded is INR7,957.3 crores. Our EBITDA was INR390.6 crores with a margin of 4.9% during the quarter as against 5.3% in the previous quarter and 5.1% in the same quarter last year.

Quarterly PAT was INR216.5 crores versus INR254.5 crores in Q3 of last year, while the PAT margins were 2.7% versus 3.2% in Q2 of FY '24. The revenue from exports was INR62.06 crores, making an increase of 49% over the previous quarter.

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For a 9-month period, the numbers stack up as follows: Our revenue from operations is INR23,499.69 crores. The total income booked at INR23,613.60 crores. Our EBITDA has been recorded at INR1,021.82 crores. And our PAT, which has been recorded is INR558.83 crores. We expect to close the fiscal on a high note with the revenue from Food & FMCG segment contributing to more than 30% to total revenue on a full year basis.

With this, let us now open the floor for Q&A. With this, I conclude the call. Thank you all for your patience. If you have any further queries, you can reach out to SG Advisors and we are open to any questions now.

Moderator: We have our first question from the line of Abneesh Roy from Nuvama.

Abneesh Roy: I've got 3 questions. First is on biscuits. So it's a focus segment for you. I wanted to understand 2 things here. One is if I see growth rate this quarter, it is meaningfully slower than in first half, so 9 months growth rate was 24%, while Q3 growth rate was around 15.4%. So that's a significant slowdown and it's your focus category?

Second is biscuit is a very diversified portfolio. So here, you are focusing on the mid - and lower end. Or are you focusing more in terms of premiumization? That is the first question.

Sanjeev Asthana: So I'll answer that question. So biscuits typically, in terms of the slowdown, it's a part of seasonality effect. Typically, which is slightly strange in the areas, their distribution is pan-India, but especially in north and eastern part of the country and partially in the western part, we always witnessed a slowdown in the biscuit sales during the winter months. And so it's part of a pretty much similar trend that we observed last year also.

So for example, biscuits last year in Q2 was INR378 crores of revenue. In Q3 FY23, it dropped to INR337 crores. And this year, likewise, as you've seen, the biscuits from INR456 crores have dropped to INR389 crores. So it's part of the seasonality effect, and I would not read too much into it. We'll get back to it. We are pretty much on course to achieving INR1,500 crores of revenue in this fiscal. In this quarter itself, that will improve. So it's pretty much a seasonality impact.

To answer the second part to your question, largely our portfolio has 2 components. One is the value biscuits like doodh biscuit, which is our largest selling product. It is almost close to 75% plus of our portfolio right now. We are adding more premium products to it. Late last year, we had launched in August 3 variants of the premium biscuits, like ragi, 7 grains and digestives, which are gaining a lot of traction on the marketplace. We have a few more launches, which are planned in this quarter. So long term, we'd like certainly the portfolio to be more balanced between premium and the value segment.

And the value segment always has challenges around the input inflation on wheat, palm oil and sugar, typically in the packing material. The benefit of the increased sales is clearly helping us in expanding the EBITDA substantially. But also, we'd like this to be a premium segment. So we're pretty much at par with the best in class in the industry now. And we will focus more on

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expanding our value reach, but a lot more focus is now in terms of driving the premium end of the biscuit range that we have.

Abneesh Roy: My second question is on EBITDA margins for Food & FMCG. So one is it's very volatile. So if I see your Q3 margin, that's around 400 bps lower than first half of the same financial year, and your margins have fallen Y-o-Y both for Q3 and for 9 months. So want to understand why you want to focus more on sale of staples because that will be more competitive. Most companies in food and FMCG try to go for a profitable volume growth. So in that context, why not focus on the higher-margin businesses, focus on premiumization than focus on sale of staple?

Sanjeev Asthana: So Abneesh, I'll just take a minute extra to explain why this has happened. So to your point, On the overall basis our run rate is pretty stable in terms of the overall business, and staples have contributed very well. In this particular quarter, if you remove the big benefit that we had in the Q2 when we acquired the business from the parent, so we had a big bump on the inventory, etcetera, that came in under the slump sale, which benefit accrued in Q2 of last year.

But post that, we are pretty much in a range. I think this particular quarter, the challenge has been basically threefold why the margins have dropped, is one is that on the staple side, we clearly had an impact of sort of seasonal inflation on the input pricing across the board pretty much. So if you look at the rice, wheat, pulses, some of these spices, etcetera, so there's been a challenge, which the impact, I would imagine, will be close to about 1% of our overall EBITDA margin on the food side. So that was one impact.

Second is that we had the impact of the additional spend on the food side of almost nearly INR29 crores which we spent on the advertisement in the quarter, due to which 100 basis points it knocked off from the foods EBITDA.

And third is the seasonality impact that we had in 2 businesses, both biscuits and Nutrela so it is not entirely the staples part. It's also we had a similar drop, which is witnessed in the winter months and partially in Nutrela as well in our TSP portfolio, which is not a consistent. There's a blip always in a particular quarter because the people move on to different food inventors, and that's why this happens. It again stabilizes. So that will be about 1.5%, what we had dropped in both Nutrela and biscuits.

So I would not read too much into it. Our staples, in terms of the drop, would have contributed to just about 1% plus to the dip in the margins, we should do that. But to your larger point that why the focus should be less on staples and more on the premium end. Absolutely, that is pretty much the target. So we are spending heavily on, as I mentioned, Chyawanprash, honey and spices.

We are adding a lot more premium end products to our food range as well, as I mentioned in the biscuits. The idea being that our dependence on the staples will remain volatile and especially as we, in some sort of windows, especially going into an election year in the last quarter, etcetera, there might be some blip. But broadly I'm pretty confident that this will be just about a minor one, and we should be pretty much getting back onto our regular run rate that we had, back to around 15% plus EBITDA margins in the foods portfolio overall.

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Abneesh Roy: Sure. Last quick question on edible oil. So MS Dhoni brand ambassador plus higher advertising. What is the thought process here? Is it because regional players have become more competitive, local plays more competitive because of the commodity meltdown? They always come back when that happens. Or is it because you want to become more of a premium player here longer term within your subsegments? Or third reason could be your market share. It's a strong second player market share, but gap with the #1 player is there. Do you want to bridge that gap, which is the main reason for this?

Sanjeev Asthana: So the main reason is clearly that, a, M.S. Dhoni stands for sort of health and nutrition and very clean image, which fits in very well with our philosophy. Second is to expand the reach into areas where we were less covered. So while the distribution is pretty extensive, that we have because the size and scale that we have across the country. But I think especially Mahakosh and Sunrich are strong brands, which needed a fresh dose where, we reach out to the consumers and add a bit of premium to currently that we are.

So we already are witnessing some impact of this in our both the brand premium that we earn as well as in the distribution reach that we built up. So it's a combination of all 3 that we'll be able to compete more effectively if our brand premium continues to expand.

And I'm reasonably confident that I think remaining the course as we currently are, we are pretty confident of building up at a level where we should be expanding our margins, we should be expanding our sales, which we are aggressively pushing constantly. Our volume growth is way more than the industry standards and the country's demand.

And we are witnessing a consolidation in the edible oil sales. The risk profiles have gone up. The capacity of smaller and mid-sized players to continue with that is lesser. So I think we should witness better margin construct increase still and we keep consolidating on that base.

Moderator: The next question is from the line of Dhiraj Mistry from Antique Stockbroking Limited.

Dhiraj Mistry: Yes. So my first question is on nutraceuticals. So the last quarter, we were having a same run rate of INR14 crores, INR15 crores, where there was some inventory correction which happened. What is stopping us from scaling this business in this quarter?

Sanjeev Asthana: So Dhiraj, the issue is not on what is stopping us. The issue is doing it right. So we have 3 strategies that we are pushing in nutraceuticals. One is that after the huge scale up that we had in the beginning in last year, we have completely reworked on our strategy. In terms of the reach we currently have, we have close to 1.7 lakh retail outlets that we reach in nutraceuticals. Second thing is that we've added a lot more products to our portfolio. There are more launches that have been lined up, especially for kids and women. For example, gummies and effervescent tablets and new range and with more flavors.

And the third one is that we are increasing focus on e-commerce and D2C and the more emerging segments of the distribution channels, which we can drive and build up that change, which is

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what the effort is. It's taken more time than what we thought. I'm reasonably confident that in the ensuing quarters, we will pick up.

So overall, we want to quickly start getting this behind us. And I'm still reasonably hopeful that nutraceutical is very good to get into a INR200 crores portfolio in next year. And all the preparations are ready. The teams are ready. The business is already going up. It's substantial. There's a wide-scale acceptance of the product. It's just that nutraceutical is a particular way of moving.

So our reach on the retail side is very good, but our e-commerce and D2C is the one which is still to

be in traction. We have spent heavily in social media campaigns. We are actively at it through the year. We've got an excellent team, which is in place. So it has taken a little more time, but I'm reasonably confident that, I think, given 1 more quarter, I think we should get back to our winning race in nutraceuticals. And the objective, as I mentioned, that next year, we should be targeting closer to INR200 crores of revenue in nutraceuticals and with a very healthy margin. Our target margin is close to 25%, we should be able to put that in place.

Dhiraj Mistry: Okay. Okay. That answered my question. Sir, second part on the Food & FMCG business. So in this year, for the 9 months, we are around 15% margin. But our long-term guidance has been somewhere around 17% to 18%. How confident you are of achieving that kind of margin and by when?

Sanjeev Asthana: Our guidance has always been that our target range of 16% to 18% and in very diverse set of categories. So for example, if I were to compare this year versus the last year, we are at about 14.6% in the current year and versus 19.9% what we had. So broadly, my sense is that we should get back to be pretty much a similar range.

This quarter, as I mentioned, we dropped pretty substantially to almost by more than INR100 crores, for which I explained the reasons as well, like our drop in Nutrela, which is seasonality play for INR16 crores. Biscuits came down by INR21 crores, again, pretty much a seasonal play, which we should get back. And food was INR71 crores, largely around both advertising, part of that through food inflation. So overall, if you're asking as to how this is going to go, we should get back to pretty much on the same basis.

In the previous question we also discussed regarding Staples we would be working towards it, hopefully, that uncertainty should go away. So long-term projection that we have between 15% on a conservative basis and 18% on a better basis, I think we should be able to accomplish that objective.

Dhiraj Mistry: Okay. Can you help me with the revenue from oil palm plantation in this quarter and EBITDA for this quarter as well as for 9 month basis?

Sanjeev Asthana: So oil palm plantation business, what we have, for example, the 9-month period, our EBITDA is INR148 crores, which is about 17.9% in terms of EBITDA margin. In this quarter, our margins were INR49 crores, which is a 21.2% margin in the oil palm plantation business. And we are actually getting, hopefully, by next year because the age of younger plants are getting better and

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better. I think it should get a bigger uptick I think the year after, when some of these plantations, what we planted last year will start to fruit and start to get there.

Dhiraj Mistry: Okay. Okay. And sir, last question on oil business. Now the oil price is relatively stable, so in coming quarters, what is our expectation? Like in this quarter, we have moved to 2% EBITDA margin. If the oil prices continue to remain at this level, what kind of margin we can expect in next year?

Sanjeev Asthana: So margin next year, we are very much confident that we should be better than the midpoint range. I think these 4 quarters of continuous volatility should be behind us. The efforts that we are making on campaign with M.S. Dhoni, the distribution, et cetera. So for next year, between 2% and 4%, we've always maintained for our edible oil business. We are reasonably comfortable to closer to 3% plus next year on the edible oil business.

Moderator: The next question is from the line of Kuldeep Gangwar from ASK Investment Managers.

Kuldeep Gangwar: Just a couple of clarification. Like you mentioned about INR29 crores A&P (Advertisement & Promotional). So whether it's only for food business or it's for the overall company?

Sanjeev Asthana: It's for the overall company, Kuldeep, but

it is higher by almost about INR15 crores compared to the previous quarter. So for foods, it's about additional INR15 crores that we spent.

Kuldeep Gangwar: Okay. And will it be possible to share, sir, segment-wise revenue and EBITDA within the Food & FMCG business?

Sanjeev Asthana: Yes, sure. So if we look at this quarter in terms of the revenue breakup, we have on the soya products, the Nutrela, the revenue is INR132 crores. The biscuits business revenue is INR389 crores. The food revenue is INR1,963 crores and nutraceutical revenues, INR14 crores.

Kuldeep Gangwar: And what would be the corresponding EBITDA if possible?

Sanjeev Asthana: Yes. So for Nutrela, it is INR19 crores. For biscuits, it's INR69 crores. For food, it is INR186 crores. And for nutraceuticals, it's a negative INR3 crores.

Kuldeep Gangwar: Sure. And you mentioned about, say, 3, 4 reasons about this Q-on-Q volatility of the margin. So it's specific to food business, right, like while it has come down from 15 to 11. So A&P 1%, biscuit and nutraceutical combined 1.5% and staples. Is it correct to understand?

Sanjeev Asthana: That's right. So basically, as I was just explaining, and maybe I'll give 30 seconds to quickly repeat it again. Why the margin sort of fell. So seasonality impact is almost about 1.5%, where INR37 crores, we dropped on Nutrela & Biscuits. So Nutrela, for example, our EBITDA was INR35 crores in Q2, which is INR19 crores in this quarter. So that is a INR 16 crores drop. Biscuits, it was INR90 crores in the last quarter. This quarter, it came down to INR69 crores, which is INR21 crores drop. So this was largely seasonal and which INR37 crores, which is about 1.5% what we dropped in the margin.

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Advertisement spend is about additional 1% and staples sort of category, which contributed to about 1% due to a very specific quarterly sort of challenge that we had on the business, which is about the inflation across the board, largely a lot of policy interventions, et cetera, which are there and sort of during the quarter, especially considering the sort of environment that we currently are in. I think that's been there, but hopefully, that should be gone once the elections are done and over. Pretty much that should be well past us.

Kuldeep Gangwar: Sure. And in food business, revenue Q-on-Q, in past had variation like if I look Y-o-Y, food business almost 50% in the quarter. So on steady-state basis, what should be the good expectation from this particular segment overall?

Sanjeev Asthana: So I don't know if you are asking for the FMCG segment or only the food part of the portfolio.

Kuldeep Gangwar: Food and FMCG combined.

Sanjeev Asthana: Combined. So as we have said, I think the revenue run rate, my expectation is that we should be pretty much on course for a pretty much similar revenues. So just one sort of caveat there. I think many times, the seasonality impact is there.

So I think what you may have witnessed is that, a couple of quarters, India has got its own specific preferences for foods in different seasons. So you may have variations in quarters as I mentioned about biscuits and Nutrela in this particular quarter. But in general, I think we are pretty confident that we should be in this broad ballpark range of about between INR2,000 crores to INR2,400 crores in the food business and FMCG business overall.

Moderator: The next question is from the line of Vishal Gutka from PhillipCapital.

Vishal Gutka: Just 2 questions. Firstly, there are news articles stating that Patanjali -- I don't know if it a listed entity or through with the parent arm, we are looking to acquire Rolta. Just wanted some clarification on that. That will be the main focus of the business.

And second is that any thoughts, your thought which was in the recent investor analyst meet, you had highlighted that the company is looking for M&A. Any thoughts of merging the

personal care business that you have with the food arm, so that leads to further value creation for listed entity? That's it from my side. Thank you.

Sanjeev Asthana: Sure. So I'll answer the first question first. So while it is the parent which has shown interest in Rolta. I think people are less aware that Patanjali, the parent, has also a very large IT business.

And certain areas of Rolta are fitting into the strategy of that IT business, which is run under Bharuwa Solutions to sort of explore synergies there and see that it is the right sized -- right kind of asset, right kind of intellectual capital and knowledge what they have to explore acquisition of that. So broadly, that is a plan around Rolta to the best of my understanding. I may not be able to give a lot of details around it. But broadly, that's the plan.

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In terms of the further consolidation of the FMCG portfolio within the group itself, so this is often discussed and debated and thought through also. We also explore these areas. I think we'll have to wait for this to happen.

So clearly, if you ask logically, it makes a lot of sense and brings in a lot of synergy and value to be doing this. So from a logical thought perspective, it should happen but I think we'll wait for this to happen and really get announced for us to take this forward. But I would imagine that there is a logic why this should happen.

Vishal Gutka: Got it. And sir, what kind of growth rates are you expecting in medium term for the Food & FMCG business? Well shall be able to grow 20% plus for Food & FMCG business in the ongoing year?

Sanjeev Asthana: So overall, we have a diverse portfolio. So 20% plus is always a challenge. I think, typically, what we targeted was that we should keep between 12% to 15% growth rate in revenues. So we have done fairly well on this front, barring some blips here or there. I mean largely, we are pretty much on course to achieve between 12% and 15% consistent growth in our portfolio because there are a lot of categories where we are not present. There are categories in which we need to fully flesh out and fully expand the opportunity. So we are pretty much on course for that.

Vishal Gutka: And any update on dry foods piece that I think a few quarters back were highlighted that you have signed up with an international player as well for the dry foods business. Have you commenced that? And what is the update on that front?

Sanjeev Asthana: No. So we've already commenced. As I had mentioned last time, we launched our first 4 under the Maxx Nuts category, Nutrela. It is receiving very good response on the e-commerce platforms and our own stores. So right now, it's a pilot phase when we are sort of consolidating and getting our overall distribution right. At some point of time, once this is over. So, if I have my numbers right, we've done more than INR4.5 crores of sales during the quarter. And we are

going to expand that further.

So we are pretty comfortable because there is a supply chain benefit that we have sourcing directly from the suppliers. And also both our own stores and e-commerce and D2C, I think we should be able to expand that footprint pretty rapidly. So we are very much on course for that.

Vishal Gutka: Wishing you all the best for the upcoming year because I think that now edible oil business, I think, you settled down and the growth rate picking up in Food & FMCG. It should be much better profitability coming from FMCG side of the company.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking Limited.

Shirish Pardeshi: Just 2 questions. Now edible oil inflation is settled, and there is a good amount of inventory, which would have exhausted of the high price. So going forward, this 1.5

% can go to potentially
3.5% in next quarter margin?

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Sanjeev Asthana: So potentially, yes. I mean, as we do know that market has its own sort of short-term volatility which would be there. Our target always is that we'd like to keep it stable between 2% and 4%.

So to have a straight answer, whether it can go, definitely, it can go. And that is the effort as well. So, so far, what I've seen in the month of January, there is a confidence that we should pretty much see better performance than this quarter.

Shirish Pardeshi: So in terms of overall edible oil business, how large would be Mahakosh now?

Sanjeev Asthana: So between Mahakosh, Sunrich and Ruchi Gold, we do almost INR15,000 - 20,000 crores of business. And within this, Mahakosh should be about 25%. We should be about INR6,000 crores in Mahakosh.

Shirish Pardeshi: Yes. The reason I'm asking, this business is growing much faster pace, and obviously, you've put MS Dhoni. So I think is that the strategy we're wanting to get this to half or it will remain in the similar level of 25%?

Sanjeev Asthana: No. So we have 2 brands, Mahakosh and Sunrich. The effort is on both sides. I think together, currently, it constitutes about 35% of our portfolio, I mean, some quarters goes up. But I think pretty much, we'd like Mahakosh and Sunrich to be closer to 50%. And palm oil has its own challenges in the kind of premium that it can fetch. So that's why the big focus is on Mahakosh and Sunrich as brands in our portfolio.

Patanjali in cold-pressed oils and premium oils will continue to drive and Nutrela oil, we are pushing as well now, so that -- at a mid-price segment. So the most premium is Patanjali. Next here is Nutrela and then we got Patanjali, Mahakosh and Sunrich, is what we are driving towards. And the commodity brand is Ruchi Gold, which is around the palm oil brand that we have.

Shirish Pardeshi: So just more curious, between Mahakosh, Sunrich and Ruchi, what will be the EBITDA margin difference? Would it be substantially about 200, 300 basis points higher?

Sanjeev Asthana: Yes, definitely. So compared to Ruchi Gold, Mahakosh and Sunrich is always significantly higher. And in fact, we are witnessing both sort of pricing strategy that we follow. As I was mentioning earlier to a question that from a pricing strategy perspective, distribution perspective, there's a lot more focus to get our distribution right and also the pricing uptick we have started taking.

So that is we have seen the benefits of both the getting a new brand ambassador, pushing the advertisements, pushing into a lot of these products into self-service stores and those markets. I think we expect certainly that this lead of Mahakosh and Sunrich over the Ruchi Gold should expand. And we're certainly getting there. I think this quarter is one witness that we have seen, and I think that push will continue.

Shirish Pardeshi: Okay. And my second question is on the biscuits. So we are growing much faster. So I'm just more interested, what is the capacity you are looking for building biscuits or it is enough for next year? And overall, what kind of CAPEX we are envisaging in the FMCG business for next year?

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Sanjeev Asthana: So largely, there are 2 strategies that we have, one is that we got 3 plants of our own, and we've got 12 locations, which we have on contract manufacturing. So capacity is not a constraint at all in terms of expanding our reach. So that work is going on.

In fact, at Noida, we're putting up our cookies factory and cream biscuits which are premium end facility, which is there. And so I don't expect any problem on capacity to service the demand as we grow. That should not be a limitation.

Shirish Pardeshi: Okay. And one more just follow -up on biscuits. What I understand, in terms of

f distribution, we

are weaker in South. So is the plant is not there? Or is the focus is not there? Or is the distribution is a challenge in South? And if that is true, what is the efforts which you are taking to build the South business?

Sanjeev Asthana: Yes. So it is not that it's weaker. And a lot of our capacity is in Hyderabad in South. So that's not a problem. The capacities are there. We service the southern markets very well. But your observation is correct that we need to further beef up our presence. We need to further build up marketing efforts in South. There are other areas also, which are certainly we find that we need to pay a lot more attention.

But that is part of a continuous process of evolution and development that we keep driving, where we are reaching out to the newer markets, we are expanding our reach into different segments. So that's pretty much part of our ongoing efforts.

So I would not read too much into it. But yes, our focus is there. Some of the products do sell very well. For example, our edible oil, in south we are huge in palm oil. We are very large in several segments. It's a different ways of approaching it. But biscuits, we will expand more in South, and there is a very good traction that the company has in the southern markets.

Shirish Pardeshi: But sir, is it because that we have a common distribution like in the front end?

Sanjeev Asthana: We don't have common distribution. So one of the unique features that we have within the company that we've got very separate teams, separate business heads, completely separate distribution channel, including there may not be many common distributors also. So that is why it gives us the kind of focus that we want in the marketplace and which is one of the reasons that our growth expansion which is happening across all the verticals.

Shirish Pardeshi: Okay. And just last question on new product in the FMCG, what kind of contribution which we have seen this quarter?

Sanjeev Asthana: Yes. So in the overall, the play because of the large size, the contribution is not very significant.

But as I mentioned, for example, we did about INR4.5 crores of nuts. We have done additional about INR4 crores of biscuit sales. We have done also done ragi biscuits during the quarter. And millets, we have done additional INR2 crores of sales, what is that – now we launched initially as a test pilot in South. We expanded that to the Eastern markets in Bengal. So we're gaining traction.

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I would say the new product launches, which is just about 5 months, we would have done more than INR10 crores, INR11 crores of business in there and which is growing. But in the overall as a percentage to the overall business, it's miniscule right now.

Moderator: The next question is from the line of Rohit from SK Securities.

Rohit: So I have a couple of questions. Can you shed some light on the price trend you envisage for the quarters to come?

Sanjeev Asthana: So price trend in which categories?

Rohit: Mostly in edible oil.

Sanjeev Asthana: Okay. So in edible oil, the markets have their own ways, because India is nearly a 70% importer of its requirement. So clearly, the global trend that we are seeing right now is the markets in the last 3 trading sessions have moved up on the future exchanges. India is pretty much in an environment of stable price regime to marginally bearish.

But our expectation is that this could change. So there are very good crops, which are going to come up in South America, very good crop of mustard that we have domestically. There's a good development on the palm oil crops. So overall, it looks stable.

But right now, if you ask me that in the last 1 week, what's my sense is probably stable to marginally upish is what I would imagine the edible oil prices are going to be.

Rohit: Yes, perfect. And second question

is, are there any new products in the pipeline?

Sanjeev Asthana: So there are, of course, new product development is constantly sort of being worked out. So yes, there are several products across all the categories. So as I mentioned that we've got nutraceuticals sea of products.

Biscuits, we've got premium end biscuits, which are going to be launched soon. In Nutrela, we are building it into an umbrella brand. We're looking at breakfast cereals. Nuts, we have already launched, millet-based products are there. Then within the foods category, also, we are looking at expanding our reach. So yes, there's a lot of products which are going to be launched.

Moderator: The next question is from the line of Akhilesh an individual investor.

Akhilesh: So this quarter, we spent INR28 crores on advertising. So what is the budget looking like for Q4

and FY '25 on advertising spend?

Sanjeev Asthana: So we will maintain pretty much the trend, and we are going to be in the marketplace and it is going to be similar or even more in terms of the plan. So this quarter, certainly, I'm expecting larger than INR29 crores and next quarter as well. And the plan is twofold, basically continue to aggressively rebuild where the rebuilding of the brand was required, repositioning was planned. And also the new ranges as we are constantly sort of bringing to the marketplace, we'll continuously to support them with the aggressive A&M.

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Akhilesh : So do you think then that the EBITDA margin will remain under pressure because advertising will keep getting ramped up? Or do you think that the Food & FMCG segment can get to 15% margin pretty soon, Q4 onwards?

Sanjeev Asthana: No. As I mentioned, the advertisement spend is not a large dent overall. There was set of 3 factors which impacted. So if, at all, there is a blip, it will have a marginal impact for sure. But the other things, once they come up, I think we should pretty much be positive on the earnings outlook. So we should be pretty much okay. But advertising is something that we need to be in the marketplace and be there, which is what the effort is.

Akhilesh : And my second question is on the Oil palm plantation. This quarter, we have added 4,500 hectares. So I'm curious to understand how the pace is decided. Are we choosing to do 4,000 hectares, 5,000 hectares every quarter? What is the max we can do every quarter? Because the sooner we get more and more acreage done, the sooner we will get the rewards of 3, 4, 5 years down the line. So how are we deciding how much to take on in a particular quarter? What are the factors impacting that?

Sanjeev Asthana: So there are 2 sort of pointers, which give us that how fast we grow. So in terms of the preparation, as I mentioned, that there's a 15-month lag typically between importing the sprout, putting it on nurseries, it grows and then we distribute to the farmers.

And the second factor is the farmers' willingness to go for it because they are moving in India. We are not cutting the forest to do that. So farmers have to get out of a particular crop to move into it. And for them, it's a leap of faith as well. So that work continues, but I'm expecting this pace to pick up very fast now because we see the cycle of the fresh saplings are getting ready. And I'm expecting that next year should be significantly higher compared to this year.

The plan is closer to 25,000 hectares plus is what we are expecting that we should be planting next year. And thereafter, it is going to pick up. There will be a massive uptick in the year after.

Moderator: That was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Sanjeev Asthana: So we are very thankful to everyone who attended the call and asked a very good question. With this, I conclude

the call. Thank you for the patience. And for any further queries, you may contact SGA, our Investor Relation advisers. Thank you so much and have a good day.

Moderator: On behalf of Patanjali Foods Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

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PFL/202 4 May 21, 202 4

To
BSE Ltd . National Stock Exchange of India Ltd.,
Floor No. 25, Exchange Plaza,
Phiroze Jeejeebhoy Tower, Bandra -Kurla Complex,
Dalal Street, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051

BSE Scrip Code : 500368 NSE Symbol : PATANJALI

Dear Sir/Madam,
Sub.: Transcript of Earnings Conference Call Q4 & FY24 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated May 15, 202 4 regarding audio recording of Q 4 & FY24 Earnings Conference call held on May 15, 202 4. Please find attached transcript of the said Earnings Conference Call.

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com .
You are requested to take the same on your record.

Yours faithfully
For Patanjali Foods Limited
(Formerly known as Ruchi Soya Industries Limited)

Ramji Lal Gupta
Company Secretary

Encl. As above

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"Patanjali Foods Limited
Q4 FY '2 4 Earnings Conference Call "
May 15, 202 4

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 15 2024, will prevail.

MANAGEMENT : MR. SANJEEV ASTHANA – CHIEF EXECUTIVE OFFICER
– PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL OFFICER –
PATANJALI FOODS LIMITED
MR. PRIYENDU JHA AND MR. CHINTAN KOTAK –
INVESTOR RELATIONS – PATANJALI FOODS LIMITED

Patanjali Foods Limited
May 15, 202 4

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Moderator: Ladies and gentlemen, good day, and welcome to Patanjali Foods Limited Q4 FY '24 Earnings

Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjeev Asthana, CEO from Patanjali Foods Limited.

Thank you, and over to you, sir.

Sanjeev Asthana: Good morning and welcome! Thank you for joining us today for Patanjali Foods Limited's call to discuss the results for Q4 and FY24. I am accompanied by the company's CFO, Mr. Kumar Rajesh, as well as Mr. Priyendu Jha and Mr. Chintan Kotak from the IR team, along with our investor relations advisor, Strategic Growth Advisors. For your convenience, we have uploaded the results collateral on both the Stock Exchanges and the Company's website.

Our initiatives in every area have set a solid foundation for FY24 and are keeping us on track for an even stronger performance in FY25. I'm pleased to announce that we've achieved strong results across multiple financial metrics in the fiscal year 2024. Our revenue from operations reached INR 31,721.35 crore, while our EBITDA stood at INR 1,518.81 crore, maintaining healthy EBITDA margins of 4.75% to total income. A strategic adjustment in our business mix led to a fourfold increase in the contribution of the Food & FMCG segment between FY22 and FY24.

During the year, we achieved a PAT of INR 765.15 crore, with a margin of 2.39%. As part of our strategic approach, we conduct pilot launches for new products to gauge market viability. Upon receiving positive results and encouraging feedback from these pilot launches, we proceed to introduce the products to broader markets.

Notable pilot launches throughout the year have included millets -based digestive biscuits and the Nutrela MaxxMillets cereals range, branded dry fruits under the Nutrela MaxxNuts brand, and Tea. Looking ahead, we have a strong pipeline of diverse products ready to meet the evolving demands of consumers in the upcoming year.

The impact of our advertising expenditure is evident, reflected in an increase in volumes. The company is dedicated to further strengthening its brand -building efforts. The company's growth is fuelled by ongoing product innovation and premiumization across various categories and price points. This allows us to keep pace with consumers' constantly evolving preferences.

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The recovery of demand in rural India has commenced and is steadily gaining momentum. With our extensive reach in the hinterland, we are actively working to further stimulate this demand. Transitioning to our strategic updates, we're in the process of shifting our focus to high -margin FMCG business.

As part of this strategy, we're evaluating the acquisition of Patanjali Ayurved Limited's HPC portfolio, encompassing Hair, Skin, Dental, and Home Care products, which includes renowned brands: 'Dant Kanti' in Dental Care, 'Soundarya' in Skin Care, 'Kesh Kanti' in Hair Care, 'Super' Dish Wash and 'Herbal' Mosquito Repellent.

A committee has been formed to meticulously examine the initial proposal. We're assessing this proposal for its strategic synergies across various facets with the aim of creating long -term value. However, it's premature to comment on

the specifics of the deal.

Additionally, we've recently founded two Wholly Owned Subsidiary Companies in India:

"Contemporary Agro Private Limited" and "Rishikrishi Farming Private Limited." These subsidiaries are committed to providing extensive training programs for farmers, with the goal of improving agricultural practices and promoting sustainable growth.

Coming to our quarterly performance, In the Edible Oil business, In Q4, the edible oil segment recorded INR 5,588.96 cr in revenue, marking a 1.9% QoQ growth. Out of this, INR 124.16 cr represents revenue generated from the palm plantation business. In Q4FY24, volumes increased by 5% to 6.34 lac MT compared to 6.04 lac MT in Q4FY23.

For FY24, volumes rose to 24.99 lakh MT, reflecting a growth of 13.1% over FY23. This growth in volume was attained through expanded distribution reach and enhanced consumer offerings.

The premium oil segment, including Nutrela Oil, is flourishing, witnessing a significant annual growth of 26.2%, reaching 21,275 MT, with an additional 20.6% year -over-year growth in Q4, totaling 5,988 MT. This underscores robust consumer demand and Nutrela's effective market presence. Ruchi Gold received the prestigious "Best Brand Award in Palm Oil" from the Rabi

Seminar & Central Organization for Oil Industry & Trade (COOIT), highlighting its excellence in the palm oil category.

During the fourth quarter, cash market prices experienced a significant rebound, marking a notable recovery from the low levels observed in previous quarters. Edible oil prices demonstrated a sharp upturn in Q4, with Palm Oil, Soy Oil, and Sun Oil prices increasing by 17%, 10%, and 6% respectively, quarter-over-quarter (QoQ).

The price differential between futures and physical prices indicated a close alignment for Palm Oil, with both markets moving in tandem, minimizing disparities. However, Soya Oil exhibited an 11% divergence, primarily attributed to an increase in cash prices.

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In the Oil Palm Plantation business, the company is advancing its oil palm plantation on a fast-track basis, with over 74,376 hectares under cultivation, involving collaboration with numerous farmers across 12 states in India. As of March 31, 2024, the share of young plantations (under three years) stood at approximately 33%, marking a significant increase from around 19% recorded in March 2023.

Furthermore, the company has established 14 new nurseries during the year, bringing the total nursery count to 40, to support future expansion of the cultivation area. For this quarter, the oil palm plantation has generated revenue of INR 124.16 cr. Our oil extraction rate was 18.65, reflecting the efficiency in the FFB processing, continues to rank among the best in the industry, aligned with global standards.

The oil palm plantation business represents a key avenue for long-term growth for Patanjali Foods. Serving as a vital element in national development, it forms an integral part of our national endeavors, and we are committed to nurturing this business to contribute meaningfully to the nation's progress and prosperity.

Talking about the Food & FMCG segment, this quarter, the Food & FMCG segment achieved revenues of INR 2,704.61 cr with an EBITDA margin of 9.6%. During the quarter, the Food & FMCG segment accounted for approximately 32.57% of total revenues, maintaining consistency with Q3FY24 performance at 31.27%. Similarly, on a full-year basis, the Food & FMCG segment contributed approximately 30.06% to total revenues, demonstrating an impressive growth of 55.09%.

The company's dedicated focus on expanding the Biscuits portfolio has yielded significant results. With new premium biscuit launches, a direct retail reach extending to over 1 million outlets, and distribution through various channels, the segment achieved a remarkable growth rate of 22%,

surpassing the industry's 8% CAGR.

Biscuit volumes witnessed a substantial increase, reaching 39,787 MT in Q4 compared to 34,614 MT in Q4 last year, and 1.64 lac MT in FY24 as opposed to 1.31 lac MT in FY23. Our flagship biscuit brand, 'Doodh,' has crossed the INR 1,000 cr milestone in this financial year. We express our gratitude for the widespread acceptance of our product. Similarly, Nariyal and Crunchy Coconut biscuits have received tremendous consumer response and registered double-digit during the quarter on year-on-year basis.

Additionally, the recently launched premium biscuit range continued to garner positive traction among consumers. The direct retail reach has expanded to over 1 million outlets, showcasing extensive market penetration. Nutrela soya chunks experienced a notable 7.7% increase in annual sales volume, reaching 27,710 MT. Nutraceuticals sales remained consistent with the previous quarter, standing at INR 9.12 cr compared to INR 14.12 cr in Q3FY24.

We closely monitor market trends and consumer preferences, ensuring our offerings align with evolving consumer demands. We recently relaunched Sports Nutrition under "Nutrela Sports,"

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establishing separate teams and distribution infrastructure. There has been a significant surge in eCommerce sales of Nutraceuticals. In FY24, the company was honored as the "Nutraceutical Company of the Year" by the India Food Safety & Nutrition Summit & Awards 2023. Overall, the nutraceutical segment remains an integral part of our business, and we maintain a positive outlook on its future performance. Patanjali maintains its employee-centric approach and continues to invest in its workforce. During the year, we introduced the PFL -Employee Stock Option Plan 2023.

Additionally, for the third consecutive year, the company has been recognized as a Great Place to Work. Offering a glimpse into the industry landscape, the rural demand has surpassed urban demand for the first time in the last 5 quarters, with rural sales growth at 7.6%, surpassing urban growth at 5.7%. This resurgence in consumer activity can be attributed to robust rabi crop yields, bumper wheat harvests, increased government initiatives such as higher MSP, and greater spending on MGNREGA. The upcoming months show promise for the rural segment, supported by factors such as promising monsoon forecast, potential increase in rural wages and farm incomes and broader macroeconomic conditions conducive to growth.

The extent of margin enhancement depends on the trajectory of price growth and further easing of input costs for most raw materials, with a favorable outlook as global inflation is predicted to ease. However, the volatility of crude prices remains a factor requiring close monitoring.

Taking a closer look at our financial performance during the quarter, our revenue from operations for Q4FY24 reached INR 8,221.66 cr, marking a YoY growth of 4.43%. The total income recorded stands at INR 8,348.03 cr. Our EBITDA stood at INR 497 cr, experiencing a significant QoQ growth of 27.23% and a YoY growth of 19.37%. This growth can be attributed mainly to changes in our product mix.

Our PAT stood at INR 206.32 cr with a margin of 2.47% vis-à-vis 2.72% in Q3FY24.

For FY24 the numbers stack up as follows, Our Revenue from operation stood at INR 31,721.35 cr marking a stable performance with a modest increase of 0.62% YoY. The Total income booked at INR 31,961.62 cr. Our EBITDA was recorded at INR 1,518.81 cr at a margin of 4.75%. Our PAT recorded at INR 765.15 cr with a margin of 2.39%.

We continued to export to over 25 countries with value amounting to INR 323.42 cr. Our annual performance reflects the culmination of past strategic initiatives, reshaping our company's revenue mix and profile. This evolution enhances the quality of our profits and introduces higher-margin opportunities,

ultimately delivering superior returns to our business.

Let us now open the floor for Q&A, and we are very happy to answer any of your questions that you may have.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Abneesh Roy from Nuvama Wealth.

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Abneesh Roy My first question is on biscuits category. We have seen the market leaders see good revival in volume growth. And at some stage, it expects in FY '25, double-digit volume growth also to come for it. So I wanted to understand, are you seeing broad-based recovery in biscuits industry? And on the raw material for biscuits, on wheat, you did allude briefly. So I wanted to understand last 2 years for wheat crop, it has been challenging. So this year, what is your understanding because still we are in the midst of the crop collection. But how do you see that some level of deflation in wheat crop can happen y-o-y?

Sanjeev Asthana: Yes. So no, very good question. So two parts. One is that our biscuit performance is actually generally an outlier overall because the volume increase and the revenue increase that we are seeing is both, of course, adding to the bottom line significantly. So for example, our margin from 9.3% last year, EBITDA margins have moved to 14%. And as a threshold of the distribution that we have seen. So we're clearly seeing that the distribution base that we continue to expand, it is giving us a huge leg up in terms of building up the sales.

And we continue to target aggressively. And while the specific numbers annually, it is difficult to give. But broadly, we expect that we will continue to maintain between 16% to 20% growth on the biscuit front on the revenue side. There, we are trying to now go in for a better superior mix now.

So Doodh has already crossed INR1,000 crores. The other biscuits are about INR600 crores. We are expecting that Doodh will continue to maintain its trajectory. And the premium end of the biscuits will continue to grow. So we are hoping that our bottom line EBITDA margin of 14%, we continue to improve because to be on a certain point, EBITDA continues to kick up way better with the cost structures being same.

Coming back to the industry. I think largely the growth has been fairly subdued for most companies. And you said the industry average was about 8%. But broadly, I'm expecting that the recovery should happen because the rural demand continues to show some positivity. And so that growth is there. And second is on the urban side, the premium end of the market, basically in digestive and cookies and cream crackers and others, there is an uptick. So I would be positively sort of oriented toward the biscuits as a range, for most players.

On the part of the commodity prices, I think oil prices have been extremely supportive through the year barring this last quarter when we saw an uptick, but broadly it is supportive. The wheat

prices, the crop has been good. The government, both for the purposes of upcoming ongoing elections that we had and to control consumer inflation, has taken a very strong grip over the market in terms of controlling in multiple different ways on the stock control orders, on the -- private trade is not allowed to sort of speculate much, making sure that the actual users using the buffer stocks to sort of continue to maintain in the marketplace.

So I'm expecting a reasonably benign sort of price outlook for wheat prices this year. And likewise, for sugar as well, both the global prices and the domestic prices are being soft. So overall wheat, the biscuits industry with a 3 prime ingredients, the oil, the flour and the sugar

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being supportive. So overall, I think this year should be positive for most biscuit companies. And certainly, as I me

ntioned already, that we are targeting aggressive growth plans. We continue to expand distribution. And virtually every month, we're adding between 12,000 to 15,000 retail outlets to our expansion.

So we are pretty much on course to have an expanded reach on the biscuits business.

Abneesh Roy Sure. My second question is on the demand side. So we are seeing in Q4, the commentary of FMCG company is turning positive. And we are seeing also in a few categories like oral care, good volume growth coming back, especially in South India. So wanted to understand your sense on the demand trends in FY '25, clearly rural was seen behind. But given you are also across many categories, how you see rural versus urban? And is South India leading the recovery currently?

Sanjeev Asthana: So clearly, two trends are quite visible that one is that rural from this Q4 onwards looks reasonably stable. I think after a difficult sort of a couple of quarters when the demand was subdued, I think Q4 onwards, it looks very positive overall. So in general, we are bullish. And if you see between rural and urban, the growth pattern in rural is sort of the uptick is way better. In terms of the regional wise uptake, we are not in per se witnessing anything in particular that Southern India are doing better or otherwise.

I think the broad-based recovery that we're seeing in the markets and which is reflection of the stronger sort of the rural incomes on account of the good crops, the better MSP administration that is happening. So overall the trend is good. I mean South is, of course, has always sort of a little ahead. When the demand upsurge happens typically, South tends to demonstrate better uptick sooner. So that is there. But I don't see any major differences per se between the respective regions.

Abneesh Roy Sir, and last quick question. So recently, last 1 or 2 months, the group overall has been there in terms of news flow, Supreme Court and may be one of the Northern states, et cetera. So how does this impact the brand given consumer is also reading all those news flow on a daily basis? And second related question is ESOP policy is there. So if you could comment how that's helping? How has been the attrition in terms of the middle level management and senior level management? In terms of professionalization, how is the journey?

Sanjeev Asthana: So Abneesh, broadly two parts. One is that to the sense of being in the news, yes, it happens, which from Patanjali Foods perspective, the impact has been minimal. So both -- we have continued to sort of grow on the business both and across the board on all the Food & FMCG segments that I speak about. So for example, if I were to look at from Q4 of last year versus this year, I mean, our sales have broadly actually gone up substantially, we are up almost 14% there. And likewise, overall, I feel that the impact is minimal. Having said that, I think at the individual level that is being dealt with, and there's a positivity there. Broadly, I think, it should, sooner than later, be out of everyone's mind, and also broadly, it has been sorted largely clear. In terms

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of the one particular state that you mentioned, even that is getting addressed and the matter is under consideration. We're hoping that all that will be behind us soon.

On the side of ESOP that you mentioned, so attrition rate in terms of, at a junior level, I think if I were to look at the industry trends, so they're multi-tier. At the top leadership level, there are 0 resignations. At mid level, we are pretty much on course. They are not -- the percentage of resignations and all that are nothing to sort of even worth mentioning that there's any attrition at all.

But at junior level, that attrition rate continues, which is at absolutely the ground level sort of

feet on the street. So there, it's a pretty much standard pa

rt where the people tend to sort of rotate.

And we keep addressing that. We continue to work on the various programs, et cetera, to keep training the work force, to work closely with them. And so that there's nothing adverse at all. In fact, I would say it's compared to the industry, we are more positive on the side of manpower retention.

Moderator: The next question is from the line of Dhiraj Mistry from Ashika Stock Broking .

Dhiraj Mistry Yes. Congrats on a very good set of number for the FMCG business. So Sanjeev sir, can you split this Food & FMCG turnover between foods, biscuits, Nutrela and Nutraceuticals and which segment particularly has led to this 50% growth during the quarter?

Sanjeev Asthana: Yes, sure. So the quarterly revenues, I will just split that for you. In the Nutrela soya products, we did INR125 crores. In the biscuits business, we did INR423 crores. In the food business, we did INR2,148 crores. And we did INR10 crores in Nutraceuticals.

Dhiraj Mistry Okay. So what is driving our EBITDA. So we are long time away. So we have been always guiding that this Food & FMCG turnover business will be contributing somewhere around 15% to 17% kind of EBITDA margin, whereas our current clocking rate of 9.5%, 9.6% is way below the expectation.

How do we look forward like what kind of EBITDA margin is kind of a sustainable EBITDA margin for this segment? And within Foods category is also, which particular segment has led to the 62% growth in Foods category?

Sanjeev Asthana: It's a valid question, and I would like to just explain the mix of food business. So food, we have two parts. One is the staples part, which is a lower margin category, which comprises of rice and pulses and even partially the wheat flour and some of the other product categories typically, which would fall in the staples category.

And the rest of it is the higher -margin categories like Ghee, our Chyawanprash, Honey, medicated juices, et cetera, which is a fairly large category and even spices, et cetera, which is a large category that we work in. So if I were to give you a split of it compared to last year, we had revenue in the Food business overall of INR3,791 crores, which was 9 months only.

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But as a percentage part we should look at. And this comprised of about INR811 crores in staples and about INR2,980 crores in others. What has happened is that this - INR2,980 crores has jumped to INR4,062 crores on a full year basis and INR811 crores of staples jumped to INR3,234 crores.

So there was a large scale sort of push towards a lot of staple tended to move faster. There the margin is about 7.5% broadly, and we can go to categories also -- each of these categories. So if I were to look at the margin construct, so INR2,980 crores, we moved to INR4,062 crores, okay, the high -margin business.

There, last year, we made about 24.2% margin. We made this year, 17.1% margin, owing to some of the input cost challenges that we had on the supply chain front in certain products because all of them are largely agriculture products. So there was higher prices at the input level. So that we saw a decline of about 7% on those products.

On the staples side, our margin typically pretty much remained around in the range of 7 -8%. So on the INR3,234 crores, we made INR243 crores margin. So in absolute terms, the margin has moved up from INR781 crores to INR937 crores. But on a percentage basis, which is showing a lower reflection versus 20.6% on a consolidated basis on the food, we are seeing 12.8%.

I think the mix of our product portfolio because of the higher sort of staples that move to the system that has brought down the percentage of margin. But in absolute terms, we have done better. So the plan going forward -- and this year, we are saying it was basically largely the year, as I mentioned in my brief remarks earlier and to one

of the questions, that there is certain

subdued demand, which was there seasonality impact and certain other sort of factors had an impact.

But broadly, this run rate of 17% to 18%, which we've always said, should remain. We got a benefit last year incidentally on the premium products, was also the onetime inventory gain, et cetera, which came in when the food was transferred in the second quarter of last year.

But broadly, the target longer term is that we should maintain a trajectory of 16% to 18% margin on the food overall portfolio, which is including the staples as well. It is just that the configuration of the portfolio because there is a higher demand for certain products, many times this may switch, but broadly, the target is pretty much clear that 16% to 18% is the growth that we want to maintain in the food business overall.

Dhiraj Mistry Got it. And second, on Nutraceuticals, that we have been relaunching this product. But for the full year basis, it's still below what we have been guiding for. How do we look this category going forward, Nutraceuticals?

Sanjeev Asthana: I'll explain that to you. So we have gone over this question a few times. We've actually taken a complete sort of reorientation towards the branding of the business entirely. So for example,

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this year, our margin on the business is good as a percentage terms, but in absolute terms, it's low.

So we have done about INR100 crores this year. And we've made about INR22 crores of EBITDA on that, about 22% margin, which is our expectation in line with between 25% and 30%, we should make the margin.

The problem which we encountered, which has taken a little longer than what we anticipated is that on the Nutraceuticals side, completely rebrand, for example, our entire sports nutrition, we rebranded. we launched this VMS, vitamins, minerals and supplements, we have relaunched. So there's a lot of adjustment to the marketing contours in the way we have gone about it.

We are positive. So this year we have done INR100 crores last year in FY '24. This year, definitely the target is we should grow upwards the 50% that is the growth rate we want to sort of have at Nutraceuticals and thereafter continue to stabilize with a margin profile of 25% to 30% and have a business which is growing quite rapidly. So I would not be, at all, negative towards Nutraceuticals, if, at all, I'm now much more positive that from this fiscal onwards, you will see a positive run on the Nutraceuticals business for us.

Dhiraj Mistry Got it. And sir, second question on Palm Oil Plantation, what would be the annualized turnover and EBITDA margin, what we did on the Palm Oil Plantation?

Sanjeev Asthana: So Palm Oil Plantation last year, we did INR950 crores. And I'll just take a minute more and the year before that, we did INR1,161 crores. So the absolute margin, what we had in FY '23 was INR215 crores, which has actually come down to INR156 crores and the EBITDA margin was about 17% this year compared to about 18.5% last year. So I'll explain the reason for this. So our yields are going up constantly because of the drop in overall palm oil prices of 10%. So the margin, the way this business is structured is that the oil FFB prices, that we pay for as a raw material, are entirely linked to the international prices.

And the end prices are also linked to the domestic oil prices. So if these prices were to double up, let's say, it goes up by 100%, our margin would go up to almost INR350 crores, INR320 crores. if the price were to go still further down, we would lose margin on that.

So it is dependent entirely on the oil prices, which are rolling internationally. But the progress on palm oil is very good. With all the work that has happened in the last 18 months, we are quite hopeful that next year, we will have a plantation, which will add additional anywhere betw

een

40,000 to 50,000 hectares to the plantation. 0 to 3 years plantation, which is about 1/3 of the portfolio now, should start yielding, the initial sort of revenue should start kicking in from end of next year. So we are very optimistic that this business range of 16% to 18% as an EBITDA margin business. It's like an annuity business. It will consistently give to the company, and it is going to increase.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

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Shirish Pardeshi I am on Slide 7. So I'm just basically looking at INR22,384 crores, what we did for edible oil. Broadly, if you can give the split between Mahakosh. Obviously, Mahakosh is doing better, and we have now have M.S. Dhoni also on the brand. So maybe if you can specifically give the split of various edible oil segments?

Sanjeev Asthana: So the standard split that we have between palm, soya and sun is that 70% of our product mix is typically a palm oil, about 25% is soya and about the balance would be comprising of the sun flower. So typically, in the split of 25 lakh tons what we did in the last year, we would have done close to 16 lakh tons, is palm oil; close to about 4.5 lakh tons would be soya oil; and the balance would be sun and the other oils -- because we do other oils also, mustard oil is quite a large portfolio for us. So that is how this split would be there.

Shirish Pardeshi And specifically, what is the growth we would have had on Mahakosh?

Sanjeev Asthana: So Mahakosh, as I mentioned in my call also, it's the largest selling palm oil brand in the country.

So the growth we have seen this year, so the palm oil has 2 sides to it. One is what we do in institutional business and second is what we do on the branded side. To your question of Mahakosh, our growth rates are typically between 7% to 8%.

Shirish Pardeshi But that is on the branded side, I'm asking.

Sanjeev Asthana: On the branded side, I'm saying.

Shirish Pardeshi Okay. And typically, you mentioned that the prices in quarter 4 has firmed up for palm about 17%, soya on 10% and sun is 6%. What's your -- this quarter or maybe if you can give medium-term outlook, is this prices will remain steady or move upward?

Sanjeev Asthana: So broadly, see, the two things, the trends -- I mean, global prices are obviously a little volatile because we are getting into, now the weather markets in the U.S. But the expectation is the palm oil -- longer-term view is that palm oil prices should tend to firm up.

But short-term view is that now the peak harvest time is coming in both Malaysia and Indonesia, the peak harvest is starting in India. So, in general, our view is that market should be more easy.

The prices should be benign and markets should tend to head lower. They've already declined, partially compared to the soya prices. While on a stand-alone basis, they went up, but I think broadly, we're expecting a softer sort of market going forward for the next 2 months.

Shirish Pardeshi Okay. The reason why I'm asking because generally, you give the volume growth for edible oil. So what is the quarter 4 and full year growth we would have?

Sanjeev Asthana: So I mentioned that, 13.1% has been the volume growth in edible oils, and we've grown to 25 lakh tons in volume terms. And I mean we have, overall, our absolute volumes are at 25 lakh tons in the edible oil segment overall.

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Shirish Pardeshi Okay. And just last question. When you say your gross margins are higher on overall biscuit portfolio. Will Doodh will have a better margin as the company average overall in biscuits or will be similar?

Sanjeev Asthana: No, Doodh will tend to have a lower margin, but Doodh because of the absolute size of the scale of the business -- so biscuits typically run on the basic equation

that beyond a particular point,

the overall EBITDA margins tend to sort of get better. So Doodh is contributing overall because of the sheer size of the portfolio that we have, contributes to the positive margin. But if I were to look at the comparison between Doodh and the other products in biscuit portfolio -- like INR1,000 crores versus INR600 crores, the margin would be equally split.

Shirish Pardeshi Okay. My last question on the international part. Can you share what are the plans for FY '25 and which category, which countries?

Sanjeev Asthana: So this is one part. There's a very heightened focus on the international exports, and these are not just the commodity exports. Commodity exports are declining actually. So both our earlier sort of business of soyameal exports and others has continued to trend lower. Our big focus right now on the branded business, also the food additive business, so like food application businesses. So I'll start with the food additive side, and then I'll go to the branded side. So working quite aggressively on things like lecithin, the soya flour, soya sort of grits, et cetera, which have got multiple different food applications in different industries, where the value sort of realization is better, the application, the more we make it superior, the better the realization and better the profit margin for us.

On the branded side, the broad businesses that we're working on both in terms of expanding our reach in the Foods portfolio as well as while that is not available. But at some point of time, when we're able to go towards the non-food side, we would be expanding it quite rapidly because there's a large sort of demand base which is there. So we've got our 4 distributors in the U.S. We'd expand it. So North American markets are a large part of our target. We were building up bases in Europe; Australia, we've got a dedicated distribution base that has been set up now. And likewise, in the Middle East. So for the specific regions where the demand side is high. So overall, broadly, the number of countries, the target is that we should go in fullness of time to 60 countries. This portfolio of INR323-odd crores that we did should continue to expand at 20% year-on-year, and we continue to drive exports in a more aggressive way. Because there is a big demand pool that we see and which is today under service and which is getting service to great channels.

So if you were to look at the Patanjali products reaching the shelves, a lot of them would be reaching through market channels other than what we're directly putting in. So that has been put in place. There's a team which has come on board, there's an aggressive push in the way it is being driven. So we are pretty positive that this will do well in this year also. We should achieve 15% to 20% growth on the export side.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers. Bharat Shah Two or three questions on the Foods part first. As I was saying, what you have done on biscuits is truly remarkable in my opinion. The rate of growth, number of products, gaining the market share and the quality of products, all scored very well in each aspect. But on the other part of the Foods portfolio, how do we see the growth if we break it up into those staples, the low-margin business and higher-margin ghee and other business.

How do we visualize or see success of what has happened on biscuits on these other parts, mainly not staple, but higher-margin food business. What kind of plans are afoot? And what kind of growth do we visualize there?

Sanjeev Asthana: So Bharat bhai, to answer your question in simple terms, there is two parts, sort of in percentage terms, brought the margin down from 24% to 17%. —There is some change that we are seeing, it happened in the medicated juices, where the

prices -- I mean, the sales this year declined and part of that impact we saw on honey. So these were 2 products where we saw a decline. But overall, in terms of the ghee, which is more than INR1,500 crores, has grown consistently and continues to occupy very premium end position.

If we were to look at the Chyawanprash, which is continuing to grow at a healthy rate; the medicated juices, we are bringing back to the floor; spices have grown quite a bit. So broadly, I would say that the margins are now coming back. On the premium products I'm talking now -- margins are coming back to more steady state, which we've already said that they will be between 16% and 18%. This year, we did about 17.1% on a full year basis.

So EBITDA margins. And this, we expect that once the revenue growth is there, we are seeing typically between 8% to 10% of growth. The margin we will project that should remain between 16% to 18%. The issue is, as staples as rightly what we are seeing is that the more it gets pushed through the food system, on a percentage basis, it tends to show a lower margin.

Even though absolute terms, we've actually gone up because this time, we had the benefit of the full year numbers compared to 9 months last year on the food side, so INR937 crores that we got. I would say that we're pushing and innovating. We launched the new campaigns on Chyawanprash, on honey and spices. We're exploring more brand ambassadors. We're exploring more ways of reaching the consumer to maintain that growth rate of 8% to 10% typically in the premium food portfolio.

And I'm reasonably hopeful that we will be able to obtain that momentum and the margin profile also. Now to the question whether the staple, should we focus less on and not do that. I think missing sales does not make sense because we do make positive margins. We do have a very positive view towards pushing our staple products, which have done very well for us.

So I think the effort going forward is going to be that wherever the opportunity on staple side is, we continue to sort of build that business. And on the premium end of the portfolio, we continue

to focus a lot more and make that -- and we are quite hopeful that both on the sales increase number and 16% to 18% margin, I think will be the steady state we should keep as an objective, and we should go towards that.

Bharat Shah Maybe it will be useful if you separate the food business details on the lines of premium portfolio and the staples portfolio so that we can see granularity in the business and margins more clearly. Because of inclusion of these staples, the ability to understand the overall food business is somewhat getting confused.

Bharat Shah Going ahead, in general, rather than showing food portfolio in its entirety, we can split it into staples part separately and the premium part separately.

Sanjeev Asthana: We can do that. I think in our commentary, I think what we put on the exchange, we can split that number between the staples and the premium end products. Yes, we can do that.

Bharat Shah There is a better understanding of how each business is moving and how overall margins have behaved. In absence of the separation, on initial glance, it leads to a lot of confusion.

Sanjeev Asthana: We'll do that. I think that's a good input. We'll definitely work towards it.

Bharat Shah On other hand, I'm a bit surprised, why juices and honey have degrown, maybe anecdotal, but I, personally, am a consumer of at least 3 juices on a daily basis. And I find them to be remarkably good products. These are really distinguished products in the market because there are not too many competitive standard products available in this category. Given all of that and given our

focus in scale there, why these juices businesses would have degrown, is something confusing to me.

Sanjeev Asthana: So Bharat bhai, I

'll just put that in a perspective so that I'm more clear in what I said just now.

One is that in juices, we had a huge bump up last year at the time of the acquisition. It is showing a steadier state growth right now. So that, technically it has not degrown in that sense, number one.

Number two is that, we retain the leadership in the medicated juices. If we were to look at the longer-term run rate, I don't have the numbers specifically for medicated juices of the year before. I can share that with you. So it is just a onetime sort of change that occurred in the business in the medicated juices. But over all, we have not seen any significant decline, yes, compared to 9 months period -annualized basis that we saw a certain sort of lower sales revenue. And on the honey side, again, we had a onetime benefit that we got on account of the initial in the business, what transferred on the inventory, a lot of aggressive selling which happened basis that it happened. These are not areas of any particular alarm. I think we'll get back to the steady state and we'll build up the business.

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So broad idea being that sequential growth in the revenues is anywhere between 8% to 10% of the premium category food business will continue. The margin profile of 16% to 18% will continue and that we're pretty confident about that.

Bharat Shah One on the edible oil. I mean when I look back in '21,'22, it was a golden performance period for edible oil, where our margins were robust, growth was robust. Growth in the volume still continues to be very healthy. But that was a year when we made almost about INR1,300 crore profit in edible oil, which is remarkably large. In the last 2 years, a couple of quarters in each year have been really, really terrible and where it has produced losses.

And the other 2 quarters in each year have been kind of below average. And therefore, last 2 years, edible oil performance in profitability terms has been nothing much to talk about. Can we say that slowly, but steadily, we will climb back to where we got in 2021-'22 because that was the year we made about a reasonable 5% plus kind of margins and almost about INR1,300 crore profit. So maybe it will be a climb and somewhat a measured one. But do we believe that -- we are out of the hump, out of the trouble in the last 2 years of the edible oil, and we should get back into steady ascend in that business.

Sanjeev Asthana: Thank you, Bharat bhai. You asked a very important question. I was hoping somebody will ask, that 5 quarters for the industry have been the worst ever in maybe in a 30-year time frame. The second quarter of last year to stretching to the second quarter of this year. So nearly 5 quarters, we have seen consistently barring 1 or 2 exceptions that we got. Typically, they have generally been bad.

Now coming back to the state of what we've always maintained at between 2% and 4% margin in the edible oil portfolio that we feel pretty confident. This year is 1 year of change. So while this year on the overall EBITDA, we have made INR117 crores. But if we were to split this between Oil Palm Plantation and the edible oil as an overall portfolio. So we made INR156 crores on the palm plantation business, lower compared to last year because of the average prices being lower.

So broadly, I think we are getting away from all this. And I would be pretty confident that on INR22,000 crores of revenue or thereabout. If we were to do a steady state on the lower band of 2%, we should be about INR450 crores, we should add -- definitely compared to a negative INR39 crores on the edible oil side, we should be up by INR450 crores. If we were to take 3%, it obviously is better. So one sort of with a lot of conviction and with a lot of effort, our target is that this INR117 crores should be closer to anywhere between INR500 crores to INR600 crores this year.

and that is the path we're working towards.

Now why am I saying this? I've seen that the first month of -- April has gone by. We're seeing the second middle of this month, we have seen. It's been very positive. So I'm reasonably comfortable that we will not go back to perhaps INR1,300 crores, which was an outlier because clearly those 2 years were very positive for the industry.

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But between 2% and 4% range, and I'm saying on the lower band, we should add INR400 crores.

On the mid-sized band, we should add INR600 crores to the bottom line and that I feel pretty comfortable with that the edible oil should be a turnaround story with all the effort that is going on, both on the brand side, on the risk management side, on seeking supply security, the Oil Palm Plantation increase that we are seeing year-on-year. I think broadly, I feel reasonably comfortable that we should add substantially to the EBITDA margin in this year.

Bharat Shah And one last short question. Interest and depreciation in fourth quarter has shot up very sharply, Kumar Rajesh Sir, basically, interest, which you are seeing for this quarter is INR115.90 crores. It includes interest apportionment of redeemable preference shares, near about INR93.65 crores, that's why it increased. In '23, '24, we had made an alignment of life of all the assets, which was not done earlier in the pre-CIRP period. That's why the depreciation has been increased by near about INR75 crores. That is still depreciation. Going forward, our depreciation for the whole year will be near about INR240 crores to INR245 crores.

And correspondingly, I would like to clarify one more thing. Other income last quarter, it was INR46.59 crores. And this quarter, it has increased to INR126.37 crores. This also includes the treatment as per IndAS of reasonable preference here to the tune of INR78.95 crores.

Moderator: The next question is from the line of Jaidev Bhalaje from Motilal Oswal.

Jaidev Bhalaje: Okay. So I just wanted to ask -- this question is not related to numbers, anything. Just wanted to ask any new product launches or any integration processes you're thinking about in the future or any new developments that you want to launch in the near future, that is, to say, 3 to 5 years?

Any plans for the growth of the company in terms of new product launches?

Sanjeev Asthana: So one is that the big work that is going on, which we were not able to discuss on this call, is that the valuation of the non-food HPC portfolio of Patanjali Ayurved that we are evaluating right now. And we are hoping that very quickly, we should be able to go through the diligence & the numbers. And very soon, you will sort of hear from us, post our diligence and once we have got a bit of clarity. And if all that happens, we are going to have a very major addition to both the revenue and the bottom line given the business.

The second is that very clearly from the FMCG perspective, our premiumization drive across verticals, across portfolios will continue at the rapid clip both on the food side, on the biscuit side, Nutraceuticals side as well as the Nutrela side. There are multiple initiatives which are underway.

And the last initiative, which I wanted to speak about was our Oil Palm Plantation, which while on the P&L, has yet, we are not seeing a big growth kicker, but the next 2 years' time, that the growth momentum is going to pick up very substantially. And you will see that I think from end of next year, we'll see the planting that has been -- the growth momentum has picked up. I think we'll get towards a much larger growth path, both in terms of revenue and the profitability.

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Moderator: As that was the last question for today, I now hand the conference over to Mr. Sanjeev Asthana for closing comments.

Sanje

ev Asthana: So thank you very much and for all the wonderful questions and patiently listening to us. With this, I conclude the call. Thanks again for all the patience. If you have any further queries, please contact SGA, our Investor Relations Advisor. And everyone, please have a good day and wish you all the best. Thank you so much.

Kumar Rajesh Thank you. Thank you very much.

Moderator: Thank you. On behalf of Patanjali Foods Limited, we conclude this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jul 2024

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PFL/2024 July 29, 2024

To
BSE Ltd. National Stock Exchange of India Ltd.,
Floor No. 25, "Exchange Plaza",
Phiroze Jeejeebhoy Tower, Bandra -Kurla Complex,
Dalal Street, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051

BSE Scrip Code: 500368 NSE Symbol: PATANJALI

Dear Sirs,

Sub.: Transcript of Earnings Conference Call Q1FY2 5 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated July 22, 2024 regarding audio recording of Q 1FY2 5 earnings conference call held on July 22, 2024. Please find attached transcript of the said earnings conference call.

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com.

You are requested to take the same on record.

Yours faithfully,
For Patanjali Foods Limited

Ramji Lal Gupta
Company Secretary

Encl. As above
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"Patanjali Foods Limited
Q1 FY '25 Earnings Conference Call "
July 22, 2024

E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on July 22, 2024, will prevail.

MANAGEMENT : MR. SANJEEV ASTHANA – CHIEF EXECUTIVE OFFICER

– PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL OFFICER –
PATANJALI FOODS LIMITED
MR. PRIYENDU JHA – INVESTOR RELATION –
PATANJALI FOODS LIMITED
MR. CHINTAN KOTAK – INVESTOR RELATION –
PATANJALI FOODS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Patanjali Foods Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjeev Asthana, CEO from Patanjali Foods Limited.

Thank you, and over to you, sir.

Sanjeev Asthana : Thank you very much. Good morning. Welcome, and thank you for joining us today for Patanjali Foods Limited's call to discuss the results of Q1 FY '25. I am joined by the company's CFO, Mr. Kumar Rajesh, along with Mr. Priyendu Jha and Mr. Chintan Kotak from the IR team. The team from our Investor Relations advisors, our Strategic Growth Advisors is also here.

We have uploaded the results collateral on the stock exchange as well as the company's website for your reference. Please note that the call we will be referring to on stand-alone financials. I'm pleased to share that we've begun this fiscal on a favourable note with strong growth and profitability metrics.

During Q1 FY '25, the revenue from operations stood at INR7,173 crores. The total EBITDA stands at INR435 crores in the quarter, which is 105.2% growth over INR211.99 crores in Q1 of FY '24. On a sequential basis as well, if we exclude the adjustments related to the pre-redemption of preference shares as per IndAS, the Q1 FY '25 EBITDA has 4.8% growth from the quarter ending in March '24. Our PAT nearly tripled to INR262.91 crores on a year-on-year basis, while the PAT margin stood at 3.65%.

In the Edible Oils segment, after subdued performance for multiple quarters, there were signs of recovery since second half of FY '24. The uptrend continued during this quarter too. This segment recorded healthy margins of 4.35%, which is better than the standard margin range in the segment of between 2% and 4%. The performance of the Food & FMCG segment was also in line in the quarter 1 of FY '24. This segment contributed 26.77% to the total revenue, which is at similar levels in contribution in Q1 of FY '24. The performance details of the respective segments are covered later.

The revenue from Wind Turbine Power Generation segment during Q1 FY '25, stood at INR14.33 crores. The company fulfilled nearly 20% of its energy requirements from renewable sources.

A major highlight of the quarter was the initiation of the process of acquiring the Home & Personal Care business of Patanjali Ayurved Limited. The Board approved the valuation of the

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acquisition during the quarter and later on 1st of July 2024, it approved the acquisition of PAL's Home & Personal Care business on a slump sale basis at a cost of INR1,100 crores.

We are waiting for the CCI approval on this as well as the shareholders' approval. I believe it is a milestone transaction, which aligns with our company's desire to be a powerhouse in the FMCG space. This strategic expansion will help us improve the stability of our margin profile and open various avenues for future growth. Patanjali Foods has a proven track record of successful acquisition and subsequent business upscaling, and we believe that the successful execution of this acquisition will create incremental value for our stakeholders.

Speaking about t

he macro -environment, we see that the monsoon has hit the country evenly . We are optimistic for this to continue. With our already strong presence in hinterland, the company is positive about rural demand moving northwards in the coming quarter. There is a steady urban consumption also, propelled by higher disposable incomes and a growing preference for premium products. Additionally, increasing health consciousness and evolving consumer lifestyles have further fueled the demand for premium FMCG products. Moreover, the expansion of e-commerce and quick commerce has provided an additional impetus to the sector.

Overall, as a company, we continue to execute on our strategic playbook by driving operational excellence, delivering innovative and premium products, and expanding our distribution footprint to build the foundation for high profitability and sustainable growth and create value for our shareholders .

Distribution expansion and new product launches as per evolving consumer preference continue to be our pillars for growth. Innovation and premiumization is the driving force behind broadening our array of products to serve both the value and premium segments of the market. These strategic growth drivers collectively aim to strengthen our market position and sustain growth in the FMCG market.

Coming on to the details of the segmental performance . In the edible oils segment, the company booked revenue of INR 5,330.33 crores. EBITDA of the segment was INR 231.63 crores as compared to the EBITDA loss of 99.61 crores in Q1 of FY24. The revenue from edible oils was on a lower side due to downward pricing pressure during the quarter. Further, there was a slight dip in the demand for edible oils. This happened mainly due to the unfavorable weather conditions. Multiple regions witnessed adverse effects of the intense heatwaves which impacted the edible oils sales to a large extent.

Despite all this, the segment performed robustly with high gains in profitability. This is mainly because of stable price regime in the market and active strategies of price risk mitigation that we pursued . We continue to see an improvement in sales of branded Edible Oil which constituted around 79.54% of the total Edible Oil sales for Q1 FY'25. Premium Oil range under the Nutrela brand continues to grow on a year-on-year basis .

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The first quarter of FY25 saw both upward and downward price movements in the cash markets. Specifically, we observed a price correction of approximately 10% in April, followed by steadier movements in May and June. Palm oil showed no divergence between futures and physical prices. Conversely, a 7% divergence was noted in soya oil, primarily attributed to a decline in futures prices. During Q1, for the soya oil, the basis movement was negative, which favored physical stock, leading to a deliberate reduction in hedging activities. Conversely, the basis movement for palm oil remained nearly neutral, where we maintained an average hedge volume of 30%.

We recognize that the oil market is sensitive to price movements. Thus, we have varied sound risk management strategies in place. Our Hedging decisions are based on robust fundamental and technical research. We optimally leverage opportunities by establishing new sub-accounts for strategic management positions. Furthermore, we achieved natural hedging by continuously adjusting our positions in response to market dynamics.

Further, to overcome the inherent price sensitivity of edible oils, we are aggressively expanding our footprint in the oil palm plantation business. The oil palm plantation sector has an important opportunity for Patanjali Foods to attain lasting success. In the first quarter, we increased our cultivated land further to 75,667 hectares. Rapid agricultural expansions are being executed in collaboration with the farmers at large

scale. We are conducting farmer training and exposure workshops in new areas.

Coming to the Food & FMCG Segment . We achieved revenues of INR 1,953.55 crores in line with the performance in the same quarter in the previous year. The quarter-on-quarter revenue declined by INR 751 crores primarily due to the drop in the food business for various reasons . There was a spike in the year-end to INR2,148 crores in the previous quarter, which was a year-end inventory buildup by the distributors .

During the quarter, the segment recorded an EBITDA of INR184.05 crores at a margin of 9.42% compared to EBITDA of INR360.77 crores in year-on-year basis in Q1 of FY '24. The EBITDA margin is aligned, but there was a decline in the food business . In Biscuits, Soya Proteins and Nutraceuticals , there was increased better performance and increase in EBITDA as well.

I'm specifically coming to the Foods business to give greater clarity on the -- and convert that into 2 parts. The Foods business margin was 19.6%, driven by 52% of Indian foods, which are

high-margin businesses that we have. This was in Q1 of FY '24. In Q1 FY '25, the consumer staples rose to 70%, temporarily lowering the margins. Recovery is expected in the next quarter with increased sales of higher -margin products.

Q1 of FY '25, the revenue was INR1,351 crores. The consumer staples categories was INR946 crores, where the margin typically is between 3% and 4%. The Indian food sales dropped to INR405 crores from INR662 crores, affecting overall margin due to the high inventory and seasonal factors. This margin is expected to stabilize at 11% next quarter as high -margin products recovered in Q4.

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In the Biscuits business, the quarterly revenue grew by 9.41% year -on-year from INR381 crores of last year versus INR417 crores in Q1 of FY '25. The premium range of our health biscuits and Patanjali Tea continues to exhibit encouraging results. The margin increased from 10.1% to 19.1% in Q1 mainly due to reduced inventory costs in the raw material, both in terms of the wheat and palm oil and sugar , the prices were softer and the freight cost efficiency that was attained on account of the operational efficiency and the new solar installation that we have in the energy cost savings.

In the soya chunk categories, the Nutrela sales, we observed steady growth of 4.37% to 7,746 metric tons during the quarter. Nutrela maintained a healthy margin and continues to grow and drive its business. The Nutraceuticals achieved a run rate of INR14 crores during the quarter, which is on the higher -margin territory, we are expecting to close the year in between INR100 crores and INR125 crores in FY '25. We have complete restabilization of the business that we worked on.

In the Nutraceutical, it's a reworking of the strategies that is being worked out alongside the other strategies that the company is working on. The company remains resolute in its dedication to enhancing its brand building initiatives. Various endeavours have been carried out for Nutrela , Mahakosh and Sunrich. The brand teams engaged in active campaigns during IPL, while reaching the viewership, a high viewership of several crores over the TV Cs.

As part of strategy for risks related to supply chain, the company has also initiated a dedicated supply chain there for key commodities like wheat, spices and guar gum etcetera.

Acknowledging the best HR practices at the organization, we were also recognized as the Best Employer by the Golden Globe's Tiger HR awards at Malaysia during the quarter.

With this, I conclude my opening remarks and the floor is now open for Q&A. Thank you very much.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Bharat Shah from ASK Investment Managers Limited. Please go ahead.
Bharat

Shah : Two questions. One is on the Food business that you referred to. So , what I could understand, correct me if I'm wrong, Biscuits business, both in turnover as well as margins has improved. Also, that is the case with the Nutrela business, both top line as well as margins have been in sync with our plan. What you referred to as the Food business and what you subsequently explained, I could understand that you are looking at it in two parts: Indian or specialty foods, Indian ethnic kind of foods and the consumer staples.

So, which -- what are these two activities that you are referring to? Can you please explain each of those two parts? What are the underlying products that you are referring to? And what is affected like in March quarter where margins were kind of low compared to traditionally both margins we have enjoyed and what we think we need to have, compared to that the March quarter also was weak. June quarter also has been weak.

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So, if you can explain what is linked to this? And finally, what is the outlook on both of these activities in the food business, so that one can get a better picture ahead. You referred to something about 11% margin that I couldn't fully comprehend ?

Sanjeev Asthana : So, Bharat bhai, you'll allow me a couple of minutes to explain because this is a very important question. And so , I will explain. There are two categorizations in the Foods business that we have. One is, that we refer to as Indian Foods, which includes like Cow Ghee , which includes

like Chyawanprash, Honey, medicated juices and specialty products, which typically fall in that category.

The second business is consumer staples, which are, in general, tend to be lower-margin businesses, where it includes rice, atta, pulses, wheat products, dry fruits. It includes spices. It includes -- it is a whole list based on suji, maida, sugar, salt. So, these are very large categories that we have, which comprises of the consumer staples. So, this is how it comprises. We have further segregated, for the clarity of everyone here on the call, as to how sequentially it has moved over on a year-on-year basis.

And sequentially, in the previous quarters, how this has moved and what exactly was the reason for this change in the margin dropping on this business for this particular quarter and why it's an aberration, which is going to get sorted out quickly. So over all, I'll explain that in Q1 of '24, our specialty foods were INR706 crores and the consumer staples were INR646 crores.

The total revenue on that was INR1,352 crores. In sequential Q4 of '24, our Indian Foods was INR662 crores and consumer staples had a big spike to INR1,486 crores. In the Q1 of '25, which is the current quarter that we're discussing, the Indian specialty foods was INR405 crores. There is a substantial drop of nearly INR257 crores, and consumer staples was INR945 crores, which was almost a drop of INR541 crores.

So, there are two reasons for that drop and then I'll come to the margin construct as well. So one is that the year-end inventory build-up typically by the distributors and retail segment that is there, we typically had driven the prices up substantially. So, consumer staples, while it's an important category for us, both in terms of the revenue and the margin that it generates.

It is not that it is being pushed aggressively, but there was a high demand period that we saw in the Q4 of '24, where we saw that there was an aggressive buying which was happening on various accounts, basically, there's an expectation of the shortage, there's an expectation with the retailers and distributors are building up their inventories. There was an aggressive buying which we saw across the spectrum, which had pushed up the sales to INR1,486 crores.

This -- during this quarter, I'm explaining staples for, then I'll come to the Indian foods. The

drop that we saw was after the inventory overhang - a) the heat was very high in this quarter under discussion in the Q1 of '25, there was high sales inventory that I've already explained. The inventory overhang was there. So basically, the business came closer to normalized run rate of, I would imagine, in the consumer staples.

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And while I don't want to put my -- sort of put my numbers out to say this is precisely it will be, there can be variation of 10% to 15%. But typically, I would imagine that going forward, this business would have a run rate of anywhere between INR900 crores to INR1,100 crores. And occasionally, there may be windows in which this may drop and occasions, there will be windows in which it will go up.

This also -- consumer staples is another dimension on the margin side that in certain quarters, because of the purchase cost of the inventory, there may be variation. It will not be massive variations like Edible Oil. But typically, we will tend to have variations which can happen. So, depending on the cost of inventory that you hold, depending how the market is willing to price it, there may be variations of anywhere between 200 to 300 basis points then we can clearly witness the change, which can occur in the consumer staples business.

So, for example, in this quarter, the margins that we made on the consumer staples were 3%.

We did about INR28 crores on the consumer staple business and this was versus a very high margin because we have the lower margin construct that we had in the Q1 of last year, the margin was closer to 10%, and that gave us a margin. And then the previous quarter, this margin was closer to 6% in the Q4 of '24. Now I'll come to the Indian food specialties. And so, I'll come first to the why this drop of INR257 crores happened?

We saw a large drop in the Ghee business of INR161 crores. We saw the Herbs business declining by INR70 crores and the others, there was a margin decline of INR26 crores. Ghee have gone to the drawing board because it is -- the aberration is a little larger. One reason which is being explained and worked out is on account of the large buildup that they had in the year-end and the inventory, which typically tends to get evacuated over next -- typically between 30 to 45 days.

It took a lot longer on account of exceptional heat that the North India witnessed and several regions of the country. Herbs on account of, again, pretty much the reason explanation is on the heat side. And likewise, we had some other minor drops in Chyawanprash and Honey, etcetera, which is not significant, so minor order. So this was INR257 crores. We are -- we believe that

this course correction will happen pretty quickly in this quarter itself. We have already seen the green shoots of recovery in the month of July and I'm expecting that we will see this coming back to normalized basis as we move forward in this quarter.

Coming to the margin construct on the business. Because of this drop, the margin in this quarter for the Indian specialty foods is 15.8% margin we made INR64 crores on a base sale of INR 405 crores. We -- in the previous quarter the same margin which is Q4 of '24 was INR138 crores was at a margin of 20.8%. So the higher -- the fixed cost, the advertising cost, the certain other elements because of the lower sales revenue on the Indian specialty foods because it went up that was the reason.

So broadly, going forward the plan is as follows. We would segregate for the better communication, more transparent communication that how the Indian foods -- Indian specialty foods or how they are performing and how the consumer staples are performing. Our focus is on

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both. It's not that we are doing one at the cost of the other. Thirdly, we want to make sure that the higher margin business

of Indian foods does way better and -- but equally we are focused on consumer staples because not only we find it of strategic importance to us, but also gives us a very healthy basket for distribution and retail side which we are able to push and work through. So this was broadly a long answer to your short question. I hope if sort of have been able to explain what you have asked.

Bharat Shah : Thank you Asthana. Just a follow-up on that. Essentially what I understood was that other than biscuit and our proteins the Nutrela business and nutraceutical business the rest of the food is either the ethnic specialty which is a higher margin and the staples which are low margin, single-digit margin kind of business. So two things happened in the quarter and the consideration in June '24.

One that the mix was adverse, it was more loaded in favor of the staples and secondly because of the adverse and reduced turnover for the specialty ethnic foods, the overall margin further suffered because of the negative operating leverage. Second, what I -- correct me if I'm wrong. What you are saying is essentially both the mix and the margin therefore should come back pretty quickly. Is this aberration due to inventory buildup as well as the strong heat wave which affected categories like Chyavanprash and others. Is that what my understanding correct?

Sanjeev Asthana : Absolutely right.

Bharat Shah : Okay. And INR 900 crores to INR 1,100 crores turnover per quarter you mentioned. So what you're talking about is ethnic Indian specialty would have normalized INR 900 crores to INR1,000 crores, INR 1,100 crores turnover because I couldn't fully comprehend that.

Sanjeev Asthana : So I will explain that, Bharat. So what I was saying is I was talking more for the consumer staples the normalized revenue base should be anywhere between INR900 crores to INR 1,100 crores. It could be in some quarters it could go higher and in some quarters it could be lower because that is very supply demand driven and I mean depending on how those stocks are moving.

The normalized turnover of the Indian specialty foods should be typically in the range of INR 600 crores to INR 700 crores is the broad ballpark range that we are expecting which we want to grow sequentially.

Bharat Shah : I see. And margin just to reiterate what we have discussed many times over the calls normal biscuit margin should be 15% to 17% range. Our Nutrela business I think is 17% to 19% range.

Ethnic Indian food that you referred to would -- what kind of margin profile about 15%, 16% -- what kind of margin profile one should...

Sanjeev Asthana : Bharat just a slight correction. The biscuits margins have steadily increased. So I will just -- so this quarter was some benefit came on account of the raw material. Typically, we are saying that

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the biscuits margin will be in the range of about 12% and they will steadily increase as the volumes grow.

And second is Nutrela is 16% to 18% margin is -- that depends on soybean prices, but 16% to 18% margin is the rest assured number. We broadly have seen that without change typically it

tends to keep that margin. In the specialty foods segment our margin profile is 15% to 16% at the -- in the within the foods category. And in the consumer staples category, the range while this quarter it has dropped otherwise we are steadily maintaining between 4% and 6%, but typically it will be between 4% to 6% we should be able to manage in the consumer staples category.

Bharat Shah : Thank you Asthanaji. One last thing on nutraceutical, of course, compared to last year quarter turnover looks very low, but it was discussed in the last call I think we are -- we have revamped our nutraceutical strategy. So sequentially it has improved, but would you like to highlight what are the stakes and what is the direction in which that business should be headed ?

Sanjeev Asthana : Yes, absolutely. So in nutraceuticals what we have done is that , a), we are having a complete

revamp in terms of the packaging, the go-to-market strategy of both through the new channels like D2C and e-commerce. The target this year is that while last year was -- we went through ups and downs significantly, but new product launches we've done. We have done six product launches recently in the last quarter. We launched gummies.

We launched new sort of variance of our vitamin powders that we have we launched those. We came out in terms of working on the channel I spoke about. And looking at ensuring that we achieved our target ballpark range what we have said for INR 125 crores of revenue this year at 25% margin is what we should achieve. There is a reasonable confidence because of the cost base and as we increase the revenues this margin will keep on improving.

Potentially certain margin products are way higher, but on a blended basis between low margin, high margin products in nutraceuticals we are targeting 25% of margin. And this year we will at the end of the year I'm reasonably confident that we should have between anywhere between INR100 crores to INR 125 crores of revenues coming out of the nutraceuticals. It's early days, but it is showing a definite trend towards upper trend and we are progressing in that direction satisfactorily.

Bharat Shah : And what kind of longer-term growth rate we should assume on this business have some INR 100 crores, INR 125 crores in the current year onwards?

Sanjeev Asthana : So we should expect 25% of growth because once the momentum gets established because of all the changes that have happened in the last 4 quarters and we should expect between 20% and 25% growth rate that we are targeting in nutraceutical range because one of the key drivers of that will be both not only the domestic market, but the export market as well.

Bharat Shah: Thank you Asthanaji.

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Sanjeev Asthana: Thank you Bharat bhai. Thank you so much.

Moderator: Thank you. The next question is from the line of Dhiraj Mistry from Antique Stock Broking. Please go ahead.

Dhiraj Mistry: Hi, good morning sir. Sir first question is on cost line items. So there is -- in this quarter there's a lot of volatility where other expenditure depreciation interest have reduced by 15% to 20% and employee cost has increased by almost 50%. Can you give rationale for that and what can we expect on a steady state business?

Sanjeev Asthana : Dhirajji, I would give it to our CFO to answer that question.

Kumar Rajesh : Yes. So Dhiraj bhai just I would like to explain the employee cost has been increased due to the allocation of cost on account of ESOP which was earlier also in the previous quarter it was allocated for one month only and this quarter it was allocated for a full three months and it amounts to near about INR 30 crores. That's why it has been increased employee cost.

Dhiraj Mistry : And depreciation and other expenditure reason for the drop?

Kumar Rajesh : In case of depreciation basically last -- in the last quarter we have done the year-end exercise. And in the year-end exercise we have just impaired certain closed plants to the tune of near about INR30 crores that's why this has been reduced because this quarter -- this is the first quarter so hence it is not required in this quarter. Further, the other expenditure basically reduced in the ordinary course of business because of reduction of sales.

Dhiraj Mistry: Okay. So can we expect for depreciation and employee cost this quarter run rate should be maintained for another three to four quarters?

Kumar Rajesh : Yes. Depreciation is near about INR58 crores to INR60 crores this is a normal, subject to some additions, some additional depreciation due to addition

in the fixed assets or some retirement of

assets that is very minimal amount of retirement . So run rate is near about INR58 crores to INR60 crores and employee cost is obviously will be maintained.

Dhiraj Mistry : Got it. And Asthanaji can you run me through -- if I -- sorry if I missed out this, so what could be the EBITDA for food business, biscuit, nutrela and nutraceutical for this quarter?

Sanjeev Asthana : So nutraceuticals is marginally negative and because it's still not covering the cost. The biscuits business is INR81 crores of EBITDA and nutrela is INR16 crores. Food as we talked, the consumer staples and Indian ethnic foods together is INR92 crores and the total is INR 184 crores.

Dhiraj Mistry: Got it. Okay. That's it from my side. Thank you.

Sanjeev Asthana: Thank you Dhiraj.

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Moderator: Thank you. The next question is from the line of Piyush Bangar from Vijit Global Securities Private Limited.

Piyush Bangar: Very good morning Mr. Asthana. I have a couple of questions around palm plantation. Am I audible?

Sanjeev Asthana: Yes, you are audible. Please go ahead.

Piyush Bangar: So my first question is how much land procurement rights we have right now and out of which how much land we have already acquired?

Sanjeev Asthana : So in terms of the allocation of land which is subject to the government saying that this district or otherwise you have to do, we've got very large 600,000 hectares of land that is available to us. In across North Eastern five states Arunachal, Tripura, Mizoram, Assam and Nagaland. And similarly, if I include Telangana, Andhra Pradesh, Karnataka and Tamil Nadu and other some few minor states, the total land available is 600,000 hectares of which we have crossed 75,000 hectares that we have planted already. So the issue is not in terms of how much land really is made available because that is available.

The way plantation business works is that how you're reaching out to the farmers, how many farmers are getting converted, how much of nurseries have been put up to be available to give the saplings to the farmers. And over a period of time to be consistently working to ensure that the farmers continue to plant and sort of bring their land under the oil palm cultivation.

Now this particular thing this year is a year of substantial change. We are anticipating that while the target is 25,000 hectares, you'll see that how it plays out because it's subject to the farmers coming on stream and doing it. So from 75,000, we will certainly move closer to 100,000 in next three to four quarters. And thereafter, it will continue to expand at a very rapid fire pace. And that is what the status on the land products.

We have 42 nurseries. We have all the available sapling, the seedlings which are available in terms of giving to the farmers. And there's a palm mill sort of construction is going on at Arunachal Pradesh that completed almost, the Mizoram mill is coming on stream. We are expanding our capacity with Peddapuram and Ambapuram .

We are scouting for land site in Telangana. We might be expanding our Ambapuram facility to Vizag. So there's a lot of work which is going on. And it is going to reflect both in terms of the numbers that we have in the planted area as well as in terms of the broader increase that we'll have sequentially each year in terms of new areas, which were already zero to three years of age, which we keep under fruiting .

Piyush Bangar: Okay. As you said that we have already planned 75,000 hectares, and we will plan about 25,000 in upcoming two, three quarters. Can you please guide how much we are expected to plant in the upcoming three to four years ...?

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Sanjeev Asthana: Yes. So target is very clear that we will have at the end of four years or it could get extended ,

we'll have 0.5 million hectares of land which will be under cultivation. Now in these matters, giving very precise numbers typically is a challenge because the farmers tend to have their own sequencing of how they bring it on stream, the way sort of we work . But in four years' time, I think it's safe to assume that we will have close to 0.5 million hectares of land, which will be planted.

Piyush Bangar: Okay. My another question is we have major land rights from Northeast region. So do we have any kind of safety issues or something like that?

Sanjeev Asthana: Sorry, your voice broke. I didn't get your question on the Northeast to what you're saying.
Piyush Bangar: Okay. I'm saying that in Northeast, we are facing some kind of instability. So do we have any kind of safety issues there?

Sanjeev Asthana: No, there's no problem. I think that it's isolated to only one state where we don't have any operations. So in general, from the instability front, we have no such problems and it's going apace. It can take time because farmers and producers are looking at in a particular way of how they gravitate the governments have to be very supportive. So that is there which is the main reason that many a times, this control does not lie with us in terms of how fast it will get planted, but I'm reasonably confident that the number that I spoke about in four years' time, we should be very close to that number.

Piyush Bangar: Great. That's a good set of numbers. So another small thing which I want to add to this is how much yield per hectare we are expecting from the plantations?

Sanjeev Asthana: So typically, right now, what we're getting is about 2 tons of CPO, crude palm oil that we get, and this should go up only because the germplasm that we get, the quality of seeds that we're getting is becoming increasing. So for example, last year, we had 102,000 tons of crude palm oil that we were able to extract. And if you multiply that with about 5.3x, 5.4x, we will get the FFB, it's just typically about 0.5 million tons of fresh fuel bunches that we get -- we got last year. So this should sequentially improve only because I think the quality overall is improving, the varieties of the tree that are getting planted are becoming more lesser in height. So there are more dwarf varieties. So I'm expecting that we should certainly targeting that we should get closer to 2.5 tons. Otherwise, in Malaysia and Indonesia, if you go, the fields are giving up to 3.5 tons as well. So some ideal growing conditions like Andhra sector, we should get closer to 3.5. But on an average, our target is we should get closer to 2.5 tons of crude palm oil per hectare.

Piyush Bangar: Great. My last question about the palm plantation that do we need to open any new vesting sites with plant and machinery for this upcoming project? And if yes, then how much capital expenses are expected with the timelines?

Sanjeev Asthana: So for example, we have got one site which is under construction right now in Arunachal Pradesh at Pasighat, Niglok. So that investment is very low because it is 5 tons per hour gross capacity.

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So that investment is about INR25 crores. We are going to put up a new mill in Mizoram by next year until that capex will come up.

But in terms of the large-scale sort of capex is more back-ended for us, which is going to be in the -- in Assam, in Andhra Pradesh and Telangana, which I'm anticipating that after three years when the crop size becomes larger, then we'll have sort of almost I'm expecting INR800 crores to INR1,000 crores of capex we'll have. So it's very back ended in year three and year four is when that capacity will come up.

Otherwise, these are smaller expenditures that we have, both in the city and the smaller mills that we are putting up both as part of an obligation that we have to the tra

de government of the

farmers as well as the fresh field bunches which are coming, should not go waste. So that we are ensuring that we're putting up smaller capacities in Arunachal, Mizoram in that sequence. And if required, we'll be putting up in Assam as well. But that probably is going to be closer to later next year, not at this time.

Moderator: The next question is from the line of Payal Shah from Billion Securities.

Payal Shah: I have one question. Can you give some color into Q1 performance for the Home and Personal Care business, which we are acquiring?

Sanjeev Asthana: So I would not be able to give you that right now because that probably is going to come later. I can give you some sense about the overall business is that what exactly does it comprise of?

So right now, what we have is that -- I'm giving you the annual numbers, I may not be able to give a favor of exact Q1 numbers simply because right now, it's not available with us.

We do about INR1,345 crores of revenue annual -- this is last year's number on dental care side, INR1,345 crores. We did skin care business of INR725 crores. We did home care business of INR410 crores and we did hair care business of INR291 crores. So this is the revenue overall that we did on an annualized basis. So yes, I don't know that I have been able to answer your question. I think this was the annualized.

Payal Shah: Sir, any details on the Dant Kanti performance if you have, that would be quite helpful.

Sanjeev Asthana: Sorry, any which one performance?

Payal Shah: Dant Kanti.

Sanjeev Asthana: Yes. So Dant Kanti, as I mentioned, it's INR1,345 crores is the revenue. In terms of the margin sort of profile is quite high. It's close to 40% plus. And plus, we've recently launched sort of new

variants in active fresh, etcetera, with new brand ambassadors and Tiger Shroff and Tamannaah Bhatia. So those ads are in the air, the distribution products are there, and there is a reasonably good response that we're getting in the marketplace. So yes, I think I will be able to give you only this much and not because we don't want to, but just that simply that's not available to the level of detail you might be seeking.

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Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Just to continue on the newly acquired business, what I wanted to understand, do you think another one to two quarters of the business will get fully integrated? And what are the steps which we are taking? And meaningfully, if we are banking on the distribution expansion for the newly acquired business, do you think within three to four quarters, we will be up and running fully?

Sanjeev Asthana: Are you talking about the HPC business or ...?

Shirish Pardeshi: Yes.

Sanjeev Asthana: Okay. Yes, so I think one is that the timeline is obviously the regulatory approvals, we'll have to wait. We are hoping that in the normal course between -- in four weeks' time, we should be getting that, maybe four weeks, maybe six weeks at max. It will take some time for the full value to sort of accrue. We were estimating that it should add at least 100 basis -- 100 to 200 basis points to the margin construct with a better distribution efficiency in other way. It should take certainly between three to four quarters for the full integration to happen and sort of smooth forward.

But the fact remains that whether it's going to be -- whether it's a distribution side, whether it is in terms of the -- some bit of rationalization or substantial rationalization that we're aiming for at the ground level on the organizational structure that we have in the cost base that we will have a certain degree of the marketing activities that we could consolidate and convert that into more structured sort of way between food and non-food side.

So yes, I'm reasonably

confident that the integration will happen, it will take its time. But certainly that it will benefit from the next financial year for sure. And hopefully, the last quarter of this year, we should start seeing the benefits of -- some early sort of benefits starting to accrue to the company.

Shirish Pardeshi: Okay. Now why I'm asking this question, historically, I think if you can help me to understand. Our food and FMCG business contribution in the South was lowest. Will this complement in a medium to long term? Or how one should look at it?

Sanjeev Asthana: Look, clearly there is a distinct sort of that we need to improve certain regions where a lot of company effort is going on to develop and build that up. So for example, the strength, if I were to sequentially move in different products. So South we need to certainly work on and get better. And we can be confident that the HPC business having wider appeal, I think we should see the benefits of that accruing in South.

But having said that, it's not that South, for example, our Ruchi Gold Palm Oil is a high-selling brand in the country, most of it sells in South. A lot of our businesses like, for example, the biscuit business is expanding very rapidly in southern part of the country. So it's not that it's a one size fits all.

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But yes, the Indian ethnic foods category, if I were to look at, some of them -- a lot of them are very -- both in terms of the traditional usage or otherwise that they're more centered in North and Western part of the country and Central India and less than South. So I think that variation we witnessed often -- but synergies overall, it's not just South, but I think overall, in the -- within the country itself, at a national level, it should give us the better fit.

Shirish Pardeshi: Sure. My second question on the biscuit segment. You mentioned that INR417 crores what we have reported has grown about 9.4%. I just need to have a little more qualitative aspect. What is the volume growth and is there any price decrease we have taken in this quarter?

Sanjeev Asthana: Yes. I had the volume growth here with me in terms -- so we haven't taken any price decrease at all. So I think the broader adjustment has been a lot more in terms of the grammage. And that

adjustment happened because clearly, the price pressures have been there and existing to the market with the larger sort of point that we have. So basis that we work.

But overall, it has tended to grow and I'm trying to pull out on the biscuit side, our volumes have grown a bit. Our volumes are also growing consistently and we are seeing the revenue growth as well. But the settlement adjustment has been lot more on the grammage side and pack size changes, etcetera, which has tended to help the biscuit growth.

Shirish Pardeshi : So will it be at least 200 to 300 basis points higher than the revenue growth in value terms?

Sanjeev Asthana: Sorry, what is the question? Can you speak a little louder?

Shirish Pardeshi : No, I'm asking the volume growth, what you've reported 9.4% value growth, the volume would be at least 200 to 300 basis points higher than what you were reporting?

Sanjeev Asthana : Definitely. So volumes are consistently growing and so typically, the volumes at quarter -on-quarter is growing and -- which is there. And so to that extent, we would say that, for example, like versus a very high pace of growth that we saw. And this quarter was, of course, one of the slower quarters typically. I think that now it's going to pick up pace. So typically, I would say that, yes, 2% to 3% will be the volume and rest of it will be coming on the value side.

Shirish Pardeshi : Sure. My last question, you mentioned that there was a price decline in the edible oil. In the medium term, I would expect the prices are firming up. So if you can help us to understand what are you

building in second half? Is there price increases or this price deceleration will still continue?

Sanjeev Asthana : So it's actually the jury is out. That's something that is happening right now, because a much more macro pointer, but the oil itself is not having too much of surplus oil, these mandates on account of biodiesel, etc. Which is both in the U.S. and Brazil and what we've seen in Indonesia, they're moving towards B40 next year.

So the availability of the edible oil in general for the global markets is becoming lesser and lesser progressively, whether that reflects back in the price increase, we don't know. It looks reasonably stable for the moment, and I'm hoping that it stays that way. Because if the prices were to go up,

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it tends to immediately have an impact on the margin profile in our range of businesses that we're not only just that, but even on the business also.

So typically, that's what we are tending to sort of deal with. And likewise, I'm saying that, for example, on the other commodity side, maybe unrelated, but import very important that I'm expecting that the wheat (52.15), for example, government has come with stock control orders, but there is a clear cut sign that there will be a high spike in demand and the wheat prices will go up.

So all these elements tend to add to the pressure on the pricing for various other products also, our categories. So we'll have to see. But broadly, I think this quarter, it should remain stable.

Thereafter, we'll have to see that how -- but then India starts to Harvest the Soybeans and other range of oil seed winter oilseeds come. So we should be okay for the moment.

Shirish Pardeshi : Thank you and all the best, sir.

Sanjeev Asthana : Thank you.

Moderator: Thank you. The next question is from the line of Niranjana Jain from Trust Security. Please go ahead.

Niranjana Jain: So on to your reserves, being so that there is some

Moderator: May I request you to rejoin the queue?

Niranjana Jain: Okay.

Moderator: The next follow-up question is from the line of Piyush Bangar from Vijit Global Securities Pvt Ltd. Please go ahead.

Piyush Bangar : Okay. So again, I had something around palm plantation only. So my question is exactly how we are managing to supply routes to crushing factories? And the transportation fall-around factories, like what kind of transportation would be going through?

Sanjeev Asthana : No. So the farmers bring the FFB to the plant, to the oil units. And if the responsibility lies largely with the farmers to bring it -- we help them, but they bring me to the factory gate.

Piyush Bangar : Okay. So exactly what will be the major mode of transportation? Is it by road or railways?

Sanjeev Asthana : No, by truck only because they are smaller farmers, typically, which will have 2 and 3 hectares of the plantation. So they will hire a truck, if it's very in the close vicinity, tractor, trolley, and they will bring it, but never moves by rail at all.

Piyush Bangar : Okay. My second question is, at the palm oil mill, we get a mulk as a by-product which is also can be used in production of biofuels. So do you have any plans in future to produce biofuel to something in this category?

Sanjeev Asthana : No. So we are doing that already. So the husk that sector that is used , which is being used in the Boiler. So it's got very high calorific value, and that is being used not only the Boilers at our own plant. But also in the refineries, which are close by, our own refinery. So we're moving it towards that. So any by-product that is there, the biomarks that's available that is getting used. And where if we don't have the use, there's a ready market available for that, which will get utilized. So there's zero wastage on that front.

Piyush Bangar : Tha

nks for the opportunity .

Moderator: Thank you. The next question is from the line of Niranjan Jain from Trust Security . Please go ahead.

Niranjan Jain: Am I audible?

Sanjeev Asthana : Yes, I think if you take off the speaker phone, it will be much better. It's slightly our third line.

Niranjan Jain: So my question is a little bit simple. What is the reason for increasing the oil margin? Because compared to last quarter negative is almost is almost INR 100 crores, now it is almost INR 232

crores. Is there a branded profitability or maybe there is some other reasons? And second question is, what is the volume growth in this business comparable to year-on-year period?

Sanjeev Asthana : No. There's -- I'll explain that to you. I'll give you the breakup also. So in this quarter, INR 232 crores is comprising of 2 parts. One is that the refining and branding that we have that is INR185 crores and INR 47 crores is on account of the oil palm plantation business. In the last year, when we had -- it was negative INR 144 crores for the refining and branded segment and INR 46 crores plus in the palm plantation side business.

So that's why it was INR 98 crores negative. So the reasons are both as we had witnessed in the Q1 of last year, Q1 '24, was that the prices were extremely volatile. We had higher price inventory, the hedges did not work well and the Indian market was not willing to pay. So that's why these are negative of INR 144 crores that we witnessed. As I mentioned during the call also, the prices are much more stable.

So when the stability in prices is there, there's a marginal part of it, if you're carrying the inventory on a structured basis because the premium that we have on a branded segment that we have, that allows us to make a more regular margin. So as a company, which typically tends to carry -- has to buy these products ahead of time, ahead of the sale. We always would like stable market regime to be earning consistent and regular margin.

Niranjan Jain: And what about the volume growth? Do you see any volume growth on the oil segment?

Sanjeev Asthana : Yes, I'll explain to you. So for example, in the Q1, our volume in the edible oil segment actually compared to the Q4 of '24 has dropped by 50,000 tons because this is typically -- is about 10% drop because this typically is a low demand season. Summer months, a lot of demand, for example, goes down. And the marriages are not there. The functions and festivals are not there..

So our exact volume, I'll share with you. The Q4 of '24, we were 638,000 tons of sales that we did. This quarter, we did sales of 574,000 tons.

Niranjan Jain: And what about the Q1 FY '24?

Sanjeev Asthana : Q1 FY '24, the volumes were 622,000 tons.

Niranjan Jain: Okay, thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sanjeev Asthana : Yes. So thank you very much for this session. With this, we'll conclude the call. And if you have any other queries, you can contact SGA our Investor Relations Advisor. Thank you very much, and everyone, have a good day.

Moderator: On behalf of Patanjali Foods Limited , we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

PATANJALI FOODS LIMITED

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PFL/2024 July 09 , 2024

To
BSE Ltd . National Stock Exchange of India Ltd.,
Floor No. 25, Exchange Plaza,
Phiroze Jeejeebhoy Tower, Bandra -Kurla Complex,
Dalal Street, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051

BSE Scrip Code : 500368 NSE Symbol: PATANJALI

Dear Sir/Madam,

Sub.: Transcript of Investors /Analyst meet held on July 02, 2024

This is in continuation to our earlier letter dated July 02 , 2024 regarding audio recording of Investors /Analyst meet held on July 02, 2024. Please find attached transcript of the said Investors/Analyst meet.

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com .

You are requested to take the same on your record.

Yours faithfully
For Patanjali Foods Limited

Ramji Lal Gupta
Company Secretary

Encl. : As above

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Analyst and Investor Meeting "
July 0 2, 202 4

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on July 02, 2024 , will prevail.

MANAGEMENT : MR. SWAMI RAMDEV – NON-EXECUTIVE DIRECTOR –
PATANJALI FOODS LIMITED
MR. SANJEEV ASTHANA – CHIEF EXECUTIVE OFFICER
– PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL OFFICER –
PATANJALI FOODS LIMITED

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Sanjeev Asthana: First of all, good afternoon and welcome to this Analyst and Investor Meeting that we are having today on a very historic occasion. You all have seen on the media posts that we did yesterday on the filings at the exchange, the Board of Directors approved a very large transaction of our HPC business, Home and Personal Care business of INR2,800 crores, highly profitable, on a slump sale basis at a cost which is, some of our big investor friends were saying it's almost historical, a lot of feedback what we got. And this is a very important milestone in our journey, this is the third acquisition that we have done after the biscuits business that we acquired 2.5 years back. Last year we acquired our foods business from Patanjali, both were done on the slump sale basis and this is the third business on the Home and Personal Care that we are acquiring. And just to give you a flavour and a context that both the businesses that we acquired, once they came under the listed entity, we have not only grown them at a huge sort of scale, nearly 60 % and 50 %, we have increased the profitability, we have repositioned the company at a completely different level.

But I will not come in between this, I have got a detailed presentation, but first I am going to request Pooja Swamiji to address all of you in terms of what is his vision, his mindset, his orientation towards Patanjali overall, how he sees the transaction and what is the vision he is drawing for all of us in terms of where he sees the company three years down the line, five years down the line and in general his own orientation towards everything that Patanjali does. So we would request Swamiji to come and address all of us.

Swami Ramdev: Namaste, Pranaam to all. Please smile, you are sitting very serious. There are some people who are under stress due to political reasons, some due to business issues, some due to their husbands, some due to their wives, some due to their children. Where you are not the reason, 99 % of the time you are under stress. It is someone else's fault, if something else is happening, it will be fine, you are fine.

So anyway, you should have a positive mindset. I have attended thousands of seminars across the country, I have travelled more than 25 lakh kilometers. I have studied in a government school in Gurukul and I had come out of the house with a resolution that something big should be done for the country.

I have heard that people study in IIMs, IITs, in big institutions like Oxford, Harvard, Stanford and in big business schools and sell foreign companies' soaps, shampoos and toothpastes. So we can create something big. With this resolution, I started my journey 35 years ago. I have been doing yoga for 50 years and my biological age is only 25 years. Some say I am 56, some say I am 58. Someone has made me old.

My age is written somewhere. Then people ask me, what is your real age? I say, when people are beating me up, let them beat me up, no problem. Anyway, it is not about age. The point is

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that we should do something big on our own. And when you go out to do something big, the country also stands by you.

People always say negative things. People don't support you, the society doesn't support you, the family doesn't support you. At least you go out. I say, people supported me. The yoga that was on the path, I took it to the peak. Ayurveda has reached a great height.

And the Swadeshi movement, which we started by listening to it, has taken a very big shape today. Like our CEO Asthana ji was telling you, Patanjali Foods, which was formerly known as Ruchi Soya Company, has been on this journey for over 35 years. After the launch of the

company's IPO, we merged Patanjali's whole portfolio of biscuits in just INR62 crores , which had a revenue of

about INR 1,000 crores, which has now increased to INR1,600 crores .

Nowadays, how much revenue, how much EBITDA, and how much will be its multiple, on the basis of this, whether it is a related party or a new party, or if you do an acquisition of a business, so based on the multiple and its various aspects everyone calculate it. So biscuits, whose value was very high, in a slump sale of INR62 crores, you know that in a slump sale, land, buildings, and that too is based on book value, machinery, plant, stock, on the basis of that, there is a slump sale value. Food, which was a business of INR4,000 crores, which has now increased to INR7,250 crores .

In INR690 crores, it was transferred at the slump sale value. Today, the business, which is a very core business of Patanjali, which is called personal care, hair care, dental care, skin care, which has a lot of potential . Today -in dental care, Dant Kanti is the number one in more than half of India.

This is a big achievement and for this, 35 years of indirect and for the last 20 years, there has been direct hard work, penance, there has been innovation, thousands of people have worked hard for distribution, then it became possible. Now, recently, before the merger, we have launched a new product in Dant Kanti category , Dant Kanti Fresh. (7:11) We have roped in Tiger Shroff and Tamanna Bhatia as the brand ambassadors to connect with the youth, because youth use freshness more. The stock that we had made for 15 days, that was finished in 3 days. Then, because our Essel group makes tubes, they make about 60 crores tubes for us. Now, our goal is to make 100 crores tubes. Their team came and said whatever capacity you want to increase, we are ready to increase it , you just take it further . It took us 15 -20 days to reach different places .

In one month, we have reached about 5 lakh direct, and 10 lakh indirect stores. This is the story of our success. In one month. This is a very big thing When we supplied to 5 lakh stores directly, and 10 lakh stores indirectly, we received 3 -4 repeat orders from those 5 lakh direct, and 10 lakh indirect stores .So, this is the story of Patanjali's success.

It is true that in between, for 2 -3 years, we had reduced the cost of product sales, distribution, and marketing. Now, this is all a matter of cost , we have to put in something. Now, Dant Kanti, in India, will take time. Because, when I used to talk about Swadeshi 30 -40 years ago, people used to say, Sir, who can challenge Colgate? Who can challenge Colgate ? In this category,

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there is no effective brand in India. Now, in the next 3 -5 years or, it may take a little longer for some things. This is not a straight line. But, , our target is to achieve 50% plus market share in every category whether it is the dental category, hair care, dental care, and skin care. In skin care, it will take some time for skin care as it is a critical matter. But, slowly we will achieve our target . Like today, Patanjali aloe vera gel sells around 70%-80% in the whole of India .

Today, 60 %-70% of cow ghee sold in this country is of Patanjali s, we have established our brand in such a way that . In this country, we have created the records . Today, in the Hair care category we have our Kesh Kanti brand. For hair oil and shampoo, our target is to reach INR1,000 crores plus.

In dental care category , our target is to reach INR2,000 crores plus. I am telling you a little less target. Mr. Asthana is looking at me , Swamiji, it will take a lot of effort to do this. I will support you, I will not leave you alone. Within the next 3 -5 years, it can be INR 2,000 crores -INR 2,500 crore s, but I am talking about the conservative side of INR 2,000 crore s because you people have taught us, less promise, promise over delivery. So we are working on this concept. So

we are

targeting INR2,000 crore s plus is Dant Kanti in dental category.

In skin care also, our target is INR2,000 crores -INR2500 crore s plus, and later we will reach INR5,000 crore s plus. Now we are doing INR700 crore s plus. It will take some time, but we will do it. Because now people want to go back to nature. Many people have tried work arounds , but nothing happened.

Nothing beautiful happened. We sell Aloe vera gel for INR175 crores plus. To make it INR500 crores plus, is not a big deal for us. We have to make people more aware. Today, if someone has any skin problem, whether it is rashes, pimples, wrinkles, some pimples keep coming out, sometimes you eat more mangoes, sometimes you eat more chillies, sometimes it rains more, humidity increases, pimples come out. In 99% cases, it just takes 3-7 days to get the normal and clear skin.

These are big things. People should be aware. Today, when I go on a flight, the air hostess says,

we apply your AloeVera Gel. In news channels, or in different entertainment channels, whether it is GEC or news, the anchors say, they have to put on so much makeup, later they use Aloevera gel to remove the makeup, and they apply it again after removing make up, or else the skin will get damaged. So people want it. I am not telling you a story.

So there is a scope to do a lot in the skin category. About Face wash, Patanjali's face wash is ultimate. Today, some samples are being given – not for any inducement. Some people say, we have ethics, we don't take gifts from anyone. God has given you the biggest human head, what have you paid for it? It is a human body. It is a gift from God. It is a human body.

So we are not giving you a gift, we are giving you an introduction. You see, we have given some products. Sanjeev Asthana ji is a little greedy in this matter. I thought he would give 25 -30 products. I saw a small bag with few of our products packed in it are being given. At least, we have more than 200 products.

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Non-food business, personal care, home care products consists of More than 200 products . SKU's. So, about 50 products are made. So, he has given you 15 -20 as a gift. So, you will get an introduction. Very amazing things. Face wash is ultimate.

Bathing soap is ultimate. Neem, Panchgav ya, Aloe Vera, Haldi Chandan. These are opaque soaps. Then there are transparent soaps, 80% of them have coconut oil. Very premium soaps. Then there are shower gels. So everything is ultimate. We will increase it further. So, each category is around INR1,000 crores, INR2,000 crores. By increasing it like this, first INR5,000 crores, then INR10,000 crores. It will take time. This is a very big amount. And what we have said, we have done. Some will take 3 years. Some will take 5 years. Some will take 7 years. But, the resolution we have taken, we have not backed off from it. There is only one formula of my life - Resolution without alternative. Until my goal is achieved, I will keep going with full determination and spirit. One day, we will reach our destination.

With the same resolution, we have reached here today. And without any selfishness. Without any selfishness, we work hard and we are a proof of the concept of trusteeship, if someone wins it in a real way, then it is Swami Ramdev, Patanjali, Acharya Balkrishna Ji.

We have only one goal. Investors, whether they are retired or institutional, whoever they are, they should also earn. And they should also create wealth in their life. But, our share, is for the service of 100% of the society. We work with this resolution. So, with this resolution, we have moved forward.

We will move forward. And, I have told you a small vision. The business of non -food, personal care and home care. Even in home care, we have amazing products. I will talk about 2 -3 products. There are around 10 such pro

ducts. If we count from the top, Kesh Kanti, Dant Kanti, Aloe Vera, our face washes, our bathing soaps and, in this, the amazing products, the premium products, the premium category, we have just launched it. And, some people say, Patanjali, is a mass es brand. But, even for classes, we have launched many premium products.

We have done research and innovation. We have launched it. For example, I will talk about home care. So Gonyle. People used to apply phen yl in their homes. Gonyle is such a product, that, whether, we talk about its efficacy, on bacteria, virus, fungus, whether, we talk about its feel, whether, how much it is consumed, we talk about it. It is an amazing product. And, in India, for the first time, we did this. We gave Gonyle as an alternative to phen yl.

It is a very big product in itself. In which, in the coming time, it has the capacity to be a brand worth INR500 crores to INR1,000 crores. If we work a little on it, then it will happen. Why not? People are selling white water in bottles. This is an amazing product. It is tested. It is a scientific product. We have made it with innovation. We add cheed oil to it. We add gu duchi to it. We use neem. We use cow dung. It is an amazing product in itself. So Gonyle.

Similarly, we have Dish wash Bar, which is available, we will build its capacity further.

Meaning, today, in it, it is about, how much is it now, sir? It is our product worth INR250 to INR300 crores. Dish wash Bar. It is worth INR200 crores plus. We will be able to do INR500 crores in the future easily. And in the future, it has a capacity of INR1,000 crores plus. All this,

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to clean the utensils, the soaps that are made only with chemicals, people's hands are getting spoiled because of it.

It has a negative effect. The mothers who, clean the utensils at home, or the women who clean the utensils themselves, their hands are getting spoiled. Patanjali's, Super Dish Wash Bar, is advertised by women. So, it is worth INR240 crores. It has a capacity of INR500 crores, and we can do it INR1,000 crores more. That is its capability.

At the end of the program, we have prepared the ad campaign in the same way. We had spent money in the middle. The amount we spent, I have seen, if we spend INR100 crores, we can build a brand worth INR1,000 crores. This is my experience. Which, does not match the standards of the industry. People say initially at least, 50%, then 30%, then 20%, then 10% , is to be spent on advertising.

We have built the brands at 10%, where people spend 10% just for the sustainability of the brands. So, these are such big products. Rest, from Herbal Wash , Herbo Wash , we have worked very hard to make these products.

In sk in products, whether it is anti -wrinkle cream, anti -aging cream, or gold cream all these products, we have innovated, because, their formulation, their aging, their effect, there are no complications, we have worked very hard on this delicate topic, skin. So I gave you a brief, about the business that is being transferred, and, all the work has been done. Some small formalities are still left.

How long are you going to put in for shareholder approval? Yes, put it in as soon as possible. Shareholder approval, regulatory, everyone is feeling joy at this news. Very few people thanked me, instead, they asked me why did you give it in so less? I said it was you people who told me, that make a lot of money for the investors.

So their question is what is your goal in this? Our goal is to grow Patanjali . Our goal is growth of the investors. And when Patanjali becomes big and when investors become big, then we will become big on our own. In the corporate history of today, thousands of crores, which have a value of at least INR30,000 crores to INR50,000 crores in the market, in the capital market, in the equity market, which you multiply,

INR30,000 crores to INR50,000 crores value, at least people get it .

From today, 10 years ago, 7 -8 years ago, when people used to value Patanjali, they used to say Patanjali has a brand equity of around INR1,00,000 crores. Today, when we have transferred business, we have done it with a resolution that we all should move forward for a long journey as a team and we will move forward. Earlier, I had promised that we , at any cost , you will remember when we had launched FPO then also t hen I keep meeting differen t events, I have met at least 4 times, 5 times with the investors. S o I said, at any cost we will not only match, w e will meet it and give more than that.

So this is not a matter of giving and taking. It is a matter of doing something big. So we want Patanjali to become the biggest brand of the country and spread it all over the world. Today,

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Patanjali has become the number one food brand in the country. For this, I would like to thank you. You have given us the strength and we have worked hard to take it forward. Today, there is one brand that is ahead of us Unilever.

Now, I will say this in a funny way. I am going to do Asana. So some companies will be toppled / dethroned and then Bharat Mata will sit on the throne and we have a dream of self -sufficiency from Swadeshi. We will see it happening in front of our eyes. So after saying a few more things. People ask what is the distribution of Patanjali? Patanjali has a biscuit distribution, a food distribution and a non -food distribution. We were 10 lakh shops before then 5 lakh shops were added t hen 8 lakh shops were added.

Now 20 lakh shops have our direct distribution a nd 20 lakh shops have our indirect distribution. Today, we have reached the distribution between 40 lakh and 50 lakh . Our reach is 100 crores and we have customized the reach of that 100 crores . Now in that, we can reach our product portfolio to their homes as much as possible. This is our target. That our range rea ches there as much as possible a nd we can deliver very healthy, affordable and premium products to them. With this resolution we are moving forward with this journey. Rest the work of the figures is of our respected Mr. Asthana. You always have the recognition of our Mr. Asthana in a conservative way. Whenever I go to the investors ' meet, I am going to go again f rom 21st, first America then Britain then Singapore. We will definitely go to the foreigners. We will invest their money in good work. They will also earn some good, b ut our Indians are also not less. They also have a lot of strength. So, we thank you a lot.

Our Indian investors ie retail and institutional investors' strength has increased a lot. Your contribution has increased a lot and we want your contribution to increase even more. We don't want to defeat anyone, b ut we want to increase ourselves so much that we can build bigger

structures. So, I have a broad vision in front of you. Patanjali's palm plant ation work is also moving fast y ou must have seen it.

We have planted about 20 lakh acres of land. We want India to become self -reliant in edible oil. We ar e working for that. There are three, four new initiatives we are going to give a live presentation on that. Mr. Dhoni who is a very good brand ambassador has joined us in edible oil. I was talking to you about Tiger Shroff and Tamannaah Bhatia. Our new ad launches of Ghee are also very good. I was talking to you about Gon yle and Dish wash bar. So you will see new creations you will see how to connect with the new generation. We want to take it to a new level.

First we want to become a winner in the country and then we want to be ready to become a world winner. When Colgate can be the number one brand in the dental category, why can't Dant Kanti be the number one brand? This is our dream. I was talking to you about

one brand. In the same

way, we will g ive strength to export as well, w e will give strength to online as well. We will fulfill our big goal and dreams. You all invited us with so much love. This was a limited meeting. We were able to meet you in a small place. If we invite you openly without an invitation I think we will have to m eet 5,000, 10,000 people. For this, I would like to thank Mr. Kirti Doshi. I

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would like to thank him and his team. I would like to thank you all for your valuable time. I would like to thank you all for your faith in me and Patanjali. I would like to thank you all for your faith in me and Patanjali . You and we would together we would achieve new heights. I wish you a good luck. Respected Asthana ji for further presentation .

Sanjeev Asthana: It is n ot easy to speak after Swamiji b ecause he speaks so impressively. So I will speak in brief. Generally my speech becomes boring and everyone gets less interested. So, I will take some time.

Swami Ramdev: Mr. Asthana is a very capable man. Please clap for him and encourage him. When a great wrestler steps down people get disappointed. By the way you are very courageous.

Sanjeev Asthana: So, a quick presentation before you. Patanjali's version 1 and version 2 are very popular now. When we acquired the version in the first stage, our FMCG share was less than 5% in the business. After that, we did a lot of activities. Our version 2 which lasted for 2.5 years, we acquired biscuits, we took it from INR1,000 crores to INR1,600 crores, we acquired food, we took it from INR4,000 crores to INR7,000 crores, we launched the Nutraceutical business, we restructured the balance sheet, we paid off the debt. And now, Patanjali is ready for version 3 in which a major change is coming.

The HPC business that we are acquiring today, you have the details and I will tell you. Under that, we did our best to acquire the business and done premiumization . Now the focus is on how we can take version 3 of Patanjali, become a consolidated FMCG entity become growth -oriented and grow in a highly profitable area and how to increase it. Our turnover was INR2,771 crores which is almost INR500 crores EBITDA margin.

The terms of acquisition very quickly the slum p sale value is INR1100 crores in which the inventory alone is INR500 crores , rest the land, plant and machinery and the total building is INR1,100 crores which is almost 2 years EBITDA. And if you look at the past track record, we had paid INR62 crores for biscuits. O ur last year's biscuits alone had a profit of around INR1 25 crores.

So within a matter of 2 years the cost we paid doubled our margin, in the same way we have grown in food. So the cost we are paying, the existing EBITDA, and the growth we achieve, I think with a 1.25 year earning we can get this business virtually in that cost . The second term is our 20 -year licensing agreement in which we will give Patanjali a 3% license fee in which all the patents, all the brands, all the intellectual property they have, will come to Patanjali Foods which we will make and grow, and it i s for 3 years, 4 years.

And I would also like to say, that our synergies which I mentioned later, but it is right to say here that the synergies we will bring, we estimate that in 18 months to 2 years, 200 basis points we will increase the margin by 2%, through our supply chain e fficiency, through distribution efficiency, through our marketing consolidation and how we will change the ground level forces. So the net cost of current value also less than 1% of the license fee will be left out and we believe

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that within 2 years, we can increase this margin almost nearly 1.5 times to 2 times, because that is the kind of potential which the business has. So, we will grow it consistently.

We have four segments in the business as we just discussed in which there is home care, personal care, skin care and dental care. We have 92 products, 186 SKUs which are coming to our business and the strong competitive edge of the business is that the positioning of Ayurvedic, the positioning of natural, the positioning of health and the positioning of natural, is a very strong positioning of ours around the HPC business which we will increase further.

In the business segment, one by one, I will keep addressing as Swamiji has already told a lot, but just the specifics, the numbers. So, in dental care we have INR1,345 crores which is almost nearly 50% of our business. We have a gross margin of 56%.

We have 24% EBITDA, 9 products and 31 SKUs. A lot of changes we have done, which you can see in our ads and it has already come on television. But just as a recap, you will see, that a very strong, largest category, according to our estimation, more than 65% market share, in the herbal and category toothpaste, is a very strong level brand, which continuously, consolidates on it, with new products.

Swami Ramdev: Those who copied us, they had to recall their brand Colgate Ved shakti, etc., after spitting thousands of crores. So in this category, the leader was already Patanjali and will be Patanjali in the future too. This is visible in front.

Sanjeev Asthana: So next. You guys just play the ad. [Video Ad 34:10]. Next. So the second segment of our skin care...

Swami Ramdev: People saw the ad for the first time and said this is Patanjali's. I said yes, it's Patanjali's. Now you can see the beginning .

Sanjeev Asthana: So very contemporary, very latest . We have a turnover of INR725 crores in the business skin care segment, 48% gross profit margin, 14% EBITDA margin, 45 products, 85 SKUs and very marquee products like our body cleansers that Swamiji was talking about, the samples that we gave today, no one is doing justice to it. There are so many other good products available. My request to you all is that please try them, please buy them. They are available. They are available online. They are available in retail stores.

They are available in Patanjali stores. Please buy them and you will be delighted with the soaps and body soaps and face washes etc. They are of extremely high quality. Next please. Similarly, in our home care segment, we were talking about a revenue of INR410 crores, 29% gross profit margin, EBITDA margin of 9%, 18 products, 38 SKUs, super dishwashers, bar and gel that we were talking about, we have a revenue of almost INR238 crores. It is a very fast growing segment.

It is on a rapid base. Since the base is herbal and natural, its takers and attraction to the market is extremely high. We are seeing a very good attraction in the marketplace. Next one. Play the TVC please. [Video Ad 36:38]. So I would really urge you please try them at home. These are

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brilliant products. They are most natural products and once they started experiencing that, they have seen the difference compared to the chemical sort of dish washing products etc. It is a very remarkable value that you will derive out of this.

Our third category which is a hair care category, INR291 crores, 35% gross profit margin, 12% EBITDA margin. It is in the range of Kesh Kanti brands. It has oils, shampoos, hair colours etc. Very popular, getting growing increasingly. There is a lot of demand in the export market. Especially we are seeing a lot of orders from the US which is growing consistently.

We feel that there is a growth momentum in terms of both creation of new product introduction and growth. We are expecting a huge play in this marketplace. Next one please. Just play the TVC please. This is new ad of Tamannaah Bhatia. [Video Ad 38:07] Next. [Video Ad

38:54]

Just as a quick split of the top selling products that we have. Dant Kanti as I mentioned as a toothpaste brand is about INR1,300 crores plus. Body cleanser INR353 crores. Dish washer bar INR238 crores. Shampoos INR195 crores. Aloe vera gel INR180 crores. Face wash INR105 crores. Detergent powder INR101 crores. You can see that range of products which are popular. Some of them are growth momentum driven. And some of them are very recent starts. There are some products and brands which started just 2-3 years ago. In which we are moving towards a big scale growth momentum. Next one. In the sales and distribution network, this is just an illustration of what the architecture of distribution that we have. Right from super distributors to distributors to modern trade, Patanjali stores, retail distribution. This is the network that we have.

Geographic distribution. Clearly you can see that green which is a strong strength area. Followed by red which is INR250-INR450 crores. There are some spaces which are less than INR50 crores.

We need to focus on a lot more. And that gives us a very deep insight. That when biscuits we saw that the distribution wide spaces were available where we were not reaching. The moment we started pushing on them, we saw immediate take off in the sales. Similarly, the food business, when we saw the wide spaces available, immediately it saw that immediate pick up in the sales. So, now the benefit what we are drawing is different products, we write the distribution chains and we are able to leverage the synergies between the respective businesses, the independent distribution that they have, which is driving this growth and the momentum forward.

Next one please. This is the past acquisition which I was telling you. Revenue for biscuit business in '22 is INR906 crores, In '23 it became INR1,350 crores and last year it became INR1,600 crores. So one of the values what we have seen is that under the unlisted entity with the way it operates and it is not that it is an inefficient operation, it is just that the way it operates. It is a different way of operation. Under the listed entity, we have helped by adding to distribution. We introduced the other synergies, linked it with oil, ran our ad campaigns differently, did the teams differently.

We achieved nearly 60% growth in biscuits within a matter of two and a half years. Similarly, what you can see is that we have nearly doubled our turnover, little less than double in the food

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business within a matter of two and a half years. So the lot of effort which has gone into building the businesses by expanding the value.

Likewise, we are confident that even the HPC business, we will see a very rapid expansion. Once the combination is done with rest of the four businesses on the distribution side that we have, we will be able to drive the growth of the brand and the profitability and of course, the synergies financial gain is there, we should be able to drive that a lot better. I just want to share with you a very critical part and this is what Swamiji was speaking about earlier, what we commit, that vision what we had and how we have worked to assiduously achieve our target and reach there. Next one. So clearly one of the stated if you people remember that 2-2.5 years from now we are continuously saying that when our share was below by 5% in FMCG and the overall thing and it's a commodity business, we told the people that we will take this share to 50% equivalent. And this path is clearly visible in front of you today if we look at the combined basis of our last year. including the current business if we see looking at it right now, including the current business that we are acquiring on an annualized basis its nearly 36%, last year it was 30% market share for FMCG, share of the revenue, this year it will become

-- if we simply keep INR2,700 as it is,

our share will become 36% of the revenue, if our growth momentum will grow at 15%, so this INR12,500 crores is going to become INR20,000 crores in 3 years time.

And at that time if we keep our oil revenue static, then we should be hitting 50-50 FMCG share and the edible oil share. And this was our stated strategic intent, which we are continuously monitoring and growing and one of the major commitment was that how do you build up a INR18,000-INR20,000 crores of FMCG business in next 3-3.5 years time and how do we have edible oil as a stable but the volume growth will continue to happen. We will emerge as and how many companies in the country exist with this kind of turnover on the revenue side of INR18,000-INR20,000 crores on the FMCG business, so that was a stated intent and we are going to sort of work towards that & in wide array of products we are looking at both organically growing new lines as and when the opportunity shows up.

And if we see any opportunity inorganically, which we feel we can invest in selectively, can integrate it, can bring a good team, then our focus will remain on that to and we are very well prepared towards that. And I will talk briefly about some of the strategies on the premiumization, what the company has followed and started to work towards.

Next one. We have talked about brand enhancement there has been a massive work, so one of the things which is less understood that this is a value play, this is, but how we have systematically built up our brands and business and I will show you some of the ads etc. What Patanjali has accomplished in last 2-2.5 years time.

We got Mahendra Singh Dhoni for Mahakosh and Sunrich sort of brands, we got Tiger Shroff, Tamannaah Bhatia, you saw the ads, we built up all these brands what you are seeing below, they are leaders in their respective categories and they have done phenomenal amount of work and lot of work has gone towards building up, both the marketing campaign, creative sort of storyline behind it, getting the brand ambassadors and building them in a very new and different way that new orientation of FMCG has emerged for Patanjali in how it has gone about it.

Next one. So, I am going to show you couple of the TVC which you may have seen but I would really like you to refresh and see that what all has it been a completion matter of just a short time of 3 years and where we have reached. You play the TVC please.

[Video Ad 45:43]

We took a little time to showcase the kind of work the company has done in 2.5 years and 3 years. And how we are repositioning the company, building its growth and addressing the contemporary. This is a big focus that we have on premiumization of the businesses. We have repositioned a series of products, redesigned it, changed the packaging, brought in ambassadors and added growth to it.

For example, we changed it to food products, we brought in a max range of Breakfast Cereals, likewise we brought in millet based products like Biscuits, which is in 7 Grains, Ragi and digestives, which has gained a lot of traction in the market place. In the personal care range, we have launched advanced versions like Kesh Kanti, fresh Dant Kanti, we have launched max range of nuts, which has become very popular in e-commerce and our own stores building up. Nutraceutical business repositioning even though it meant that we took a step back but completely repositioned a completely contemporary basis to build it.

So, then what it has given to us is that both uptick in the margin and drive that we have been able to build up which has been a very positive step in the way the company has gone about building its own structure of FMCG businesses as we are going forward. Next, please. This is a quick snapshot of the extensive reach which the company has today.

So, our reach is estimated at nearly 4 million retail outlets.

That we've got a strong base of nearly 84 super distributors Mega stores, 8,000 plus distributors Chikitsalaya, Arogya Kendra Exports to more than 34 countries. We are doing no justice. The demand is massive, and we are working to build now we are listed on Amazon US directly for a lot of our products. Which we are working on, both in US and Canada. Similarly, in e-commerce and D2C channels we are building it up.

The idea being, and across all the modern trade outlets and channels that you have, we are present. So, the idea is that we want to consistently develop and build up both direct and indirect reach to the marketplace. And continuously we are adding to the distribution range that we have, any new business that we launch, for example, HPC when it comes into our fold. Not only will we be able to leverage HPC's distribution.

But we'll be able to give the benefit of the food distribution that's available, for that to grow and build up in a much larger way. Next. In terms of synergies, broadly, which I told you, in the HPC business alone, not for the entire FMCG, we believe that there is a gain of 200 basis points that we can get over the next 18 months to 2 years by various things in streamlining supply chain or unified operations that we can put in.

Similarly, enhanced cost optimization on sales force and distribution network maybe we'll be working on very closely. Manpower efficiency so actors across the skill trained force in terms

of both training and retraining and leveraging our ground level assets to a significant benefit that we'll be able to drive and of course a very robust R&D setup that Swamiji spoke about earlier is that the kind of network that we have the Patanjali Research Centre and the research lab that we have is one of the most advanced versions of new innovative products, new ideas that get generated and new medicines, Food Products, Nutraceutical product and non-food businesses, products that have been generated backed by more than 500 Scientists, peer reviewed journals etc.

So huge value that has been generated. So net, I would summarize by how to look at this version 3 of Patanjali. Our plan is to complete our target of 50-50 in 3 years, to 4 years. Our target for the FMCG portfolio is still there It's clear that between INR18,000 crores to INR 2,000 crores we'll build the FMCG portfolio. By that time, in the next 4 years our Oil palm plantation. Which currently has 75,000 hectares. Will have more than 3 lakh hectares. Next year we'll plant 40,000 hectares. By end of next year, we'll have total 1.25 lakh hectares.

Our Edible Oil portfolio, will have a growth of 4% to 6% in volume. I don't want to guess its revenue because its dependency is always on the price point. It has no meaning. Our stated intent

is that we want to reach the double -digit EBITDA margin which is the turnover of a company between INR40,000-INR45,000 crores and a 10% plus margin which is our stated clear -cut target which will take 3 -4 years between that we'll accomplish it.

And this is only directly which is an organically growing business we'll do it in the same way. There are no inorganic growth elements . We don't have any capital expenditure requirement . The entire INR1100 crore s payment which we'll do to the parent is through our internal accrual . We have more than INR5,000 crores of free cash flows in our balance sheet . We have zero debt . Our free cash flows are building up year -on-year. And are being added further . We don't have any capex requirement other than routine maintenance capex that we have. The entire funding will be done through internal accrual. So it is going to be EBITDA accretive business on a huge way.

And benefiting from this we'll do a new Patanjali version 3 over next

2.5 -3 years which are going

to totally redefine the FMCG sort of play and the work that we are going to develop and build up. And with that I'll end my presentation .

Swami Ramdev: And if you want to see someone in person, come to Haridwar . I'll invite you .

Sanjeev Asthana: And come to Haridwar . And now it's Q&A time . So in front of all of you Swamiji, Rajesh ji. Any question that you have , we'll be very happy to answer .

Swami Ramdev: Rajesh ji is also a very hardworking person who is in our service . A big round of applause for him.

Chintan Kotak : Please raise your hands . And please state your name and organization name before asking a question . Thank you .

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Abhijeet (From Antique) : Pranam Swamiji . Pranam Sanjeevji and Kumar ji. First of all, congratulations for this acquisition . Sir, the first thing I want to know is the expected completion of consolidation of business and integration of business , when will it happen?

Sanjeev Asthana: We have two requirements . One is regulatory approval like CCI approval because the transaction size is larger . So that application will go to CCI in the next few days . We'll go for shareholder approval . These two activities shareholder s' approval will be done within 25 -30 days . And for CCI approval we'll work for it . For the requirement of corporate affairs . So our target is within this quarter it will definitely be done hopefully within 4 -6 weeks we'll be able to complete the transaction .

Abhijeet (From Antique) : So we can assume that from second quarter onwards the number would be integrated ?

Sanjeev Asthana: May be middle of second quarter onwards . Because today we are already sitting at the beginning of this quarter . So my guess is by 15th August the consolidation will definitely be done . May be plus minus 5 days it can happen 5 -7 days earlier or it can happen 4 -5 days later . But our effort is that all the preparation is ready . Our bankers are already working on CCI application . Our shareholder s' approval documentation is already ready . So, very quickly within next couple of days it will get done immediately .

Abhijeet (From Antique) : Sir, second question on financial parts . You've said that there is INR496 crores EBITDA. But what would be the contribution on the PAT front ? Depreciation, interest cost and ultimately PAT , what would be the PAT for this acquired business ?

Kumar Rajesh: There won't be much depreciation . Because fixed assets have low value . So there won't be much depreciation . You know about the burden of interest . Our company is completely debt free . Hence no question of interest burden is there . So, very minimal depreciation will be there.

Abhijeet (From Antique) : And third and last question . Right now for the listed entity A&P spend is relatively less compared to other FMCG companies . In HPC category we are increasing our advertising spend . What would be the contribution right now as a percentage of sales ? How much will be the A&P spend and how far can we take it ?

Sanjeev Asthana: So total annualized basis, our ad spend will be close to INR300-INR350 crores . Because right now it is distributed . Percentage wise it is compared to other FMCG companies . It is on the lower side . But our estimate is about INR350 crores is what we will spend . So if as a percentage that you see, it will be about 2.25% or there about. Of the FMCG share , if you look at the overall revenues , it is going to be just about 1.25% .

Abhijeet (From antique) : And just one clarification on this 3% royalty that is only for HPC business or including food business ?

Sanjeev Asthana: Only for HPC business . And as you remember on biscuits we pay 0.5% royalty fee of the gross revenue . On food business we pay 1% royalty fee . On these businesses we will pay 3% royalty fee and it is only for this business .

Pa

Abhijeet (From antique): Okay. Thank you very much.

Kumar Rajesh: Its industry norms are also like this. This has already been benchmarked.

Shirish Pardeshi: This is Shirish Pardeshi from Centrum. Asthanaji, Babaji congratulations whatever you said and did is Unparalleled. I wanted to ask 2-3 things. This INR1100 crore slump sale, this money is going to go to the trust or will come back in some form investments at the back end?

Sanjeev Asthana: As we are acquiring business from PAL. So all this money will go to PAL and PAL has already told us their purpose that they will retire all the debt liability. So all this money will go to PAL and that is the main purpose.

Shirish Pardeshi: Okay. When I am looking at the margin gross margin and EBITDA margin, in personal Q&A you mentioned premiumization, so now you are seeing that skin has 34% gross margin and EBITDA margin is also less. So in these 3 years any advice for future growth path that where will you settle this margin, what contribution premiumization will do? Patanjali's Kesh Kanti is also a big segment, you have already done this in Dant Kanti you have already achieved 24% EBITDA margin but these 200 basis points which you are saying, which segment has a better lever to get this margin very quickly?

Sanjeev Asthana: So I will answer that Rajeshji if you want to add to that, I will just quickly tell you that I think we see a big opportunity in the skin care, home care segments are typically normally stressed hair care and skin care. We see huge opportunity for margin expansion. We are going to work on both in terms of the price points and the premiumization work that we are doing.

Similarly we are going to work on the supply chain side of efficiency so our current estimation is that the integration based benefits are around 2% points on the HPC business. We should be able to accomplish that. The rest of the effort towards premiumization and growth the new brand ambassadors, the work we are doing Towards premiumization, repackaging, growth momentum that we are driving, that should also start to add.

So in broader terms the target is currently 18% blended EBITDA. We should, in the natural course, be able to take it up to 20% and then we will start working towards that. There is no specific target that we will make it 14%-18%. But we are going to sit down, work on it and we will certainly look for expanding the overall profit targets in each of these categories. So certainly we should start to better that.

Shirish Pardeshi: Last question on the distribution. I understand you have done a phenomenal job on the biscuits so the growth of biscuits is a distribution led growth. I agree that in FMCG especially in Dant Kanti and the hair oil business but can you tell us some numbers like what will be your market share in toothpaste, what are you targeting or what is your target in hair care?

Sanjeev Asthana: So in toothpaste we had told you in the respective category of herbal care segment the natural toothpaste has more than 65% market share. And in hair care there is no target because that category has got different levels at which it is dealt with. And we are not setting any specific

target in rest of the categories because there is a lot more growth and up room that we have to build up.

The idea is, in the respective brands within that there is a particular sort of market share that we have. But that is not something that as a stated intent, we have not declared that we will only do this much. But that is what it is, but we are going to soon come out with a clear road map once it is fully integrated and then we will start working towards what market share we are targeting, what distribution levels we can reach, it will take some time.

Give us one or two quarters to reach that number and then we will give our clear-cut objective for this business because as you have seen in biscuits and food, we grew that very fast when we acquired them. The growth was much slower, but when we got them in, it became much faster. So here also as you have seen the growth was about 7% prior to acquisition we believe that we should be able to double it straight away. But whether it is double or it is three times larger or higher or whatever it will be I think that the team is working on it right now I think hopefully over two quarters we will build that up.

Shirish Pardeshi: Thank you and all the best.

Sanjeev Asthana: Thank you.

Abneesh Roy: Sir, Abneesh Roy from Nuvama. Sir, the first question will be on hair oil the listed hair oil companies they have had very low growth for the last 3-4 years. If I look at your number, it is about INR55 crores so I wanted to understand what is your view on hair oil as a category and

INR55 crores is a low number . What is the reason for this? Because earlier also Patanjali's R&D In terms of Babaji's Overall connect with the customers was very strong . What will be the change in this specific product?

Swami Ramdev: See in the hair category . We have not done a lot of Advertisements, we have not spent much on sales marketing earlier in the market 99% of the hair oils sold all are mineral oil based . Ours is 100% based on natural oil . In this there are many possibilities of growth we will drive it in the same way so that especially from coconut oil and our Kesh Kanti Advanced hair oil the problem - solving Product towards natural products in this direction we will have to bring awareness in the society . That t hey are applying LLP (01.05) , Mineral oil or are they really nourishing their hair . This is a little time taking process but we will move ahead .

Abneesh Roy: Sir, one follow up will be , your point about LLP (01.06) is absolutely right but those who use natural pricing increases . The listed companies' that are number one or that Kolkata company. They also say that their premium hair oil their sales are very slow versus their mass -based hair oil.

Swami Ramdev: The challenges are there and they are not going to go anywhere. We have beaten the challenges and we will do it in the future . To achieve big goals you have to put in a lot of effort .

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Abneesh Roy: Sir, last question . You also told us about e -commerce and quick commerce so quick commerce companies have already done largely 4%-5% of the total sales . How is your product right now Based on this consolidation , what can be the difference Over 3 years ?

Swami Ramdev: E-commerce is not a big excitement for us nor is it a restriction . We have kept it running without disturbing our mass distribution that is why we are conservative . You also know if you put in a lot of stuff in e -commerce there will be cutting and your brand will be damaged .

Sudarshan Bhandari: Good evening. Myself Sudarshan Bhandari from Beat the Street . My question is around strategic planning for the company. Patanjali Ayurveda has around INR6,200 crores revenue and after 2,700 acquisition there is another INR3,500 crores businesses left. What business exactly it is and do we have a plan to acquire into the listed entity so that there would be any synergetic opportunities this is the first question and as you said the PAL Patanjali Ayurveda has a debt which will be the current amount would b e used to repay the debt so what is the debt overall and whether a promoter stake sale would be required to pay off the debt or the royalty payments would be sufficient to meet the debt obligations? These are the two questions.

Sanjeev Asthana: I will answer both the questions the first one first . The other businesses are basically medicine business the Ayurvedic medici

ne business . The second business there is the puja , which is the religious for the puja purposes there is a very wide product range which Patanjali has that comprise of that . there are two other businesses there both are commodity oriented which we were not interested in taking over . One is the rice business and second is the dairy business liquid milk business which is fairly large . And then there are couple of smaller segments so that comprises the balance part of the business which there is no plan to acquire and the listed entity in terms of the acquisition from the parent .

This part is already done so that we will not be acquiring any further . In terms of the debt repayment, I don't believe that – I mean I am speaking on behalf of Patanjali Ayurved INR1,100 crores will be used to retire the debt . There will not be any OFS Offering which will be coming anytime soon because really the royalty payments and the income that they generate those are highly profitable businesses the medicine business , the puja business are very highly profitable . So there is enough cash flow generat ion within the company to pay off the debt Of the Patanjali Ayurved side .

So really there is no need for either PFL to sort of issue any fresh equity or for PAL to issue any OFS in terms of repaying the debt . So this is a fairly comfortable position they have so the royalty payments not withstanding royalty payment is one . But also, they will have very substantial profitability from the existing medicine and the puja business what they have .

Sudarshan Bhandari: Thank you

Apoorv: Pranam sir . This is Apoorv from Whitestone Financial Advisors . First of all, thank you for this acquisition . My question is on oil palm plantation business , so if you can share some metrics on this, like the plantation how long does it take to mature ? And then once it gets matured then for how many years can we take oil from that plantation ? And how to see that business , how much revenue can we get from per acre or something . If you can share some numbers on that .

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Sanjeev Asthana: Sure. Typically, the plant to mature takes about 4 years when it starts to do early fruiting . The full maturity happens in 7 years' time . So that is one , so just a quick fact check farmers typically end up making about nearly about INR1.5 lakh to INR2 lakh per hectare . And our business , our plan currently is that we do 75,000 hectares is already planted of which 35% of our plantation is between 0 to 3 years which means that we have got very young plantation which is going to continuously keep growing and adding to our income .

Similarly, we are planting very aggressively right now , so it took 18 months to 2 years to get our nurseries up and running get the sprouts in . So right now, the plan is next year we should do more than 40,000 hectares of plantation new plantation we will keep expanding that year after that we will do nearly 1 lakh hectares of plantation . And the plantation in terms of the income generation for us what is there is nearly 16 % to 18% annuity EBITDA business the way India is structured . So, we are guaranteed almost that kind of income that we are going to get . So, to give you some flavor , year before when the oil palm prices were high, we made INR256 crores in that business EBITDA last year we made INR216 crores of EBITDA in that business . So that business in the fullness of time in next 5 to 6 years' time we should start seeing a bigger uptick on that business nearly INR400 crores to INR500 crores of EBITDA margin and in 7 to 8 years' time , we should start seeing nearly INR1,000 crores of margin coming out of oil palm plantation alone . And once we start to see that kind of revenue it is going to stay consistently for next 25 years and at the end of 30 years cycle , 32-33 years cycle then the trees start getting old then you

have to cull them and start doing the new plantation that is how the cycle works in oil palm .

Mihir: Hi sir . This is Mihir here from Nomura . Sir if you can talk a bit about your rural urban split in the HPC business and may be the other food and biscuit business as well . How much comes from rural and urban ?

Sanjeev Asthana: So current split overall in the company is about 60% is urban and 40% is rural . And that my expectation is that will not change too much as we are seeing the pace of urbanization that is happening while the rural markets if they get a big fill up in terms of the income and sort of better earnings that they will start having . So that market will certainly grow but my guess is that 60 -40 split is probably going to remain there in the longer run on the distribution side .

Mihir: So, can you talk about your distribution expansion more it will be there ? Do you have more space to increase distribution in the urban areas or will it largely be in the tier 2, 3, 4 towns ?

Sanjeev Asthana: No. There is a huge opportunity for distribution expansion as we were discussing earlier that both direct and indirect put together our estimate is 4 million outlets that we reach I think the benefit that we are getting so we are expanding every town below at 20,000 population we have a distributor . Our retail outlet reach is still substantially less than where we could potentially go . There are a lot of white sort of pockets that are still not addressed in the way we would like them to be addressed . There are certain segments, certain states where we are continuously sort of working towards it .

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I believe we have a long way to go on distribution expansion and I think the minimum target as a company as a direct reach we should do for ourselves is nearly between 3.5 to 4 million retail outlets that we want to reach Indirectly we want to do 1x also further of that so nearly 7 -8 million retail outlets is what should our target has to be to really do justice to the range of FM CG portfolio businesses that we have . And to be able to reach most of the sort of points of purchase where consumers are likely to ask for Patanjali product or we'd like to be seen visibly on that retail outlets .

Mihir: Can you talk a bit on the manufacturing capabilities that you will get, how much is insourcing ? How much is TPA and how do you expect it to go for that to progress going forward ?

Sanjeev Asthana: So right now , in terms of contract manufacturing nearly 100% of what we are acquiring is in house there is no contract on the HPC business I'm talking about , in the biscuits business we have 15 plants of which 4 are owned by us 11 are contract manufacturing locations and smaller ones. In the nutraceutical business we have 2 small plants which are very small products that we get but that's a regular practice in biscuits which is there but rest of it is 100% of it is all In house manufacturing

Mihir: Fantastic . Wishing all the very best . Thank you that's all from side.

Shanti Patel: Hello, I'm Shanti Patel Chartered accountant I just wanted to know how much we have paid to Mr. Dhoni and Mrs. Bhatia as a brand ambassador and for how much period ?

Sanjeev Asthana: I think that is unfair for me to answer on this .

Swami Ramdev: We will send you the bill . Thank you . This is an endless process , our journey will continue . We will have some fun in between . So all of you with so much love , some were hungry so they went out. The house was full . They thought we will reduce the crowd . Thank you all very much .

Call: Nov 2024

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PFL/202 4 November 04 , 2024

To
BSE Ltd . National Stock Exchange of India Ltd.,
Floor No. 25, Exchange Plaza,
Phiroze Jeejeebhoy Tower, Bandra -Kurla Complex,
Dalal Street, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051

BSE Scrip Code: 500368 NSE Symbol : PATANJALI

Dear Sirs/Madam,

Sub.: Transcript of Earnings Conference Call Q 2FY25 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated October 25, 2024 regarding audio recording of Q2FY25 earnings conference call held on October 25, 2024. Please find attached transcript of the said earnings conference call.

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com .

You are requested to take the same on record.

Thanking you,
Yours sincerely,
For Patanjali Foods Limited

Ramji Lal Gupta
Company Secretary

Encl.: as above
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"Patanjali Foods Limited Q2 FY '25 Earnings
Conference Call "

October 25, 2024

E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on October 25, 2024, will prevail.

MANAGEMENT : MR. SANJEEV ASTHANA – CHIEF EXECUTIVE OFFICER ,
PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL OFFICER ,

PATANJALI FOODS LIMITED
MR. PRIYENDU JHA – VICE PRESIDENT AND HEAD OF
TREASURY MANAGEMENT , PATANJALI FOODS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Patanjali Foods Limited Q2 FY '25 Earnings Conference Call.

This conference call may contain forward -looking statements about the Company , which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants ' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjeev Asthana from Patanjali Foods Ltd. Thank you, and over to you, sir.

Sanjeev Asthana: Thank you so much. Good morning. Season's greetings to all. Welcome, and thank you for joining us today for Patanjali Foods Limited's Call to discuss the Results for Q2 of FY '25 .

I am joined by the Company 's CFO – Mr. Kumar Rajesh, along with Mr. Priyendu Jha from the IR Team, and our Investor Relations Advisor, Strategic Growth Advisors. We have uploaded the results collateral on the stock exchanges, as well as the Company 's website for your reference.

During the course of this call, we will be referring to Standalone Financials. I am pleased to update you that we reported a healthy quarterly performance with double -digit margin growth at EBITDA and PAT levels. The Company reported revenue from operations of Rs. 8,154.19 crores, with EBITDA of Rs. 493.86 crores and PAT of Rs. 308.97 crores. The Company declared an interim dividend of Rs. 8 per equity share. This quarter's EBITDA is our best operating EBITDA since the Company came under the management of Patanjali Group. It stood at Rs. 493.86 crores. Healthy performance came in the backdrop of a fairly challenging market environment that we witnessed in the past quarter .

We faced erratic and uneven rainfall throughout the country, which has impacted the FMCG volumes, out -of-home consumption, and consumer offtake across the industry. However, the green shoots are visible in rural demand in the previous few quarters kept pace to a certain extent. The overall performance of the FMCG industry for the second quarter of the fiscal was mixed, with some categories performing better than the others. We also saw some pressure in terms of the raw material prices.

Due to reduced supply in the physical market and delay from the government to release in MSP, the wheat prices shot up anywhere between 9% to 10%. Pulses also saw an upward price movement in Q2 versus Q1. And likewise, even the palm oil prices have moved up substantially. The edible oil market remained in the normal range, both in domestic as well as the international

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markets. The domestic prices of crude and refined oil observed an approximate 30% increase in the month of September '24. This is largely due to the two -way price increase ; one, due to an increase in the custom duty of nearly 20%; two, because of an 8% increase in the price of the major imported edible oils and which continues on the upward spiral.

Coming to our segmental performance during the quarter, the food and FMCG segment achieved a revenue of Rs. 2,303 crores, with an EBITDA of Rs. 234.71 crores, with a margin of 10.2%.

The staples, which include rice, atta, pulses, wheat products recorded a revenue of Rs. 1,032.43 crores, with a sequential growth of 9%. Cow ghee, chyawanprash, honey, et cetera, the Indian ethnic foods category recorded a revenue of Rs. 621.48 crores as opposed to Rs. 405crores (Should be read as Rs. 405.92 crores) in Q1 of '25. As sh

ared earlier, we are re -evaluating our

strategy for the cow ghee business. In Q2 of FY '25, the ghee segment achieved a revenue of Rs. 355 crores, which is pretty much in -line with our strategy. Also, we ran a pan -India print Media campaign for cow ghee.

Our biscuits sales segment recorded its highest (Should be read as second highest) ever quarterly

sales of Rs. 438.73 crores, driven by a volume increase of 5.9% year -on-year. Adjustments in grams and pack sizes have contributed positively to the growth of the biscuits segment. Doodh biscuit maintained the leading position in the category and contributed about two -thirds of our biscuits sales. I would like to highlight that our previously launched ragi, 7 -grain & digestive biscuits, and Patanjali Tea are being well accepted by the consumers.

In the soya chunks category, Nutrela demonstrated steady growth, with quarterly sales touching a new high. To strengthen Nutrela's brand presence in the category, we have onboarded celebrity and fitness icon Shilpa Shetty as a brand ambassador. We have also collaborated with star chefs, Ruchi Bharani and Varun Inamdar to create enticing recipes using Nutrela products for the YouTube and Meta platforms.

Our efforts to drive and stabilize the nutraceutical division continue, and in Q2 of 2025 we have booked Rs. 23 crores in revenue. Newly launched gummies, vitamin powder, and other nutraceutical products are showing promising results. We have also added Nutrela plant protein and creatine monohydrate, along with new variants of weight gain and superfoods to our nutraceutical range. We continue to reiterate our guidance of a revenue range of Rs. 100 crores to Rs. 125 crores in revenue in FY '25, with a 25% margin. We have just onboarded Shahid Kapoor for the nutraceutical product range, which will help us to maintain brand awareness for nutraceuticals.

In the first half, we added approximately +125SKUs in the food & FMCG segment. Notably, more than 80 of these SKUs are introduced during the second quarter. With the rise of new age channels such as e-commerce and quick commerce, a new trend has been emerging in the distribution model of the FMCG industry. The number of consumers opting for these alternate

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channels of distribution over General trade is increasing. Patanjali is also present on these platforms in key markets.

In the edible oil business, we registered revenue of Rs. 5,939.21 crores, with an EBITDA margin of 4.05%. The global dynamics of edible oil have been observing a gradual increase of edible oil usage in biofuels, and this is acting as a catalyst for maintaining higher prices of edible oils. Harvesting of soyabean in India is delayed due to extended rainfalls. Due to lower prices of soyabean in the physical markets, the government has announced for its MSP procurement increase. The government also increased the MSP of raw materials for the seeds by Rs. 300 per quintal, making it Rs. 5,950 per quintal for marketing season '24 -'25, which last season was Rs. 5,650 per quintal. With these dynamics, all -India average prices of packaged oils have increased between 15% and 24% over the last two months.

Further, over a longer -term period, our endeavor is to increase our dependence on the oil palm plantation business. In Q2, we expanded our cultivated land by over 5,200 hectares, making the total to 80,952 hectares. Of this, 64% is yielding which generates an EBITDA to the tune of 16% to 18%. Our plan is to take the area under plantation to 0.5 million hectares over the next five years. This should cover about 60% of our requirement. We are rapidly growing through partnerships with farmers, providing training and workshops. We are not only dedicated to supporting the local farmers and communities, but also play a role in creating Atmanirbharta for our country by reducing imports of edible

palm oil.

Now, I would like to summarize our overall financial performance in the quarter. The total income stood at Rs. 8,198.53 crores. Our total EBITDA stood at Rs. 493.86 crores, with a 17.81% growth on a year -on-year basis. The PAT of Rs. 308.97 crores, registered a 21.38% growth on a year -on-year basis. In the first half of FY '25, the numbers stack up as follows. The total income is Rs. 15,400.88 crores. Total EBITDA of Rs. 928.93 crores, an improvement of nearly 47% against the same period last year. The PAT registered an improvement of 67.07% to reach Rs. 571.87 crores. Looking forward, the latter half of fiscal 2025 is anticipated to bring improved performance driven by the festive season, higher incomes, supportive government measures and an above average monsoon.

With respect to the acquisition of HPC business, we have already got CCI approval and the shareholders approval and are hopeful to integrate the HPC business by Q3 and perhaps in very early November once we receive all the approvals, et cetera, from the lenders. This will give a further shot in the arm to our performance.

With this, I conclude our Presentation and open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Dhiraj Mistry from Antique Stock Broking Limited. Please go ahead.

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Dhiraj Mistry: Sir my first question is on oil business. We have seen 30% plus inflation in the month of September. So, in light of that, is there any inventory gain which we have realized in this quarter, or expected to realize in next quarter? And related to that, what kind of price increase have we taken post this price increase, and what would be the implication and margin going ahead because of this?

Sanjeev Asthana: So, two parts to your question, Dhiraj. So, the two things which occurred in really second half of September. So, the edible oil has continued performing quite strongly in the first quarter also, and likewise in the second quarter as well. The announcement of the increase in the custom duty by nearly 20% plus was beneficial. But that benefit is only accounted for once we do that sale and it is invoiced. So, we really got the gain maybe just for about 10 to 12 days in the second quarter.

There is some inventory gain which is accrued on account of the sudden duty increase. But we are also benefited by the position that we had, as well as the movement up in the international markets, both have been beneficial to the Company. So, we will carry forward the momentum in the next quarter as well. And hopefully, the prices look very tight. We believe that the markets should be supported. The international markets are looking quite sort of less supply and more demand. So, I expect this to continue. And hopefully, our edible oil should continue on the path of better performance, like we have always say, of margin constructor between 2% and 4%. And then both the previous two quarters, we have consistently maintained a 4% plus margin, and we hope to continue with this momentum.

Dhiraj Mistry: And sir, what kind of price increase we are expected to take or already taken in edible oil price?

Sanjeev Asthana: So, price increase, there are two ways it moves. One is that there's no one-to-one equation. So, for example, if the price had moved up, so normally there is a pass-through mechanism that works. But there is a local dynamic in the market as well. And that does not allow you to pass on the full sort of duty and the price increase to the consumer. So, typically, the prices have moved up in the range of 8% to 10% internationally. And our price increase also has been pretty much in-line with that. Part of the duty has also got accounted for this. So, anywhere between 10% to 12% margin price increase has occurred in the market

place.

Dhiraj Mistry: And as a percentage of sales, margin will be impacted because of this because our price increase is lower compared to what commodity price inflation is?

Sanjeev Asthana: No, it would not, it is overall beneficial, as I mentioned, that we typically run the business on a long-only basis where the prices are, typically, they start to look up. So, you hold the inventory at the X price. And the international markets have moved up with them either immediately or with a lag, typically, the prices tend to adjust in India. So, even if there's a lag, eventually the prices will start reflecting the global prices. And it can go both ways also, it can go down as well as the inventory pressure. But broadly, the price increase is going to benefit and reflect in our margins in the coming quarters as well.

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Dhiraj Mistry: Okay. And second, related to the oil businesses, what kind of revenue realization we have got from the palm oil prices, palm oil plantation I mean.

Sanjeev Asthana: Yes. So, the revenue, like in the palm business, oil palm plantation, quarter one we were Rs. 292 crores in revenue, this quarter we did Rs. 354 crores in the revenue (Wrongly said on the call; Correct number is Rs. 364 crores). And so, of course, there is a seasonal impact also because the peak harvesting season also, so that benefited us.

Dhiraj Mistry: And coming to the food division, can you tell us the revenue and margin, divide the food business revenue and margin for staple and non-staple foods? And also, for the margins for biscuits, Nutrela and nutraceutical also.

Sanjeev Asthana: So, I will go one by one. So, for example, in the overall FMCG, our total business in the food and FMCG space, we did about Rs. 1,654 crores. So, first I will tell you the overall FMCG food portfolio. The total revenue we did was Rs. 2,304 crores this quarter. Our EBITDA margin was Rs. 235 crores and it was 10% that we got. Now I will give you the breakup of the FMCG business, so within that the Food was Rs. 1,654 crores, EBITDA margin of Rs. 140 crores, and it was 9% margin that we got. Within that the breakup of this is that the Indian ethnic food was Rs. 621 crores, where the EBITDA margin was Rs. 133 crores at 21% margin. In the consumer staple, we had Rs. 1,032 crores of revenue, EBITDA margin of Rs. 6.7 crores which was around 1% margin. It came down largely on account of the higher price inventory of staples that we carried and market did not reflect that.

Then on the Nutrela side, which is our CBD business, we did revenue of Rs. 188 crores, with a Rs. 43 crores, margin percentage of 43% (Wrongly said on the call; Correct number is 23%).

We were benefited quite well on account of much lower soy abean prices. So, our raw material prices really sort of went down and the consumers continued paying at the same level, we did not have to adjust our prices. Nutraceuticals, we did Rs. 23 crores of revenue made Rs. 10 crores margin. It was mainly 44% but there was some one of the exceptional benefits that we got on account of the accounting but otherwise typically that run rate of 25% is what we are supposed to maintain. Biscuits, we did Rs. 439 crores and Rs. 41 crores EBITDA, and a margin of 9%. Here, the margin declined on account of much higher wheat prices and much higher edible oil prices, palm oil prices essentially that impacted overall sort of the EBITDA margin.

Dhiraj Mistry: That's very clear. Thank you, sir. And just the last question on bookkeeping that we are seeing significant increase in our overheads in employee cost as well as other expenditure. So, can you divide your employee expenditure between ESOP and what is the normal course of employee cost? And also, in other expenditure, what would the A&P spend contribution in this quarter versus last year? That's my final question.

on.

Sanjeev Asthana: So, this question would be answered by Kumar Rajesh – our CFO, who is on the call. And so Rajesh ji, I will leave you to answer this question from Dhiraj.

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Kumar Rajesh: Yes. So, Dhiraj just, I would like to say, we gave an increment for the employees in this quarter and basically the employee cost is increased by that only. So, near about between Rs. 12 crores to Rs. 13 crores has been increased from the previous quarter, if you can compare. So, this is on account of increment of the employees, along with arrears, since April 2024. As far as other expenses is concerned, major expenses is on advertisement, that is near about Rs. 40 crores to Rs. 50 crores. And sales promotions and schemes which are the marketing initiatives taken by the management.

Sanjeev Asthana: Is it clear?

Dhiraj Mistry: Yes. And what kind of run-rate can we expect in employee cost going ahead?

Kumar Rajesh: So, we have not integrated now non-food business, but as far as existing business is concerned, this is a run-rate which we have shown in the quarterly results.

Moderator: Thank you. The next question is from the line of Prateek Bhandari from ART Ventures. Please go ahead.

Prateek Bhandari: Just wanted to get a sense as to what kind of volume growth are we witnessing in terms of our milk biscuits category versus the non-milk biscuits category?

Sanjeev Asthana: So, in the milk biscuit category, the Doodh biscuit, we have grown about 3.5%, so that's slightly tapered off. But overall, the biscuit continues to grow, we have grown nearly 6% this quarter. But milk biscuits are still slightly lower.

Prateek Bhandari: Sir, out of the 3.5% of revenue growth that you are seeing for milk biscuits, how much of it would be on account of volume?

Sanjeev Asthana: It's largely volume-led. The volume growth we have received is, so there's no price increase, if that is the question. So, it's largely entirely on the volume basis, we have not taken any price increase during the quarter.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Sir, three questions in the beginning. We have been seeing off late starting for the bellwether Company like Unilever have been talking slowdown in urban. Also, the rural is seeing a gradual recovery. So, can you give some little more color for our type of business? Because edible oil businesses always will have uptrading, downtrading, looking at the price parity between the branded and premium. But then it can be some on ground activities. And what is the contribution we derive from rural if you have some numbers handy?

Sanjeev Asthana: So, for example, the sort of urban markets, really, there is some stress that is visible. 60% of our business typically comes from the urban areas that we saw. The rural markets have had a fairly

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good sort of robust growth. That momentum has sustained in the last quarter also. We are clearly seeing that there's some slowdown in the urban areas, and that is causing stress. But we had reasonably good growth overall. Like, for example, in our food vertical we grew nearly 20% plus. Biscuits, of course, slightly tapered off, as I mentioned, 5.3%. (Wrongly said on the call; Correct number is 5.2%) Nutrela, that CBD we got a growth of 8.7%. And nutraceuticals, of course the base is very small, so it's not relevant as to what the growth percentage was. But overall, we are seeing that urban areas are feeling some stress. Rural demand continues quite

a bit. So, in our category that we have, we have not seen any distinct slowdown in the rural areas. In fact, it had supported, the growth is there. But now with the festivals coming, we are hoping that the urban areas should respond better.

And the same trend that we are seeing right now,

from the beginning of October, there's some push which has to be done. But broadly, I would say that this quarter, because of the festivals, et cetera, should sail us through.

Shirish Pardeshi: The reason I am asking is because, see, edible oil business price fluctuation, and we are now just on top of the season, so that will get digested. But then, non-edible oil business, what are the top two, three, three things we are trying to do? Because in the beginning you also said that the alternate channel likes of e-commerce and modern trade is the focus area, but is it really meaningfully scaling up for our type of business?

Sanjeev Asthana: The e-commerce and quick commerce, yes, without a question.

Shirish Pardeshi: E-commerce and modern trade, alternate channel.

Sanjeev Asthana: And so without a question, I think that we can clearly see there is visible signs in all the major urban areas that have taken a firm route. And so, we are sort of very cognizant of that, we are continuously working on that space. Our e-commerce sales, we are continuously sort of working in terms of expanding that business. Modern trade also had a marginal impact, but that continues to grow. The stress is largely on the General trade level. But this phenomenon still, I would say, in the top 20 cities is much more pronounced. But if the pace continues at the same level, then we clearly see a very distinct growth at the cost of General trade in the larger cities.

Shirish Pardeshi: Any number you would like to throw for alternate channel, modern trade and e-commerce program? What is the contribution?

Sanjeev Asthana: Yes. So, that number is very clear, we do close to about, of the FMCG volumes I am not including the edible oil business, we do in total about 12% through modern trade, e-commerce and quick-commerce. And our e-commerce and quick-commerce sales are about 4% currently, 6% goes to modern trade, and balance we are now expanding. So, this is growing at nearly 20% plus for us, so that is a broad basis. Edible oil, of course, is a very substantial part. I am not including that in it. It's only for the FMCG businesses that we co-have.

Shirish Pardeshi: The other question I wanted to check, if I look at the industry trend and when speaking to few distributors across the country, I think with the disappointed quarter one, I think the system

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inventory has gone up. So, could you throw some light how we are managing? Are we really taking some inventory cuts? Because edible oil inventory would always have the benefit to the retailer, so they will not cry. But non-edible oil inventory will always be a problem. So, any color you can throw on the inventory part?

Sanjeev Asthana: Yes. So, there is some buildup of the inventory, as we are very clearly seeing, that both at the secondary sales level as well as at the tertiary sales level, we are seeing some inventory buildup with General trade. Modern trade is much more nimble in terms of adjusting to the requirements. And so, to that extent, that stress can be seen very clearly. And so, largely, in terms of our own actions, we are working a lot more in terms of in-store promotion, the work on that area is continuing. But that is something basically in demand space which has occurred, which has caused the stress on the e-commerce and quick commerce side. And I think that the Company will have to continue to adjust. We are working on it quite actively, but we are seeing a clear build-up in the inventory.

Shirish Pardeshi: Sir, generally, non-edible oil, what kind of inventory would we have in the system, say, in the trade and in the distributor base?

Sanjeev Asthana: Total inventory, typically, that you would have is, it's around 30 days, but that's an entire system's inventory. And then

it would be between the Company level and the distributor level. But

otherwise, overall, we do about 6x to 7x turn on the business. So, typically, I would say that 45 to 50 days of inventory would be maintained, specifically across the Company.

Shirish Pardeshi: And the last question on the other part of the business, which is getting inducted, you mentioned that from November it will get consolidated.

Sanjeev Asthana: Yes.

Shirish Pardeshi: And any ballpark number, how much would we have done in the first half?

Sanjeev Asthana: In the HPC business? So, HPC business would be about, I am not sort of in a position to give you the precise number of the first half, but we should be close to about Rs. 1,500 crores we would have done.

Shirish Pardeshi: So, if I understand correctly, will you integrate that business after November?

Sanjeev Asthana: Not after November, very soon. It could happen any day when everything is done and ready. We are simply working on the final stages of documentation, and you will hear from us very soon.

It could be next seven days, 10 days also.

Shirish Pardeshi: Okay. The reason why I am asking, Asthana -ji, there are two questions actually here. Will it go with the existing distributors? And then, if that is going to be existing distributor, how is this funding or the issues which will get sorted? Because whenever there is a transition, it is on the face of it looking good. But then, structurally, the distributor will have an issue. So, I just need

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a clarification from you that are we going to look at existing distributors which are currently HPC products, or will we merge both the distributions together?

Sanjeev Asthana: No. So, as we have done in the past, and this is the time as well that nothing changes at all. So, the simple part is the SAP integration at the backend has been done. The team, the distribution, the entire manufacturing, and the entire structure of the function, everything moves entirely and that integration happens. So, really in terms of the disconnect or adjustment process at the ground level, nothing will happen. But what we gave as guidance even in the last quarter also, the plan is that over the next 18 months we will work towards 200 basis points efficiency -led improvement, not talking of the organic sort of growth in the business, as well as some bit of rationalization at the ground level that we will start to sort of work on. And we should be able to sort of take that benefit on account of this integration. But right now, I do not see any disruption at all in either the distribution at the ground level, or the teams coming on board, because it's almost nearly like a plug and play, because they're moving from the parent to the listed entity, and they will just get started very quickly once it gets going.

Moderator: Thank you. The next question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: Yes. The ethnic food specialty, Indian specialty, that part of the business has registered 21% margin in this quarter, did I get that right?

Sanjeev Asthana: That's right.

Bharat Shah: So, that clearly is probably superior to what we might have intended, or we might have constructed, or is this the kind of a likely margin profile that should prevail over time?

Sanjeev Asthana: So, Bharat bhai, what we have as a margin construct, in the ethnic food side we have always maintained that typically that business is good to go with 18% plus margin. So, in some quarters, for example, in the previous quarter our margin in that space was 16%. This quarter, we registered 21% on account of some pre-festival push for cow ghee, some benefits that we got on account of the honey sales. There are a couple of other categories. But I would say that this cannot be taken as a guidance of 21% plus

, it would typically always be in the range of 18% to 19% is what is something that we are targeting.

Bharat Shah: So, clearly in this quarter it has been better, and therefore, overall, longer term picture probably should be in that 18% to 19% range?

Sanjeev Asthana: That's right. Because that business also has a certain degree of subjectivity on account of the butter prices, the fat prices as it prevails, the market itself there are movements in the prices availability, et cetera. And you need to carry inventory at a certain price point. So, that's fine, but I would say, normal expectation range of 18%, 19% is what we should have from the ethnic category.

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Bharat Shah: So, quite remarkable, I would say, in the backdrop of the kind of scenario that has prevailed in the last few months, that definitely is a very healthy kind of margin in performance in that area.

My second point on which I wanted to gain understanding. See, digital channels are kind of definitely affecting the traditional distribution strength that many consumer firms, more older generation consumer firms have typically got, but digital channels are clearly impacting. Other factor which is affecting, may be chipping away margin, but certainly the new-fangled phenomena of direct-to-consumer brands, each of them in itself may be small one, but at a local level, local entrepreneurs, some of the direct-to-consumer brands are nibbling away at the traditional advantage of the distribution strength that earlier generation consumer firms have been enjoying.

But when you are looking at the performance of the businesses like Unilever or Tata Consumers and others, including even now Nestle, it is very clear that unless the business models are distinguished in the consumer side, both growth and margins over a period of time will be challenged, and there will be impact on the distribution side. Therefore, two ideas I wanted to understand, our effort at premiumization. Our Indian ethnic food clearly is a very distinguished

portfolio, so to that extent it holds a very competitive advantage. Nutrela platform also is a distinguished portfolio, so it enjoys that competitive advantage. But in terms of premiumization, and secondly, gathering the strength in each of the digital and whether quick commerce or e-commerce and specialty offerings through these channels, what are your thoughts on that?

Sanjeev Asthana: So, the two things that we are seeing right now, that the path forward for us, because of the sheer volatility some quarters tend to be good, is that we need to work on premiumization very actively. Consumers are willing to pay, there is a class of consumers which is very keen on buying products which are distinctly different, which carry proposition and there are attributes which they believe that they should be paying a premium for. Health and nutrition is becoming center stage, but that comes along with a range of other complications as well, like, for example, the packaging, the branding, the positioning, the distribution, et cetera.

So, I will give one live example that what we have gone through in terms of, after a huge push that we had in our premium biscuits, we saw that it tapered off, then we started rebuilding the entire thing, and we are now seeing stability in that growth. But that growth is not skyrocketing at 20% and 30%, it is really a very moderated growth of 8% to 10% is what we see in our premium range. Similarly, nutraceuticals for example, after a very heavy start, we came down, but after that we took the price cuts and readjusted portfolio, then we started rebuilding the entire portfolio, but at a premium level now, and very differently packaged, very contemporary. We have gone through, Bharat bhai, I do not know if you heard that we have now got four, all the businesses have got different brand

ambassadors now in the last year and a half. So, for example, from Dhoni to Tiger Shroff and Tamanna Bhatia, then we went into Shilpa Shetty for Nutrela, now we have got Shahid Kapoor for nutraceuticals. So, all these elements have to go in, but that premium category growth to say that segment is very small. The effort to launch it

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and the sort of demise at the retail level is also fairly high, because not all these products tend to succeed. And your ability to stay and continue building that up is very high.

So, I would say that the trend is good. We are working on it. Our premium portfolio, in any case, when we count our cow ghee, for example, or quite a few other products in that category, that premium portfolio is reasonably decent, between 15% and 18%. But adding new products to build up our premium and continuous growing that, it's a challenge. That growth rate will not exceed 7%-8% at any level where the base is very small. And so that we work on. We are now looking at adding a range of other products. For example, there's a consideration which is going on in the biscuit category after the success that we had. Now, we want to come out with new sort of premium products, a new premium offering that we would like to do. And all our competitors are doing it as well.

Likewise, in the ethnic food category, we are coming out with our HPC, which is also going to soon come. We have launched a new range of Saundarya and others. So, hopefully, that effort is going to be more organic, it is going to be more long-term. And it will come through its own sort of hits and stock in terms of the success rate there. But broadly, the trend is very clear, the urban consumer is a distinct class which is willing to pay. And directionally, for a Company like ours, we need to head in that direction.

Bharat Shah: So, let me try to kind of put the point in a little different way. I would say, in consumer kind of businesses, the kind of fast-moving, regular consumption kind of businesses, I would say four critical parameters to my mind for long-term success. One I would put is product innovation. Secondly, whether our business model is distinguished. In other words, our portfolio has a freshness and difference compared to the typical competition. Third is channel innovation. And fourth, I would put it as premiumization. Now when I put these four factors into the play, I would say, our product innovation rate at Patanjali is phenomenal. I have not seen really any other consumer firm innovating so regularly so many new products. So, we score very well there. Secondly, with Indian ethnic foods, also Nutrela platform and nutraceuticals, when it becomes material, our product portfolio is a distinguished one. Our business model is a more distinguished one. And we score well there. On premiumization, I think it's an important long-term journey because the country is getting more and more aspirational. And secondly, on the distribution channels, quick commerce, digital e-commerce, these channels are they expressing, I mean, have alternate ways of expressing the distribution strength. On those two, I wanted to understand what kind of long-term strength and the thoughts we have in our offering.

Sanjeev Asthana: As I mentioned, Bharat bhai, on the distribution side, we have a long way to go. Our current e-commerce and quick commerce sales are just about 2% plus if you look at the overall basis, and about 4% if you look at only pure FMCG basis, removing the edible oils. So, that may need clearly a lot of work. So, we have got a D2C channel, for example, our nutraceuticals business, the base is very small, but nearly we are seeing 35% to 40% is going through now e-commerce

and D2C. Similarly, in businesses like biscuits, we are seeing a pickup

now on the e-commerce

and quick commerce side that's picking up.

But to answer your question, on a targeted basis, we would like e-commerce and quick commerce to get closer to 6% of our FMCG portfolio, I am not talking edible oil in that. And likewise, our modern trade share should be closer to 12%. So, this means on a combined basis we would like about between 16% to 20% coming through the new age distribution channels, which we currently are at just about 10%. We need to travel some distance, we need to refine our strategy, we need to work through that. Some of our products are never on that category, which are very emerging kind of a channel that we are seeing continuously as consumers are evolving. And we will be riding that bandwagon.

We are beefing up our teams. We are working on strategy. We have got, for example, across the board on the social media front, we will find that, I will go one by one, nutraceuticals, Nutrela, biscuits, we are less there, we are now ramping that up. And likewise, on the food side, our presence on social media is exceedingly high. And from the social media platform, the site, we are seeing a lot of sales now moving into converting. But we have some distance to travel, and that work is clearly cut out for us, and we are working on that. Our intent is very clear of moving closer to 20% from emergent new age channels and remaining the balance 80% to our traditional channels, so GT.

Bharat Shah: Sure. No, thank you, Asthana -ji. And just on the last point, the fact that our share of the modern trade relatively is lower as well as into the digital channel sale is relatively lower, in a way to look at it as an opportunity. And I think, in a way, it can be a significant competitive advantage compared to the last, I mean, legacy, large consumer firms that have been around for decades, but they have probably been more on a legacy side and need to adapt. So, in a way, both of them represent an opportunity along with, of course, premiumization in an aspirational society and aspirational country.

Sanjeev Asthana: No, absolutely. And we are seeing that growth, and we are seeing that momentum and we are very positive about it that this is going to be a big channel of our business. So, it's not a weakness, it's an opportunity that we are looking at in terms of building that side of the distribution channel.

Moderator: Thank you. The next question is from Rajiv from Arihant Investments. Please go ahead.

Rajiv: First of all, congratulations on a great result. So, I have two questions. One is around the other income, the other income has increased by 50% in quarter two. And the other one is the other expenses, which I think shot up by 45%. So, is there any one-off income or expense in the second quarter?

Kumar Rajesh: Yes, I am taking this question. Basically, other income basically increased on account of mark-to-market gain of mutual fund investment. So, if you see the balance sheet, we have realized so

much of debtors and invested into the mutual fund. So, as on 30th September, a mark-to-market gain is there.

Rajiv: And what about the other expenses?

Kumar Rajesh: Other expenses is mainly on account of advertisement and sales promotion schemes. So, many marketing initiatives have been taken by the management in this quarter, so that this has been increased.

Moderator: Thank you. The next question is from the line of Sanjay Gupta from IS Investment Private Limited. Please go ahead.

Sanjay Gupta: Sir, my question is regarding the arbitration award going against the Company, so how will it affect our Company in the future? If we have to give 1.86 crores share to Ashav Advertisement. And then second question is regarding the green tick given to our Patanjali Dant Manjan, there is some controversy going around that. Can you clarify regarding that?

Sanjeev Asthana: Sure. Rajesh -ji on the Ashav Advisory, you can go ahead and answer.

Kumar Rajesh: Yes, surely. Yes, I am taking this. Basically, the case of Ashav Advisory is related to the application of preferential allotment applied by the opposite party in early 2020. As you all are aware that the application was not completed, we have not allotted shares due to regulatory requirement due to regulatory NOCs from the banks and from the SEBI. After that, they have appealed to the SEBI and the appeal got rejected. After that, they appealed to SAT also. SAT

also rejected the appeal. And they went to High Court and after that in arbitration.

So, we have a strong ground to file an appeal, that's why our name has been included in that Arbitration Award. We have a strong ground to appeal in the High Court and after that Supreme Court. We have been advised by our lawyers to file an appeal and we are in the process of preparing the appeal. We do not expect any significant impact right now on our balance sheet and shareholding patterns. Obviously, after the decision of the court.

Sanjay Gupta: No, but the arbitration award has already been rejected, it has been gone in the favor of Ashav Advertisement. You may appeal further, but let us say, let us presume that it is going against the Company, then as a shareholder I am asking, how will it affect our Company?

Sanjeev Asthana: None at all, The arbitration has happened between the promoter group and Ashav Advisory. So, if at all the promoter group will transfer the shares, you might get additional. If at all that goes against the promoter, the issuance of that 1.86 crores shares or whatever will just simply be given to them by the promoter. On the Company Patanjali Foods, there will be zero impact.

Sanjay Gupta: Okay. The second question is regarding green tick to Patanjali Dant Manjan.

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Sanjeev Asthana: So, like this, this is one thing, likewise we have similar many such instances there, we are contesting any of this. I do not have a specific answer to the question that you raised right now. But there are similar kind of cases that keep coming up. We are dealing with that. It is still being done at the parent right now because the business is pretty much with them. But in case you are interested, we can give you further details on that on the specifics of that case as to where it is and how it has to be executed as well.

Sanjay Gupta: And my last question is regarding the penalties that is being levied on the Company every now and then. So, is there anything that the Company is doing to protest those penalties, all kinds of penalties that is being levied every now and then?

Sanjeev Asthana: Is there any specific penalty you are referring to or not understanding?

Sanjay Gupta: Yes. Just yesterday I read some Rs. 50,000 penalty is being levied on the Company.

Sanjeev Asthana: I do not have a sort of specific question that you raised. We can come back to you on what account this is imposed.

Sanjay Gupta: Metrological, I think.

Sanjeev Asthana: Okay. So, that's a department which is at the state level, Indian Metrology, and it is consolidated. And so, whenever such an instance would come, we regularly protest and contest those claims. And it is there, but it's not of any significant nature that it can either impact the Company's results or whatever. There is an interpretation of laws at the state level that can be many times different. And we deal at the state level and have to address those issues.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question. I would now like to hand the conference over to the management for closing comments.

Sanjeev Asthana: So, many thanks for a very good set of questions and we are quite thankful for that. Now, I will conclude the call. And a very Happy Diwali

to you and your families. Thank you all for the patience. If you have any further queries, please contact SGA, our Investment Relations Advisor, on any matter at all. And greetings to everyone.

Kumar Rajesh: Thank you. Thank you very much to all.

Moderator: Thank you. On behalf of Patanjali Foods Limited, we conclude this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Feb 2025

PFL/2025 February 14 , 2025

To
BSE Limited National Stock Exchange of India Limited
Phiroze J eejeebhoy Tower Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001 Bandra (E), Mumbai – 400 051

BSE Scrip Code: 500368 NSE Symbol: PATANJALI

Dear Sir(s)/Ma'am,

Sub.: Transcript of Earnings Conference Call Q3 FY25 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated February 11, 2025 regarding audio recording of Q3 FY25 earnings conference call held on February 11, 2025 . Please find attached transcript of the said earnings conference call.

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com

It is for your information and records please.

Thanking you,

Yours Faithfully ,

For Patanjali Foods Limited

Ramji Lal Gupta
Company Secretary

Encl.: As above

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February 11, 2025

E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 11, 2025, will prevail.

MANAGEMENT : MR. SANJEEV ASTHANA – CHIEF EXECUTIVE OFFICER
– PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL OFFICER –

PATANJALI FOODS LIMITED
MR. PRIYENDU JHA – INVESTOR RELATIONS TEAM –
PATANJALI FOODS LIMITED
STRATEGIC GROWTH ADVISORS - IR PARTNER –
PATANJALI FOODS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Patanjali Foods Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain some forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Sanjeev Asthana, CEO. Thank you, and over to you, sir.

Sanjeev Asthana: Good morning. Thank you for joining us today for Patanjali Foods Limited's call to discuss the results of Q3 FY '25. I'm joined by the company's CFO, Kumar Rajesh ji, along with Mr.

Priyendu Jha from the Investor Relations team and our IR partner, Strategic Growth Advisors.

We have uploaded the results collateral on the stock exchanges as well as the company's website for your reference.

Let us talk about the industry trends and operating environment for the quarter gone by before we delve into our performance. Q3 '25 has experienced a moderate and lukewarm operating environment. The sharp rise in input costs was a key driver of higher inflation. Wheat prices surged by 12% in Q3 compared to Q2 due to reduced supply in the physical markets.

Additionally, the government increased the minimum support price for all rabi crops by 4% to 7%. Edible oils also saw a significant price hike impacting overall margins.

Throughout the quarter, palm oil remained more expensive than sunflower and soybean oil, marking a significant shift from the previous pricing trends. The refined palm oil experienced nearly 67% year-on-year inflation in Q3 FY '25 due to higher import duties and currency fluctuations as most palm oil is sourced from overseas.

While imported palm oil prices rose due to tax revisions, domestically sourced (the mention of 'sourced' was inadvertent. It should be heard/read as 'sourced') oil prices have also increased given the widespread use of imported oil. In response, many large FMCG players implemented price hikes of 3% to 7% in the December quarter. Due to the price rise, consumers reduced the consumption, particularly in urban areas. The urban demand in India remains under pressure and subdued, consistent with the previous quarter. One major reason for the slowdown has been the high food inflation, which tightened the purse strings among low- and middle-class families, thereby dampening urban demand.

The new age channels like quick commerce and e-commerce continue to gain traction. We are listed on all the key platforms and are expanding our presence across all these segments. At an industry level, the general trade continues to face challenges, particularly in urban areas, resulting in lower ROIs for traders, FMCG players who are actively collaborating with GT traders to enhance their profitability and improve realizations.

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Given the dual stress of demand slump and inflationary pressure experienced by industry in Q3, let's review our performance. During the course of this call, we will be referring to standalone financials. Our business is undergoing a tactical shift with a focus on the high-margin FMCG segment. Starting 1st November 2024, the acquisition of HPC business is now fully integrated into our current operations.

This move has strengthened our product portfolio and has served as a significant growth lever for the company.

It is expected to drive substantial growth in both revenues and EBITDA. This move aligns with our vision to expand the Foods and FMCG business, aiming for it to contribute nearly half of our total turnover in next 4 years' time. By leveraging the distribution reach of Patanjali Foods, the HPC portfolio has started adding weight to our offering. This has enhanced

our existing FMCG product range and our ability to grab more market share and wallet share. I'm pleased to update you that in Q3 FY '25, - we reported the highest ever quarterly revenue from operations at INR 9,103.13 crores. The top line growth was achieved without much change in the pricing. The total EBITDA was INR 581.24 crores and PAT was INR 370.93 crores. Patanjali has been awarded Asia's Most Trusted Iconic Brand by the Council for Brand Business Promotions and Research and Brands council Ratings, reaffirming our industry leadership. We strategically spent on marketing and advertising to build on brand recall and brand loyalty. We have spent 2.5% of our Q3 FY '25 revenues from operations on advertising and sales promotion, the highest in last 10 quarters. We have undertaken various regional as well as national level activities.

Coming to our segmental performance during the quarter. The Food and other FMCG achieved revenues of INR 2,037.61 crores with an EBITDA of INR 153.40 crores with a margin of 7.53%. The rise in input costs has driven an increase in the overall cost structure, leading to the margin compression.

Our Biscuits segment recorded sales of INR 395.37 crores. Dry fruit, Pulses and condiments, Ghee and Honey and herbal product category sustained volume growth on a Q-on-Q basis. Honey recorded nearly INR 146.87 crores, doubling its sales from the previous quarter. While urban demand is facing challenges, we remain optimistic about its long-term potential. We will continue to closely monitor the overall demand scenario to ensure the sustainability of our revenues in the coming quarters.

The staples, which include rice, atta, pulses, wheat products and dry fruits recorded a revenue of INR 744.31 crores. Our recently launched nutraceutical products have been well received by consumers. Our revenues in nutraceuticals for Q3 '25 stood at INR 15.09 crores. Additionally, we have witnessed increased sales through e-commerce, improving overall operational efficiency. Nutrela continues to grow from strength to strength, giving us healthy EBITDA margins due to lower purchase price of soybean seed.

As a trusted household name recognized for its strong consumer loyalty, Nutrela has been awarded "The Most Preferred Brand for '24-'25" by Marksmen Daily. This reinforces its reputation and market leadership. The campaign 'India Ko Strong', Banate Hain, Nutrela Khate

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Hain' has attracted roaring success and spurred mass convergence (convergence was said mistakenly). It should be heard/read as 'conversations' on the needs for a healthy eating and meeting our protein needs. Nutrela soya chunks achieved a quarterly sales of INR 138.66 crores with a 4.83% year-on-year growth. The contribution of modern trade, quick commerce and e-commerce to sales has shown steady growth for both mass and premium product categories. This is an update on HPC business. The HPC business segment was integrated into Patanjali Foods Limited on 1st November 2024. The operational streamlining has been smooth. We expect full scale operations within a few months. In this quarter, it shall begin. The HPC business segment's revenues have stood at INR 420.36 crores.

The dental care revenue within that split was INR 223 crores, followed by skin care at INR 101.49 crores (erroneous mention of INR 101.419. It is INR 101.49 crores) and home care at INR 56.69 crores, and the balance is for hair care and other products. Our flagship products across ca

tegories such as Dant Kanti continue to grow. We remain focused on premiumization and portfolio expansion in this segment.

As explained previously, the edible oil faces inflationary pressures with respect to the trends of oil prices in Q3 FY '25. The cash markets experienced steady movements following the duty hike in September 2024. There was a noticeable price divergence between futures and physical prices with 11% divergence in palm oil and 6% in Soya oil. To mitigate the risks, the company consciously reduced its hedge ratio, maintaining an average hedge ratio of 10% in Q3 '25. Hedging decisions, which are based on a thorough fundamental and technical research, the company has employed a natural hedge through regular position adjustments in line with market dynamics. In the case of edible oil, price increases are typically passed through to the consumers. Due to holding lower price inventory, the price rise worked in our favor in this quarter. India's palm oil imports fell 46% in January, whereas Soya oil imports rose 4%, the highest in 7 months, while sunflower oil imports increased by 9.5%.

In our Edible Oils business, we registered a revenue of INR 6,717.47 crores with an EBITDA margin of 5.42%. Of the above for Q3 '25, the Palm Plantation segment contributed 4.1% to the total revenue and 14.6% to the EBITDA. Our commitment to grow the oil palm plantation business continues. We have expanded our cultivated land, taking the total to 87,109 hectares as of December 2025.

With a 46% of our plantation falls within the prime age range of 7 to 25 years, the prime plantations have a high yield potential. The new mill at Arunachal Pradesh has commenced production, marking a significant milestone in our expansion in the Northeast. We reiterate our plan to take the area under plantation to 0.5 million hectares over the next 5 years, which will cover about 60% of our requirement.

In the recent budget, the Honorable Finance Minister emphasized the importance of self-reliance in edible oils. An allocation of INR10,000 crores has been made over 6 years to the National Mission on Edible Oils aimed at reducing import dependence on edible oils. This renewed push by government is essential and will empower farmers with better seed infrastructure and other

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resources for cultivation. At Patanjali Foods, we welcome this initiative, and our efforts align closely with the government's plan.

Now I would like to summarize our overall financial performance in the quarter. The total income stood at INR 9,143.78 crores. Total EBITDA stood at INR 581.24 crores with 48.79% growth on a year-on-year basis. PAT of INR 370.93 crores, registering a 71.30% growth on a year-on-year basis. In the 9 months of financial year '25, the numbers stack up as follows. The total income of INR 24,544.67 crores. The total EBITDA stands at INR 1,510.17 crores with a year-on-year growth of 47.79%. PAT grew by 68.71% to reach INR942.81 crores.

From here on, what is the path forward? We must innovate and adapt to navigate the dynamic FMCG landscape. Our strategic focus for the upcoming quarters will include premiumization, revamping the urban playbook, strengthening our presence in hinterland, enhancing productivity and distribution and driving the digital transformation which the company has taken.

As a consolidated FMCG entity, our endeavor will be to retain a growth-oriented company, expand in high-margin segments and reinforce our vision of becoming a prominent Food and FMCG player in the country. The industry projections suggest that Q4 will show improvement with CPI expected to reach -- to be around 4.5%, thus improving consumer purchasing power and spending.

Further, the recent budget introduced significant income tax cuts. We anticipate these measures to help moderate inflation and increase disposable incomes. We also expect

demand stimulation

and economy's momentum, which has been sluggish in recent quarters. Several tailwinds, including strong domestic demand, favorable government policies and softening of inflation are driving growth, stabilizing prices and improving consumer purchasing power. Going forward, we remain cautiously optimistic about the demand outlook, commodity headwinds and better cost management for the company for the remainder of FY 2025.

With this, I conclude our presentation and open the floor for Q&A session. Thank you.

Moderator: Thank you very much. The first question is from the line of Dhiraj Mistry from Antique Stock Broking. Please go ahead.

Dhiraj Mistry: Congrats on a good set of numbers. Sir, my first question is on what would be the volume growth in our oil business and realization because given the inflation which we have witnessed in the oil business, would you split your revenue growth in volume and pricing?

Sanjeev Asthana: So Dhiraj, that's a great question. There's a certain degree of volume compression which has happened across the board. And so for example, that in palm oil, we had a volume compression of close to about -- between quarter 2 and quarter 3, I'm talking of this year, we had about 40,000 tons of reduction. In soybean, it was very marginal. It was just about 5,000 tons. In sunflower, it was about 7,000 tons.

So broadly, two trends have defined the compression in the volumes in Edible Oils side, which was more than made up by the price rise which happened, which occurred both in the

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international markets and as well as the price increase that we took domestically, partially on account of the duty increase and partially on account of the consumer requirements. So broadly, the sudden increase in the international prices prompted consumers to cut down on certain consumption that was clearly witnessed.

The second big trigger which drove the change was that, as I mentioned in my call, in the presentation is the palm oil prices for a change went significantly higher than Soybean and Sunflower oil prices. And palm being the biggest driver of the volume, that change -- that the

industry in terms of the HoReCa segment, the institutional segment, et cetera, they started cutting down on the palm oil consumption, which was the biggest driver and which is where we witnessed the largest change, which occurred. But broadly, this trend should tend to stabilize as we see the -- going forward in this quarter. So already, the volumes are tending to pick up. But broadly, overall, I must say that the oil consumption has slightly flattened in last two months in a very distinct way. And certainly, going forward, we are seeing a muted volume growth overall. So -- and this is also witnessed incidentally, not just in our volumes, but across the board. Even the country's imports of palm oil have gone down substantially. So broadly, this is reflective of the supply-side challenges and the price spread, which has suddenly occurred between palm and soy, this preference has started falling on both on soy and sun. And that's why this change has occurred.

Dhiraj Mistry: Got it. Got it. Just can you help me with the absolute total oil volume in metric tons for the quarter?

Sanjeev Asthana: Yes. So absolute volume for the quarter, we have is 5.8 lakh tons is what we did. Last quarter, it was 6.07 lakh tons. So there's about a drop of 27,000 tons.

Dhiraj Mistry: Got it. Got it. And second is for the margin for the oil business, we have seen good improvement in our oil business. So I would like to know, is there any one-off in this where you have realized some inventory gain or anything like that? Or this kind of margin is quite sustainable going ahead?

Sanjeev Asthana: So broadly, the margin we made was about INR 364 crores, which is 5.42% compared to the previous quarter, which

was 4.04%. And last year, just for a comparison perspective, it was 1.96%. So we've always maintained that the margin construct is between 2% and 4%, which is a standard one. 4% is a good margin and 2% is a fairly standard margin. Below that, I think it's a cause for alarm.

So part of this gain of INR 364 crores came through the one-off price inventory gain that we got. But most of the part has been a very natural phenomenon of pass-through of the prices that we maintain. So basically, since we are largely a long-only position business, we buy ahead of time and then we process, refine and package and sell it in the marketplace. So there's a natural gain that we got.

And -- but yes, part of that, I would say, about INR 60 crores, INR 65 crores would typically would have come as a one-off inventory gain. So broadly, 5.42% is largely an outlier, and we

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will go back between 4% and 5% range overall. But just to give another perspective that in the nine-month period, for example, we have done better than our trend rate. We've done about 4.65% in the margin construct, and which is a fairly positive trend that we are following. And I'm reasonably hopeful that over the next couple of quarters, this trajectory will be maintained.

Dhiraj Mistry: Got it. Got it. Thank you. And second question is for the food business that we have. Some part of the stress is also because of the urban slowdown, which has been there. But my question is on margins. Like margin has constantly seen downward pressure. From 18% margin at the start of the last year financial year, now it has gone down to 7.5% margin. When can we start seeing improvement in this business? And can you help me with the revenue for the staples business also and segment-wise EBITDA margins in Foods business?

Sanjeev Asthana: Yes. So I can -- for the foods part, let me -- overall basis, I think I can give you that number. So broadly, what we have is that INR 2,038 crores was the revenue. We made 7.53% margin in this quarter. This is versus 10.19% in the previous quarter and 10.85% in the last year quarter -- same quarter last year. So broadly, two trends have defined. We have always maintained that the margin profile and incidentally, on the nine-month basis, our margin is 9.09%. We have consistently maintained that Food business overall will give between 8% to 10% margin in our business. And we still maintain that, and we are pretty much on course to achieve that.

The second point is that what exactly was the defining part, which has actually changed the margin construct. Three things broadly. One is that in the staple foods, so there are two categories within the Foods category. One is staple and Indian ethnic foods. Within the staples category, what has happened is that there's a sales loss of almost about INR 250 crores, which was largely on account of the rice prices, which collapsed by nearly 10% and which was a major significant change which occurred.

The second change which occurred was the increase in the wheat prices and palm oil prices, which has impacted the biscuits margin because these are the core raw material which goes into that. So palm, for example, increased by nearly 30% to 40% in the previous quarter. And likewise, the wheat prices, as I mentioned, went up by almost 12%. So these two things.

Third thing is that we increased our ad spend by nearly INR 20 crores. The additional amount

that we spent in this quarter was INR 20 crores on the ad spend. So they all combined basis typically tended to put pressure on the margins, and you saw 7.12%. This, we are going to -- will change in this quarter. So we should pretty much be in the same ballpark range of 8% to 10%, which we are pretty confident about.

Dhiraj Mistry: Got it. Got it. And sir, now the HPC integration is complete, is there any operational synergies still to be

done or whether we are done with the operational synergy and we can expect full performance from 4Q onwards and the margin profile for the same as well?

Sanjeev Asthana: So this quarter, in the Q4 of this quarter (this was said erroneously. It should be read as "Q4 of this year") now, I'm expecting that we should be -- so initial two months have been spent. The larger part of the integration broadly is over. And minor matters are being sorted out right now. But broadly, I would expect that this quarter 4 should be in a fully operational status. So we did

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have some initial 15, 20 days of changeover, et cetera, happened. But I think this quarter, I'm expecting that we should get on to the similar healthy trend rate of the HPC business and pretty much we should start integrating that into our revenues and margins.

Moderator: The next question is from the line of Yug Modi from AP Capital.

Yug Modi: Sir, any update on the ghee as last quarter, you had said that we are re-strategizing ghee. So what is happening on that right now?

Sanjeev Asthana: So the two parts to ghee. One is, we are seeing that there is a stress, as I mentioned, in the urban segments. So the ghee growth overall has been flat. And in the Q3 versus Q2, so pretty much standard. We haven't seen any -- typically in the winter season, the ghee sales tend to increase always. And normally, we see an uptick of between 8% to 10%. We haven't witnessed that. But that I would imagine is more a problem that I was mentioning about the urban demand, where it is slightly muted and ghee being an expensive product typically tends to get sold more in the urban areas than the rural areas. So that part we're witnessing. But that we are seeing more as a temporary blip. I think we should get back to post the budget, post the overall buoyancy that we're seeing now. Hopefully, that will start to kick in, in this quarter. So we should be in a better state.

In terms of the strategy part of ghee, I mean, the idea was that the uncovered territories on the distribution side that we would tend to cover more. The territories, for example, in terms of the mix of the SKUs, that has started sort of working in. So I would say that this quarter's flat sales on the ghee side should not be a dampener. We should pick it back in the Q4. And I think already we are seeing the change in that on the sales side.

Yug Modi: Okay. Sir, just one follow-up to that. Sir, what was the revenue for the Ghee for this quarter and for the previous quarter?

Sanjeev Asthana: So ghee, for example, we sold INR 356 crores in this quarter and the previous quarter was marginally INR 1 crore less, INR 355 crores.

Moderator: The next question is from the line of Kunal Shah from A Nova Capital.

Kunal Shah: Yes. Sir, my question was on HPC business. Like I want to know how the integration process has been for us? And also want to know who is heading it? Like how have the synergies been with us so far? And what does the future hold for us for that?

Sanjeev Asthana: So HPC business integration has gone on very well. And that part is going on very well. We have already integrated the teams. We have already integrated all the IT systems, and we have also already done in the process of distribution part is already done for the business. So overall, in terms of the change part of it, the overall HPC business side, the team integration, the IT integration, the business of -- the working through in terms of the distribution side.

The synergies, as I mentioned, it will take 15 to 18 months for that to happen that we have started already working on. So in terms of distribution at the ground level, how do we synergize, how

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do we consolidate in terms of the manpower synergies at the ground level. So that will take time. But other

wise, the integration has worked out fairly smooth. All the systems and everything is aligned. And now in this quarter, we should be tending to stabilize and move it forward.

Moderator: The next question is from the line of Raj Jain from Crystal Capital.

Raj Jain: Can you give guidance on distribution, how it's working for us with the modern trade and general trade? How are the margins here, inventory days and demand from this channel?

Sanjeev Asthana: So as of now, the split is as following. We are about 8% is what we do through the e-commerce and the modern trade. So 2% is through e-commerce and quick commerce and about 6% is what we're targeting to -- we are doing through the modern trade system. With in that, there are two parts that we're working on. We would like this ideally to be closer to 12%. And there is a lot of work that is happening on the emerging channels like quick commerce. Likewise, a lot of work that is happening on the e-commerce side, including listing, working on certain product listings on Amazon U.S. website, working through that process. So this effort is going on constantly. In terms of the split of certain, just to give you some ballpark numbers, broadly in Edible Oils, we do about 5% contribution comes through the modern trade. Typically, about biscuits, we do about 3% through the channel. Food and non-food, we're doing about 13%. And Nutrela Soya food, we do about 9%, which comes through modern trade and e-commerce. All these numbers are set to change. We want nearly from current 8% to taking it to 12%. That process is on. We are investing quite heavily on social media. We are working on listing and bringing our products on all the emerging quick commerce channels. We are available across the spectrum on all channels. So that is a work in progress, and we are reasonably confident that we should be hitting that target of 12% at least of the overall sales coming through e-commerce and modern trade. That work is going on.

Moderator: The next question is from the line of Rahul Desai from RB Securities.

Rahul Desai: Sir, my question was, we are aware that how the demand is panning out in urban areas has been very sluggish. So when do you see that improving? And on coming to the rural demand, do you think that's sustainable?

Sanjeev Asthana: So both sides. One is that in terms of precise prediction as to when the urban demand is going to come back, I think it's difficult to mention. But having said that, the budget has been very promising on account of the income tax rule change. There is -- the repo rate from the RBI has gone down. We are hoping that the overall environment will become more benign. Inflationary pressures will tend to decline. And the possibility of the urban demand coming back and especially in the consumer goods side, I think we're reasonably hopeful. But having said that, we should be patient about it because that is not something which is guaranteed and can be taken as a given.

The second question about the rural demand, I'm very optimistic because the budgetary provisions, we are seeing already the momentum picking up on the rural demand side. So I'm

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reasonably hopeful that the rural demand should continue to sustain itself. Government has been very supportive on the MSP prices what they've given, the number of social programs, which have been announced. So there's a lot more money which is being injected in the rural areas into the overall agriculture ecosystem. So hopefully, it should be sustained momentum on the rural demand side.

Rahul Desai: That was great. But I have one more follow-up question. How has the January been with respect to demand? And how is it looking for rural and urban both?

Sanjeev Asthana: Slow. It's straight answer. The urban has been slow. And the rural has been pretty much on the same trajectory. The

there is no significant uptick or downside on the rural side. But overall, urban areas have been very sluggish. So that's -- there's a lot of hope, which is banking on the budget being a big trigger for the urban demand to come back, and we're waiting for that.

Moderator: The next question is from the line of Dhruv Modi from DSM Securities. Due to no response from the current participant, we will move on to the next participant. The next question is from the line of Kuldeep Gangwar from ASK Investment Managers.

Kuldeep Gangwar: Sir, can you please provide the split of food between, say, specialty food and staples? And second point like in the press release, you have mentioned that 2.5% was the A&P expenditure. So it is proportion to overall company sales, how we should read it?

Sanjeev Asthana: Kuldeep, your voice is very muffled. I think you're on speaker phone, if you can just...

Kuldeep Gangwar: So I'm saying the split of food business between specialty food and the staples. And second part, you have mentioned about, say, 2.5% of sales in the A&P. So it is overall company sales like INR 9,000 crores, 2.5%, how we should read it?

Sanjeev Asthana: So yes. So first of all, let me just give you the split of Indian ethnic foods and consumer staples. So we did some INR 744 crores of Indian ethnic foods in this quarter. And we did identical amount in consumer staples, almost INR 744 crores. So there is some points. The margin that we made on ethnic foods was INR 141 crores, which is at 19%. This is versus 23% in the previous quarter and 17% last year same quarter.

On the consumer staples side, we had a negative margin of INR35 crores. Primarily, the largest contributor to this was the rice price increase and the ad spend that I spoke about. So broadly, that contributed to the change in the foods category. And the 2.5% of the advertising and sales promotion was on the overall basis, like including edible oils and everything.

Kuldeep Gangwar: So the number is close to INR 225 crores, right?

Sanjeev Asthana: INR 226 crores to be exact.

Kuldeep Gangwar: Okay. Okay. And what should be expected in staple business margin in the coming quarter? Like say Q3 was one -off or how we should read it this quarter?

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Sanjeev Asthana: Q3 was one -off, consumer staples because this rise suddenly, there was a collapse on account of the lot of actions which happened in the marketplace. So broadly, that was the impact factor.

This is more one -off. I'm expecting this to stabilize in this quarter.

Kuldeep Gangwar: Okay. So the way it appears like in the specialty food, the margin is largely stable. The volatility is coming from the staple part of it. And going forward, probably it should stabilize.

Sanjeev Asthana: Yes. So Staples and ad spend both, I mean, I'm not just adding because that's become a critical component of our overall strategy of marketing that we need to sort of crank up on our advertising and promotion. So we'll continue aggressively pushing for this. But this rice bit was a one more one -off. I'm not expecting this to sustain itself in this quarter. So we should be surging that trough.

Moderator: The next question is from the line of Abhijeet Kundu from Antique Stock Broking.

Abhijeet Kundu: So one question was on Home and Personal Care business, where you have specified that...

Sanjeev Asthana: Abhijeet, a little louder, please. Your voice is a little muffled.

Abhijeet Kundu: Yes. So in the HPC business, dental care was about INR 223.47 crores of sales. How should we see it? at what rate it would have grown? How has been the performance in terms of market share? Some color on that, first question.

Sanjeev Asthana: Yes. So dental business, we did INR 223 crores of revenue in the two months that we had, which is nearly half of what overall sort of revenue that we do. So fairly good.

I think post the launch

of the range of new sort of products that we had, the response has been very good, supported by ad spend that we did and on the promotion side. So it's picking up.

Now having said that, the thing is that it has moved into a new entity, while we expect everything to stabilize in this quarter, but we are reasonably hopeful of maintaining 10% to 12% of growth in this category. And we should do better than the marketplace because a lot of areas which were uncovered by us, we've launched products to fill in those gaps, in those product categories, and there is confidence that we should be able to maintain that growth rate.

This quarter, I think by end of this quarter, by end of March, we should get a reasonably good idea as to where the gaps are that we need to work on and how the growth trend has been. But broadly, I would say it's positive to good.

Abhijeet Kundu: Okay. Great. And sir, on the Biscuits division, INR 395.37 crores of sales and 1.64% year -on-year growth. The largest player in this category, they have grown by about 6% and primarily driven by volume growth. So one, have you taken any price hikes during the quarter which would reflect in the next call in Q4 in case of Biscuits. And why this muted growth? I mean, biscuits is primarily majorly sold in the rural markets and rural markets relatively have done better than the urban markets. So just some color on the price hike and why the muted growth? Any recovery in growth you would see in the coming quarters?

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Sanjeev Asthana: Sure. So I think we had a scorching growth in the last two years on the Biscuits side. So almost from INR 950 crores, we grew to INR 1,650 crores. So it's a huge spike that we had. There's a bit of tempering in this quarter. So one is on the growth part of it, like our -- this year's growth overall has tended to be just about 6%. We had targeted to keep it at 15%.

So overall, we have seen that there is some bit of slowdown in the Biscuits overall demand. But -- and we've taken no price increase. So in terms of this entirely, all this growth has been largely on the volume side. And the business segments where we are in, the price increase is not possible. So even passing it on is a tougher call. That's one.

Second is that as a guidance perspective as to what we expect to end the year with, I would imagine that the yearly growth would be anywhere between 6% to 7%. This is slightly -- this

particular quarter has been off -season also. So biscuits incidentally also have a certain degree of seasonality to them. And so this particular quarter is this one, but I'm not anticipating that -- any significant drop to be there. I think, we should get back to -- in the next fiscal, we should get back to the targeted range of 15%.

There's a lot of work which is continuing that we want to reduce our dependence on doodh biscuit. We want to continue focusing on the premium categories, which are showing a very healthy uptick. We want to focus on newer variations that need to be launched. And I think that both these efforts will work in parallel.

So reasonably good. I think volume growth will maintain. And that is obviously impacting the margin. The palm and the prices that we saw in wheat side, I think has impacted the margin a bit. But overall, if I were to tell you, in the biscuits category, our EBITDA margin is still at about 11.51%. We still would like to continue this trend and we should end the year with pretty much a similar margin construct.

Abhijeet Kundu: Understood, sir. And in terms of distribution, any distribution increase you have done any numbers on that? And what's the plan ahead? Because your FMCG, Home and Personal Care business and the Foods business would strongly benefit from that. So overall FMCG business would strongly benefit from that. So any expansion plans there right now?

Sanjeev Asthana: So overall from the tracked numbers, 1.5 million is our direct retail outreach. We are expanding in certain categories. For example, in nutraceuticals, we have expanded substantially our reach of GT, though the focus and the drive is much more towards e-commerce side. Biscuits, we continue to expand. And the indirect reach, we estimate is almost nearly 1.25 times of that. So broadly on the distribution side, and there are regions where a serious amount of work is happening, including the -- reconfiguring the teams and working through that. So for example, in South and East of India, we need to do a lot more work and in the North-eastern part. And so this will continue to keep a pace. The positive with us is that there's a lot of headroom for growth on the distribution side with us compared to a lot of our eminent industry peers who almost have reached a saturation level.

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So we are reasonably confident that this growth expansion will continue to happen. And the target is that we should cross 2 million retail outlets as a direct reach and that we'll continue to expand and build on. So that effort is month-on-month that is getting tracked and that is getting worked out.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to Mr. Sanjeev Asthana, CEO, for closing comments.

Sanjeev Asthana: So this overall, thank you very much for all the questions that we had today. And with this, we'll conclude the call. If you have any further sort of queries, you may contact SGA, our Investor Relations advisors, and we look forward to connecting with you in the next quarter after the quarterly results. Thank you.

Moderator: On behalf of Patanjali Foods Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

PFL/2025 May 23, 2025

To
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Tower Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001 Bandra (E), Mumbai – 400 051

BSE Scrip Code: 500368 NSE Symbol: PATANJALI

Dear Sir(s)/Ma'am,

Sub.: Transcript of Earnings Conference Call Q4 FY25 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated May 16, 2025 regarding audio recording of Q4FY25 earnings conference call held on May 16, 2025. Please find attached transcript of the said earnings conference call.

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com

It is for your information and records please.

Thanking you,

Yours Faithfully,

For Patanjali Foods Limited

Ramji Lal Gupta
Company Secretary

Encl.: As above

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"Patanjali Foods Limited Q4 and FY '25 Earnings
Conference Call"

May 16, 2025

E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 16, 2025, will prevail.

MANAGEMENT : MR. SANJEEV ASTHANA – CHIEF EXECUTIVE OFFICER,
PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL OFFICER,
PATANJALI FOODS LIMITED
MR. PRIYENDU JHA – INVESTOR RELATIONS TEAM,
PATANJALI FOODS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Patanjali Foods Limited Q4 and FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

This conference call may contain forward-looking statements about the company which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjeev Asthana from Patanjali Foods Limited. Thank you, and over to you, sir.

Sanjeev Asthana: Thank you very much. And good morning to all. Thank you for joining us today for Patanjali Foods Limited's call to discuss the results of Q4 '25.

I am joined by the Company's CFO – Mr. Kumar Rajesh ji; along with Mr. Priyendu Jha from the Investor Relations Team; and our IR strategic partners, Strategic Growth Advisors. We have uploaded the results collateral on the stock exchanges, as well as the company's website for your reference.

Let me begin by giving a quick snapshot of our performance. During the course of this call, we will be referring to standalone financials.

For the March quarter, we reported the highest-ever quarterly revenue from operations, the gross profits and the gross margins. Our revenue from operations stood at Rs. 9,692.21 crores, with 17.8% growth on year-on-year basis. The gross profits were Rs. 1,656.39 crores, with a margin of 17.09%. The total EBITDA came in at Rs. 568.88 crores, reflecting a margin of 5.87%. And while PAT was Rs. 358.54 crores, with a margin of 3.68%. For financial year '25, the revenue from operations and all profitability metrics exceeded the performance of all previous years.

During the quarter, the FMCG sector witnessed the following broad trends and operating conditions. The Q4 'FY25 experienced an overall moderate operating environment. The FMCG sector reported 11% year-on-year value growth in this quarter, with volume contributing 5.1% and the prices contributing 5.6% of the growth. The volume growth was led by HPC categories, which grew at 5.7%, due to a strong rural demand. The Food volumes reduced Q-on-Q basis from 6% to 4.9% in Q4 '25, owing to decreased volumes in staples categories.

While broader government initiatives stimulated rural consumption, some policies like distribution of free food grains under various welfare schemes dampened the demand for certain staples, such as wheat flour. The urban markets witnessed relatively muted growth, weighed

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down by persistent food inflation, high interest rates and stagnating real wage growth. These factors collectively suppressed discretionary spending, particularly in non-essential and premium FMCG categories, leading to cautious consumer behavior in urban areas. On the cost front, the key commodity prices, particularly palm oil, wheat, sugar and rice remained at elevated levels during the quarter, exerting significant cost pressures.

Now coming to Patanjali Foods Limited:

FY 2025 marked a pivotal chapter in our journey. Aligned with our strategic objective to

diversify our product portfolio and drive sustainable profitability, Q4 'FY25 marked the first full quarter of integration of HPC business, which contributed 7.47% to the total top-line and 20.03% to the Total EBITDA. Just like the success that we built on after acquiring the Foods and FMCG businesses, this acquisition too is poised to drive innovation, enhance our product offering and strengthen our position in the

market. We aspire for our Foods and other FMCG and HPC

verticals to account for approximately half of our total turnover in coming years.

During the quarter, we significantly strengthened our distribution capabilities and market presence in both urban and rural markets. We added 30,000 new retail outlets in Q4, expanding now to the total reach, with the addition of HPC business, to nearly 20 lakh retail outlets. The rural outreach was further enhanced through the expansion of the rural distribution network. We also aim to cover several villages under the Patanjali Direct initiative in FY '25-'26.

In Q4 FY25, we spent 3.36% of the revenue from operations towards advertisement and promotion related expenses. It included our campaigns like Nutrela's collaboration with Zee Bangla's Dance Bangla Dance, Nutrela's visibility during Maha Kumbh. Among multiple initiatives for boosting Nutrela, it was prominently promoted at Maha Kumbh. In FY '25, we ramped up our ad spend to Rs. 233 crores (Note: The exact total is Rs. 233.36 crores) from Rs. 71 crores (Note: The exact total is Rs. 71.45 crores) in FY '24, which included onboarding various brand ambassadors, like MS Dhoni, Shahid Kapoor, Shilpa Shetty, Tiger Shroff and Tamannaah Bhatia. For the quarter, increase in expenses, like employee cost and other expenses, were partly due to integration of the HPC business and ESOP-related businesses. (Note: This is to be read as ESOP related expenses)

As part of our CSR efforts, we partnered with Robin Hood Army to mark National Protein Day with special campaign in Kolkata and Delhi. The initiative garnered very strong engagement, both on the social media and the regular media channels.

Coming to our segmental performance during the quarter:

In the Food & FMCG segment, the revenue for the Food and other FMCG segment was Rs. 2,257.22 crores versus Rs. 2,704.65 crores in Q4 of '24. Similarly, to the previous few quarters, an elevated cost base has led to the contraction in margins. Biscuits recorded a revenue of Rs. 426.25 crores in Q4 'FY25 and Rs. 1,677.38 crores in FY '25.

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Doodh biscuit and Nariyal biscuit continued to be amongst the best-performing biscuit brands for us, with annual sales of Doodh biscuit crossing Rs. 1,000 crores for the second consecutive year. An increase in the cost of raw materials, such as palm oil, sugar and milk does affect the margins.

The shift in consumer preference also saw a major correction in ghee category, due to rising prices. Despite this, we invested in the long-term brand-building for ghee by activating 30,000 outlets during the quarter.

The early onset of summers led to a significant dip in sales of honey. The staples which include rice, atta, pulses, wheat products and couple of other spices, recorded a revenue of Rs. 1,034.65 crores.

Nutraceuticals recorded a revenue of Rs. 19.42 crores in Q4 '25, with an expanded overall portfolio in FY '25. We launched new products like moringa, adult gummies and plant protein, as well as new fitness SKUs, including creatine, pre-workout products. We expect the momentum in this segment to pick-up in few quarters supported by continued investment in products and brand development. Textured soy proteins recorded sales of Rs. 102.83 crores during Q4 'FY25.

My Nutrela was honored with the Trendsetter Campaign of the Year 2025 Award for its impactful digital campaign, "India Ko Strong Banate Hain, Nutrela Khate Hain". The sales landscape for both mass and premium product categories was driven by modern trade, quick commerce, e-commerce. FY '25 saw 7% year-on-year growth in the modern retail sales and 28% rise in e-commerce.

As an update on the HPC business, the quarterly revenue for the HPC business segment amounted to Rs. 728.48 crores and the EBITDA margin was 15.74%. Of the HPC segment, the dental care revenue was recorded at Rs. 398.14 crores, foll

owed by skin care at Rs. 178.49 crores,

home care at Rs. 88 crores, and the balance for hair care and other products.

Our Oral Care category remains the largest contributor within the HPC segment and has delivered good volume numbers, mainly driven by enhanced distribution across both urban and rural has delivered good volume, mainly driven by enhanced distribution across both urban and rural markets.

Our flagship brand Dant Kanti continues to enjoy strong consumer trust. In Q4 FY25, we introduced a new variant, Dant Kanti Fresh, which received very encouraging feedback. The toothbrush segment itself has maintained a steady growth trajectory supported by new product launches, with a clear ambition to double the business over next three years. To strengthen our position in the HPC segment, we are focusing on premiumizing the category, while driving volume growth through increased penetration, supported by competitively priced high-quality branded products.

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Coming to the Edible Oil segment and oil palm plantation business:

Our Edible Oil business posted revenues of Rs. 6,764.08 crores, with an EBITDA margin of 4.66%. Within this, the palm plantation segment generated revenue of Rs. 229.32 crores, with EBITDA margin of 5.27%.

The branded Edible Oil contributed to more than 75% of the total Edible Oil sales. While palm oil prices remained elevated throughout the quarter, the pricing environment for other key Edible Oils, namely soybeans, sunflower and mustard was relatively favorable. The divergence in pricing trends helped balance overall input cost for blended oil products and provided some cushion to margins.

During Q4 FY25, we saw upward and downward movements in cash markets for Edible Oils, which created favorable opportunities for both purchase and sales. There was no divergence between palm oil physical prices and the CPO futures. In soy oil, we observed an 8% divergence, mainly due to rise in futures prices, while the basis prices declined.

Price volatility is an inherent part of the industry. Our deep market experience enables us to navigate it effectively. We employ a prudent risk management approach. We consciously reduced our hedge ratio to under 2% during the quarter, given the market volatility. We also optimized our physical purchases to manage procurement costs more effectively. Our hedge strategy allowed us to navigate price fluctuations smoothly and protect our margins.

As of March '25, our total cultivated land stood at Rs. 89,546 hectares, with 44.81% of our plantation falling within the prime age bracket of 7 years to 25 years, known for their high-yield potential. As part of our ongoing commitment to advancing India's Edible Oil self-reliance, farmer prosperity, we recently signed a MOU with the Government of Manipur under National Mission on Edible Oils - Oil Palm. We are set to cultivate 2,700 hectares of oil palm plantations. The cultivation has begun from April '25.

We also set up new nurseries, two in Assam, three in Arunachal Pradesh and one in Andhra Pradesh. Additionally, we continue to hold farmer awareness seminars for the best practices on oil palm cultivation and pest management, helping improve the overall farming process. The company is aggressively expanding its palm plantation portfolio and is working towards expanding its palm mill expertise. We reiterate our plan to take area under plantation to 0.5 million hectares over next five years, which will cover about 60% of our requirement.

Now, I would like to summarize overall financial performance in FY '25:

The total income stood at Rs. 34,289.40 crores; the total EBITDA of Rs. 2,079.06 crores, with year-on-year growth of 36.89%; PAT grew by 70.08% to reach Rs. 1,301.34 crores.

We are optimistic about the demand revival in the Food, FMCG and HPC categories in both rural and the urban India. The falling cost basket of Food inflat

ion, along with lower taxes and other

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supportive government policies is likely to aid a recovery in mass market urban demand. This impact should be visible from the second half of the fiscal year. Also, the stable prices of palm oil will prove to be a boon for us; both summer and the wedding season are expected to boost the demand, and it is likely to gain market share from soybean and sunflower oils.

Going forward, we will continue to invest in expanding our distribution network and brand building to solidify our market position across few of our four categories, such as Edible Oils, Oral Care, Food and FMCG categories.

With this, I conclude our presentation and open the floor for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Vishal Gutka from ASK Investment Managers. Please go ahead.

Vishal Gutka: Yes. Hi, team. Congrats on a good set of numbers. Sir, two questions from side. I just wanted to understand your views on HPC, home and personal care business, approximately Rs. 730 crores

revenue. So, what are your ambitions from a two-year or three years' perspective? Can we expect Rs. 1,000 crores quarterly run rate from this kind of business, when I look from a lens of two to three year kind of time frame?

And the second question is on the Food and FMCG business where the revenues have declined in FY '25, what is the strategy as a whole? What are you trying to do to revive the growth momentum in coming years?

Sanjeev Asthana: So, on the HPC business we have already committed ourselves. And we have repeatedly stated at the time of acquisition also and subsequently as well that we will maintain minimum growth rate target of 15% year-on-year growth. Now certain categories within that we find quite attractive, and there is a lot of focus that we have towards premium sort of launch of the skin care products. We are beefing up our portfolio on the home care side. So, our conviction on the 15% year-on-year growth is fairly strong. And the margin expansion that we had sort of planned, it will take maybe four quarters to five quarters before we achieve that 200 basis point margin expansion as well, on account of the efficiencies and the distribution network expansion. So we are reasonably confident of achieving this and the target is that we should be double of where we currently are, at this rate in about four and a-half years' time. And this will continue to grow because we find both the market is expanding, the space for premium product launches is looking very good. And likewise, the consumer traction with our offering on the newer launches that we have done in the last 18 months, part of that was in the erstwhile parent company, is we will accelerate the process, we will have new products, new branding, we will continue to sort of invest with the new brand ambassadors. And so there is a strong conviction that we should be able to achieve these growth numbers.

Coming to the decline in the Foods business:

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There are twin factors which have impacted this – One is that we saw very distinct slowdown in the urban sort of demand, especially for certain premium products in, for example, the cow ghee category. Similarly, some bit of seasonal impact that we saw in the chyawanprash business. Likewise, in certain other ethnic Food categories like the medicated juices, etc., with the decline overall of the health risk perception that the consumers have had. So now the work is clearly afoot.

We expect three things to drive this growth now. One is the urban demand we are expecting with the announcement on the income tax relief and others that came in in the last budget, that should start spurring

the consumer demand. We believe that the distribution expansion that we have embarked on, we have moved almost, in last six months from 1.5 million to 2 million retail outlets, with the addition of the HPC business. So a lot of strategies are being worked on. So a reasonable confidence is there that the ethnic Foods category, which saw a distinct decline, we should not only be able to arrest it, but we will continue to grow between 8% to 10% growth that we have set for ourselves. We should be able to recover the market share and we should continue to get back on that growth trajectory.

Vishal Gutka: Great. Thank you.

Moderator: Thank you. The next question is from the line of Saloni Patil from SD Capital. Please go ahead.

Saloni Patil: Hello, sir. Sir, I wanted to know about ESOP cost and CAPEX cost for this year and for next couple of years.

Sanjeev Asthana: So, I will address the CAPEX cost part of it and would request Kumar Rajesh ji to explain the ESOP cost, so I will be quick. So as we have mentioned several times before, large part of our CAPEX, the regular CAPEX spend that we have is close to about Rs. 125 crores to Rs. 150 crores per year is our targeted CAPEX, which is required for the routine sort of maintenance cost and addition of few machines here or there. In year three and four we are expecting almost over two years' window, we will invest close to about Rs. 1,000 crores of spend we are anticipating in year four and five from today. And before that, in case any opportunity comes up, we might look at. But right now there are no major CAPEX plans that we have on cards to be spent over next four years, we do not need to spend on CAPEX. On the ESOP treatment of the expenses, I would request our CFO, Kumar Rajesh ji, to answer that.

Kumar Rajesh: Sure, sir. So, thank you very much. This year we have debited near about Rs. 122 crores, Rs. 10 crores per month as ESOP cost for the fair valuation adjustment of ESOPs into the cost. So, this is the basic numbers.

Moderator: Thank you. The next question is from the line of Akshay Raut from BSM Securities. Please go ahead.

Akshay Raut: Hello, good morning, sir. So, how sustainable are the margins in our Edible Oil segments?

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Sanjeev Asthana: So, Edible Oil segment, Akshay, that we have said that we target, for example, in the Edible Oil segment this year we have done overall 4.64%. And we have stated that the range of margins is 2% to 4%. And this is almost the fifth quarter in the run that we have been sustaining the margin. So, the effort that we are doing towards the branded oil segment, the work that is happening on managing our supply chain more effectively, the distribution network expansion that we have done, the spend on the ad and marketing that has happened over the years. So, we are reasonably confident of maintaining our margin and hopefully on the higher end of the chain. And this should not alter at all.

For example, you would notice, barring exceptional, in the year and a half before that four running quarters when the markets were in great turmoil, Edible Oil markets have stabilized. We do not anticipate any significant movement either way. So the consistency of the profit that we speak about, the quality of margins that we speak about and the predictability of margins, I think we should be able to meet all the objectives that we have set for ourselves.

Akshay Raut: Okay. That's it from my side. Thank you, sir. And all the best.

Sanjeev Asthana: Thank you.

Moderator: Thank you. The next question comes from the line of Yogi Modi from VT Capital. Please go ahead.

Yogi Modi: Yes. Good morning, sir. Thank you for this opportunity. Sir, I just had one question. Sir, the demand scenario still remains lukewarm despite of falling inflation, how are we looking at the demand from both rural and urban areas as we speak, and also for the couple of next quarters?

Sanjeev Asthana: So, you are right, the overall environment was fairly muted. Earlier, it was led definitely by higher prices and stress, the cautious consumer spend that we clearly witnessed in the urban areas. So, there are two expectations which are driving our conviction that we should see certainly a pick-up in the demand sort of momentum. One is, clearly we see on the side of the income tax relief that has been given to the middle classes this year, that should be spurring a growth in the urban consumption. Second is the softening of the inflation, Food inflation especially, last quarter to 3.6%, should be helpful. Staples continue to be a challenge, the consumer staples overall. As we see that on the side, whether it's a price on the wheat flour, whether we see price partially still on the Edible Oils, if you see the prices in case of certain pulses, etc., so there would be some stress on the staples side. But overall, the consumer demand side looks healthy. And it will aid in the recovery of the growth target that we had planned for ourselves overall. And I believe that the overall sentiment looks certainly more positive than perhaps what it was in the last quarter.

Yogi Modi: Perfect, sir. Sir, that answers my question. Thank you, sir.

Sanjeev Asthana: Thank you.

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Moderator: Thank you. The next question comes from the line of Kunal Shah from Jefferies India. Please go ahead.

Kunal Shah: Hello, good morning. Sir, my first question is on the oil business. So, can you share the volume numbers for the quarter and how much would that be?

Sanjeev Asthana: So, basically, on the volume front, last year we had done a number of 24.99 lakh tons, this year the volumes have declined by 5%. This was primarily due to the larger part of the overall decline in palm oil, because for large part of the year the palm oil prices started to trade at a much larger premium to the soy and sunflower oil prices. And palm is the largest segment that we have because of which we saw this decline. So, for example, in last quarter versus this quarter, if I were to look at, in the palm oil segment we had 2.6 lakh tons, this quarter we had 2.25 lakh tons is what we did.

Similarly, on the soybean oil, we had a much larger pick-up, we had 1.26 lakhs in the Q3 of previous year, in the Q4 we had 1.5 lakh tons, so there was a growth pick-up. In the sunflower category we moved it up by marginal about 3,000 tons. So, broadly, the decline has been palm oil, which is also an industry trend as well, that overall if we see, that on an overall basis that the decline largely has been marginal between Q3 and Q4. But overall, on a yearly basis, the decline also has been slightly about 100,000 tons drop that we saw. But that will pick up because the palm oil prices have sort of tapered off, they have reached a level of equilibrium, which is trading at a slight discount to the overall oil prices, and we should be in a reasonably good position now.

Kunal Shah: Understood, understood. That's very clear. Second bit is on the plantations business.

Sanjeev Asthana: And Kunal, I just wanted to say one more thing, and palm oil also is the least generator of the profitability for us. So to that extent, what we are much more focused always is on the premium

oils like soy and sun, and palm is a big driver volume growth for us. But in terms of profitability or marginal dip, so that is why I repeatedly have said, that it is not the absolute margin pressure, but the quality of margin. So we are much more focused on soy and sun and mustard because they are the premium oil categories. So, palm marginal decline in a quarter or two quarters really does not impact our overall profitability profile.

Kunal Shah: Understood, understood. That's very clear. Second bit is on the plantations business, so if you look at the acreage, that's gone up by around 15,000 hectares this year. I mean,

when you put

out this target of 500,000 hectares in the next five years, would that be front-ended in the next few years or would that be, let's say, a bit back-ended? So just basically help us model out our numbers.

Sanjeev Asthana: Yes. Sure, sure. So, there is a lag, as we explained, that palm plantation has a typically 15 to 18 months cycle on the seedlings sort of matured enough for small plants to be planted. So there is always a lag, but the momentum is going to pick-up. So, for example, this year the target is that we should do 40,000 hectares, next year the pick-up will be 125,000 hectares, and thereafter it

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will continue on that same momentum trajectory. So now the pick-up at a scale and level is going to be significantly higher. And in line with that, we are consistently ensuring three steps; A, that the number of nurseries has gone up substantially in this period; the seedlings that we have, the imports that we have done, they are in a growth mode, and they are already to be planted now. The pick-up earlier what we used to have 5,000 hectares and 6,000 hectares a year, I am talking of three years back, has now gone to almost last 15,000 hectares, this year 40,000 hectares, next year 125,000 hectares. So, we are reasonably confident of achieving our target in five years of 0.5 million hectares. And progressively, that also as they come into the maturity phase of the fruiting, we also expect the margin profile to start picking up for the overall business itself.

Kunal Shah: Understood, understood. That's very clear. On that note, is it possible to share the margin profile for plantations this year?

Sanjeev Asthana: Yes, of course.

Kunal Shah: For the full year?

Sanjeev Asthana: Yes, of course. So, this year for example, in Q4 the EBITDA was Rs. 12 crores, but overall for this year, in FY '25, our revenue from palm plantation business was Rs. 1,263 crores, the EBITDA was Rs. 203 crores, which is 16%, and this is in comparison to Rs. 951 crores FY '24 and Rs. 156 crores EBITDA. As we maintain that it is always generally a pretty consistent annuity business for us, and in general we are able to maintain the margin construct. So we are pretty confident of this being in the ballpark range of 16% to 18% on a consistent basis.

Kunal Shah: Understood, understood. That's clear. My second question was on the HPC business, so good numbers there both on top-line and margins. We hear from a lot of peers that there is a lot of competition in Oral Care, at least in the last few months, which is also your largest category. Can you share of, I mean, what's helped your numbers and what are the trends that you see in this category in the market and from your perspective?

Sanjeev Asthana: So, overall, two trends are driving this. It is a hypercompetitive category, there is no question about it. So one is the core sort of consumer base that we have in Dant Kanti; that not only remains intact, that continues to establish itself in a growth mode. We typically have seen 6% to 7% growth in that space that we have achieved in this year, in the Q4 of '25. Now the target going forward is what we believe is that the new range Dant Kanti Fresh, the extra push that we are making in that Oral Care category, the new variants that we are launching, market is also getting very deeply segmented now.

And the different categorization as we are doing in the urban areas, we are looking at different sort of age groups, deeper segmentation, and that is what is going to be the strategy of the company. So, the target is that if we can continue to grow higher than the market, at somewhere around 10% is the ballpark number for dental care, continue to drive innovation with the new

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product launches, there is a confidence that we should be able to achieve 10% growth rate in the dental care category

. And broadly, that is the plan.

Similarly, the opportunity is much larger that we see in the skin care and home care, and there are multiple different products that we are continuing to sort of bring to the market. There is a

lot of strategy towards pushing it through the e-commerce and quick commerce route now. The modern trade as a distribution channel is emerging. So, we are reasonably confident of 15% growth rate what we have set for ourselves this year, we should be able to achieve it comfortably, but with lot of effort which has to go into in terms of distribution expansion and the product innovation.

Kunal Shah: Understood, understood. And on the margin side, this guidance which you have given for next few quarters, I mean, let's say, four, five quarters of 200 bps gain from synergies and distribution improving, so this basically means that the 17% margin that this business was as acquisition, minus 3% royalty, which takes you to 14%, so you are looking back to, let's say, 16%, 17% margin in the medium-term, that would be a fair way to look at it?

Sanjeev Asthana: Yes. So, as we said that this additional 200 bps margin to kick in would take certainly good four to five quarters before that synergy starts to sort of kick in. And so somewhere around the Q1 or Q2 of FY '26 is what we are estimating that we should start to see some results. So the idea is that somewhere around next fiscal that we should see in the 1st Quarter or 2nd Quarter, I think we should start to see the impact of 200 basis points expansion in the margin. So, we should head back towards somewhere around 16% to 17% margin construct in the business, and that looks reasonably achievable.

Kunal Shah: Understood. Finally, I have a couple of bookkeeping questions, so this ESOP cost --

Moderator: Sorry to interrupt sir, but I may request you to rejoin the question queue for follow-up questions.

Kunal Shah: Sure, sure. I will do that. Thank you.

Moderator: The next question comes from the line of Disha Giria from Ashika Institutional Equities. Please go ahead.

Disha Giria: Hi, sir. Good morning. I just have one bookkeeping question. There seems to be some restatements within your revenue figures and your other income. So, if you could just let us know what's the reason behind it?

Sanjeev Asthana: Yes. Mr. Kumar Rajesh will answer that question.

Kumar Rajesh: Yes, thank you. So, basically, we were incorporating the seedling income from palm plantation and some export subsidy into the other income earlier. So, this year we have changed the methodology, and this year we have transferred this revenue from other income to the oil segment, income from operations. So, this year the amount is Rs. 47.50 crores, which have been

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transferred from other income to income from operations, and last year it was near about Rs. 20 crores.

Disha Giria: All right. Okay. Yes, that's it from my side.

Moderator: Thank you. The next question comes from the line of Abhishek Mathur from Systematix Shares & Stocks. Please go ahead.

Abhishek Mathur: (Inaudible)

Moderator: Mr. Mathur, your voice is breaking, sir.

Abhishek Mathur: Is it better now?

Moderator: No, sir, it's still breaking. May I request you to rejoin the conference?

Abhishek Mathur: I will do that. Thank you.

Moderator: Yes. The next question comes from the line of Ajay Thakur from Anand Rathi Securities. Please go ahead.

Ajay Thakur: Hi, sir. Thanks for taking my question. So, I wanted to get some understanding on the Edible Oil margins actually. So, you had kind of highlighted that bulk of the margins actually, or quite a bit of a part of the margins actually is coming from the sunflower or the non-palm oil kind of oil businesses. So, I wanted to get a sense of what would be the average contribution, generally, if you were to look at the EBITDA margin constitute, what would be the average constitution of palm

oil, or what would be the contribution of Edible Oil to that segment overall?

Sanjeev Asthana: So, I will just clarify. On the front of palm oil what I said was that there was a volume decline of 100,000 tons, that does not mean that the palm oil does not make margin. It's amongst the lower-margin products for us. So, the drop in about of 100,000 tons of the volume on the palm oil does not impact our margin to a large extent. But having said that, oil palm is nearly 70% of the business that we do. It's highly profitable for us. We have the largest brand, Ruchi Gold, in the country. It is one of the most recognized brands, which consistently earns a premium of more than Rs. 1,200 a ton. We make a very solid margin on our oil palm plantation business. And we do a very good job on the supply chain side.

So, really, so my comment was in that light. But what we do a lot more margin is, in our branded business, for example, on the soy and sunflower side, our margin profile typically is about Rs. 2,500 to Rs. 3,500 a ton, which gives us a lot more leg-up to that extent. So, if there's a significant drop in that, that also hurts us. But in absolute terms, palm continues to be one of our mainstays

Ajay Thakur: Understand. Sir, what I was trying to understand is that if palm oil is kind of constituting 70% of the Edible Oil business, will the contribution in terms of EBITDA would also be the similar quantum on an average basis, like 70-odd-percent or would it be more like around 50-odd-percent to the Edible Oil ?

Sanjeev Asthana: No, so that typically is no reflection at all. So, what happens is, since the movement between the interplay of each of these oils is reasonably dynamic, so it typically would not be reflective of 70%, percentages would not be matching at all, it would typically be at a variation. But I would say that 50% of the income that we derive would definitely, in all years, would be from palm oil category for us. The percentage may vary a bit here or there. But overall, about 50% income we would always derive from palm oil, and the balance part of the income accrues from the other oils. And so, we do not many a times talk about the mustard oil and sesame oil and other businesses, but there's a fairly robust portfolio that we have. So, it's almost 50-50 between the two. But volume-wise, palm oil would be about 70% of what we do.

Ajay Thakur: Understand. Sir, I also wanted to understand, generally during a deflationary palm oil trend, would we be kind of having a better margin scenario in the palm oil business, or generally during the inflationary scenario is the margins better for the palm oil business, for us?

Sanjeev Asthana: No, so palm oil margin gets driven for us by two factors, one is of course the supply chain capability that we built in. Second, which is very crucial is, that consistent brand equity that Ruchi Gold has built over the years, and I was mentioning that typically between about 1.5% margin that we generate consistently on account of a brand in the marketplace, and that is a very strong point that the company has. And if we add the supply chain efficiency, the purchase efficiency that we bring in and add close to 1.5% or 2% to that, then the palm oil is a very big, solid part of our portfolio, which is driving this growth.

So, it's a combination of the brand marketing as well as the supply chain efficiency, which is driving this growth. So, if there is a natural inflation in the palm oil prices at the purchase level, in the international prices, it tends to benefit us. If there is a dramatic drop, it would not benefit us, but most of it gets neutralized on account of the premium that we draw from the marketplace on account of the brand premium that we get.

Ajay Thakur: Understood. Sir, also I wanted to understand a bit more on our Oral Care market share, how has

the trend been shaping in terms of the Oral Care share for the last quarter and for the year FY '25? Some light on that front could help.

Sanjeev Asthana: Sure. So Oral Care, this was the first full quarter, of course, that we saw. But knowing the background of the Oral Care, I was just answering actually earlier also the same part, the overall category that we have seen is that typical growth is about 5% to 6% year-on-year. We are pretty confident of achieving 10% growth in the Oral Care, largely driven on two levels. One is by the product innovation and much deeper segmentation that we have to drive in the Oral Care category. So, there is a reasonable confidence that we should be able to achieve it. So there is a
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core that we have on the Oral Care that has been built over the brand equity that Dant Kanti enjoys.

I think now riding on top of that in terms of bringing in new customers who can start to relate to Dant Kanti, the new variants, getting that completely entire segment of population which would like to try different variation of Dant Kanti, I think that is where the big effort the company is making. And we got in the brand ambassadors in the form of both Tamannaah Bhatia and Tiger Shroff, we continue to sort of expand that distribution in different geographies. So, part of the growth will be a secular growth that we have seen in the Dant Kanti category itself, as in Dant Kanti Natural. And the balance part of the growth will come through largely by the new launches and segmentation that you are trying to drive to really position the products to particular segment which should drive the growth for us.

Ajay Thakur: Thanks. That's about it. Thanks for answering the question.

Moderator: Thank you. The next question comes from the line of Naitik from NV Alpha Fund. Please go ahead.

Naitik Mutha: Hi, sir. Thanks for taking my question. Sir, can you please give me the breakup of sales for your Food, FMCG and for HPC for 2025, the breakup of sales in staples, ethnics, honey, ghee and then in HPC?

Sanjeev Asthana: Yes, I can. So in terms of the breakup is that the consumer staples in the Food for this year, we have done Rs. 3,756 crores and in the ethnic Foods we did Rs. 2,451 crores.

Naitik Mutha: Right. And specifically for honey and ghee?

Sanjeev Asthana: Ghee, I do not have that specific number right now. We did about Rs. 1,100 crores of revenue for the full year on the ghee side. And honey number I can share that with you.

Naitik Mutha: Sure. And same for HPC, sir, the home and personal care category?

Sanjeev Asthana: So, home and personal care revenues that we have right now, I can share that. Because I can just share with you only for one quarter, so revenue for the 5 months I am sharing now. For dental care we did about Rs. 625 crores, skin care we did about Rs. 280 crores, for home care we did about Rs. 145 crores, for hair care we did about Rs. 95 crores; and the others form about Rs. 10 crores. So, total about Rs. 1,150 crores in five months. (Note: The exact total is Rs. 1,148.85 crores in five months)

Naitik Mutha: Right. Rs. 1,150 crores for five months. So sir, my question is, last year when we spoke about acquiring this business, the top-line was close to Rs. 2,700 crores, Rs. 2,800 crores, right? So, compared to last year is this top-line lower now?

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Sanjeev Asthana: Yes. So I mentioned that that this integration process is time consuming. I think from this quarter onwards you will see more consistency in the revenues. We had stated that right in the beginning also, that the first couple of months are going to be time of integration. So, for example, getting the full teams aligned, the distribution networks are done, getting all the distribution structure in place, integrating them to go through on the SAP systems, etc., has taken its

time. But this quarter

onwards we expect this operation to completely stabilize. Integration is now done, and we should get on to the growth path of 15% from the time of when we acquired the business we should achieve that 15% growth. Sequentially it will start building up, but for the year our conviction is that we should get the 15% growth rate that we had stated.

Naitik Mutha: Right, sir. Just one clarification, the 15% you are talking about would be on a base of Rs. 2,500 crores or on Rs. 2,800 crores?

Sanjeev Asthana: Rs. 2,800 crores; Rs. 2,794 crores, if I remember my number right.

Naitik Mutha: Yes, approx.

Sanjeev Asthana: Yes.

Naitik Mutha: Sure, got it, sir. That's it from my side. Thank you.

Sanjeev Asthana: Thank you.

Kumar Rajesh: Somebody wanted to know the figure of ghee sale, I think?

Naitik Mutha: Ghee, I think, they mentioned Rs. 1,100 crores.

Sanjeev Asthana: So we got the number, Rs. 1,286 crores was the ghee sale. And honey we have the number now, it is Rs. 324 crores for the full year, yes.

Naitik Mutha: Got it. Thank you.

Moderator: Thank you. The next question comes from the line of Vishal Gutka from ASK Investment Managers. Please go ahead.

Vishal Gutka: I just wanted to understand your thoughts on palm oil business. So, you told that it is lower-margin versus the other two businesses, just wanted to understand your thoughts, why it is so, why it is like that? And second question is on the palm oil plantation business, you told you did around Rs. 12 crores EBITDA for the quarter, and for the full year the number was around Rs. 203 crores. So there seems to be a big variance in terms of quarterly and annual performance, can you please explain the same?

Sanjeev Asthana: No, no, it's just a regular seasonality part of it. So typically what happens is there's seasonal impact, now that it's a peak season which is going on, so this quarter the numbers will entirely

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change in the Q1 of this year. So, just a seasonal variation it is there, so that is why this number was there.

Vishal Gutka: Got it. First half is heavy, is that the thing?

Sanjeev Asthana: Yes. So, how it works is that when there is a peak harvest going on, at that moment what happens is that you are doing a lot more processing, there is a lot more operation going on, lot more business goes on. And then it tapers off in the subsequent months, in the Q3 and Q4 typically, that is why you will see some bit of tapering off. And then some cost allocations and otherwise which is there, so that is why typically this variation you will see. But that evens out, that part of the annual number will pretty much stay stable at 16% to 18% EBITDA, that will always be

there.

Vishal Gutka: Got it. And in terms of the palm oil business, why it has lower margins versus other two oils, can you explain?

Sanjeev Asthana: Yes. So, typically what happens is that palm oil is seen more as a commodity sort of a play, and the business is done largely to the institutional players. But there is a big segment in the palm oil which also is in the branded form, especially in South India, where there is a recognition of the brands, the consumers' asking particular brand of palm oil because that is used in the household cooking in large way in south. So that is why the palm oil typically tends to be, the margins tend to drag a little in the consumer, especially if you look at the front-end retail sales level, where we tend to see the lower margins in the palm oil compared to soy and sun, where the consumers' brand recall, the outlets from where it gets sold, the consumption pattern that is demonstrated, the SEC A and B class customers are much more aligned towards soy, sun, mustard, cold-pressed oils, like sesame, etc., compared to palm. So that's why typically at the front-end you will see that the palm oil margins typically would tend to be lower at the sales level.

But on the supply chain side, if the efficiencies, etc., are typically good, so the run rate that we have typically seen is that out of 70% volume, 50% margins, some years it could vary as well. But typically 50% margins would accrue out of palm oil, which is a combination of the premium that we get on Ruchi Gold as well as the value that we derive on our supply chain efficiencies.

Vishal Gutka: Got it, sir. Thank you, sir. Just one short question on this EBITDA per ton from palm oil is what, Rs. 1,000 to Rs. 1,500 kind of number? For soy, it was in the range of Rs. 2,500-Rs. 3,000 number, so for palm oil, please.

Sanjeev Asthana: Yes, so I will explain that. So, what we do is a typical estimation that the brand premium that we derive is that number when I spoke about is typically about Rs. 1,000 to Rs. 1,500 a ton we derive on the palm oil, about Rs. 2,500 to Rs. 3,000 we get on soy oil, and about Rs. 3,500 to Rs. 4,000 is typically what we target is for the sun oil. And for mustard and cold-pressed oils, etc., it's significantly higher. So, typically that's for the front-end margins.

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Now, at the back-end when we are talking of the building up supply chains, the origination margins, etc., they may vary because of the movement in the prices, etc. So the idea is that we evaluate ourselves on twin parameters, one is the efficiency of supply chain that we should be consistently better on bad day's market prices on the bulk side, because of the efficiencies that we derive on account of risk management, supply chain and the origination. And on the market end, on the distribution side we should be able to consistently earn a brand premium and margin. So the two are totally distinct sort of strategies that we follow, and that is why I mentioned about the higher margins in other oils. And the palm typically is a consistent margin creator, and it is a very critical, core product for the company.

Vishal Gutka: Got it. Great, sir. Wishing you all the best for the year ahead. Thank you.

Sanjeev Asthana: Thank you.

Moderator: Thank you. The next question is from the line of Shirish from Motilal Oswal. Please go ahead.

Shirish Pardeshi: Hi, Asthana ji and Kumar, good morning. Thanks for the opportunity. Sir, can you provide this 25 lakh tons, what we have sold in Edible Oil, what is the broad volume breakup of each segment?

Sanjeev Asthana: Yes, I can. The overall quantity that we have done is 23.64 lakh metric tons, 2.36 million tons. Out of this, 10.5 lakh tons is palm oil, 5.4 lakh tons is soybean oil, 60,000 tons is mustard oil, 1.4 lakh tons is sunflower oil, and the balance would be the other oils.

Shirish Pardeshi: Okay. And on the front-end, broad breakup of brand side, Mahakosh and other segment, if you have already?

Sanjeev Asthana: So, as I told you, 75% of the volume, that I have told you, it gets sold pretty much across the categories. So sunflower, for example, 100% would be branded because there is no bulk sale.

Soybean, typically our sales would be almost about 80% to 85% entirely in the branded category.

Palm oil, as I mentioned, will be close to about 70% typically would be in the branded form and the balance would be in the form of the bulk, institutional sales and otherwise that we do. And rest of the oils, like mustard and others, they are 100% branded form.

Shirish Pardeshi: So just understanding, what would be the total sale for FY '25 for Mahakosh? Because I think you have seen a lot of ad spends and a lot of activities around that brand.

Sanjeev Asthana: So, for soybean oil, Mahakosh, as I mentioned, close to about 75% would be the branded. So it would be about 4 lakh tons plus is what we would have done in the branded form.

Shirish Pardeshi: Okay, wonderful. My second question on OPP, 45% is the number which you have shared in terms of seven to 25 years aging. So, I was just more curious if this revenue is goin

g to be a positive momentum in terms of margin and growth, what is the number which you are expecting maybe in terms of volume, value contribution for FY '26?
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Sanjeev Asthana: Sorry, I did not get your question right.

Shirish Pardeshi: So, in the presentation you said that 45% of our oil palm plantation is in the age of seven to 25 years.

Sanjeev Asthana: Yes.

Shirish Pardeshi: Yes. So, I was just expecting, what kind of output we can expect from this in FY '26, maybe it's volume or value, whatever you can share?

Sanjeev Asthana: Yes. So, in the palm oil plantation business, I had mentioned that we did a revenue this year of Rs. 1,263 crores, which itself was a growth over Rs. 951 crores that we had done in the previous year. Part of that came through the volume growth and the balance came from the price inflation that we saw. So, each year we are expecting that this revenue to grow close to about 10% year-on-year, as the more plantations come in. And the momentum will pick-up in fiscal '26-'27 when we expect what the pick-up in the plantation driver that we took two years back, some of that should start coming on-stream. And '27-'28 onwards, we should see minimum 25% growth year-on-year on the oil palm plantation side.

Shirish Pardeshi: That's really helpful. Last question on the distribution front, you mentioned about 2 million is the coverage which we have, so when you look at this 2 million, is the total or it's direct distribution?

Sanjeev Asthana: This is a direct distribution, and our estimation is that to more than 100% of this, 1:1 or maybe even 1.25x of this should be indirect distribution. So, all the sort of work, so currently our products are available at more than 4 million retail outlets, 2 million directly, which is tracked by the company. And that with the HPC business and the expansion that we have seen should continue to see a substantial uptick.

Shirish Pardeshi: Okay. The reason why I am asking, because there is a variation which we have seen in terms of staples, Foods and FMCG, personal care and HPC business, which is around 15%. So, I am more curious, if distribution is the angle which is driving HPC, which are the pockets where we are seeing the diversion for the Food versus FMCG or HPC in terms of quarter which has gone by? And some color on the demand situation at this point?

Sanjeev Asthana: So, two sides, which is, for example, that in terms of reach on the Food side, we typically see the strength profiling and in terms of where the brand equity is the highest where the distribution reach is way better that our markets are northern part of the country, the central part of the country, western India are the leaders, in terms of where we currently do well.

In South, we are expanding our distribution reach to better levels. There are certain product categories which typically tend to be less appealing in South, but that we are correcting the course, as I mentioned about the segmentation and distribution that we are working towards.

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And similarly, in east and northeast we need to do some more work. So, broadly the idea is that progressively we should take our direct distribution reach to 4 million.

So growth will come from two areas, as we have repeatedly mentioned. One is that expanding our distribution, obviously, there is a lot of headroom for growth that we have. And second is, the markets are tending to divide themselves in a much sharper focus in terms of which segment is consuming what product categories. So, that work is going on quite seriously, that we want to drive much more customized, much more oriented, focused product launches to achieve this growth of 15% that we have set for ourselves in the HPC.

Shirish Pardeshi: And in terms of demand, any regional variation?

Moderator: Sorry to interrupt sir, but I may request you to

rejoin the question queue.

Shirish Pardeshi: No, I am done. I mean, I asked the question, I am just expecting the answer.

Sanjeev Asthana: Yes. So, just a quick one. Yes, on the demand side what we see, there is a regional variation clearly, and that's pretty significant actually. So, for example, in the Oral Care, so the natural toothpaste category, while very popular, we see that north, central, and west is much more larger; and similarly what we see in south is that it's lesser. So, there we are launching different kinds of products. Likewise, in the HPC home care we find that consumers have very different sort of choices when it comes to deciding as to what kind of products they are consuming and what brand. So, that is being addressed. And we realize that one of the core things about complexity of India is, very much, that addressing the markets specifically will make a big difference. So,

that effort both through data analytics that we have in terms of the market research that we are doing, the new ad campaigns that we have followed and researching on that, I think wherever the gaps are there we should be able to address it efficiently.

Shirish Pardeshi: Thank you, and all the best.

Sanjeev Asthana: Thank you.

Moderator: Thank you. The next question is from the line of Abhijeet Kundu from Antique Stock Broking. Please go ahead.

Abhijeet Kundu: Hi, sir. Congrats on a good set of numbers.

Sanjeev Asthana: Thanks.

Abhijeet Kundu: So, going ahead, I was just looking at the construct of margins. So, say, when I look between Edible Oil to Food products, I mean, would it be right to say that Food products' margins got impacted because Edible Oil margins were higher, because there was inflation in Edible Oil, which helped Edible Oil margins, and on the other side, Food margins got impacted. So will there be an interplay and how do we see it, because your Food margins on an annual basis has

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actually halved, I mean, not halved but gone down by about close to 489 bps. So going ahead, if we have to look at improvement in margins, is there any interplay because vegetable oil prices have been higher and it has been impacting Food margins across the board, not only your company, other players have also got impacted by the higher vegetable oil prices, and also wheat prices have been higher.

So there has been, from other companies what we understand is, there is an expected moderation in wheat prices as well as there is expected moderation in vegetable oil prices. So, what do you expect? How should that play out for you next year? And how can you come back to that better margin? Because Food margins, Food absolute EBITDA is also very important, actually if they do well and you are able to sort of not retain but at least be closer to your previous margins in Edible Oil, you should see a better margin profile and an earnings EBITDA growth profile.

Sanjeev Asthana: So, this year is, Abhijeet, pretty exceptional. I think it's a very good question, because I was hoping that somebody is going to ask that. I think three things have largely been responsible for the change in the margin construct. One is very clearly the high commodity prices. So palm oil, for example, this year was almost elevated between 30% and 40% almost through the year. The sugar prices were up between 2% to 5%, the wheat prices were up 12% last year. Similarly, we saw at the wholesale level, the commodity inflation, the paddy prices were up between 5% to 8% consistently. And all these are very core products which typically go as raw material into manufacturing of many of the FMCG Food businesses. So they tended to impact quite a bit, and which is where we saw this drop in the margins.

Likewise, so it impacts, for example, what all, it directly impacts things like atta and rice and the palm oil itself on the demand side, it impacts directly our biscuits business a lot

. So, all those

have been part of the challenge here that we faced. So this year I am expecting this to taper off. So, this would have an interplay between the margin as you rightly observed. And I believe that we should be mindful of this factor, which typically tends to have some play. And my only suggestion would be that, and the guidance that we have internally within the company, I am seeing A- that the Food, sort of, as far as commodity prices, the government is working extra hard to ensure that the prices are kept stable. International prices, we have very little control over, so government has a duty sort of at its control to control that, so broadly, but this interplay will remain.

Now coming to the point of that where it is going to less likely impact and how we should be addressing the price inflation which has an impact on the margin, I think this is something which the company is very ceased of. So we are tightening the areas where we need to control these prices, but this impact we cannot deny that many of the Food product companies will typically tend to face this problem on the Food inflation side. If suddenly we see a big spike on the commodity prices, so it does have an impact both on the sales as well as on the margins.

Abhijeet Kundu: Okay. So, essentially we have to just look at the blended margin between oils and Food products sort of because when it's oil --

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Sanjeev Asthana: And I would say, Abhijeet, just one correction, that do not look at oil alone, it's a basket of commodity prices which has an impact on overall on the Food portfolio. So biscuit, for example, depends on sugar and fat, which is palm oil and wheat prices. And likewise, most of the products,

wheat flour example, it's directly linked to the wheat prices. And typically, the ability to pass on the commodity inflation on to the consumers in all cases is not there, so margins gets squeezed in that. So it impacts both the demand, so either consumer tends to move to lower brands or cheaper prices, or they tend to sacrifice on the margin to continue focusing on the volumes. So, that is the interplay which will always have an impact. But we are pretty confident that between 8% to 10% margin construct that we have always maintained in the Food business overall, we will do that. This year also we did about 8.35% margin overall on the Foods portfolio, FMCG. So, we are pretty much in the range of what we have projected. But yes, you are right that it has dropped from 13.18% last year to 8.35%, but this would be more a temporary phase, we are expecting for us to tide over it.

Abhijeet Kundu: Yes. So structurally during FY '26, I mean, looking at the moderation in inflation across input prices, you should benefit on the Food product side.

Sanjeev Asthana: Yes.

Abhijeet Kundu: And Edible Oil, the margins may not be as high as for FY '25 but it still would not really see a substantial decline. And what is important here is what is the kind of volume growth that you expect in Edible Oil during, I mean, in FY '26.

Sanjeev Asthana: So, to answer, it is very important that from a guidance perspective we are reasonably certain that between Edible Oil, Foods and HPC, we should meet all our objectives what we have set.

So, between 2% and 4% margin on the Edible Oil, more at the higher end of the margin construct.

Food margin 8% to 10%, we should pretty much definitely meet. And likewise, for the HPC of 16% to 18% is where we should see consistent growth, that should come in. So, this is an overall conviction that we should be able to do that.

On Edible Oil, though, the growth that we see in volumes is typically between 2% and 3%, and we are pretty confident of getting it back this year. So, palm oil was a very typical year that we saw, that's pretty much the palm oil price has stabilized, so I am not expecting any slippage on the volume numbers.

Abhijeet

t Kundu: Understood. Thanks. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Sanjeev Asthana for closing comments. Mr. Asthana?

Sanjeev Asthana: So, with this, I thank everyone for having participated quite actively. I would like to sort of conclude the call with this and look forward to your continued support and guidance. Thank you so much.

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Kumar Rajesh: Thank you.

Moderator: Thank you. On behalf of Patanjali Foods Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2025

PFL /2025 August 22 , 2025

To
BSE Limited National Stock Exchange of India Limited
Phiroze J eejeebhoy Tower Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001 Bandra (E), Mumbai – 400 051

BSE Scrip Code: 500368 NSE Symbol: PATANJALI

Dear Sir(s)/Ma'am,

Sub.: Transcript of Earnings Conference Call Q 1 FY2 6 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated August 15 , 2025 regarding audio recording of Q1FY2 6 earnings conference call held on August 14 , 2025 . Please find attached transcript of the said earnings conference call.

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com

It is for your information and records please.

Thanking you,

Yours Faithfully ,

For Patanjali Foods Limited

Ramji Lal Gupta
Company Secretary

Encl.: As above

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"Patanjali Foods Limited
Q1 FY '2 6 Earnings Conference Call "
August 14, 202 5

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on August 15th, 2025, will prevail

MANAGEMENT : MR. SANJEEV ASTHANA – CHIEF EXECUTIVE OFFICER
– PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL OFFICER –
PATANJALI FOODS LIMITED
MR. PRIYENDU JHA – INVESTOR RELATIONS –
PATANJALI FOODS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Patanjali Foods Limited Q1 FY '26 Earnings Conference Call. This conference call may contain certain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjeev Asthana from Patanjali Foods Limited. Thank you and over to you, sir.

Sanjeev Asthana: Thank you very much and good evening to everyone. Thank you for joining us today for Patanjali Foods Limited's call to discuss the results of Q1 FY '26. I'm joined by the company's CFO, Mr. Kumar Rajesh, along with Mr. Priyendu Jha from Investor Relations and our IR partners, Strategic Growth Advisors. We have uploaded the results collateral on the Stock Exchanges as well as the company's website for your reference.

Let me begin by giving a quick snapshot of our performance during the course of this call. We will be referring to standalone financials. The revenue for Q1 FY '26 stood at approximately INR8,900 crores with year-on-year growth of 24%. The total EBITDA margin came in at 3.75% and the PAT margin stood at 2.02%.

I would take a moment to share my perspective on the evolving demand patterns in the FMCG sector, which directly shape our business and strategies thereof of Patanjali Foods. This quarter, we saw favorable inflation trends with CPI hitting a 77-month low of 2.1% in June, owing to a sharp drop in food inflation, particularly vegetables and pulses. Over the past few quarters, rural markets have outpaced the urban markets.

Q1 FY '26 followed similar trends. The momentum in rural demand continued and demonstrated a preference for well-established brands. The urban demand was under pressure. Key commodities like edible oils, cereals, et cetera, saw consumers opting for smaller packs or cheaper alternatives from regional upcoming brands. This impacted the product consumption trends.

However, by the end of the quarter, the industry witnessed early signs of revival in the urban consumption, mainly due to easing inflation and recent fiscal and monetary policy measures. Those evolving market dynamics created opportunities for regional and emerging brands to expand their presence, gradually challenging the dominance of old economy names, industry veterans, especially in the urban markets.

Unseasonal rainfall adversely impacted the performance of seasonal products like beverages due to disrupted demand. During the quarter, the pricing for commodities such as palm oil remained high and wheat prices remained lower on a year-on-year basis. However, they began to soften sequentially towards the end of the period. Palm oil increased by 7.35% on a year-on-year basis and reduced by 10.2% on quarter-on-quarter basis. The palm oil prices are expected to remain range bound and downward trajectory driven primarily by recent policy measures and market dynamics.

The geopolitical tensions, primarily in the Middle East led to an excess supply of palm oil in the global markets that pushed the palm oil prices down. Effective May 30, 2025, the government of India reduced the basic customs duty on crude palm oil, sunflower oil and soybean oil from 20% to 10%, following over 8 months of elevated import taxes.

This also had an impact on our

own results, which I'm going to speak about. The effective import duty on these products, which includes the basic customs duty and additional fees now stands at 16.5%, down from the previous 27.5%. This move is expected to lower industry-wide input costs, enable more competitive pricing and potentially higher -- drive higher consumer offtake. Notably, with palm oil now priced below both soybean and sunflower oil, this trend bodes well for the overall demand in the upcoming festive season. Furthermore, with the differentiated duty differential between crude and refined oils, domestic refining operations are poised for improved

utilization and competitiveness over imported refined products.

On the distribution front, in Q1 FY '26, the alternate distribution channel continued to register rapid volume migration from general trade. This led to intense competition and margin compression. Now coming to our quarterly performance. Overall demand remained muted in Q1 FY '26 and profitability was impacted by elevated raw material costs such as butter, milk and sugar, along with a reduction in import duties on palm, soya and sunflower oil.

Allow me to give you a more detailed walk-through of the quarterly segmental performance. For the Edible Oil segment, the segment revenue was INR6,685 crores, a year-on-year growth of almost 25%. The branded edible oil sales contributed 72% of the total edible oil sales. Sequential sales of the branded mustard oil and sunflower oil surged with double-digit growth year-on-year. The EBITDA margin was 1.78%. The impact on margin can be attributed to multiple reasons. Following the government's decision to reduce duties, buyers deferred procurement in anticipation of price stabilization, which weighed on the overall demand and pricing scenario. The higher cost of goods, mainly due to the higher cost of inventory, further reduced sales of premium edible oils in Q1 FY '26 versus the strong growth in Q1 FY '25 impacted the margins. However, the reduction in duty leading to normalized pricing trend on crude edible oils is a positive development for our oil refining segment. It catapults strong growth momentum in the edible oils business moving forward. We remain focused on leveraging this to enhance supply chain efficiencies and strengthen our competitive edge in the edible oil business. Our oil refining capacity as of end FY '25 was 33.36 lakh tons, operating at 44.85% utilization.

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For oil palm plantation business, we doubled our quarterly revenue and booked INR592 crores in the oil palm plantation business. As of June 2025, the total cultivated area increased to 92,133 hectares with approximately 43.4% of the plantation falling under the prime yielding age category. Currently, there are 48 state-of-the-art nurseries under Patanjali Foods. The oil palm plantation business remains a strategic long-term growth driver, particularly for margin improvement. Coming to our Food and other FMCG and HPC segment, its combined quarterly contribution was 25.80% to total revenue, reflecting steady progress towards strategic goal of increasing the revenue share.

On the HPC business front, the segment delivered healthy quarterly revenue of INR639.02 crores. Within this, the revenue contribution from dental care was INR332.18 crores. Skin care was INR157.21 crores. Home care was at INR91.61 crores and the remaining was by hair care and other products.

Dant Kanti, our flagship herbal oral care brand, delivered robust growth during the quarter. We clocked an EBITDA margin of 18.7% versus 15.7% in Q4 '25. In the HPC business, we witnessed healthy volume growth in low price point packs.

Our HPC portfolio expanded this quarter, led by new launches in dental care. Leveraging on the brand Dant Kanti, our strategic focus is on premiumization with greater emphasis on Dant Kanti Advanced

, Sensitive, Aloe Vera, Red, medicated gel and toothbrush lines. Also in the export market, Dant Kanti had strong demand. It was exported to 9 countries in Q1 FY '26.

We look at the HPC segment as a significant contributor to our growth. We reiterated our 15% year-on-year revenue growth for this segment. We also anticipate a 200 basis point margin expansion over coming quarters. If you recall that this was a commitment that we had made before the acquisition.

For Food and the other FMCG segments, coming to the food part, the quarterly revenue from Food and other FMCG segments stood at INR1,660.67 crores. Non-essential and premium FMCG categories had subdued demand during the quarter. Various government welfare schemes such as free food distribution, duty-free imports of yellow peas, seasonal impacts, elevated raw material prices and slow recovery in urban demand led to a degrowth of 15% in revenue on year-on-year basis.

As part of the demand boosting measures, the new SKUs were launched at attractive price points, such as Patanjali Cow Ghee 900 ml priced at INR695 and 450 ml at INR370, ensuring both affordability while safeguarding market shares for our various products. The impact will be seen in the coming quarter. Our EBITDA margin was at 5.23% versus 9.42% in Q1 FY '25.

On a year-on-year basis, despite low inflation, certain items of the commodity basket remained elevated, this, along with previous held high-cost inventory, exerted cost and margin pressure. For instance, in the beverage category, the raw material costs, particularly for amla and fruit pulp had a 20% hike on a Q-on-Q basis.

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For ghee, the cost of butter increased by 25% to 30% on a year-on-year basis. And as explained previously, wheat and palm oil witnessed year-on-year rate inflation. Elaborating on the performance of biscuits vertical, which clocked 8.24% year-on-year growth, Doodh continued to lead our portfolio, contributing INR304 crores in revenue this quarter, a 15% year-on-year growth.

Nariyal products delivered consistent performance with steady Q-on-Q growth, booking revenue of INR50 crores. We continue to invest in these brands while continuing to innovate as well.

During the quarter, the revenue of textured soya proteins stood at INR139.69 crores.

Our refreshed ghee strategy implemented over past few months has already shown results with a 23% year-on-year growth. It is important to note that in ghee, the raw material butter, it saw a rise in price on Q-on-Q basis. Though to counter this, we implemented price hikes, it was only by middle of the quarter, leading to softness in margin. In the Q2 FY '26, it is expected to capture the full benefit of the revised pricing.

During the quarter, we rolled out new products across India, including Cholesterol Care Liquid and Orthocare Liquid in our medicated juice range. These launches are aimed at tapping into the growing urban preventive health and nutraceutical segment. The upcoming pipeline includes 10 to 12 SKUs focused on complete body wellness.

Nutraceutical marked year-on-year growth of 37.6%. Positive EBITDA in nutraceuticals was achieved through manpower restructuring as intensified focus on e-commerce and D2C maximized the use of our mega stores.

In Q1 FY '26, we added various touch points and established new direct outlets with focus on middle class -- middle India cluster. We also expanded our rural reach through superstockist network, Gramin Mitra (Note - Should be read as Vitrak) program and have set up new Gramin Arogya Kendras as rural India continues to be a volume driver. Some of the other key updates include on emerging channels of distribution.

During the quarter, the modern trade was under pressure due to footfall drop and stiff competition from e-commerce and quick commerce. For us, quick commerce is now around 70% of our total e-commerce business.

As a company, we continue to focus on strategizing with the traditional format of trade.

However, we are also undertaking proactive steps to deepen our presence across these emerging platforms through tailored strategies and stronger partnerships. With our omnichannel road map, we aspire to remain ahead of the curve and to position ourselves to capture growth across all key touch points.

Lastly, our ad spend during the quarter stood at 0.72% of the revenue from operations. My closing comments, looking ahead, our focus remains firmly on strengthening our market presence by investing strategically in expanding our distribution footprint, ensuring wider and deeper reach in both urban and rural markets.

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To address evolving consumer behavior and downtrading trends, we will continue to focus on affordable products and smaller size packs that cater to both rural and urban demand. Alongside this, we are ramping up our brand building effort. On the macroeconomic front, multiple factors such as healthy monsoons, continued MSP support, tax benefits for individuals and festive seasons are converging to create a conducive environment for demand recovery and we are hopeful for H2 FY '26 will be brighter.

I thank you for your continued support and trust in Patanjali Foods as we navigate this evolving landscape together. I now conclude our presentation and open the floor for Q&A session.

Moderator: The first question is from the line of Sucrit D Patil from Eyesight Fintrade Private Limited.

Sucrit D. Patil : I had a question for Mr. Sanjeev Asthana. So is Mr. Sanjeev Asthana online? I joined a bit I joined the call a bit late. So hence, I'm asking.

Sanjeev Asthana: Yes, I'm online. I'm very much online.

Sucrit D. Patil : Yes, yes. So sir, first of all, congratulations on the record revenue and FMCG traction which company has achieved. As Patanjali aims to make FMCG half of its turnover, how are you thinking about evolving the brand architecture and product portfolio to win in premium urban categories, especially where ayurved intersects with functional food, nutraceuticals or even clean label indulgence, could we see Patanjali repositioned as a wellness-first lifestyle brand beyond the traditional staples? Yes, sir. That was my question.

Sanjeev Asthana: No, sure. I mean it's very interesting. And this is something that we've already -- always spoken that one of the intents that we declared while this entire restructuring of the company was being done that in 5 years' time, our intent was that we will have 50-50 revenue accruing from edible oils and FMCG portfolio.

Now to the question of the company's repositioning and if you look at the overall segment and the way it is going, right now, what we are seeing is that the change as it is being done, we, as part of the strategy, acquired all the leading businesses that the company had with the parent company. So for example, we started with the biscuits, we did for the foods, we did for the HPC. We launched nutraceuticals.

And now we're witnessing two trends in the marketplace. One is, as you very rightly said, that this whole sort of, call it, fusion or call it amalgamation or call this entire change on -- towards the wellness, health, ayurveda, even overall orientation, I think Patanjali is amongst the -- has a right to win that we call, I think we are right up there in terms of achieving it.

And both the persona that Patanjali carries, the imagery that it has and the brand equity that it has built over a period of time is very supportive to that effect. What we are doing is right now that all our products, whether in terms of the HPC, if you look at the foods as a business, if you look at even biscuits and even partially some of the nutritional products like soya-based products, etcetera, that we have, the whole idea is

that our positioning remains very consistent, that it's around a wholesome health and nutrition that Patanjali is working towards.

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And if you see all our -- the new brand ambassadors, if you look at what swamiji has been espousing all through and the core strategy of the narrative which the company has built around its brand, we are pretty much on path to do that. We are continuously exploring new businesses where we can start sort of bring in newer products. There's a newer -- new product development work which is going on, is entirely on similar lines. So I'm reasonably confident.

So whether in terms of the stage of development where we are that whether that takes 3 years or it takes 2 years or it takes a while longer, maybe another 6 months or 1 year. But this aspiration of 50% of the core revenue coming out of the core FMCG products, that part we are very convinced about. And I think building up the market, creating new marketplaces because Patanjali has always prided itself in creating new markets and being the market -- to that extent, being a leader in terms of creating new categories, building on that front.

We are pretty confident that we are very much on that path. And I think we will be able to make that. So people's perception, the consumers' orientation, our whole sort of narrative and imagery that we're building both through ATL and BTL that we work on, we are reasonably confident that we're pretty much on course to get on towards that segment. We'll get on to those numbers of 50-50 between FMCG and edible oils.

Sucrit D. Patil : My final closing question is to Mr. Kumar Rajesh. As you scale FMCG mix and invest in brand building, how do you internally evaluate ROI across media spend, channel expansion and innovation? Is it -- is there any framework that balances short-term volume lift with long-term brand and margin?

Kumar Rajesh: Yes, yes. Can you repeat the question please?

Sucrit D. Patil : Yes. I want to understand as you scale the FMCG mix and invest in brand building, how do you internally evaluate ROI across media spend, channel expansion and innovation? Is there any framework that balances short-term volume lift with long-term brand equity and margin expansion?

Kumar Rajesh: So see, there are 3, 4 parts of your question. So first of all, just you see the FMCG segment's compositions. So we are just building the brand by taking all the -- just you rightly said, Asthana sir said that we have introduced all the brand ambassadors and all for establishing our brand properly.

And we are introducing all new brands also, new SKUs also in the separate brand to reach out to the rural and urban levels. So this is one part. As far as media spend is concerned, we are just increasing the level of media spend to gain very good gain from the brand premium. That's why earlier we would be able to achieve the branded sale of below 70%. But now it is above 70%.

As Asthana sir rightly said that we have achieved more than 72% in the edible oil. As far as FMCG is concerned, we are selling mostly all the sales in the branded forms. So this is towards the brand building.

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Sanjeev Asthana: So Rajeshji, if I may expand that to the question that you asked. So there is a framework perspective, there is a very clear thought process that the spend that we do on the advertising should lead to dollar and cent returns on a immediate basis. That uplift in terms of the sales and the returns that we have observed. So for example, last quarter, we spent INR64 crores on the direct advertisement expenses on the ATL.

Now this -- the framework is very clear that if you are spending the X amount of money, it should lead to X dollars that should be returning in terms of immediate sales pickup in the revenue side. However, the long

term margin expansion that you spoke about, I think this part is something which is both there's a maths involved, there's a science involved and there's an art involved as well in terms of how exactly we are looking at.

So there our measure is very clear that currently, our longer term construct of margin is 8% to 10% that we're looking at the margin overall on the FMCG side. And very clearly, we are looking at the margin construct on the edible oil between 2% and 4%. Our view is very clear that 200 basis point margin expansion that we'd like to attain in the HPC, we'd like to go upwards of in the double-digit minimum EBITDA margin on the FMCG that we want to clearly establish. And the third one is that on the long term framework that you mentioned on the margin expansion is that a double-digit EBITDA at a company overall level by expanding continuously our margin construct on both the new businesses of FMCG that we have and the margin expansion on edible oil, we should go towards a double-digit margin construct.

This is -- this framework, we have always consistently maintained to the investors, to the -- on all the investor calls and everywhere we have said that company's aspiration is that we would like to grow our revenues to INR50,000 crores, of which INR25,000 crores should come from FMCG, INR25,000 crores should come from the edible oils and the margin should expand towards a double-digit EBITDA.

We are doing consistently 5.5% to 6%. We'd like this to go to 10%. And at that level, our EBITDA would be about INR5,000 crores. That is a very stated clear intent that the company has declared. That is all the internal frameworks as well that we'd like to work on and head in that direction.

Moderator: The next question is from the line of Manvi Karnik from M V Securities.

Manvi Karnik : So I wanted to know how much market share would new-age or regional player has taken from Patanjali across products?

Sanjeev Asthana: Sorry, so new-age market players in which category you were mentioning?

Manvi Karnik: Like new age or regional players, any category?

Sanjeev Asthana: Yes. So ma'am, it's, you know that a lot of emerging new players who've relied largely on e-commerce and their own websites, who have largely relied on low-cost entry into the marketplace, they have been very consistently across the regions, they have in a smaller way,

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they have consistently done and which is no different than any multinational who has to compete at a national level in the new markets that they enter, they have to compete.

So I would say that all of them in terms of working through, they have their own strategies. They have got their own ad spend. They've got their own strengths also. And certainly, they work in terms of taking some market share but it doesn't necessarily come out of Patanjali's market share because as you said, our positioning is fairly unique in one sense that this whole sort of -- one is that our very firm and clear customer base, which is there, which consistently has stayed with us over the years, over decades now. So they pretty much stay with us.

We are continuously attracting new customers. So as you know the person who asked the first question, that's exactly what we are working on that in terms of enticing, working towards encouraging the emerging new customers, which is typically in the Gen Z, which is between 20 and 45 years of age, how they are interested in the wellness. They're interested in ayurveda. They're interested in nutrition and health.

And they are the ones who are getting attracted to Patanjali. So to an extent, I would say, yes, at a local level, regional level, there might be some market share in some odd product categories or some SKUs, there might be some share going. But nothing that I can speak of in any significant way that any one of these player

has would have sort of snipped on our heels and taken away any significant amount of market share from Patanjali.

Moderator: The next question is from the line of Yug Modi from AP Capital.

Yug Modi : Sir, I just had 2 questions. Sir, you have mentioned that there are some green shoots in urban India that you have seen, so...

Sanjeev Asthana: Can I request, just speak a little louder, please? It's just...

Yug Modi: Sir, you had mentioned that there are some green shoots in urban India that you have seen. Could you tell me a bit more on that with some examples.

Sanjeev Asthana: Yes. So for example, that I think urban India as a, this whole challenge, which was there earlier. And as you know, the inflation component, the food is the largest segment. So what we're seeing right now with the softening of the commodity markets overall and the price benefit with the companies have tended to transfer in certain cases, not in all cases.

The companies are basically passing on the benefit of the commodity inflation on to the consumers. So we believe there should be an uptick in the consumer demand. We are seeing that very clear cut, the green shoots of some small bit of recovery, especially in the larger cities now. And the stress that we saw in a couple of quarters previously, that is tending to go away. And I think the uptick what we're going to witness is especially on the food side that we are feeling pretty confident that the food, which was the biggest source of stress for the consumers, that is tending to have an uptick.

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And so we should see some bit of growth in the demand on the urban side. So even otherwise, that if you look -- go by the data that while the rural markets continued expanding at about 3%, we are seeing that in the urban center, the growth is about 1%. And this momentum progressively can tend to pick up as we go forward.

Yug Modi: Yes, sir and lastly, sir, how much will they contribute to our top line and to margins?

Sanjeev Asthana: So look, the growth, as you saw this quarter, that owing to certain specific -- the actions of the government or the market, there's some disturbance. But overall, our target is very clear that -- and I'm reasonably confident that this year, we'll be able to accomplish that, that between 8% to 10% growth we should get in the overall FMCG segment. We will expand 15% on our HPC portfolio and we will expand between 2% and 3% on the edible oils.

And that guidance, we pretty much stay true to and are feeling reasonably confident that we'll do that. Now some bit, the only one marginal change is that in very low -margin categories like staples, especially in areas like rice and tur dal and others, where at a cash contribution level, if the margins turn negative, then we would not tend to go down that path of continuing to build up our business.

We are pretty confident that the core FMCG, which is around ethnic foods, which is around the soya protein, which is around the biscuits business, the nutraceuticals and all the value-added products in HPC that we do, that we believe fully committed that we should expand the food portfolio between 8% and 10%.

And if it means that compromising a bit on the staples part of it, which is, could be from very low margin to negative margin, then we are willing to sacrifice that growth for the overall margin of the company.

Moderator: The next question is from the line of Parth Vasani from KK Advisors.

Parth Vasani: Just one question. So large players have looked at D2C brands for inorganic opportunities. However, so far, I mean, your inorganic plans have been in the group only. So I mean, are we looking at further opportunities or some thought process on that, if you can just help elaborate that?

Sanjeev Asthana: No. So we have got a fairly robust D2C portfolio of products, except that we haven't launched

any new products targeted only D2C market. So for example, very substantial part of nutraceutical business, it's small in absolute numbers, considering the overall size of the company. But nearly 18% of what we do is by D2C is what we're selling to consumers in the nutraceutical side.

Similarly, on the food businesses, certainly in the HPC category, certain products tend to -- are much more amenable to D2C sales. So it is there. It's very small compared to the overall size of the company has right now. We haven't looked at launching separate brands for only D2C. But the one category in which we are very bullish on is the nutraceuticals, where we will continue to introduce new brands.

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We will continue to focus on D2C and we are reasonably confident of expanding that range of the nutraceutical side. On the Foods and the HPC, we haven't given -- I would say that the focus has not been in launching new brands for the D2C but otherwise, our D2C business is fairly robust across the range of categories that we deal business in.

Parth V asani: Understood, sir. That was helpful. Just a follow -on. I mean, overall as a group, I mean, what would be the D2C share of our revenue currently?

Sanjeev Asthana: Right now, it would be below 1%. It's very, very small right now. So we have got -- so for example, just to tell you on the nontraditional channels, we do about a total about 12.5% is what we do overall between the modern trade, e-commerce and quick commerce and D2C. And within that, the distribution is that we do about 4% through e-commerce.

We have about 1.5% that we are doing through quick commerce and the balance is all going to the modern trade. So both quick commerce and the growth in ecommerce is expanding fairly rapidly. So the D2C is -- would be a very small sort of fraction of around 1% right now.

But we are working on it because we have got our own Order Me app under which we operate.

We have our own website. So both through the social media and otherwise, our own website, people can place orders. The delivery is becoming a lot more efficient. We have got partnerships done with various companies.

So that is going on pretty efficiently right now. But it is -- in absolute terms, it is small. But growth-wise, if I were to give you a percentage that's growing at about 40%, on a very small base, it would mean nothing. But we are reasonably confident that we will be expanding that distribution channel of D2C.

Parth V asani: Got it, sir. And just one last, if I may squeeze in. So any inorganic plans to drive this growth?

Sanjeev Asthana: So there are lot of opportunities. Many times, they keep coming, especially in different regions.

So we explore selectively on those opportunities. So for example, there are some white spaces that we have and some gray spaces in the different regions for different categories.

And we are open to that, except that if the pricing is not right for the acquisition, then it does not make any sense because the belief -- fundamental belief that we have is that our ability to launch a new category to build up an entire sort of range of activities around that to make it into a successful brand, if we do it organically, we'll do at a much lower cost.

So if the price is sensible, if the brand fits in well into our portfolio, if it fits into our value system of Patanjali, I think these 3 are very critical elements. So we don't mind exploring acquisition of good brands and we are quite open to that. But every time we evaluate, we normally come up short on these sort of brand acquisition.

So right now, there's nothing seriously on the card, which I could say that, yes, this is what we'll do in our hair care category in South or XYZ category in North. So I don't see anything visible really in front of us on the table.

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Moderator: The next question is from the line of Abhishek Mathur from Systematix.

Abhishek Mathur: It's quite heartening to see the growth revival in your biscuits and high-margin foods segments.

Just wanted to check, in biscuits, are we expecting this momentum in terms of high single-digit growth to continue going forward?

And in the high-margin foods business, you mentioned cow ghee as something that came back strongly. Which are the other sort of products in the high-margin foods segment, which have contributed to this growth turnaround in 1Q?

Sanjeev Asthana: So biscuits, what we had always targeted that we are going to be building up into actually lower double digits of growth. But -- and what happened was also that while the overall market was very sluggish, we kept on growing at quite a rapid fire clip. And we still believe that the opportunity for expanding into spaces where either we are distributed less today or the spaces where we need to add on more sort of riding on top of what we do currently that we can expand that market.

But we are very confident that biscuits certainly at the rate of 10% year-on-year growth is what we'll achieve, perhaps even more. And the second part is and we believe that, that space is available to us because our biscuits are very differently positioned. And the consumers really have responded very well to the offering that we have given to them.

And every new market we have gone to or the markets where we were less active when we have gone, they've had a phenomenal sort of response to the offering that we gave. So biscuits, we are pretty confident that we'll continue growing at double digits. Now the question is that earlier 2 years back, we were growing at 20% year-on-year.

And last year, our growth tapered off closer to high single digit. But now this -- again, this year, we are expecting that we should be double-digit plus. So we are reasonably confident that

double-digit biscuits growth will continue. On the Ghee front, as you mentioned, actually, what happened in this quarter was there was a slight drop in the ghee sales. And as I mentioned in my opening remarks also that there was a pretty substantial uptick in the prices of the raw material, the commodity on the butter side and which led to very substantial sort of price increase on the raw material side, we did not pass on to the consumers well into the quarter. And so when we did that, so it both impacted the margin and the sales as well. But we are reasonably confident. I think there's a stabilization in the price of the butter. There is the price sort of correction that we had to do in the marketplace that we've done. And so second quarter, we should see a substantial uptick on the cow ghee side. On the other premium products that we have, as like we have got a range of HPC products, which typically we mentioned also, where the margin is pretty good. For example, Dant Kanti is fantastic. Our skin care products are doing exceedingly well. So we're reasonably confident that this 18.7% margin that we made, I think we'll consistently expand growth at 15% level.

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So the blend of the premium products that we have and the value pricing that we do, I think that equation is something that we are very mindful of so that we are able to maintain a margin construct on the foods FMCG overall of 8% to 10% that we want that EBITDA level that we'll be pretty consistent about and as well as 15% of the HPC that we feel pretty comfortable with. So I think we should be able to maintain the growth momentum that we have in the areas that we do. And the places where we have had either sluggish growth or we had a negative growth that we are correcting to make sure that we start meeting those objectives. Abhishek Mathur: Right, sir. And my second question is, if you can just help

with the absolute EBITDA numbers for biscuits, staples, higher-margin foods, Nutrela and nutraceuticals for the first quarter? Sanjeev Asthana: Yes, I can give you that. So for example, on the biscuits, our margin was 9% EBITDA, 9.2% margin that we had. On a INR451 crore revenue, we had a INR41 crore margin (note: this is to be read as INR 41 crore EBITDA). On the nutraceutical side, the base is very small. So the margin wouldn't mean much. We had a INR17 crore sale and the EBITDA margin from negatives that we had on account of high cost, etcetera, we turned the corner and we got into that.

The -- on the Nutrela side, we had INR140 crores of revenue. We had INR20 crores of EBITDA margin, where we made 14.5% margin. So the margin profile that we had and on the -- similarly on the HPC side, we had -- on the nonfood, we had INR639 crores of sales and INR120 crores of margin, about 18.7% margin that we had on the business.

Moderator: The next question is from the line of Abhijeet Kundu from Antique Stock Broking.

Abhijeet Kundu: My question was on -- so on staples, what would have been the revenue? I missed that -- during the quarter.

Sanjeev Asthana: So staples, as our revenue -- Abhijeet, as I mentioned, it was INR616 crores and pretty flat in terms of EBITDA. The whole idea was that the rice and dal and -- so what has happened is that there's a massive intervention of the government across the board on the core staples. So whether it's wheat, rice, pulses and sugar and salt.

Edible oil by virtue of being very largely import-led, there is not many times the government -- the only tool it has is of the duty structure, custom duty. It doesn't have a pricing control really but it's trying to do that no way. I don't know if you're aware, that asking every single company to declare their physical stocks to the government every week or 15 days and which is quite an onerous task for a very distributed industry like this.

So what has happened is that the space available for the private trade to really create a value on account of the -- for the sort of supply chain investments that they do or the amount of work they do towards the branding and distribution side or the strength they have on the origination that they might build up, I think that space is getting increasingly crowded by the government.

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So not that it is only the shape of things to come. But right now, that is the situation. For example, that nearly 40% -- I don't know if you guys track, that nearly 35% to 40% of the country's paddy production is getting procured by the government. So it has got a problem of overflow of stocks and which is ultimately finds its way to the marketplace at highly subsidized levels. So the choice in front of companies is twofold. One is that you continue staying in that business

and subject yourself to the risk of inventory losses. If the government were to take a sudden action and price it lower and sell it in the marketplace, then you're left holding the inventory high and dry. And the second option is to try and make it towards the branded side.

But as you know and I know that the branding only has a limited role to play where the pure staples are concerned. So whether it's a rice and dal and otherwise. So I think we have taken a very conscious choice that we will continue building the business selectively where it makes sense for us.

But if it means a direct cash loss, if it means a very direct -- too much of exposure that we might have to the government's intervention, then we'll be careful with that category. So I'm reasonably confident that this ballpark range of the last quarter results that we have of INR616 crores -- so INR600 crores to INR1,000 crores we'll continue doing because that is something which is a sweet spot for us but not at the cost of losing money on that.

So we'll be careful

I about it. We'll be cautious in the way we execute on that. But we will not go crazy simply for the top line growth because we have got ample opportunity to grow our top line in the other areas where the margins are far superior and we feel pretty confident about those areas.

Abhijeet Kundu: Okay. Sir, then structurally, is it not right that you reduce your exposure to those business? I mean your non-staple business, obviously will grow. But on an absolute basis also, does it not make sense to reduce exposure as much as -- even though you say that in the INR600 crores to INR1,000 band, it is still a sweet spot to be.

But still, the profitability there becomes pretty volatile, right? I mean and government intervention will always be there because your other part of the business, I mean, the staple part of the business is a pretty strong business. And so one question is why not reduce it because this is -- rather than getting exposed to the vagaries?

And second is what are the benefits of being in this business? Does it give you volume, substantial volume? Because generally, all these staple businesses, even the other companies who are into it, they get -- I mean, they always have problems of volatility primarily in the -- on the margin front.

Even in -- and then my second -- another question was that now in edible oil, what is the kind of margins for the year can we look at because we are sitting on a high base, high margins. And now that government has cut down the duty and edible oil prices have crashed from there, what is the kind of margin that we could look at for this year, next year? I mean, broad range?

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Sanjeev Asthana: So let me answer the first question that what you raised. So staples is actually a very good category to be in because it allows you -- we don't sell it in largely in bulk in terms of just giving it away in some 50 kg bora or whatever. It's a brand which goes to the consumer's kitchen and I think it adds a huge amount of value, exactly like edible oil we speak about.

That if in every kitchen, you've got a Patanjali rice -- a bag of rice and pulses and spices and sugar and salt and otherwise, it's of huge value. So both in terms of the brand recall or otherwise, we have a very extensive network of building up supply chains around that. We have got great strength at managing the price risk around it.

And alongside, we also have got capacity to deal with both the logistics and supplies and otherwise. And I think that's a terrific strength that the company carries. The challenge in a couple of quarters, which can accrue is, Abhijeet, is that where we get stuck with the sudden government action. So at one level, we have done.

So now if we can go back previous 10 quarters or 15 quarters, I think barring 1 or 2 quarters, we would have done consistently well. We have made a margin base. I don't have that precise number but I'm happy to sort of go back and check for you. But we would have consistently made margin of between 3% and 4% on the staples as a category consistently. So it is barring -- so this particular quarter, which has been there.

And I was trying to explain that reason as to what is truly happening at the policy level in the way government is driving it. So I would say this is not something that we should scoff at in terms of giving it up. It has a brand equity. So at a strategic level, it gives us a brand equity. It gets our brands into the consumer's kitchen. It gives us a margin construct also and it fits in pretty well with the capability which the company has on in terms of origination and otherwise. To your second question on the edible oil, I think the dent in the last quarter was precisely on 30th of May when this duty structure changed and we had to take an inventory markdown. I'm pretty confident of our guidance of 2% to 4%. And I think this quarter

er itself, you will see a

change that we should be closer to 3% plus and 4% and rather than closer to 2%.

And I think this year, I'm reasonably confident that we should end the year with very closer to the higher end of the projections that we have done on the edible oil side, which would be closer to about -- at least that's what we are targeting 4%, is what we should make on the edible oil. So I'm very confident that on the veg oil front, our strategy is very sharp, very clear.

Our management of risk is very strong. Our -- the brand equity that we have, especially after having taken the brand ambassador like Dhoni and we continue with that, is very strong. So we feel pretty confident of being closer to 4% than on the lower end of the band.

Abhijeet Kundu: Okay. And what could be the kind of growth rates -- revenue growth rate that we can achieve during the year or?

Sanjeev Asthana: So it depends. So edible oil, as you know, that the revenue growth rate we have stated as a target that we'll grow between 2% and 3%. Our -- but we are more focused on the volume side of it.

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So there was a marginal dip that we saw in last 8, 9 months on the volume front where about a little less than 2%, it dropped.

But overall, what we are confident is of maintaining the volume and growing perhaps between 2% and 3%. So there was a dip in India's imports, India's demand, etcetera, owing to multiple different reasons in the last 6, 7 months. I think that's a thing of the past. I'm seeing a very robust recovery.

We are heading into the peak festive season. We are heading into strong robust demand in the marketplace. The economy, we just discussed earlier about the rural and urban demand. So I'm reasonably confident that India should see close to 3%, 4% -- between 2% to 3% volume growth and I think we'll be pretty much consistent with that volume growth on that front.

But because the price point could be different, Abhijeet, so that I'm not saying on the -- projecting on the revenue side that will exactly go up like this. But I think we should see 2% to 3% growth, which is fairly in line with what the country's growth is. And our margin should be closer to 4%, and we try to do better than that.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Sanjeev Asthana: So I would thank -- that for the patient hearing everyone had. And we wish everyone the very best of the Independence Day and Janmasthami as they ensue. And with this, I conclude the call.

And if there are any further queries that you have, you have got our Investor Relations Adviser, SGA and our Investor Relations Head, Mr. Priyendu Jha, who are very much on the call. So you can reach out any time and we'll be very happy to answer all your queries.

Moderator: Thank you. On behalf of Patanjali Foods Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Kumar Rajesh: Thank you.

Sanjeev Asthana: Thank you.

Call: Nov 2025

PFL /2025 November 07 , 2025

To
BSE Limited National Stock Exchange of India Limited
Phiroze J eejeebhoy Tower Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001 Bandra (E), Mumbai – 400 051

BSE Scrip Code: 500368 NSE Symbol: PATANJALI

Dear Sir(s)/Ma'am,

Sub.: Transcript of Earnings Conference Call Q 2 FY2 6 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated November 01 , 2025 regarding audio recording of Q2FY2 6 earnings conference call held on October 31 , 2025 . Please find attached transcript of the said earnings conference call.

The aforesaid information will also be hosted on the website of the Company at www.patanjalifoods.com

It is for your information and records please.

Thanking you,

Yours Faithfully ,

For Patanjali Foods Limited

Ramji Lal Gupta
Company Secretary

Encl.: As above

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"Patanjali Foods Limited Q2 FY '26 Earnings
Conference Call "

October 31, 2025

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 1st, 2025, will prevail

MANAGEMENT : MR. SANJEEV KUMAR ASTHANA – CHIEF EXECUTIVE
OFFICER , PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL OFFICER ,
PATANJALI FOODS LIMITED
MR. PRIYENDU JHA – INVESTOR RELATIONS ,
PATANJALI FOODS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Patanjali Foods Limited Q2 FY '26 Earnings Conference Call.

This call may contain certain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjeev Asthana. Thank you, and over to you, sir.

Sanjeev Asthana: Thank you . And good evening to everyone and thank you for joining us today for Patanjali Foods Limited's Call to discuss the Results of Q2 FY '26, and First half of FY '26.

I am joined by the company's CFO – Kumar Rajesh ji, along with Mr. Priyendu Jha from the Investor Relations team , and our IR team partner, Strategic Growth Advisors. We have uploaded the Result 's Collateral on Stock Exchanges as well as the company's website for your reference. Let me begin by giving a quick snapshot of our performance :

During the course of this call, we will be referring to standalone financials. This is the highest ever quarterly as well as half yearly performance for the company on revenue as well as EBITDA and PAT levels. Our strategic focus over the recent quarters revolving around deepening our market presence, promptly addressing the evolving consumer behavior pattern and brand building has translated into a healthy performance for the quarter and half year 's perform.

The revenue for Q2 FY '26 stood at approximately Rs. 9,798.84 crores with year -on-year growth of 20.95%. The total EBITDA came at Rs. 603.32 crores, translating into year -on-year growth of 22.17%. The total EBITDA margin was 6.13%. The PBT margin stood at 5.13%. For Q2 FY '26, the PAT has partially increased due to the tax refund of previous years.

In line with our strategic vision to position the company as a focused FMCG enterprise, we have restructured our segmental classification this quarter. The earlier food and the other FMCG and HPC categories have been consolidated into a unified FMCG segment to better reflect the integrated nature of our portfolio, operating model and long -term growth priorities. Our half yearly revenue from operations reached Rs. 18,564 crores with total EBITDA at Rs. 937.50 crores and PAT at Rs. 697.09 crores.

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The September quarter stood out as a transitional period for the FMCG sector due to GST 2.0.

At an industry level, there was a short -term slowdown in consumer demand due to the GST rate revision. Wholesalers and retailers prioritized liquidating pre -GST inventory at higher prices and consumers postponed their regular pantry purchases. To counter this, the FMCG veterans deployed focused trade promotions and incentive schemes, ensuring that we maintain the market presence and the momentum.

While the transition posed short -term challenges, it has laid the foundation for broad -based consumption growth across categories, reinforcing our confidence in the sector's long -term trajectory. At a company level, around 55% of the FMCG portfolio had a positive impact. The GST reform is likely to spur stronger volume growth, particularly across price -sensitive categories.

On the demand front, at an industry level, the rural market continued to outperform the urban market. However, there were some early signs of recovery in urban demand towards the end of September, which is likel

y to strengthen as the year progresses.

On the cost basket front, the September quarter saw palm oil prices increase by 35% on year -on-year basis and 20% on Q -on-Q basis, making palm oil more expensive relative to soybean oil. As a result, the palm oil imports fell to the lowest level since May '25, while soybean oil imports reached their highest level since July '22. Going forward, pricing pressure is expected to persist due to tightening global vegetable oil supplies and other geopolitical scenarios. Also, on the domestic front, the unseasonal rains have impacted the crops and price thereof. Our performance continues to be supported by various evolving consumption patterns across India.

Let me provide a detailed overview of our segmental performance for Q2 FY '26 :

For the edible oils segment, let me address that first :

From a GST perspective, the rate for edible oils has remained unchanged, majorly being at 5%, which continues to account for approximately two -thirds of our current business. The segmental revenue was Rs. 6,971 crores, a year -on-year growth of 17.17%. One of the driving factors behind the surge in sales is strong brand building and deep market penetration. At 76% of the total edible oils sales, the branded edible oils continue to be the pillar for this segment. Driven by a strong marketing thrust and impactful brand endorsements, including that of MS Dhoni, our flagship brands Ruchi Gold, Mahakosh, and Sunrich delivered robust growth during the quarter. The EBITDA margin was 3.53% on the edible oils portfolio. With year -on-year growth of 21%, the revenue for first half '26 stood at Rs. 13,653.72 crores, with EBITDA at Rs. 364.89 crores.

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For the oil palm plantation business, I will address this now :

The quarterly revenue stood at Rs. 599.43 crores in the oil palm plantation business, and the margin was clocked at 24.16%. In the first half of '26, the segment reported a revenue of Rs. 1,191 crores, with an EBITDA margin of 21.17%. We believe that palm oil cultivation will serve as the next major growth driver for the company. Consistent with this vision, we have strategically expanded our area under cultivation to ongoing plantation activities. As of September '25, we achieved a significant milestone by crossing 1 lakh hectares of land under cultivation. In fact, the exact number is closer to 1,04,000 (to be read as 1,00,997) hectares. During the quarter, we participated in the World Food India '25 went to New Delhi. This served as a platform to highlight our contribution expertise in oil palm cultivation and crop information. Coming to the reclassified FMCG segment :

Following the GST changes, nearly 85% of the portfolio is now in the 5% bracket, creating opportunities for stronger consumer traction and volume growth. The revenue contribution of the reclassified FMCG segment was 29.44% in Q2 FY '26, and 27.10% in the first half of '26. Our goal is to steadily increase this contribution and increase it to 50% of revenue in the next few years. Today, nearly 60% of our EBITDA is derived from this segment. With increasing FMCG revenue share, the EBITDA contribution is poised to rise significantly.

For FMCG segment now :

In Q2 FY '26, the revenue was Rs. 2,914 crores, marking a 34.3% Q -on-Q growth. The segmental EBITDA margin stood at 12.28%. The quarterly revenue from biscuits stood at Rs. 499.91 crores, reflecting a growth of 16.47%, driven by healthy sales momentum for emerging channels. Doodh biscuit now contributes nearly 72% of the business segment sales. Our performance reflects the impact of sustained marketing efforts over previous quarters. We remain optimistic about the category's potential, reiterating our 10% year -on-year growth target on an annual basis. Ghee recorded strong growth during the quarter, following successful execution of revised strategy

. The festive period provided a strong boost to category performance of dry fruits, spices, and condiments. During the quarter, revenue of textured soya proteins (to be read as Textured Soya Products) amounted to Rs. 159.42 crores.

Nutraceutical revenue booked was Rs. 13.45 crores during the quarter. We encountered certain supply chain issues, which now have been resolved. During the quarter, we have collaborated with various influencers to promote our products. Recently, we launched products in the renal care category. The initial traction is positive. We believe that nutraceutical represents a significant growth category for the company.

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Coming to the comments on the outlook :

The festive season began to build momentum towards the end of the quarter, signaling a positive shift in consumer sentiment. The direct and indirect taxation , coupled with government welfare initiatives and supported macroeconomic trends are expected to provide strong stimulus to

consumption across urban and rural India.

In light of the GST development, we anticipate a 300 to 400 basis points increase in volumes over the coming months, resulting in high revenue. This creates an opportune moment for the company to accelerate its growth strategy by enhancing market penetration and expanding distribution reach. Additionally, we aim to offer a wide variety of products across both mass market and premium segments, catering to diverse consumer preferences and strengthening our position across multiple categories by leveraging the favorable market conditions.

We are well positioned to drive sustained growth and capture incremental demands across the country.

I sincerely thank you for your continued support and trust in Patanjali Foods. With this, I conclude my opening remarks and open the floor for Q&A sessions.

Moderator: Thank you very much. We will now begin the question-and-answer section. The first question is in the line of Sucrit D. Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit Patil: Good evening to the team. My question to Mr. Asthana is, I have a forward-looking question.

As FMCG and foods space gets more competitive, what is Patanjali doing to build a strong edge, not just through brand recall, but through something deeper that competitors cannot easily copy?

Sanjeev Asthana: Sure. I think it's a great question. No, there are two sides. One is, the question is a very good one. Look, we have always maintained that Patanjali stands for certain values, which is around natural, which is around healthy, organic, towards wellness, Ayurveda, and everything that Indian stands for. We have two macro trends, which are supporting us and then I will come to the specifics of what Patanjali, why we believe that not only will we sustain ourselves, but we will be able to grow and look beyond.

So, one is that this entire campaign, as you are seeing from the Prime Minister of Atmanirbharta, of Swadeshi, and there is a big momentum that is gradually building up that we are witnessing is being very supportive of the overall the platform that Patanjali has. So, if there was one company which could lay a claim to say that this is as an Indian company, as the entire sort of policy driven initiative, we are right up there.

The second is the right-to-win to all the five elements that I spoke about, health and organic and Ayurveda, and wellness etc., again, Patanjali stands pretty much on top of that chain in terms of the right-to-win is pretty much there. Specifically what we have been doing is that, A, in terms Patanjali Foods Limited

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of the time to market in terms of delivering on product innovation, the research and development that we have, the growth opportunity that we see in the spaces that we operate in is humongous one.

Yes, there is a competi

tion. Yes, we have seen that certain players, both the startup mode as well as the organized players they have been very competitively pushing it. But our belief is that two stated intents that we have declared, one is between 8% and 10% growth in the food business that we intend to not only maintain but consolidate and grow. And second is about 15% growth rate in the HPC businesses. Because the availability of the tailwinds for us, the headroom for growth is enormous in front of Patanjali. So, we feel not only pretty confident but we are also quite upbeat that we should be able to maintain the same trajectory as we go forward.

And we continue to innovate, we continue to nimbleness of bringing the product to the market, which typically the startups tend to do better compared to larger companies. But we have proven through our backend, through research, through the supply chain, through the distribution capacity that we can compete effectively, we can drive that growth and we feel pretty confident about it. So, I hope I have answered your question in terms of what you are seeking.

Sucrit Patil: Yes. Thank you very much. And my final question is to Mr. Rajesh, it's on margins and cost. As input cost and demand patterns keep on shifting, how are you planning to protect the margins?

And which cost levers do you think will remain strong over the next few quarters? Just trying to understand how you are going to balance short-term volatility with long-term margin stability.

Sanjeev Ashthana: So, I will just address one part of it. In terms of protecting the short-term path- we have to sort of, the cost structures, which are always an impact, the commodity prices have a huge impact on our portfolio. So, if you recall, in the first quarter we had this challenge, where in the series of products like especially the butter that we used to make cow ghee, the veg oil prices I was explaining in terms of the palm oil versus the spread of sunflower oil and certain commodity elements like the rice etc., where the government was pretty heavy on interventions and pulses, and rice and a range of other areas, so that has one clear cut impact in terms of how the margins turn out for us.

Now, towards that we followed multiple de-risking strategies for ourselves. One is in terms of how much do we buy, how do we hedge, how do we maintain the inventory levels to a certain level that we are able to maintain the price points. So, some products we are able to pass on the price increase to the consumer. In veg oil for example, barring a one week lag, we typically are

able to pass it on to the consumer a drop in price as well as increase in price. But in certain core FMCG product areas, that is not very straightforward, so it takes its own time. So, that is always one part which is there.

On the cost efficiency front, in terms of the operating cost, in terms of technology, there is a massive investment that we are doing. So, for example, we are now getting the latest version of Patanjali Foods Limited

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SAP, SAP HANA is getting implemented in the project now. We have implemented execution plan in terms of usage of AI and ML to manage the inventory movement to make it a lot more efficient, inventory buildup, etc. We go through that series of exercises in terms of making it more efficient on the cost side. We are using renewable energy to cut down on the cost front. So, both the operating and the manufacturing cost, the distribution cost, as well as the raw material cost, there is a serious amount of effort that we are able to directionally move in towards the double-digit EBITDA and the cost optimization effort towards the double-digit EBITDA, where we are able to bring it to a level, where we are able to address this particular part of meeting the cost as well as this driver. So, where the company will continue to keep investin

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resources and manpower in terms of making sure that we have the right focus in maintaining our margins, we have the right focus in having the cost leadership, and towards the premiumization side that we are able to address the consumer's requirement in an appropriate manner in that direction.

Sucrit Patil: I think that's a good guidance from your part. And I wish the entire team best of luck for Q3.

Sanjeev Asthana: Thank you.

Moderator: Thank you very much. The next question is from the line of Parth Vasani from KK Advisors.

Please go ahead.

Parth Vasani: Yes. Thank you. Thank you very much, and good evening. Sir, I wanted to understand, for the last few quarters the share of edible oils has been upward of 70%, so I just wanted to understand that by when do you think we will be able to achieve 50:50 share between edible oils and FMCG business? So, if you can give a more definitive timeline around that. And also of the FMCG share, how much are you expecting that HPC category to contribute?

Sanjeev Asthana: So, let me answer the first questions first that this is a stated intent that within four years' time we will be 50:50. And the direction of that is, as I mentioned in my call just now, I think the edible oils part I missed out. We will continue to grow between 2% and 4% in edible oils category and we will grow at 8% to 10% in the food business and about 15% in the HPC business. So, basis these growth numbers, we should be able to move there.

Now one part which you have rightly mentioned that last few quarters we took over the HPC business on 1st of November last year. And we have done three quarters of the run, where the veg oil prices had spiked and because of which the percentage margin for example this quarter, if I were to do the math and say that okay the prices would have remained same of the edible oils and our FMCG business in the numbers that we have been able to achieve in the second quarter this year was there, we should have been closer to 32% and edible oils share should have been 68%.

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But what has happened was that our edible oils volume grew a little and the prices were also on an uptake with the result that it's about still 70 point some percent, and this is 29.77% (to be read as 29.71%). But directionally, we are reasonably certain that we are headed in that direction because of the simple math on the current basis if we were to look at, we should be pretty close to that number of 50:50 in four years' time. That is one.

Second is, as I had stated in my opening remarks also, that today 60% of our profits, EBITDA, we are deriving from FMCG segment and about 40% is coming from the veg oils segment. So, the idea is that at 50:50 revenue, nearly 75% of the profit will come from the FMCG, which is a lot more predictable, the quality of margin is consistent and is pretty much there. And about 25% margins will accrue from the veg oil segment, and gradually that should go.

Some quarters you will find that, yes, because the price spike or otherwise it was not met. But I believe that steadily you will see that our share of FMCG will continue to increase higher and better compared to the veg oil as we go forward. So, that's pretty much there. In four years' time, we should be pretty much at 50:50 level.

I am sorry, and there was a second question that you had. So, in terms of the HPC business, 7% was the contribution in the overall revenues of the company. And otherwise, the HPC business overall if I were to look at, in terms of the growth and otherwise perspective, we are pretty much on course for the business. So, that is pretty much there. So, for example, this quarter, we did a

revenue in the HPC of Rs. 659 crores. And the previous quarter, it was Rs. 560 crores . So, we are making a steady progress on the HPC front.
So, for example, in th

e first half this year, we have done about Rs. 1,200 crores (to be read as Rs.1,219.13 crores) of revenue in the HPC, which is almost nearly 25% or 24% . And I think it will continue to steadily rise and will continue to grow in that.

Parth Vasani: Okay. Yes, that is good to hear, sir , it was very helpful. Lastly, sir, if you could just help me understand the trends which were emerged during the festive season.

Sanjeev Asthana : Sorry, what is that?

Parth Vasani: The trends which you saw, which emerged during the festive season , if you could just elaborate that.

Sanjeev Asthana : So, festive season was positive overall. I mean, we had a reasonably good uptake in the volume growth was about 5% we witnessed in the edible oils segment. So, that was a good growth we saw. We had an uptick in the food part of it. There was some uptake we saw which was there.

But I have always maintained that this growth in food overall and even the FMCG, I mean, non - food as well, will take a bit of time before this will start reflecting in the sales .

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So, give it a couple of quarters. We have said that guidance is between 300 to 400 basis points. Exclusively as a reflecting the change in the GST rate, I think will accrue to the company , so that we are pretty positive about. And that should be accretive to the overall growth numbers of 8% to 10% , that's what we have said. We should be able to read that number.

Parth Vasani: All right, sir. Yes, that's it from my side. Thank you very much.

Sanjeev Asthana : So, I will just correct one quick number, which we said as a percentage, HPC percentage. So, total was a little north of 25%. We did Rs. 659 crores out of the total FMCG business of Rs. 2,914 crores. So, we had a total of more to about 26% plus is what we did as the HPC share in the overall FMCG portfolio (26% was said erroneously. To be read as 23%) .

Moderator: Thank you very much. The next question is in the line of Kunal Shah from Jefferies. Please go ahead.

Kunal Shah: Hi, good evening. Thank you. Sir, my first question is on edible oils . Can you give us a sense of how branded volumes have done this quarter on a Y-o-Y basis in absolute terms ?

Sanjeev Asthana: So, much better than the previous quarter. So, the volume, the growth in the edible oils segment is that compared to the previous quarter we did 4.59 lakh tons in the previous quarter. This quarter, we did 4.82 lakh tons. We grew about 5% on the growth side. 76% of everything that we sold was in the branded form , so pretty positive . Because Q1 was pretty dull , the demand was sluggish and the Q4 of the previous year was also dull. But broadly, we have seen that the preparation for the festive season started to get some momentum. The demand was in an uptick , so volumes are improving n ow.

Kunal Shah: Okay. So, this 5% is on a Y -o-Y basis, right?

Sanjeev Asthana: It is on a sequential basis , on quarter -on-quarter basis it has grown up.

Kunal Shah: Okay. Understood.

Sanjeev Asthana: And Y -on-Y if I were to look at, it is actually negative 7%. There is some de -growth as I was mentioning , because of the spike in edible oils prices. The overall edible oils imports in the country have gone down by 3%. So, that is reflecting back in the sales of every single company. So, that is there. But now, I am seeing that sequentially on Q -on-Q basis we will continue to see an uptick on the growth.

Kunal Shah: Understood. Very clear. Second question is on the palm side. So, this sharp jump which you have seen in first half, is it possible to give a split on, let us say, how much is increased production as your plantations mature and how much is higher prices? If you can, give some sort of split on those two things.

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Sanjeev Asthana : Yes. So, as I was mentioning on the oil palm

plantation side, so total revenue is about Rs. 600

crores. So, our volume spike is continuous what we are seeing right now , and it continues to grow. So, for example, in this quarter, Q2 FY '26 , the volume is about 2.74 lakh tons is what we did compared to 2.42 lakh tons in Q1, which is a 13% increase. Last year, at the same time the volumes were higher, but because of the harvesting sort of period change was there. Otherwise, our business overall is undergoing a very significant growth momentum in the oil palm plantation, a s what we planted four years back continuous to get into the fruiting stage. The second part for this business is that the first half of the year is in general nearly 70% of the

year in terms of the both revenue as well as the profitability , or 65% to 70% typically is the range , now we are getting into the leaner months in the balanced part of the year. So, as a overall, the growth momentum trajectory is very positive . But as you do know that some bit of harvesting etc., depending on the weather conditions part of that may spill over into the Q3 versus Q2 and et cetera occasionally happens. But typically, it's a very positive sign in the way it has grown in this quarter . And we expect part of that to reflect back again in the Q3 and we should end the year pretty robust overall basis on the oil palm.

Kunal Shah: Understood. And moving to oil margins, so given this strong performance in the palm side of it, the overall margins still look a bit lower versus what they were let's say last year. So, fair to say there is room for that to improve , let's say , in second half?

Sanjeev Asthana: No, you are absolutely right , and it is correct , because the oil palm was a major contributor to the profit . And on the edible oils side , as I was mentioning earlier, the palm oil actually volumes dropped substantially in the previous quarter because of the price spike that we witnessed. Palm oil prices had gone up nearly 25% on a half -yearly basis , so that had a big impact in terms of palm oil imports coming down substantially, that's one.

Second is , because of the sunflower supply chain, I mean , soybean oil demand sort of spiked but soybean in India was off -season entirely , the harvesting is happening right now. So, it has happened, which has had some dampening effect in terms of both the crush was off -season entirely and the edible oils refining business and the branded business also was pretty much off because of this price change here. But I am anticipating that this quarter it should change and we should get back to better performance on the edible oils , both for the next two quarters.

So, the prices are looking to pick up are, first one month what we have seen today, what we have done with the first month of this quarter is looking pretty decent. So , I think we should be able to recover substantial part of what part of that what we did not make as much, we should be able to recover in these two quarters. In any case, in the edible oils, more than 60-65% business gets done in the last two quarters. So, there's a bit of seasonality there because driven by festive season and winters and high demand etc. So, more than two -thirds of the business gets done in this period , so we should be able to clearly recover on that front.

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Kunal Shah: Understood. Very clear. Moving to the foods bit. So , it looks like a good performance after many quarters. My question was, is there any GST destocking impact both , let's say , in here an HPC which we should remember, I mean , negative impact of let's say destocking due to GST?

Sanjeev Asthana: Partially. Initially we had a bit of a challenge in terms of the destocking process. I was talking I think somewhere else today itself , we saw a bit of stoppage where the inventory drawdown was happening by the retailers and distributors

in terms of selling off everything before they were.

So, they were delaying all the orders and deep clogging of the channel was happening. Now that it started sorting itself out, so we have seen very robust orders, which are coming in. So, I think that is now a thing of the past. I think we should start to get an uptick in the demand also , and the pipeline fill up of the inventory is also happening pretty decently. So, we should be on good wicket now.

Kunal Shah: Understood. So, fair to say that the foods there should now grow Y-o-Y?

Sanjeev Asthana: Yes. We are pretty much there and that's what we are predicting is we are pretty much on course.

In fact, across the board , Kunal, we had very good growth in the ghee, very good growth in honey. And also , sequentially if I were to look at certain of the product categories which are large ones for us, in mustard we had a very good pickup, beverages side, dry fruits, Chyawanprash, etc. These are smaller categories , but across the board, for example, we have got a fairly good pickup.

So, if I were to give you some specific numbers just for the flavor, like ghee we picked up pretty well from Rs. 257 crores in the previous quarter this year, Q1 of '26 , to Rs. 448 crores with nearly an uptick of Rs. 191 crores. Like if I were to compare it with the same quarter last year Q-on-Q, it's almost up Rs. 93 crores.

Honey, similarly, is up by Rs. 78 crores So, there's a heavy push which happened , the demand lag which was there in the system, which was the beverages came down because more on account of the weather changes, etc . with the demand typically tends to take a lower response. Dry fruits, we had a pretty good run, Rs. 33 crores plus. Chyawanprash, we had a Rs. 10 crore uptake.

So, broadly, across the board, biscuits, we had a good pickup in demand of maybe 16% versus the previous quarter, Q1 of this year, 8% versus the last year . (This was erroneously said. The YoY growth in Biscuits was 16.46% and 13.6% in QoQ) . Likewise, on the TSP side, Nutrela, we had 21% pickup (this was said erroneously . The QoQ growth was 14 .12%). So, yes, it's across the board pickup. And I think the momentum in the second half should continue. So , we should pretty much be able to recover what we lost out in the Q1 last year , it should get picked up in the remaining two quarters.

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Kunal Shah: Understood. That's very clear. My last couple of questions. So, one is, you have typically disclosed the EBITDA splits across different segments, staples, biscuits, Indian ethnic, would it be possible to do it? Or have things clubbed now?

Sanjeev Asthana: On this, they are clubbed now. So, I think, I mean, I can give you a broader category level overall.

So, I think right now in terms of the numbers, availability right now in front of me, we can talk about that foods we have done about 6.4%. In the biscuits, we have done 9.8%. In the Nutrela, I mean, the soya protein business, we have done 18.81%. So, broadly, that is how the split is. In the non-food, we have done about 27.7%. So, Rs. 659 crores of revenue. And based on this, on an overall basis, holistically, it's coming to about 12.18% EBITDA margin of FMCG segment.

Kunal Shah: Sorry. I missed the non-food number.

Sanjeev Asthana: Non-food was the FMCG, HPC, it is 27.7%, Rs. 182 crores EBITDA on a Rs. 659 crores revenue.

Kunal Shah: Okay. So, that seems quite high versus what we have done.

Sanjeev Asthana: No, it is not high. So, I have spoken before also, we have done like last quarter Q1 this year we did about 21.3%. And this time, we had some gains on the uptake in the orders and otherwise.

So, we should be pretty much going back to the regular course of 18% to 20%, that is the remaining part. But from the initial cost structures that we had, and basis that there was a change, b

ut I think this may not get repeated, this level of gain.

Kunal Shah: Understood. Very clear. Last question is on the balance sheet. So, I can see a very large increase in gross debt and a commensurate increase in gross cash, so any specific reason why this is happening?

Sanjeev Asthana: Can you repeat that question again Kunal, Rajesh ji will answer that.

Kunal Shah: So, my question is on the balance sheet, there seems to be a very large increase in gross borrowings and also a similar increase in gross cash, I mean, cash on books.

Kumar Rajesh: Kunal, basically, that is a withdrawal of working capital limits, LC. That is majorly on account of withdrawal of LC. So, LC and working capital demand has grown, we have used this into the business and drawn from the banks. That is why borrowing increased.

Kunal Shah: Understood. That's all from me. Thank you so much.

Moderator: Thank you very much. The next question is in the line of Shirish Pardeshi from Motilal Oswal.

Please go ahead.

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Shirish Pardeshi: Asthana ji, good evening. I have a few questions. I did not find the press release, so can you provide the breakup of Rs. 2,914 crore? So, I could pick up biscuit is about Rs. 500 crores, ghee is about Rs. 448 crores, soya is Rs. 159 crores, and you mentioned HPC is about Rs. 659 crores. So, what is the balance?

Sanjeev Asthana: Foods business is Rs. 1,583 crores.

Shirish Pardeshi: Yes. Okay. And you gave the HPC number at Rs. 659 crores and Q-o-Q growth against Rs. 560 crores, what is the number last year?

Sanjeev Asthana: Last year we did not have this business, so we may not be able to exactly, I do not have that number right now, would have happily done that. It was the business was sitting with the parent at that time, so this is the available number right now. So, last year's comparison is not available for Q2.

Shirish Pardeshi: Okay. And when you say you are at a 12.3% overall margin, can you break, I mean, because I have been following so I know clearly what is the biscuit, but how has the margin moved, specifically operating margins for HPC in Q1 and Q2, and gross margin if you can provide?

Sanjeev Asthana: So, I told you that in the Q1 in the HPC business, we did 21.3%, Rs. 120 crores of EBITDA over Rs. 560 crores of revenue. And in the second quarter, we have done Rs. 659 crores revenue, Rs. 182 crores of EBITDA. So, on that basis, it has moved up. And some bit of lower priced raw materials, some bit of price benefit that we got in terms of price uptake that we took based on the advertisements and otherwise that we did. So, based on that, so that is a movement over the last two quarters.

Shirish Pardeshi: Okay. And in terms of biscuits, when we say that we have a sales of Rs. 360 crores for Doodh Biscuits, which you are saying that you are targeting Rs. 1,000 crores. So, once we reach to Rs. 1,000 crores revenue or volume, what would be the margin change? Because I would assume that you have a better margin in that business.

Sanjeev Asthana: In the biscuits, so biscuits typically I will tell you this operates on --

Shirish Pardeshi: Specifically Doodh Biscuits.

Sanjeev Asthana: Specifically, Doodh Biscuits. So, Doodh part is dependent partially. So, Doodh as you know, I

mean, it's a fairly low-priced point product, which is extremely popular and is very critically dependent on the pricing that we witnessed typically on palm oil, sugar and flour, and the packing material. So, those four are big drivers of the final margin. But we have got a threshold level beyond which if typically, we exceed that level then the margins will continue to improve. Now last year, we had almost 9.65% margin in the biscuits on EBITDA basis. This year, the margin construct is, overall, I am just saying on the annualized basis. But if I were to compare Patanjali Foods Limited

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the first half of last year in H1 of FY '25, our margin in biscuits were sitting at nearly 14.6%. So, beyond a certain threshold level, and if the price is attractive on the raw material side, we typically would be able to pretty much make margins upwards of between 10% and 12% and could be higher as well.

Now Doodh Biscuits automatically tends to limit our margin construct at sub 10% to 12% number because of the very nature of the product what we have. So, there's a lot of work which is happening on the premiumization side, the launch of the product that we are doing, there's the premium cookies and rusks and cream crackers and others are getting sort of, there's a manufacturing plant that's coming up at Noida, which is our own facility, we are working on launching newer products, at a high end premium level.

So, the idea being that, if we can get an uptake upwards of 15% to 18% growth category, which cannot come based purely on Doodh, it will have to have a very large proportion of the premium biscuit and cookie, which will drive that growth. So, that is the work which is going on right now by us.

Shirish Pardeshi: Okay. My second question on the edible oils, and you mentioned that the price increases in the import prices has gone up. So, to what extent we have passed on? And do we have any benefit on the existing inventory?

Sanjeev Asthana: So, as I mentioned that the second quarter was in general the price is, A, there is not much that you can hold on to, you can work it out in such a way that typically the price benefit you cannot hold for long. So, this is just typically not more than a three, four, five, six days of lag that you can get the benefit. So, unless there's an event based benefit that you get gain on the inventory, that is a one-time event gain. That duty structural change something happens, government sort of regulates the import of refined oil vis-à-vis the crude palm oil, so that crude oil, so that is one impact which we see.

And the second is that if suddenly there's a spike in prices, that's a gain. So, typically we get. So, I do not think that those are the events which happened in the second quarter, in the Q2 this year, this quarter. But on an overall basis, I am seeing some bit of demand uptake as well as the price increase. And there's almost nearly 65%, two-thirds of the business gets done in the demand peak, demand period now, which is unfolding in front of us Q3 and Q4, so part of that we should be able to recover back in the margin constructive business.

Shirish Pardeshi: Okay. No, I was just trying to look for some reason because we have reported a growth of 17% and you said about 65%, 76% business is branded. So, is this growth will continue and then there is a price change which will also happen?

Sanjeev Asthana: No, it will not. Our volume growth will be pretty much, as I mentioned, will not be exceeding 3% to 4%. And even right now also, compared to last year as I mentioned, the demand

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contraction has happened in India. So, we have 7% lesser compared to Q2 of last year versus this year. So, it is lower volume. And this demand contraction is a very structural contraction which has happened on account of the compression in the imports, and I think that is going to be a bigger driver in how this is going to change. So, I think we will not see exponential increase. So, if at all the revenues happen much larger, it will happen a lot more driven by the price increase. Our volumes will not be an uptick at that level.

Shirish Pardeshi: Thanks. And last two questions. On the GST front, what percentage of our portfolio is impacted because of change in excise?

Sanjeev Asthana: I mentioned that. So, about 55% portfolio is at 5% right now of the FMCG overall, and edible oils, veg oils were already at 5% prior

or to that. So, right now, almost 85% of our portfolio is at 5% level. And basically 85% on overall basis and about 55% of the FMCG segment which is at 5% levels now.

Shirish Pardeshi: And to what extent we have executed, I mean, the reason why I am asking, when do you think the normalized behavior from the retail trade will happen? Will it take substantial time, because

I do not have a number of what is the inventory lying in the system?

Sanjeev Asthana: No, it will take time and so it is not that straightforward that reduced GST is instantly leading to an uptick. Our estimation is that we should be between 300 to 400 basis points is what we should have a demand uptick, but that may take several months before it takes down. And especially in consumer products which are very low price points, I am not anticipating any immediate uptick on that front. But yes, fundamentally, we see that demand uptick is going to be there and we should benefit from that.

Shirish Pardeshi: Okay. Wonderful. Thank you, and all the best.

Sanjeev Asthana: Thank you so much.

Moderator: Thank you so much. The next question is from the line of Sumit Mathur from Yashwi Securities. Please go ahead.

Sumit Mathur: Yes. So, my question is on the balance sheet side, we noted that there is an increase in borrowing, so can you explain me about this?

Sanjeev Asthana: Sorry, can you repeat?

Sumit Mathur: My question is on the balance sheet side. So, there is an increase in borrowings, and a significant increase in borrowings from Rs. 780 crores to Rs. 789 crores, so can you explain?

Kumar Rajesh: Yes. This is primarily due to working capital loans and development of credit facility from the banks.

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Kumar Rajesh: So, further, see, this is increased by Rs. 2,108 crores compared to March '25, primarily on development of working capital loan of Rs. 1,376 crores, buyer's credit from SBI London of Rs.

367 crores, and unsecured working capital loan of Rs. 360 crores. These all are basically borrowings from the banks for the working capital facilities, fund based and non-fund based.

Moderator: Thank you so much. As there are no further questions, I would now like to hand the conference over to Mr. Sanjeev Asthana for closing comments.

Sanjeev Asthana: So, thank you very much for all the questions and this call, and we look forward to hearing from you. We are available as a Management. You have all the coordinates, and we look forward to meeting you all in the next quarterly results. Thank you very much.

Moderator: Thank you very much. On behalf of Patanjali Foods Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

PFL /202 6 February 18, 2026

To
BSE Limited National Stock Exchange of India Limited
Phiroze J eejeebhoy Tower Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001 Bandra (E), Mumbai – 400 051

BSE Scrip Code: 500368 NSE Symbol: PATANJALI

Dear Sir(s)/Ma'am,

Sub.: Transcript of Earnings Conference Call Q 3 FY2 6 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated February 12 , 202 6 and pursuant to Regulation 30 read with Schedule III and Regulation 46 (2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), as amended , please find attached transcript of the earnings conference call Q3 FY26 held on February 12, 2026 .

The aforesaid information will also be hosted on the website of the Com pany at www.patanjalifoods.com

It is for your information and records please.

Thanking you,

Yours Faithfully ,

For Patanjali Foods Limited

Ramji Lal Gupta
Company Secretary

Encl.: As above

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"Patanjali Foods Limited Q3 FY-26 Earnings
Conference Call"

February 12, 2026

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 12th, 202 6, will prevail

MANAGEMENT : MR. SANJEEV ASTHANA – CHIEF EXECUTIVE OFFICER ,
PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL
OFFICER, PATANJALI FOODS LIMITED ,
MR. PRIYENDU JHA – INVESTOR RELATIONS ,
PATANJALI FOODS LIMITED

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Moderator : Good morning, ladies and gentlemen and welcome to the Patanjali Foods Limited Q3 FY26 Earnings Conference Call hosted by Strategic Growth Advisors .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

Before we proceed, this conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Sanjeev Asthana – CEO, Patanjali Foods Limited. Thank you and over to you, sir.

Sanjeev Asthana: Thank you and good morning to everyone. A very warm welcome to Patanjali Foods Limited's call to discuss the results for the 3rd quarter and 9 -month s-ended FY26. I am joined by the company's CFO ; Kumar Rajesh ji along with Mr. Priyendu Jha from the Investor Relations Team and our IR partner, Strategic Growth Advisors. We have uploaded the results collateral on the stock exchanges as well as the company's website for your reference.

Let me begin by giving a quick snapshot of our financial performance. During the course of this call, we will be referring to standalone financials.

During Q3 of FY26, the company delivered the highest ever revenue from operations of Rs. 10,483.71 crores, registering year -on-year growth of 16.53%. The total EBITDA, excluding the exceptional items for the quarter, stood at Rs. 492.06 crores with a margin of 4.69%, while profit before tax was Rs. 364.54 crores, translating into a P BT margin of 3.46%. Please note, the impact of labour code during Q3 stood at Rs. 30.19 crores. This has been classified under the exceptional items.

The company also delivered the highest ever revenue from operations for the 9 months of FY26, with reported revenue from operations amounting to Rs. 29,013.98 crores. The total EBITDA, excluding exceptional items for the period, was Rs. 1,429.56 crores, with a margin of 4.93%. Profit before tax stood at Rs. 1,118.24 crores, translating into a P BT margin of approximately 3.84%.

Let me now give an overview of the operating environment of Q3 FY26 :

Q3 FY26 was a period of transition and execution, largely influenced by the rollout of GST 2.0 reforms. The months of September and October experienced temporary trade disruptions due to repricing actions, packaging updates, and operational adjustments. By November, inventory levels began to stabilize. During the quarter, we introduced higher grammage packs, revised

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pricing to pass on the GST -related benefits to consumers. We anticipate a stronger volume recovery ahead, with the positive effects of GST rate reductions expected to become more evident in the upcoming quarters.

The rural consumption continues to outperform urban demand for the seven th straight quarter. However, we are now seeing a robust rebound in the urban consumption as well , supported by rising disposable incomes, particularly benefiting the key food categories and the positive impacts from revised direct and indirect taxation measures. This quarter was also benefited from the festive season, with Diwali acting as a key demand catalyst across categories. Festive lead purchases were supported by positive consumer sentiment, while the GST -led price corrections improved affordability and further supported.

On the cost front, the palm oil prices declined materially by 12.6% on a year -on-year basis, with a sequential moder

ation of 3.7% during the quarter. In December '25, the palm oil imports were down 20%, while soybean oil imports increased by 20.2%, reflecting a shift in the edible oil basket. Looking ahead, the pricing pressures are expected to persist amid tightening global vegetable oil supplies. Wheat prices remained range -bound, with no significant movement supported by comfortable supply levels in the physical markets. The government's intervention schemes continued to effectively cap price increases. During Q3, sugar prices stayed firm, while supply conditions remained comfortable, festive demand provided the price support.

Let me now walk you through the segment -wise performance during Q3 of FY26 :

For the edible oil segment, the quarterly revenue stood at Rs. 7,335.71 crores, registering 8.98% year-on-year growth with EBITDA margin for the segment was 2.39%. The primary growth drivers in edible oil are branded oils such as Ruchi Gold, Mahakosh, and Sunrich. In the 9 months of FY26, each of these brands recorded double -digit growth in sales value. It is notable that nearly 85% of total edible oil sales now come from branded edible oils, driven by strong marketing initiatives and impactful brand endorsements.

In Q3 FY26, the palm oil prices decreased considerably. India's palm oil imports fell to an 8 -month low in December, mainly due to seasonal demand and increased purchases of rival oils such as soya oil and sunflower oil . India's palm oil imports typically moderated during the winter months, as the tropical oil solidifies at lower temperatures, limiting its use in the northern parts of the country, and North India continues to be a strong area of preference.

For the 9 months, our revenue stood at Rs. 20,989.43 crores, registering 16.55% year -on-year growth with EBITDA margin for the segment was 2.57%.

For the oil palm plantation business, the segmental revenue stood at Rs. 418 crores (to be read as Rs. 416.23 crores) , with a margin of 22.47% (to be read as 22.81%) . For the 9 months FY26, the revenue was Rs. 1,610 crores (to be read as Rs. 1,607.33 crores) with an EBITDA margin of 21.53% (to be read as 21.60%) . At the end of the calendar year, the area under cultivation

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stood at 1,08,000 hectares (to be read as 1,08,164 hectares) , with nearly 39% of plantation in prime yield years of 7 to 25 years.

Coming to our FMCG segment :

The quarterly revenue stood at Rs. 3,248 crores, reflecting 38.93% year -on-year growth and a sequential growth of 12.31%. In Q3 FY26, EBITDA margin came at 10.88%.

For the 9 months FY26, the revenue stood at Rs. 8,297 crores (to be read as Rs. 8,297.79 crores) , with an EBITDA margin of 11.06%. The FMCG segment contributed 30.68% of revenues in Q3 FY26, while contributing nearly 66.33% of EBITDA in Q3 of FY26 .

During the quarter, within the FMCG segment, biscuits reported revenue of Rs. 490 crores with a year -on-year growth of 26.4%. Doodh biscuits accounted for nearly 70% of biscuit sales. In the 9 months of FY26, the revenues from the biscuit brand Doodh surpassed FY25 levels with cumulative sales crossing Rs. 1,000 crores. The Nariyal biscuit continues to gain traction. Distribution is key in driving sales in this category. We are also strategizing on strengthening our reach in the southern region.

Staple generated revenue of Rs. 1,255 crores (to be read as Rs. 1,255.67 crores) , growing at 68.70% year -on-year basis . This increment weighed upon our margin profile for the segment. The revised ghee strategy delivered encouraging results, with the category reporting a healthy performance driven by festive and winter season demand. The revenues stood at Rs. 467 crores (to be read as Rs 467.64 crores) in Q3 FY26, reflecting quarter -on-quarter growth of 21% and year-on-year growth of 46% (to be read as 46.50%) .

Within Nutraceuticals – the general nutrition sh

owed increased customer acceptance. We have undertaken multiple targeted initiatives to further strengthen this category and expand its reach. Additionally, our Vaidya enrolment programme is progressing as planned, and we expect it to begin contributing meaningfully to the growth in the coming quarters.

Our HPC category generated a total revenue of Rs. 627 crores (to be read as Rs. 627.52 crores) with dental care, leading the pack at Rs. 339.27 crores, followed by skin care at Rs. 155 crores (to be read as Rs. 155.74 crores) , home care at Rs. 77 crores (to be read as Rs. 77.73 crores) , and hair care and other products, generating revenue of Rs. 54.78 crores.

We constantly evaluate our portfolio that resonates with Patanjali's ethos. In line with this philosophy, we introduced Date Almond Spread, Goud Katirra, and Yellow Mustard Oil in the FMCG category. In the HPC category, we launched new variants across shampoos, soaps, detergents, and creams, which have received encouraging consumer response. The Kesh Kanti Saundarya product range continues to gain strong traction, reflecting increasing acceptance of

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Distribution remains the core strength of our business, and we continue to focus on expanding our omni-channel reach. Over the last calendar year, we added an estimated 0.2 million to 0.25 million new retail outlets and are now present at over 2 million retail outlets. We are also intensifying our efforts to strengthen distribution in our core markets to drive higher penetration throughout. In parallel, we are scaling our presence across modern trade, e-commerce, and quick commerce platforms with products available on Zepto, Big Basket, Amazon, JioMart, and other leading channels.

Now commenting on the outlook :

From a demand perspective, we are hopeful that at the end of FY26 could be strong, primarily supported by favorable macro tailwinds. The demand benefits are likely to accrue progressively over the coming months, supported by improved affordability, wider distribution, and a continued shift from unbranded to branded consumption. Together, these factors position the company well to capture the incremental demand and deliver a stronger performance in the coming quarters. Further, GST 2.0 reforms are likely to stimulate consumption over time. Urban demand is expected to strengthen in the coming quarters, aided by easing inflationary pressure and the positive impact of revised direct and indirect taxation measures, which should support discretionary spending. On the rural front, we anticipate sustained growth momentum, primarily supported by a healthy kharif output, moderating inflation, and continued support from the government welfare schemes that are enhancing disposable incomes. Together, these factors provide us with greater confidence in demand recovery and volume growth across categories. With this, I conclude my opening remarks and open the floor for the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Abneesh Roy from Nuvama Wealth. Please go ahead.

Abneesh Roy: Thanks. My first question is on biscuits, toothpaste and hair oil. If you could tell us in terms of GST pass-through, have you taken the gramage route or have you taken the price cut route? For example, biscuits, I think some regional players are still operating at Rs. 4.5 and 9 while the number one player transition fully to Rs. 5 and 10. I wanted to understand that for the three categories, what have you done, toothpaste, hair oil and biscuits. Thank you.

Sanjeev Asthana: To answer your question straight up, in biscuits we increased the gramage and in case of shampoo and hair oil, the price benefit was transferred through the pricing itself.

Abneesh Roy: In terms of outlook, how

do you expect toothpaste for example, last one year toothpaste competitive intensity, promotional intensity has been high and there is the LUP, the GST benefit also because 30 %-40% for the industry leader at least is the LUP and they are adding back gramage there. If you could comment, how do you see toothpaste industry volume growth and competitive intensity in FY27 and Q4?

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Sanjeev Asthana: So, competition is fairly intense, that is straightforward and it's pretty much since the growth is very limited, anywhere between 3% and 5% so that continues to grow stronger. Our dental care business has done exceedingly well. In the quarter, we did nearly Rs. 340 crores of business in the dental care and we continue to gain quite substantial growth. If I were to compare the dental care versus the last year, Q3 versus Q3 of last year, it's almost Rs. 116 crores. This momentum is driven by two counts. One is the multiple variants that we used, the new brand ambassadors that we got, the packaging changes, some of that which were introduced and very strong traction that we have in B and C towns as well as the rural areas. So that has been a very redeeming feature. And while the market overall, the category may continue to grow between 3% and 5%, our target clearly is that we want to exceed 15% is what we have set on the overall basis as a growth objective for HPC and on a fully annualized basis. I mean, this will take us what we have said that will take 18 months to take the benefit of the margins as well as the growth. But I am pretty confident that we showed the time that we took over the business. We should be pretty much close to 15% growth rate from that time.

Abneesh Roy: That's all from me. Thank you.

Moderator: Thank you. We have the next question from the line of Abhishek Mathur from Systematics. Please go ahead.

Abhishek Mathur: Good morning, Sanjeev sir. Thank you for the opportunity. First, just a bookkeeping question. If you can give the EBITDA absolute numbers for the quarter for HPC, biscuits, staples and ethnic foods.

Sanjeev Asthana: EBITDA, the breakup of each of these, I can certainly give you. So, for the non-food, it's Rs.

157 crores and the margin is about 24.95%. Likewise, for the biscuit business, our EBITDA is Rs. 47 crores. Margin is 9.57%. Foods, the EBITDA is Rs. 151 crores. Margin is 7.54% and edible oil, the EBITDA is Rs. 175 crores, the margin is 2.4%.

Abhishek Mathur: Great, sir. Thanks for that. Secondly, I just wanted to check, there has been a strong growth turnaround in our foods businesses, both staples and the higher margin foods, ethnic foods and biscuits also. So how does one think about growth in these segments going ahead? How are you looking at this turnaround and is it sustainable? And what is the steady state growth that we should think about in terms of biscuits, staples and the high margin food segments?

Sanjeev Asthana: Two parts. One is that our projected long-term growth is very clear that in the food space, we will grow between 8% to 10% will be our growth rate. Our margin construct in the food business will be between 8% and 10% as well. That EBITDA margin, that's what we are targeting. And progressively, we continue to improve that. In the HPC business, when we took over the business, the margin was about 18% EBITDA was with the parent company. We had targeted that we will take that 18% by 200 basis points over the next 18 months. But based on several changes that were introduced, we have been able to accomplish almost nearly 25% EBITDA in this quarter. Now, on a sustainable basis, the question that you are asking is that how it's going to grow. So longer term, the guidance is very clear that the food business, 8% to 10% growth.

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HPC business, 15% growth, which is a high margin category for us and veg oil business,

anywhere between 3% and 4% growth is what we target. And we are in the volume terms. And value, of course, is determinant of multiple, how the values ultimately behave. So that is pretty much the set course, how the company is looking at its businesses. And yes, because of the GST relief, because of seasonality part of it in certain seasonal changes that occur, some quarters, you will see a better performance. But broadly, that is the directional outlook that we have.

Abhishek Mathur: On the edible oil segment, so now the September last year, import duty hike would be in the base, annualized. And we have talked about palm oil prices trending lower. Albeit, you have mentioned some pressures in terms of pricing. So, with this scenario, how does one think about the margins in the edible oil business going forward? That's it from me.

Sanjeev Asthana: No, that's a great question. And I was hoping that we will do that. Because last year, September, the margin construct was very positive. We had one -off gain that we got on account of the duty increase of nearly 22% gain that accrued in September '25. And that was more of a one-time gain. Likewise, so previous Q3 of FY25, our margins were Rs. 364 crores on a revenue of Rs. 6,731 crores, about nearly 5.5%. But as I have mentioned very often that the vegetable oil business, edible oil business by its very nature, our targeted EBITDA stream is between 2% and 4%. The orientation in terms of the planning that is entirely done by the company is on the volume growth of between 3% and 4%. We are seeing consolidation in that segment. We are seeing that the consumers are gravitating towards the branded players. The larger players have the benefit of managing their treasury and working capital and risk better and superior. So, there is a consolidation happening in that space. But the performance evaluation on a quarter-on-quarter basis is always a challenge. Because of the requirements of accounting and the audit, you have to take a particular price on the mark-to-market at the end of a quarter and that starts to change, which is what happened in this quarter as well and after that the uptick has happened. I am pretty confident of not only remaining within the framework of the objectives that we defined for ourselves, but also maintaining that closer to 4% is what we target. And I am witnessing that, there's some change already quite afoot right now, as we speak as well. In the last three weeks, the prices have started moving up. So, we should gain some, all that benefit should accrue in this quarter. So that is broadly the direction we have. And the interplay between Palm, Soya and Sun, because three big import items, that will always happen. So palm, because it had gone down because of the exceptionally high prices, which had exceeded soya and sun, so that will happen. But broadly, on the overall category basis, this is what we are targeting. And progressively, we are expecting with the 15% and 20% growth in food and non-food and the other businesses, I think we should head closer to the stated objective of 50-50 between the edible oils and the non-edible oils portion of it. So, for example, our margin construct, if you were to look at right now, also two thirds of the margin is now accruing from non-edible oil proportion. So nearly, if I were to say that, the 71% margin (this was said erroneously, segment's EBITDA contribution was 66.33% in Q3FY26 and 62.34% in 9MFY26) came from the FMCG segment in this quarter, and about 35.6% margin (to be read as Rs. 32.87%) came from the edible oil. Whereas the edible oil segment contributed 69% and the FMCG segment contributed about 31% (in Q3FY26). This spread will consistently, as we grow our revenues on the FMCG side, and we reach closer to the growth rates that we have discussed, closer to about 20,000 crores. I

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think at that level, this margin profile of the company going towards the double -digit EBITDA that we are targeting, I think will pretty much become a reality. And that's what the objective of the company is looking at.

Abhishek Mathur: Right. Great, sir. Thanks for the detailed answer and all the best.

Moderator: Thank you. We have the next question from the line of Shirish Pardeshi, from Motilal Oswal Financial Services. Please go ahead.

Shirish Pardeshi: Hi, team. Good morning. Thank you for the opportunity. Sanjeev sir, my first question is on edible oil. You mentioned that the imports, generally Quarter 3 declines for palm. Does that mean the system and even us have a higher inventory at the lower price or do you think we are just managing? So maybe if there is a price increase, we will have to take the price increase as and when the price increases happen for the imports.

Sanjeev Asthana: Yes, that's right. So, Shirish, what will happen is that you mark down the inventory to the quarter end pricing. That's the accounting part. Mr. Kumar Rajesh will explain better. But we have to mark it down and bring it to a particular level. And if thereafter the prices increase, then typically that benefit accrues to the company.

Shirish Pardeshi: The second thing is that even soya and sunflower is also becoming very lucrative in India. So, does that mean that the shift will happen from palm to sunflower or soya or that is not correct way to look at it?

Sanjeev Asthana: I would say that your thesis is correct, that the perceived value for soya and sun is at higher level, where people see it as more premium oils and palm is lesser premium or in some cases, the attaching, the health connotations, etc. All three are set to grow. The interplay between them is the prices at the origin in the countries from where they are exported and the global edible oil complex. So many times, that undergoes a change on which there's very little control the companies have. So, then what happens is that the consumers might switch between one versus the other and this could happen. But the pecking order is very clear that sunflower is typically the highest price. The soybean is next to it and the palm is the cheapest. Now occasionally it might happen that the palm may exceed or soya may change or otherwise depending on supply situation. But broadly that is in 8 out of 10 cases, that is how it will remain. Some insecurity, for example, out of Russia or Ukraine, supply uncertainty, the price might spike for sunflower. But broadly that is a spread which will happen and so some shifting happens. But consumers are largely, this price inelastic. So especially in case of sunflower, which is largely sold through the branded form, the branded players, the consumers will stay with sunflower oil, they will not switch to palm oil or soya. It is the industrial consumers typically who tend to switch. So, for example, when the palm went too high, so people started switching from, I mean the industrial users, the B2B consumers, they started switching from palm to soya. So that may happen but otherwise not too much of a change. This will pretty much remain the same.

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Shirish Pardeshi: One follow-up on this, we have 3-4 brands, Sunrich and Richi Gold. So, within these four categories or subcategories, which has grown faster in Quarter 3?

Sanjeev Asthana: Quarter 3, the largest size that we clearly have is the Sunrich, we have made very big inroads. We are nearly today doing close to, from that perspective of doing nearly 12,000 tons a month now. And we will continue to gain momentum into the sunflower oil. So that has been the fastest growth on a percentage basis. But in absolute terms, our growth has been largely through soya and palm.

Shirish Pardeshi: My second question is on FMC

G. You mentioned that biscuit growth is about 26.4%. Is that driven by the volume and grammage changes? I am just trying to understand if the volume and price is half and half or volume is higher?

Sanjeev Asthana: So, it's obviously very volume driven without a question. So, it is not, price is not the bigger driver in this. As I was mentioning earlier that actually, in case of biscuits, we increase the grammage for the GST. So largely, it is not driven by any price inflation. It is entirely on the volume growth. And this has come through distribution expansion and natural velocity that we had on the growth rates of the biscuits market. So overall, that has been a very redeeming feature for the biscuits business because we are outpacing the industry by a very substantial wide margin.

Shirish Pardeshi: And the last question on HPC. I think you mentioned that we are trying to ramp up in South. So, if I look back overall as a company, what South contribution was there, including all the FMCG categories a year before and now what your target is as a distribution?

Sanjeev Asthana: So, there is a very good pickup. But I just want to, because this is very often discussed. If I would look at the overall distribution, but this is obviously not a correct reflection because palm oil is

very substantive. Our Ruchi Gold sells largely in South, which is a branded play. I will just give the overall numbers just for benefit of everyone. I was just pulling out that why don't we consolidate everything and see where the numbers stack up. So, zone-wise, mix 33% is contributed by South, the largest. If I were to look at the overall, including edible oils and FMCG, North is 31%, East is 18%, Central is 9% and West is 9%. Now, if I were to look at the FMCG part of it, if I were to look purely at the FMCG, I would say that this number would be closer to about 10%. And that has caught on the lower base that is growing at 15% to 18% now. And there we are expanding, putting a lot of energy where this base of growth we want to establish and gain momentum. And a lot of products are now gaining a lot of traction. So, for example, our food products, some of the HPC products now, so they are getting a lot of traction. And we are quite confident that the reach that we have in the distribution, the cross-selling amongst the distributors and retail that we are pulling work towards. So there is a reasonable amount of confidence that we should be able to pull through on that and put a good growth rate for South India.

Shirish Pardeshi: Thank you and all the best.

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Sanjeev Asthana: Thank you.

Moderator: Thank you. We have the next question from the line of Tanya Sharma from TAS Capital. Please go ahead.

Tanya Sharma: Hello. Good morning, sir. So, I had a couple of questions. So first, Staples continue to be a drag and that is little brand loyalty in this category. What are our plans from the FMCG mix perspective?

Sanjeev Asthana: So broadly, what has happened over a period of time, Staples have always been a revenue driver and less from a margin perspective, as you rightly mentioned that there's a bit of lower margin compared to the ethnic foods. So clearly, as I mentioned in my opening remarks and the release that we gave as well, that for example, in ghee, we had exponential growth. Of course, it was led to a large extent by the festival demand, etc. and some of the promos that we ran. So, there was a huge pickup in the ghee business. Likewise, so in terms of the, like we did almost Rs. 470 crores, Rs. 468 crores in ghee in the last quarter. And it was nearly jumped. So, it was driven a lot by the overall buoyancy that we saw in the demand side. So, there is a lot of effort that is happening towards pulling businesses on the ethnic food side on the higher level. But at the same time, Staples have a particular way of coming in because the demand is not in the sense that it

is not very defined. So, it is also seasonal, and it is very price driven as well. So many times, if they find a greater value in what we are offering, so the demand pickup is very suddenly that people are buying a lot more because there the brand loyalty is lesser. And the focus is a lot more on the in terms of the value proposition that you are offering on the Staples pricing. My sense is the mix will not dramatically alter. The mix will pretty much remain same. But progressively as the ethnic foods category will continue to increase, I think we will start seeing better margin construct as well in the overall foods category as we speak.

Tanya Sharma: Next one. Ghee can be very cyclical in nature. So how do we manage consistency in procurement throughout the year?

Sanjeev Asthana: What typically happens in ghee is that the sell side, as I mentioned, there's some cyclicity, not volatility in pricing, but seasonality uptick is always there. The procurement is very consistent. So, there is a season in which you are able to procure. So that market is, of course, depends a lot on supply side and how the demand for the cow butter sector is there. So that we have to do. But the supply chain is fairly well-oiled machine. There is a large vendor base. There are companies who supply on a consistent basis the cow butter to us. We secure our supplies over a period of time. So that works in general quite well. And there is some bit of pricing change there as well. So that may have some impact on the margin profile of the business. And that is one reason why the raw material pricing plays a very crucial role in business verticals like biscuits and ghee and some of these areas where you might see certain degree of variation. And which is why we always target that 8% to 10% is a good blend of margin between ethnic and the staple food. We should be able to generate constantly that.

Tanya Sharma: Got it. And sir, one last thing. Do we have also any plan to bring other dairy related products?

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Sanjeev Asthana: No, we have no immediate plans of introducing new dairy products. We have enough on the plate. We have, of course, that innovation constantly happens. We want to introduce a new product. But on the dairy side, I would imagine the variations of ghee we will certainly do. But products like butter or cheese or liquid milk or flavored milk, etc., that category, perhaps, there

is no immediate plan for that.

Tanya Sharma: That answers my questions. Thank you so much.

Moderator: Thank you. We have the next question from the line of Priya Kulkarni from CN Capital. Please go ahead.

Priya Kulkarni: My question is, like, on the product side, for which product lines are we planning to expand? So, we have not had many new product innovations and the new agent brands are giving competition, like companies give us this competition. So, what is your take on this and on the product innovation side?

Sanjeev Asthana: There is a pipeline of products that are constantly planned. And we continue to introduce new variants. SKU within the SKU itself, there's a constant mixing of new products, new SKUs, new ideas in the blend sector, as I was just mentioning, and also responding to the vertical through which the channel through which it is getting distributed. So, for example, as the change in e-com and quick-com has defined and redefined in the way consumers shop, and likewise for the modern trade and general trade. And so, to avoid the conflict, many times those adjustments are done. Some products on a trial basis largely are tried out first on the e-com and quick-com and then on the modern trade and then finally to the GT. But to answer your question specifically, as I mentioned, that is a constant work which is happening. You will see a SKU of products that will

get launched. So, this quarter, for example, other than what I mentioned in the call, you will see that in the biscuits category, we will have multiple premium products that will get launched now. I would not be able to give the details on this call, but that is under the works. Likewise, for the HPC category, we are planning at least three more new product launches which will happen over the next 6 months in the skincare and some variations in the dental side, as well as in the hair care. So, a lot of work in the home care category. So, there is a constant sort of product pipeline. Yes, competition is there from the new age companies. And yes, they are doing a great job. And so, we will do our job and we will be found nimble. We will be found quick and we will be able to respond to any challenges.

Priya Kulkarni: My last question is about like last year; we had signed up multiple brand ambassadors. So just wanted to ask that when do their contracts expire? And are we likely to renew it? And if yes, what will be the cost and the tenure of the contract?

Sanjeev Asthana: So, cost and I would not share on this call, and that's confidential. But the tenure continues to run with all the five ambassadors. Mr. Dhoni is signed up for an additional 2 years. The contract for Mrs. Shilpa Shetty continues and likewise, both for Tiger Shroff and Tamanna Bhatia and similarly for Mr. Shahid Kapoor that also continues. So as we speak right now, the contracts are very much on and active.

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Priya Kulkarni: Got it. Thank you. All the best.

Sanjeev Asthana: Thank you.

Moderator: Thank you. We have the next question from the line of Shagun Ka bra, an individual investor. Please go ahead.

Shagun Ka bra: Good morning, sir. I wanted to understand regarding area under cultivation. So, it is approximately 16% for the total area allocated. Could you guide how much hectares are we going to add in the area under cultivation?

Sanjeev Asthana: You are talking of oil palm, right?

Shagun Ka bra: Yes, sir.

Sanjeev Asthana: Oil palm currently what we have is that 1,08,000 hectares (to be read as 1,08,164), which has been planted. This year, our target is that we should do close to 40,000 additional hectares, which is a mix of 20,000 in the northeastern part of the country and 20,000 in the South India. And for that we need to prepare well in advance on getting our sprouts and nurseries and others. And we are very much on course for that. What I am saying this year is '26-27. I am talking now.

Shagun Kapra: Yes. And the area under cultivation, the area is being allocated by the government. So, is it a long-term lease and how much amount does it cost us?

Sanjeev Asthana: So, we don't pay any amount. What the government does is that, so we of course, to give an answer to that, it's in perpetuity. So, it's for 35 years, the life cycle of the oil palm. And after when it gets closer to the trees having lived their life, then you can extend that by doing the replanting. So, there is no tenure fix for that, for the lease, because the land continues to be owned by the farmer only. And we simply work in close collaboration with the farmer and work alongside him for 35 years. So that is almost it can be seen as perpetuity because government is not asking to do anything on that. They are saying that this company is allowed to do the oil palm plantation work along with the farmers and ensure that they are able to 100% work on this. That's it.

Shagun Kapra: Thank you, sir.

Sanjeev Asthana: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference back to the management for closing comments. Thank you and over to you, sir.

Sanjeev Asthana: With this, I conclude the call. I sincerely thank you for your continued support and trust in Patanjali Foods. If you have any

further queries, please contact SGA our Investor Relations Advisors .

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Moderator: Thank you, everyone. On behalf of Patanjali Foods Limited, that concludes this conference.

Thank you for joining with us today and you may now disconnect your line.

Call: Feb 2026

PFL /202 6 February 18, 2026

To
BSE Limited National Stock Exchange of India Limited
Phiroze J eejeebhoy Tower Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001 Bandra (E), Mumbai – 400 051

BSE Scrip Code: 500368 NSE Symbol: PATANJALI

Dear Sir(s)/Ma'am,

Sub.: Transcript of Earnings Conference Call Q 3 FY2 6 of Patanjali Foods Limited ("the Company")

This is in continuation to our earlier letter dated February 12 , 202 6 and pursuant to Regulation 30 read with Schedule III and Regulation 46 (2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), as amended , please find attached transcript of the earnings conference call Q3 FY26 held on February 12, 2026 .

The aforesaid information will also be hosted on the website of the Com pany at www.patanjalifoods.com

It is for your information and records please.

Thanking you,

Yours Faithfully ,

For Patanjali Foods Limited

Ramji Lal Gupta
Company Secretary

Encl.: As above

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"Patanjali Foods Limited Q3 FY-26 Earnings
Conference Call"

February 12, 2026

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 12th, 202 6, will prevail

MANAGEMENT : MR. SANJEEV ASTHANA – CHIEF EXECUTIVE OFFICER ,
PATANJALI FOODS LIMITED
MR. KUMAR RAJESH – CHIEF FINANCIAL
OFFICER, PATANJALI FOODS LIMITED ,
MR. PRIYENDU JHA – INVESTOR RELATIONS ,
PATANJALI FOODS LIMITED

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Moderator : Good morning, ladies and gentlemen and welcome to the Patanjali Foods Limited Q3 FY26 Earnings Conference Call hosted by Strategic Growth Advisors .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

Before we proceed, this conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Sanjeev Asthana – CEO, Patanjali Foods Limited. Thank you and over to you, sir.

Sanjeev Asthana: Thank you and good morning to everyone. A very warm welcome to Patanjali Foods Limited's call to discuss the results for the 3rd quarter and 9 -month s-ended FY26. I am joined by the company's CFO ; Kumar Rajesh ji along with Mr. Priyendu Jha from the Investor Relations Team and our IR partner, Strategic Growth Advisors. We have uploaded the results collateral on the stock exchanges as well as the company's website for your reference.

Let me begin by giving a quick snapshot of our financial performance. During the course of this call, we will be referring to standalone financials.

During Q3 of FY26, the company delivered the highest ever revenue from operations of Rs. 10,483.71 crores, registering year -on-year growth of 16.53%. The total EBITDA, excluding the exceptional items for the quarter, stood at Rs. 492.06 crores with a margin of 4.69%, while profit before tax was Rs. 364.54 crores, translating into a P BT margin of 3.46%. Please note, the impact of labour code during Q3 stood at Rs. 30.19 crores. This has been classified under the exceptional items.

The company also delivered the highest ever revenue from operations for the 9 months of FY26, with reported revenue from operations amounting to Rs. 29,013.98 crores. The total EBITDA, excluding exceptional items for the period, was Rs. 1,429.56 crores, with a margin of 4.93%. Profit before tax stood at Rs. 1,118.24 crores, translating into a P BT margin of approximately 3.84%.

Let me now give an overview of the operating environment of Q3 FY26 :

Q3 FY26 was a period of transition and execution, largely influenced by the rollout of GST 2.0 reforms. The months of September and October experienced temporary trade disruptions due to repricing actions, packaging updates, and operational adjustments. By November, inventory levels began to stabilize. During the quarter, we introduced higher grammage packs, revised

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pricing to pass on the GST -related benefits to consumers. We anticipate a stronger volume recovery ahead, with the positive effects of GST rate reductions expected to become more evident in the upcoming quarters.

The rural consumption continues to outperform urban demand for the seven th straight quarter. However, we are now seeing a robust rebound in the urban consumption as well , supported by rising disposable incomes, particularly benefiting the key food categories and the positive impacts from revised direct and indirect taxation measures. This quarter was also benefited from the festive season, with Diwali acting as a key demand catalyst across categories. Festive lead purchases were supported by positive consumer sentiment, while the GST -led price corrections improved affordability and further supported.

On the cost front, the palm oil prices declined materially by 12.6% on a year -on-year basis, with a sequential moder

ation of 3.7% during the quarter. In December '25, the palm oil imports were down 20%, while soybean oil imports increased by 20.2%, reflecting a shift in the edible oil basket. Looking ahead, the pricing pressures are expected to persist amid tightening global vegetable oil supplies. Wheat prices remained range -bound, with no significant movement supported by comfortable supply levels in the physical markets. The government's intervention schemes continued to effectively cap price increases. During Q3, sugar prices stayed firm, while supply conditions remained comfortable, festive demand provided the price support.

Let me now walk you through the segment -wise performance during Q3 of FY26 :

For the edible oil segment, the quarterly revenue stood at Rs. 7,335.71 crores, registering 8.98% year-on-year growth with EBITDA margin for the segment was 2.39%. The primary growth drivers in edible oil are branded oils such as Ruchi Gold, Mahakosh, and Sunrich. In the 9 months of FY26, each of these brands recorded double -digit growth in sales value. It is notable that nearly 85% of total edible oil sales now come from branded edible oils, driven by strong marketing initiatives and impactful brand endorsements.

In Q3 FY26, the palm oil prices decreased considerably. India's palm oil imports fell to an 8 -month low in December, mainly due to seasonal demand and increased purchases of rival oils such as soya oil and sunflower oil . India's palm oil imports typically moderated during the winter months, as the tropical oil solidifies at lower temperatures, limiting its use in the northern parts of the country, and North India continues to be a strong area of preference.

For the 9 months, our revenue stood at Rs. 20,989.43 crores, registering 16.55% year -on-year growth with EBITDA margin for the segment was 2.57%.

For the oil palm plantation business, the segmental revenue stood at Rs. 418 crores (to be read as Rs. 416.23 crores) , with a margin of 22.47% (to be read as 22.81%) . For the 9 months FY26, the revenue was Rs. 1,610 crores (to be read as Rs. 1,607.33 crores) with an EBITDA margin of 21.53% (to be read as 21.60%) . At the end of the calendar year, the area under cultivation

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stood at 1,08,000 hectares (to be read as 1,08,164 hectares) , with nearly 39% of plantation in prime yield years of 7 to 25 years.

Coming to our FMCG segment :

The quarterly revenue stood at Rs. 3,248 crores, reflecting 38.93% year -on-year growth and a sequential growth of 12.31%. In Q3 FY26, EBITDA margin came at 10.88%.

For the 9 months FY26, the revenue stood at Rs. 8,297 crores (to be read as Rs. 8,297.79 crores) , with an EBITDA margin of 11.06%. The FMCG segment contributed 30.68% of revenues in Q3 FY26, while contributing nearly 66.33% of EBITDA in Q3 of FY26 .

During the quarter, within the FMCG segment, biscuits reported revenue of Rs. 490 crores with a year -on-year growth of 26.4%. Doodh biscuits accounted for nearly 70% of biscuit sales. In the 9 months of FY26, the revenues from the biscuit brand Doodh surpassed FY25 levels with cumulative sales crossing Rs. 1,000 crores. The Nariyal biscuit continues to gain traction. Distribution is key in driving sales in this category. We are also strategizing on strengthening our reach in the southern region.

Staple generated revenue of Rs. 1,255 crores (to be read as Rs. 1,255.67 crores) , growing at 68.70% year -on-year basis . This increment weighed upon our margin profile for the segment. The revised ghee strategy delivered encouraging results, with the category reporting a healthy performance driven by festive and winter season demand. The revenues stood at Rs. 467 crores (to be read as Rs 467.64 crores) in Q3 FY26, reflecting quarter -on-quarter growth of 21% and year-on-year growth of 46% (to be read as 46.50%) .

Within Nutraceuticals – the general nutrition sh

owed increased customer acceptance. We have undertaken multiple targeted initiatives to further strengthen this category and expand its reach. Additionally, our Vaidya enrolment programme is progressing as planned, and we expect it to begin contributing meaningfully to the growth in the coming quarters.

Our HPC category generated a total revenue of Rs. 627 crores (to be read as Rs. 627.52 crores) with dental care, leading the pack at Rs. 339.27 crores, followed by skin care at Rs. 155 crores (to be read as Rs. 155.74 crores) , home care at Rs. 77 crores (to be read as Rs. 77.73 crores) , and hair care and other products, generating revenue of Rs. 54.78 crores.

We constantly evaluate our portfolio that resonates with Patanjali's ethos. In line with this philosophy, we introduced Date Almond Spread, Goud Katir, and Yellow Mustard Oil in the FMCG category. In the HPC category, we launched new variants across shampoos, soaps, detergents, and creams, which have received encouraging consumer response. The Kesh Kanti Saundarya product range continues to gain strong traction, reflecting increasing acceptance of

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Distribution remains the core strength of our business, and we continue to focus on expanding our omni-channel reach. Over the last calendar year, we added an estimated 0.2 million to 0.25 million new retail outlets and are now present at over 2 million retail outlets. We are also intensifying our efforts to strengthen distribution in our core markets to drive higher penetration throughout. In parallel, we are scaling our presence across modern trade, e-commerce, and quick commerce platforms with products available on Zepto, Big Basket, Amazon, JioMart, and other leading channels.

Now commenting on the outlook :

From a demand perspective, we are hopeful that at the end of FY26 could be strong, primarily supported by favorable macro tailwinds. The demand benefits are likely to accrue progressively over the coming months, supported by improved affordability, wider distribution, and a continued shift from unbranded to branded consumption. Together, these factors position the company well to capture the incremental demand and deliver a stronger performance in the coming quarters. Further, GST 2.0 reforms are likely to stimulate consumption over time. Urban demand is expected to strengthen in the coming quarters, aided by easing inflationary pressure and the positive impact of revised direct and indirect taxation measures, which should support discretionary spending. On the rural front, we anticipate sustained growth momentum, primarily supported by a healthy kharif output, moderating inflation, and continued support from the government welfare schemes that are enhancing disposable incomes. Together, these factors provide us with greater confidence in demand recovery and volume growth across categories. With this, I conclude my opening remarks and open the floor for the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Abneesh Roy from Nuvama Wealth. Please go ahead.

Abneesh Roy: Thanks. My first question is on biscuits, toothpaste and hair oil. If you could tell us in terms of GST pass-through, have you taken the gramage route or have you taken the price cut route? For example, biscuits, I think some regional players are still operating at Rs. 4.5 and 9 while the number one player transition fully to Rs. 5 and 10. I wanted to understand that for the three categories, what have you done, toothpaste, hair oil and biscuits. Thank you.

Sanjeev Asthana: To answer your question straight up, in biscuits we increased the gramage and in case of shampoo and hair oil, the price benefit was transferred through the pricing itself.

Abneesh Roy: In terms of outlook, how

do you expect toothpaste for example, last one year toothpaste competitive intensity, promotional intensity has been high and there is the LUP, the GST benefit also because 30 %-40% for the industry leader at least is the LUP and they are adding back gramage there. If you could comment, how do you see toothpaste industry volume growth and competitive intensity in FY27 and Q4?

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Sanjeev Asthana: So, competition is fairly intense, that is straightforward and it's pretty much since the growth is very limited, anywhere between 3% and 5% so that continues to grow stronger. Our dental care business has done exceedingly well. In the quarter, we did nearly Rs. 340 crores of business in the dental care and we continue to gain quite substantial growth. If I were to compare the dental care versus the last year, Q3 versus Q3 of last year, it's almost Rs. 116 crores. This momentum is driven by two counts. One is the multiple variants that we used, the new brand ambassadors that we got, the packaging changes, some of that which were introduced and very strong traction that we have in B and C towns as well as the rural areas. So that has been a very redeeming feature. And while the market overall, the category may continue to grow between 3% and 5%, our target clearly is that we want to exceed 15% is what we have set on the overall basis as a growth objective for HPC and on a fully annualized basis. I mean, this will take us what we have said that will take 18 months to take the benefit of the margins as well as the growth. But I am pretty confident that we showed the time that we took over the business. We should be pretty much close to 15% growth rate from that time.

Abneesh Roy: That's all from me. Thank you.

Moderator: Thank you. We have the next question from the line of Abhishek Mathur from Systematics. Please go ahead.

Abhishek Mathur: Good morning, Sanjeev sir. Thank you for the opportunity. First, just a bookkeeping question. If you can give the EBITDA absolute numbers for the quarter for HPC, biscuits, staples and ethnic foods.

Sanjeev Asthana: EBITDA, the breakup of each of these, I can certainly give you. So, for the non-food, it's Rs.

157 crores and the margin is about 24.95%. Likewise, for the biscuit business, our EBITDA is Rs. 47 crores. Margin is 9.57%. Foods, the EBITDA is Rs. 151 crores. Margin is 7.54% and edible oil, the EBITDA is Rs. 175 crores, the margin is 2.4%.

Abhishek Mathur: Great, sir. Thanks for that. Secondly, I just wanted to check, there has been a strong growth turnaround in our foods businesses, both staples and the higher margin foods, ethnic foods and biscuits also. So how does one think about growth in these segments going ahead? How are you looking at this turnaround and is it sustainable? And what is the steady state growth that we should think about in terms of biscuits, staples and the high margin food segments?

Sanjeev Asthana: Two parts. One is that our projected long-term growth is very clear that in the food space, we will grow between 8% to 10% will be our growth rate. Our margin construct in the food business will be between 8% and 10% as well. That EBITDA margin, that's what we are targeting. And progressively, we continue to improve that. In the HPC business, when we took over the business, the margin was about 18% EBITDA was with the parent company. We had targeted that we will take that 18% by 200 basis points over the next 18 months. But based on several changes that were introduced, we have been able to accomplish almost nearly 25% EBITDA in this quarter. Now, on a sustainable basis, the question that you are asking is that how it's going to grow. So longer term, the guidance is very clear that the food business, 8% to 10% growth.

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HPC business, 15% growth, which is a high margin category for us and veg oil business,

anywhere between 3% and 4% growth is what we target. And we are in the volume terms. And value, of course, is determinant of multiple, how the values ultimately behave. So that is pretty much the set course, how the company is looking at its businesses. And yes, because of the GST relief, because of seasonality part of it in certain seasonal changes that occur, some quarters, you will see a better performance. But broadly, that is the directional outlook that we have.

Abhishek Mathur: On the edible oil segment, so now the September last year, import duty hike would be in the base, annualized. And we have talked about palm oil prices trending lower. Albeit, you have mentioned some pressures in terms of pricing. So, with this scenario, how does one think about the margins in the edible oil business going forward? That's it from me.

Sanjeev Asthana: No, that's a great question. And I was hoping that we will do that. Because last year, September, the margin construct was very positive. We had one -off gain that we got on account of the duty increase of nearly 22% gain that accrued in September '25. And that was more of a one-time gain. Likewise, so previous Q3 of FY25, our margins were Rs. 364 crores on a revenue of Rs. 6,731 crores, about nearly 5.5%. But as I have mentioned very often that the vegetable oil business, edible oil business by its very nature, our targeted EBITDA stream is between 2% and 4%. The orientation in terms of the planning that is entirely done by the company is on the volume growth of between 3% and 4%. We are seeing consolidation in that segment. We are seeing that the consumers are gravitating towards the branded players. The larger players have the benefit of managing their treasury and working capital and risk better and superior. So, there is a consolidation happening in that space. But the performance evaluation on a quarter-on-quarter basis is always a challenge. Because of the requirements of accounting and the audit, you have to take a particular price on the mark-to-market at the end of a quarter and that starts to change, which is what happened in this quarter as well and after that the uptick has happened. I am pretty confident of not only remaining within the framework of the objectives that we defined for ourselves, but also maintaining that closer to 4% is what we target. And I am witnessing that, there's some change already quite afoot right now, as we speak as well. In the last three weeks, the prices have started moving up. So, we should gain some, all that benefit should accrue in this quarter. So that is broadly the direction we have. And the interplay between Palm, Soya and Sun, because three big import items, that will always happen. So palm, because it had gone down because of the exceptionally high prices, which had exceeded soya and sun, so that will happen. But broadly, on the overall category basis, this is what we are targeting. And progressively, we are expecting with the 15% and 20% growth in food and non-food and the other businesses, I think we should head closer to the stated objective of 50-50 between the edible oils and the non-edible oils portion of it. So, for example, our margin construct, if you were to look at right now, also two thirds of the margin is now accruing from non-edible oil proportion. So nearly, if I were to say that, the 71% margin (this was said erroneously, segment's EBITDA contribution was 66.33% in Q3FY26 and 62.34% in 9MFY26) came from the FMCG segment in this quarter, and about 35.6% margin (to be read as Rs. 32.87%) came from the edible oil. Whereas the edible oil segment contributed 69% and the FMCG segment contributed about 31% (in Q3FY26). This spread will consistently, as we grow our revenues on the FMCG side, and we reach closer to the growth rates that we have discussed, closer to about 20,000 crores. I

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think at that level, this margin profile of the company going towards the double -digit EBITDA that we are targeting, I think will pretty much become a reality. And that's what the objective of the company is looking at.

Abhishek Mathur: Right. Great, sir. Thanks for the detailed answer and all the best.

Moderator: Thank you. We have the next question from the line of Shirish Pardeshi, from Motilal Oswal Financial Services. Please go ahead.

Shirish Pardeshi: Hi, team. Good morning. Thank you for the opportunity. Sanjeev sir, my first question is on edible oil. You mentioned that the imports, generally Quarter 3 declines for palm. Does that mean the system and even us have a higher inventory at the lower price or do you think we are just managing? So maybe if there is a price increase, we will have to take the price increase as and when the price increases happen for the imports.

Sanjeev Asthana: Yes, that's right. So, Shirish, what will happen is that you mark down the inventory to the quarter end pricing. That's the accounting part. Mr. Kumar Rajesh will explain better. But we have to mark it down and bring it to a particular level. And if thereafter the prices increase, then typically that benefit accrues to the company.

Shirish Pardeshi: The second thing is that even soya and sunflower is also becoming very lucrative in India. So, does that mean that the shift will happen from palm to sunflower or soya or that is not correct way to look at it?

Sanjeev Asthana: I would say that your thesis is correct, that the perceived value for soya and sun is at higher level, where people see it as more premium oils and palm is lesser premium or in some cases, the attaching, the health connotations, etc. All three are set to grow. The interplay between them is the prices at the origin in the countries from where they are exported and the global edible oil complex. So many times, that undergoes a change on which there's very little control the companies have. So, then what happens is that the consumers might switch between one versus the other and this could happen. But the pecking order is very clear that sunflower is typically the highest price. The soybean is next to it and the palm is the cheapest. Now occasionally it might happen that the palm may exceed or soya may change or otherwise depending on supply situation. But broadly that is in 8 out of 10 cases, that is how it will remain. Some insecurity, for example, out of Russia or Ukraine, supply uncertainty, the price might spike for sunflower. But broadly that is a spread which will happen and so some shifting happens. But consumers are largely, this price inelastic. So especially in case of sunflower, which is largely sold through the branded form, the branded players, the consumers will stay with sunflower oil, they will not switch to palm oil or soya. It is the industrial consumers typically who tend to switch. So, for example, when the palm went too high, so people started switching from, I mean the industrial users, the B2B consumers, they started switching from palm to soya. So that may happen but otherwise not too much of a change. This will pretty much remain the same.

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Shirish Pardeshi: One follow-up on this, we have 3-4 brands, Sunrich and Richi Gold. So, within these four categories or subcategories, which has grown faster in Quarter 3?

Sanjeev Asthana: Quarter 3, the largest size that we clearly have is the Sunrich, we have made very big inroads. We are nearly today doing close to, from that perspective of doing nearly 12,000 tons a month now. And we will continue to gain momentum into the sunflower oil. So that has been the fastest growth on a percentage basis. But in absolute terms, our growth has been largely through soya and palm.

Shirish Pardeshi: My second question is on FMC

G. You mentioned that biscuit growth is about 26.4%. Is that driven by the volume and grammage changes? I am just trying to understand if the volume and price is half and half or volume is higher?

Sanjeev Asthana: So, it's obviously very volume driven without a question. So, it is not, price is not the bigger driver in this. As I was mentioning earlier that actually, in case of biscuits, we increase the grammage for the GST. So largely, it is not driven by any price inflation. It is entirely on the volume growth. And this has come through distribution expansion and natural velocity that we had on the growth rates of the biscuits market. So overall, that has been a very redeeming feature for the biscuits business because we are outpacing the industry by a very substantial wide margin.

Shirish Pardeshi: And the last question on HPC. I think you mentioned that we are trying to ramp up in South. So, if I look back overall as a company, what South contribution was there, including all the FMCG categories a year before and now what your target is as a distribution?

Sanjeev Asthana: So, there is a very good pickup. But I just want to, because this is very often discussed. If I would look at the overall distribution, but this is obviously not a correct reflection because palm oil is

very substantive. Our Ruchi Gold sells largely in South, which is a branded play. I will just give the overall numbers just for benefit of everyone. I was just pulling out that why don't we consolidate everything and see where the numbers stack up. So, zone-wise, mix 33% is contributed by South, the largest. If I were to look at the overall, including edible oils and FMCG, North is 31%, East is 18%, Central is 9% and West is 9%. Now, if I were to look at the FMCG part of it, if I were to look purely at the FMCG, I would say that this number would be closer to about 10%. And that has caught on the lower base that is growing at 15% to 18% now. And there we are expanding, putting a lot of energy where this base of growth we want to establish and gain momentum. And a lot of products are now gaining a lot of traction. So, for example, our food products, some of the HPC products now, so they are getting a lot of traction. And we are quite confident that the reach that we have in the distribution, the cross-selling amongst the distributors and retail that we are pulling work towards. So there is a reasonable amount of confidence that we should be able to pull through on that and put a good growth rate for South India.

Shirish Pardeshi: Thank you and all the best.

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Sanjeev Asthana: Thank you.

Moderator: Thank you. We have the next question from the line of Tanya Sharma from TAS Capital. Please go ahead.

Tanya Sharma: Hello. Good morning, sir. So, I had a couple of questions. So first, Staples continue to be a drag and that is little brand loyalty in this category. What are our plans from the FMCG mix perspective?

Sanjeev Asthana: So broadly, what has happened over a period of time, Staples have always been a revenue driver and less from a margin perspective, as you rightly mentioned that there's a bit of lower margin compared to the ethnic foods. So clearly, as I mentioned in my opening remarks and the release that we gave as well, that for example, in ghee, we had exponential growth. Of course, it was led to a large extent by the festival demand, etc. and some of the promos that we ran. So, there was a huge pickup in the ghee business. Likewise, so in terms of the, like we did almost Rs. 470 crores, Rs. 468 crores in ghee in the last quarter. And it was nearly jumped. So, it was driven a lot by the overall buoyancy that we saw in the demand side. So, there is a lot of effort that is happening towards pulling businesses on the ethnic food side on the higher level. But at the same time, Staples have a particular way of c

oming in because the demand is not in the sense that it is not very defined. So, it is also seasonal, and it is very price driven as well. So many times, if they find a greater value in what we are offering, so the demand pickup is very suddenly that people are buying a lot more because there the brand loyalty is lesser. And the focus is a lot more on the in terms of the value proposition that you are offering on the Staples pricing. My sense is the mix will not dramatically alter. The mix will pretty much remain same. But progressively as the ethnic foods category will continue to increase, I think we will start seeing better margin construct as well in the overall foods category as we speak.

Tanya Sharma: Next one. Ghee can be very cyclical in nature. So how do we manage consistency in procurement throughout the year?

Sanjeev Asthana: What typically happens in ghee is that the sell side, as I mentioned, there's some cyclicity, not volatility in pricing, but seasonality uptick is always there. The procurement is very consistent. So, there is a season in which you are able to procure. So that market is, of course, depends a lot on supply side and how the demand for the cow butter sector is there. So that we have to do. But the supply chain is fairly well-oiled machine. There is a large vendor base. There are companies who supply on a consistent basis the cow butter to us. We secure our supplies over a period of time. So that works in general quite well. And there is some bit of pricing change there as well. So that may have some impact on the margin profile of the business. And that is one reason why the raw material pricing plays a very crucial role in business verticals like biscuits and ghee and some of these areas where you might see certain degree of variation. And which is why we always target that 8% to 10% is a good blend of margin between ethnic and the staple food. We should be able to generate constantly that.

Tanya Sharma: Got it. And sir, one last thing. Do we have also any plan to bring other dairy related products?

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Sanjeev Asthana: No, we have no immediate plans of introducing new dairy products. We have enough on the plate. We have, of course, that innovation constantly happens. We want to introduce a new product. But on the dairy side, I would imagine the variations of ghee we will certainly do. But products like butter or cheese or liquid milk or flavored milk, etc., that category, perhaps, there

is no immediate plan for that.

Tanya Sharma: That answers my questions. Thank you so much.

Moderator: Thank you. We have the next question from the line of Priya Kulkarni from CN Capital. Please go ahead.

Priya Kulkarni: My question is, like, on the product side, for which product lines are we planning to expand? So, we have not had many new product innovations and the new agent brands are giving competition, like companies give us this competition. So, what is your take on this and on the product innovation side?

Sanjeev Asthana: There is a pipeline of products that are constantly planned. And we continue to introduce new variants. SKU within the SKU itself, there's a constant mixing of new products, new SKUs, new ideas in the blend sector, as I was just mentioning, and also responding to the vertical through which the channel through which it is getting distributed. So, for example, as the change in e-com and quick-com has defined and redefined in the way consumers shop, and likewise for the modern trade and general trade. And so, to avoid the conflict, many times those adjustments are done. Some products on a trial basis largely are tried out first on the e-com and quick-com and then on the modern trade and then finally to the GT. But to answer your question specifically, as I mentioned, that is a constant work which is happening. You will see a SKU of products that will

get launched. So, this quarter, for example, other than what I mentioned in the call, you will see that in the biscuits category, we will have multiple premium products that will get launched now. I would not be able to give the details on this call, but that is under the works. Likewise, for the HPC category, we are planning at least three more new product launches which will happen over the next 6 months in the skincare and some variations in the dental side, as well as in the hair care. So, a lot of work in the home care category. So, there is a constant sort of product pipeline. Yes, competition is there from the new age companies. And yes, they are doing a great job. And so, we will do our job and we will be found nimble. We will be found quick and we will be able to respond to any challenges.

Priya Kulkarni: My last question is about like last year; we had signed up multiple brand ambassadors. So just wanted to ask that when do their contracts expire? And are we likely to renew it? And if yes, what will be the cost and the tenure of the contract?

Sanjeev Asthana: So, cost and I would not share on this call, and that's confidential. But the tenure continues to run with all the five ambassadors. Mr. Dhoni is signed up for an additional 2 years. The contract for Mrs. Shilpa Shetty continues and likewise, both for Tiger Shroff and Tamanna Bhatia and similarly for Mr. Shahid Kapoor that also continues. So as we speak right now, the contracts are very much on and active.

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Priya Kulkarni: Got it. Thank you. All the best.

Sanjeev Asthana: Thank you.

Moderator: Thank you. We have the next question from the line of Shagun Ka bra, an individual investor. Please go ahead.

Shagun Ka bra: Good morning, sir. I wanted to understand regarding area under cultivation. So, it is approximately 16% for the total area allocated. Could you guide how much hectares are we going to add in the area under cultivation?

Sanjeev Asthana: You are talking of oil palm, right?

Shagun Ka bra: Yes, sir.

Sanjeev Asthana: Oil palm currently what we have is that 1,08,000 hectares (to be read as 1,08,164), which has been planted. This year, our target is that we should do close to 40,000 additional hectares, which is a mix of 20,000 in the northeastern part of the country and 20,000 in the South India. And for that we need to prepare well in advance on getting our sprouts and nurseries and others. And we are very much on course for that. What I am saying this year is '26-27. I am talking now.

Shagun Kapra: Yes. And the area under cultivation, the area is being allocated by the government. So, is it a long-term lease and how much amount does it cost us?

Sanjeev Asthana: So, we don't pay any amount. What the government does is that, so we of course, to give an answer to that, it's in perpetuity. So, it's for 35 years, the life cycle of the oil palm. And after when it gets closer to the trees having lived their life, then you can extend that by doing the replanting. So, there is no tenure fix for that, for the lease, because the land continues to be owned by the farmer only. And we simply work in close collaboration with the farmer and work alongside him for 35 years. So that is almost it can be seen as perpetuity because government is not asking to do anything on that. They are saying that this company is allowed to do the oil palm plantation work along with the farmers and ensure that they are able to 100% work on this. That's it.

Shagun Kapra: Thank you, sir.

Sanjeev Asthana: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference back to the management for closing comments. Thank you and over to you, sir.

Sanjeev Asthana: With this, I conclude the call. I sincerely thank you for your continued support and trust in Patanjali Foods. If you have any

further queries, please contact SGA our Investor Relations Advisors .

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Moderator: Thank you, everyone. On behalf of Patanjali Foods Limited, that concludes this conference.

Thank you for joining with us today and you may now disconnect your line.